

Affle 3i (AFFLE)

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Call: Aug 2022

Affle (India) Limited

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AIL/SE/ RCT/Q1/2022-23 August 17, 2022

To

BSE Limited

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Dalal Street, Mumbai 400 001

Scrip Code: 542752 National Stock Exchange of India Ltd

Exchange Plaza, 5th Floor, Plot No. C -I, G

Block, Bandra Kurla Complex, Bandra

(East), Mumbai - 400 051

Symbol: AFFLE

Sub: Transcript of the Earnings Conference Call for the first quarter ended June 30, 2022

conducted on August 8, 2022 at 10:00AM IST

Dear Sir/ Madam,

Please find enclosed the detailed transcript of the Earnings Conference Call conducted on Monday, August 08, 2022 at 10:00AM IST to discuss the results and developments for the first quarter and year ended June 30, 2022.

The same is also available on the Company's website at <https://affle.com/investor-relations>.

Please note that the audio recording of the Earnings Conference Call was submitted vide our letter AIL/EC/2022 -23/Q1 dated August 08, 2022.

Submitted for your information and records.

Thanking you,

Yours Faithfully,

For Affle (India) Limited

Parmita Choudhury

Company Secretary & Compliance Officer

This transcript has been edited to improve the readability

Affle (India) Limited

Q1 FY2023 Earnings Conference Call

August 08, 2022 at 10:00AM IST

Management: 1) Mr. Anuj Khanna Sohum – Managing Director & Chief Executive Officer of Affle (India) Limited
2) Mr. Kapil Bhutani – Chief Financial & Operations Officer of Affle (India) Limited

Analyst: Mr. Aniket Pande – ICICI Securities

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Moderator: Ladies and gentlemen, good day and welcome to the Affle (India) Limited, Q1 FY2023 Earnings Conference Call, hosted by ICICI Securities. As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal the operator by pressing '*' then '0' on your touchtone phone. Please note that this conference is being recorded.

On behalf of ICICI Securities Lead Technology Analyst, Mr. Aniket Pande, we welcome the management of Affle (India) Limited represented by Mr. Anuj Khanna Sohum, who is Managing Director and Chief Executive Officer of the company; and Mr. Kapil Bhutani, who is Chief Financial and Operations Officer of the company.

Before we begin with the discussion, I would like to remind you that some of these statements made in today's conference call may be forward looking in nature and may involve some risk and uncertainties. Kindly refer to Slide 23 of the company's Q1 Earnings Presentation for a detailed disclaimer.

I will now hand over the call to Mr. Anuj Khanna Sohum for his opening remarks.

Thank you and over to you, Sir.

Anuj Khanna Sohum: Good morning everyone and thank you for joining the call today. I trust all of you are keeping in good health.

Today, we celebrate Affle's 3rd IPO anniversary together with our 385,000+ shareholders. This inspires us and instills in us greater responsibility and accountability to deliver cash flow positive long-term growth for Affle. We are elated to close yet another quarter of momentous growth. In Q1 FY2023, we achieved our highest quarterly revenue and EBITDA run-rate ever, highest conversions and highest CPCU rate ever.

We delivered revenue growth of approximately 128% y-o-y this quarter, comprehensively beating our Q1 CAGR growth trend of 67% over the last 3-year period. Our CPCU business noted a strong momentum delivering 61.9 million conversions during the quarter, an increase of 96.7% y-o-y at a CPCU rate of Rs. 52.1. We witnessed accelerated broad-based growth in ad spends driven by our unique ROI-linked CPCU business model, having achieved about 45% organic growth (which was well above the industry average growth trend) and coming across our top industry verticals in India & International markets. In the near term, while we are closely monitoring the geo-economic situation in developed

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markets, we remain confident of the long-term ad tech industry trends driven by the fast-evolving consumer behavior accelerated towards adoption of connected devices.

Our focused execution powered by Affle2.0 strategy anchored on the 2Vs - (Vernacular & Verticalization) and 2Os - (OEMs and Operator) level partnerships has enabled us to drive deeper verticalization for our advertisers across the E, F, G and H industry verticals. This has strengthened our moat and our Direct customers contribution has grown to 75.1% of our revenue in Q1 FY23. We continue to unlock innovative consumer experiences for the advertisers and to

reflect upon our strengths, we have included three case studies in our Earnings Presentation focused upon OTT, FMCG and Fintech solutions.

We appointed 4 additional Directors to our Board in this quarter, further strengthening the Board structure. These additions are designed to support Affle's accelerated global growth momentum, provide greater accountability to the senior leadership and reflect upon the company's commitment to maintain the highest standards of Corporate Governance with enhanced depth of expertise. With this, Affle's Board will now comprise of 10 Directors led by an Independent Non-Executive Chairman and will include four Women Directors, that is 40% of our Board.

During the quarter, Affle

was awarded Data Protection Trustmark (DPTM) certification for a period of three years by IMDA Singapore, making us part of a selective group of companies that made it to the DPTM and is a significant validation of our Affle2.0 strategy. We keep the consumers' interest and privacy concerns as central to our innovation and will continue to focus our endeavours to deliver customer-centric technologies, following the highest levels of data security and privacy standards.

We further enhanced our platforms while penetrating deeper across both new and existing markets as well as further verticalizing our capabilities towards high-growth emerging industry verticals. We are a differentiated business, fundamentally inspired to deliver deep tech powered futuristic use cases and innovation-led profitable growth globally.

Our investments across the products and platforms are performing well, contributing meaningfully to our overall growth, healthy margins and resulting in positive cash flow from operations. We continue to leverage upon the market opportunity drawing significant moat from our entrepreneurial culture, tech

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innovations and sustainable value creation powered by Affle2.0 Consumer Platform Stack.

We look forward to further leveraging our scientific and strategic expertise while keenly promoting Affle2.0 culture of diversity, equity and inclusion across the organization, enabling a sustainable ecosystem towards holistic stakeholders value creation.

With that, I now hand over this discussion to our CFO, Kapil Bhutani to discuss the financials. Thank you and over to you, Kapil.

Kapil Bhutani: Thank you Anuj. Wishing everyone a good day and hope all of you are keeping safe and well.

Continuing our growth momentum of clocking over 120% y-o-y growth in the last three quarters, Our Q1 FY2023 revenue stood at Rs. 3,475 million, a robust growth of 127.9% y-o-y and 10.3% q-o-q, contributed by both organic growth and Jampp. Our EBITDA for the quarter stood at Rs. 687 million, an increase of 95.9% y-o-y and a strong growth of 17.1% q-o-q.

In this quarter, our Inventory & Data cost sequentially was stable at about 63.3% of revenue. Our Employee cost increased by 1.6% q-o-q. We remain bullish on the business and continue to expand the teams for growth across platforms, markets and verticals. However, this quarter our employees expenses were down by 106 basis points as a % of revenue.

Our reported Profit After Tax (PAT) for the quarter was at Rs. 545 million, an increase of 52.6% y-o-y. Our Q1 last year and the previous quarter Q4 FY2022 included higher Other Income than the recent quarter, primarily on account of gain on fair valuation of financial instruments.

Our Effective Tax Rate is higher than last year and is inching towards a longer-term tax rate primarily on account of the deferred tax asset of our acquired businesses getting adjusted.

Our Normalized Profit After Tax was Rs. 552 million, an increase of 93.5% y-o-y, after adjusting for fair valuation gains and share of our associate. Please refer to slide 4 and 5 of our Earnings Presentation.

We remain focused on working capital management and continue to see robust cash flows from operations. Our collections were robust and the ratio of our cash

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flow from operations to PAT stood at 99.9%. This shows the quality of our customers and the robustness of our operations.

Further, Affle is well-diversified in regards to the markets served, tech use cases, platforms, customers, publishers and with reasonable cash in hand to invest further in our organic business, we stand confident to deliver long-term sustainable growth.

With this, I end our presentation. Let us please open the floor for Questions.

Moderator: We have a first question from the line of Aniket Pande from ICICI Securities.

Please

go ahead.

Aniket Pande: If I look at the top down macro-level approach, it looks a bit bleak. The ad outlook has increasingly dimmed over last few weeks in the midst of signs that rising inflation is beginning to affect consumer spending. We have seen that in US television networks and news, so I believe publishers also will be feeling the impact of slowdown in the advertising market.

Recently, the indication by a giant technology company related to the ad spending retrenchment has also spread aggressively. Secondly, in India also, we have seen the recently listed tech companies commenting on their calls about reducing ad spending. I do understand that ad spends are equally important for organization to increase their reach. But like startups have entered into a bit of economic downturn, so will it have a broader impact on digital advertising business? In all this scenario, where does Affle stand? Are we facing any headwinds? The last query will be, does our entire pipeline continue to remain strong given we are more focused towards conversion model. Thank you.

Anuj Khanna Sohum: Firstly, in regard to the recent commentary from companies in US and Europe over last few weeks, it's important to note that Affle's exposure to Europe is negligible and our exposure to US or broadly developed markets is not as significant, because we are deeply anchored on the global emerging markets. In the emerging markets, especially markets like India, Indonesia, Africa, LATAM, the penetration of advertising into digital is still under calibrated. The trend we see in these markets is, let's say, if the total ad spend is 100, only 25 out of that 100 is going to digital for now and that needs to grow to 50 over time to be even sensible. So, digital is still catching up in emerging markets and even if the overall advertising budgets were to be reduced and even if that was to be true in emerging markets, we believe that the digital advertising will still continue to see significant growth.

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If the average growth of the industry was expected to be in a range of about 30% to 35% range, let's say, it can still be in the range of about 25% to 30% average industry growth. It will continue to be a strong growth momentum for digital in emerging markets. So, don't compare that with the commentary of Europe and US companies which might have talked from a lens of traditional media advertising as well as digital all together. Developed markets vs. developing emerging markets will have a clear difference in the way they respond to what is happening in the world today on the macro factors. Within that, digital spends will be way more protected than the traditional ad expense. Either the traditional will get reduced or it will move to digital as the case might be between developed and emerging markets. So, we are in a pretty strong footing.

As far as tech startups linked thesis is going on, anybody running a sensible long-term business should balance what they are spending on advertising vs. what their revenue and profitability is. So, I think it's a good sign that a lot of these startups are looking at being way more sustainable on their financial fundamentals and we have welcomed it all along. Even when we work with startups, we always look for those startups, which are more sensibly minded in what they are spending.

As far as Affle is concerned, we have a large part of our business anchored on enterprise customers who are not going anywhere anytime soon for next. When we look at our customer mix, we see that at least 80%-90% of our customers should be there for next three to five years. We are also selective on who we are scaling up on our platform. Secondly, in terms of the ROI linked conversion focus of our

business model, it is deeply in line with the needs of the advertisers, whether traditional advertisers or even the startups, who are becoming more ROI centric.

They are never going to say that they will reduce their sales. Therefore, if Affle is delivering them ROI linked conversions and thus potentially the revenue, it will be almost wrong for them to say, okay, we are going to reduce the number of conversions that we are getting from consumers.

That is not what anybody will say. What they are saying is, I want to get as many conversions as possible with consumers with a more effective advertising spend. Hence, Affle's propositions and business model are becoming more compelling to customers who are tightening their control. Basically for those who are saying - I want a bigger bang for my buck. I want to get the same kind of revenue with less advertising.

Therefore, what this means is that they must embrace a conversion linked, ROI linked business model and I tell my sales teams clearly that in these times this is where our business model, our business proposition becomes way more

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compelling than ever before and let us go out there and win. I remain bullish about our growth.

Now, of course, had the macro factors not been what they are, maybe there could have been even higher growth. Are we completely insulated? No. But will we still continue to deliver superior than industry average growth? That is what our pipeline says, that is what our strategy says and that is what we are executing upon.

Moderator: We have a next question from the line of Mayank Babla from Dalal and Broacha.

Please go ahead.

Mayank Babla: My first question is regarding Jampp. For more clarity on y-o-y comparison, could you give us the contribution from Jampp as far as user conversions and the average CPCU rate is concerned?

Anuj Khanna Sohum: Jampp on a y-o-y basis saw a significant integration benefit together with Affle.

We are now seeing Jampp operating close to 10% of profit ability margin from its business, at the end of completion of one year together with us in June 2022. We are seeing a meaningful level of momentum towards scaled growth with the differentiated propositions, with the ability for them to pitch conversion links, CPCU based business model. We are seeing a positive qualitative as well as quantitative impact that we have had in the last one year.

If you're comparing it specifically from Affle's organic growth perspective, I think in my commentary, I specifically mentioned that we have seen about 45% growth in our revenue on an organic basis y-o-y for this quarter, that is excluding Jampp, which is consistent with what we have delivered in some of the previous quarters as well. So, there is robust organic growth in our business and it's 90% plus is anchored on the conversion linked business model. If you see the math of our business, revenue grew this quarter by about 128% y-o-y.

Now, if you look at the further breakdown, the conversions grew about 95%+ and the CPCU rate grew around 25%, which used to be around Rs. 42 in Q1 last year and has gone up to Rs. 52+ in this quarter. So, the growth in revenue is powered by two drivers, number of conversions as well as the CPCU rate. The conversions have grown well, the CPCU rate has also grown well and therefore revenue increased by about 128% y-o-y.

In terms of organic growth, we have seen about 45% y-o-y growth. If you're mapping it year-on-year, take the last year financials and map it up, the number of conversions growth in non-Jampp would be higher while the CPCU rate has

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gone up more because of Jampp. The conversions have increased because of the organic business. I hope that answers your question. Kapil, if you want add anything to it, please go ahead.

Kapil Bhutani: The bottom line performance of Jampp in this quarter was approximately 10% both in terms

of its EBITDA and PAT margin and is inching up slowly as desired from almost 0% EBITDA when we acquired Jampp in June last year. We are on our track of long term sustainable EBITDA trend line from Jampp as well.

Mayank Babla: Thanks. My second question is related to Google and Android. Recently, I had read that Google will stop the unexpected pop-up ads inside the apps from next month onwards. So, a user will only be seeing ads if he or she chooses to get some rewards in games or in any other app. I wanted to understand from you, what sort of impact this might have on Affle - whether it be on the revenue or inventory or data costs and your view on that?

Anuj Khanna Sohum: Kapil in his commentary mentioned rather exclusively that we are a well diversified and balanced business, whether in terms of geography, verticals, use cases of how the consumer engagement is happening on device, in-app, programmatic, and all the entirety of the consumer journey that Affle captures. What Google is talking about is going to impact some percentage of the consumer's engagement on gaming only. All right, gaming is one of our top verticals and in those top verticals, just mathematically, it is well below 10% overall to our contribution. Within that, one of the use cases of gaming is being tweaked by Google.

Now, I believe the impact of this sort of change will be that we will see much greater conversions and engagements with the users in any case on the more meaningful rewards linked conversions vs. the intrusive kind of ads that come that actually irritate the consumer. So, what Google is trying to do is improve the experience of the consumer on the device and reduce the irritation factor. When the ad comes right in the middle of you playing the game and when the big screen ad comes, you as a consumer want to close it but you can't close it. I mean, that kind of advertising is bordering on the lines of spam advertising.

What Google is trying to do is reduce the spam and I don't think it has any material impact to us because the impact would anyways be to those who were focused disproportionately on gaming. Affle is not focused disproportionately on any one particular vertical. So, there's nominal if not no impact at all.

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Mayank Babla: Okay. Thank you so much. I have a couple of more questions. I'll get back in the queue.

Anuj Khanna Sohum: I will also take this opportunity to address those of you who might have read that Google also announced they are no longer deprecating the cookie on their browser for some time to come. This was a talk for years as Google was saying, I will do it in three years, in four years and so on. Apple did it on their Safari and therefore, everybody was waiting that Google will also do so but they have not done that at eventually. I'm not adding any more color to it than what the facts are. I think Google is going to fundamentally do everything that supports the advertising revenues. I believe we understand that well.

Moderator: We have our next question from the line of Arun Prasath from Spark Capital. Please go ahead.

Arun Prasath: Anuj, my question is on the overall advertising market, especially in the emerging markets. Earlier, you spoke about how emerging markets ad spending is strong, but again if you split this ad spend in the emerging markets into multiple categories. One category, which is seeing a lot more growth is the short video platforms. How Affle is placed in this value chain? Are we able to participate in it or be part of this spending or are we yet to develop any capability to deliver ads within the short video platforms?

Anuj Khanna Sohum: See, for us video as well as the theme that we have around video on connected devices, connected TV and connected households is a strong theme. Now, where are these short videos being consumed?

These short videos are, if I'm not wrong, over 90% being consumed either on mobile devices or on the connected TV experiences that people are having. Affle is having a strong play in this area. The overall growth that we are seeing in terms of advertisers shifting their spends towards mobile and digital in emerging markets is basically in emerging markets. What was lagging behind is catching up to what the consumers have already caught onto.

The consumers in emerging markets are deeply connected on the mobile device and going forward on other connected devices as well. That trend is clear and Covid times have actually accelerated that adoption curve and trend. In the

developed markets , consumers have already moved on and the advertisers have also moved on. In the emerging markets , consumers have moved to digital much more deeply, however, the advertisers are still catching up. So , the shift that I'm talking about from traditional spends to more digital spends in emerging markets is a mega trend, which will not get slowed down because of the macro factors.

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In fact, when the macro factors become tighter and all of these companies marketing and advertising spends come under a stronger sort of a review that - hey, where is the ROI coming? You will see a faster adoption towards digital and a faster trimming down from traditional to digital. And if you segment the digital further , yes, digital has many formats . Affle is well-diversified across all those formats, such as video and short video, is inclusive of it. In fact, one of our case studies that we have shown is talking about video , connected TV and connected households in this earnings presentation itself.

Kapil Bhutani: Just to add here, we work with short video formats, on both the sides, as a client as well as a customer and on the publishing side also. Affle has capabilities to place ads in short video formats.

Arun Prasath: Okay. That was helpful. My second question is more from the Bobble divestment , it is mentioned in your notes to accounts in the reported financial statements , that you are considering the sale of Bobble investment. Our understanding is that Bobble was supposed to help you through getting a lot of first -party data. So , what happened in this front?

Anuj Khanna Sohum: Our strategic intent and relationship with Bobble is a five -year long partnership where we are the exclusive partner with our SDK integrated within the Bobble keyboard to leverage the monetization capability. So , we can bring the consumer experiences, the consumer recommendations, and enhance the consumer experience while delivering conversions for the advertisers. Now that is a five year partnership. That is obviously more anchored together with the fact that we also are a significant investor. In the last three years , we have been the only major investor who was invested in Bobble, in the year 2020, 2021 and 2022. Now, in 2022, we are looking at maybe more investors coming into Bobble and therefore, there could be an opportunity for us to sell some part of our equity and take a great ROI return on our investment in it while still holding one of the highest investors position in the company on their cap table and continuing to be a long -term strategic partner. So, the equity ownership position and the commercial strategic relationship are two independent transactions.

What we are looking at is also to strengthen our own cash position in the company . Since, Bobble is today an associate company of us. About 25% ownership that we have earned in Bobble over the period of time and the optimal position for us would be to take a minority, but a significant major investor position within Bobble, but not necessarily to bring it, to become an associate of our company, which as a public listed company has several other implications on Bobble.

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We are bullish about what we can do on a strategic basis together with Bobble and that includes leveraging consumer insights, powered by data, leveraging the ability to have that touch point 100 times a day to connect with consumers . But Bobble is not necessarily a company that Affle would want to own more than a 20% or a 51% at this point in time. I'm not closing those possibilities, but at this point in time our strategic intent is to be more broad based with multiple keyboard partners, multiple publishers and there are other keyboards that already work with us.

We don't want to show that we are so deeply in Bobble that others start feeling threatened. You see . We want to be go deep with Bobble, but at the same time, we want to work with other keyboard companies as well around the world. As part of this plan, it makes sense to keep our ownership at a certain level and not beyond that.

Moderator: We have our next question from the line of Nikhil Chandak from JM Family Office.

Please go ahead.

Nikhil Chandak: My question was on the same Google privacy norms. If I read the blog correctly, the official blog by Google, it's not that they have abolished the plan completely of phasing out third-party cookies, the decision has just got postponed to 2024. So, what I wanted to understand is if you could specify what impact can this have, assuming this goes ahead in 2024 or in 2025, for example, somewhere it's tough to believe that this can't impact the company. We have seen the kind of havoc what created on Meta because of the Apple IDFA changes. So, it's tough to believe that if Google does actually go ahead, maybe with a delay, then it can't have an impact on Affle. So if you could explain what will be the exact impact, assuming the same happens in 2024 or 2025?

Anuj Khanna Sohum: First of all, the cookies are only applicable and relevant in a browser scenario, meaning that somebody is going to a website from a mobile browser or a PC browser and only then a cookie comes into play. Affle's business has almost, not even like 1% to 2% impact of anything to do with the browser. Our business is almost distinctly of on-device partnerships with OEMs, operators, in-app, like on apps, which are downloaded on the mobile devices or even on connected TV and working with those apps either directly by integrating with SDK API or through programmatic means.

So, today, or in fact, for the last 17 years, ever since when Affle was started, our business was always on device in-app mobile embedded experiences for the consumers. It was never about the browser on mobile, because I always felt since Affle (India) Limited
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inception that the browser was a little bit too slow. Having said that, even those whose business is on the browser, I believe that by the time Google is going to implement cookies, as in replace cookies, they will implement something that will be even more effective and efficient for advertisers and advertising than the cookies. Because Google wants to enable advertising to continue, while addressing the obsolete technology of cookies if I make call it that. Cookies have been around ever since Internet has been around and there has been no evolution in that for almost 25, 30 years. This needs to change.

Nikhil Chandak: To be sure, none of the changes proposed by Google would have an impact on Affle is what you are saying.

Anuj Khanna Sohum: Yes. So, the two changes that were today talked about on the call today, one was on within gaming apps Google is saying that certain types of ads, which are intrusive and potentially spam-ish should not be allowed, and that has nominal or no impact on us. Second topic of Google that we talked was about cookies and that is largely limited to websites and browser. I can tell you whether today or in 2023, 2024, as of today there is ve

ry little exposure that Affle has to anything to

do with the browser or websites and cookies. So again, no impact of that.

Nikhil Chandan: I am sorry, I am harping on this, but any other changes, for example, to the Android platform or anything which potentially can have an impact in two to three years down the line?

Anuj Khanna Sohum: Google has talked about doing something on android which is a diluted or a much more acceptable version of what Apple did last year on iOS in 2021, with respect to IDFA and certain changes. Google has started to talk about doing similar changes many years later than what Apple did. Now that has some implication. However, that implication is at least a few years out, what one can see is that on cookies, Google has reacted four to five years later or even much more later than what Apple did.

Then even on the in-app ecosystem, Google is not necessarily going to accelerate its path as is evident to us from the track record. Most importantly, when Apple made these changes in 2021, what did Affle do? Affle went and acquired Jampp and together with Jampp, we went into the US market with our revised sort of proposition for iOS and did really well in that segment. This means that even after Apple did the changes, Affle together with its newly acquired subsidiary, went into the US market, which is not Affle's home ground and became one of the top successful platforms in the US market on Apple's revised policy.

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So, we negotiated Apple's changes in 2021 and made it into a business opportunity for us vs. our competitors. Our fundamental is clear, the consumer is not going away from mobile devices, the advertisers' budget is not going away from digital and mobile. These two things are the anchor pillars of our business thesis. Within these two things, whether it is privacy laws or whether it is Apple changing something or Google changing something, one thing that they cannot change is that consumer is not moving away from these devices and the advertisers consequently are not shifting the budgets away from these devices.

Therefore, as long as we find the technology solutions to implement and create the right ROI metrics, we will continue to thrive vs. competition in this business, like we did in 2021 and continue to do in 2022. We are not nervous about it. But are we immune to it? No, of course, changes happen. I read every single bit of this progress with deep interest and we build strategies to combat that and diversify our business to combat that and we are comfortably placed where we are today.

Moderator: We have our next question from the line of Anmol Garg from DAM Capital. Please go ahead.

Anmol Garg: Hi, Anuj and Kapil. Firstly, wanted to understand that from the last three quarters, we have not seen any improvement in our gross margin, per se, when I am talking about gross margin, I mean, the inventory & data costs as a percentage of revenue. We have not seen much improvement over there. Why is the improvement in Jampp's margin not visible in the inventory cost at consolidated level? Is it because of a decline in the margins of India business? What can be the reason for the same?

Anuj Khanna Sohum: No, the way you have to see the ability for improving the margins in Jampp business is to create much more operational efficiency in terms of how the technology cost is working as a function of the overall cost and how we are enabling incremental scale up without incremental increase in the OPEX of Jampp. So, our tech stack is actually leapfrogging Jampp and the acquired business, why only Jampp, I mean, Mediasmart and Appnext and so on, the same playbook has worked for all.

You acquire a company that is breaking even, you help that company to leapfrog ahead without in vesting further in cost, because they are leveraging Affle's backbone. In

Jampp, only one year has passed since it was acquired and we still have two more years to go before we bring them to about the level of profitability that we enjoy in Affle's business organically.

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If you look at Affle's business organically is around 25% EBITDA, the acquired business of Jampp was 0% margin when we acquired them and now it has come to about 10% margin on the bottom -line and still work-in-progress. How will this work-in-progress happen? In the next year and the next two years, there will be a lot of areas of improvements, how to scale up, how to bring more efficiencies, how to charge the advertiser a bit more while the inventory & data cost stays the same. As a percentage of revenue, it changes because you are now able to charge more because you are delivering more value to the advertiser for conversions. So, how can we increase our price without increasing data? There are multiple optimizations that are not yet deployed and work-in-progress with respect to Jampp.

Now, to attribute and say that India margin has gone down, that is not true. I mean, if you look at it on a standalone basis, transfer pricing adjustments across our countries and entities, such adjustments will continue to happen as per the policies that the auditors have approved. But fundamentally, what we are seeing is the drivers of our growth are more consumer conversions, defensible pricing of CPCU rates, organically over Rs. 40, organic plus inorganic over Rs. 50 and so on. The defensibility of our pricing, the ability to scale up on consumer conversions and to attract a diverse range of verticals with a diverse set of advertisers to continue to on our business model is unique. That is what is driving our revenue growth and our margins, Last several quarters, the efficiencies have absolutely been there. Even on a q-o-q basis, we saw about 17% growth in EBITDA and about

10% growth in revenue. So, even if you take the immediate sequential quarter, you see that there are margin efficiencies that are coming on the bottom-line. The other aspect that I want to touch upon and take the opportunity is that what is exactly inventory and data cost, while it is a line item on the P&L, which is fully expensed out in each reporting period. Data and inventory is also an investment that Affle is making in our 2Vs, Vernacular, verticalization strategy. I mean, when we say vernacular, verticalization, what does it mean? Are these just words that sound good? They reflect in how we are investing in the deeper inventory and data cost.

Our data systems, our DMP platform is verticalizing the knowledge. It is building the intent of the consumer on the vernacular stack as well, to see how we can go deeper with consumer recommendations and engagements on that basis. To do these two things, we need to invest in inventory and data costs. We cannot just say these strategies and then not follow it up. We are actually following it up.

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The correct way to account for inventory and data, which I believe in strongly, but I don't think the auditing and the accounting standards are up to the mark to do that and complicate life too much for everyone to understand - that some percentage of that data and inventory cost is actually an investment, is actually a balance sheet event, is not a P&L event. The investment that we are making into a strategy shows that we are bullish about how the future growth will come, otherwise one would not invest. If I will report a higher profit in the short-term and not invest into a future strategy by having lesser data and inventory cost, it does not make a good case. So, please do take this in context that we are fully expensing it out, but it has an element of investment in it. Thank you.

Kapil Bhutani: Just to add here - you have to see the

three-quarters together, India did not go

down in Q4 FY2022 as much as the international markets went in vs. Q3 FY2022, given Q3 is our highest quarter. So, largely it is a balancing act between the movement of Q3 to Q4 and now to Q1 FY2023. The budgets move and this was in the first quarter. Secondly, we don't see this as a decline itself because India had a nice Q4 FY2022 as compared to international, India event did not show any major dip in Q4 FY2022 vs. Q3 FY2022. So it is in line with overall numbers.

Second, related to the gross margin, there are two implications to it. One is the transfer pricing, which is getting affected because few operators have stopped billing from India entities and they are now billing from international entities. So, their bill goes to our international subsidiaries and then there is a cross-charge to it. There is a transfer pricing cost which is also going on.

It's not just the factor of the margin on the standalone. However, because of the geopolitical reasons, few of these OEMs have stopped billing from their India entities. They say that we don't want to operate our India entities and that is why we are getting indirect inventories through our subsidiaries based out of India.

Moderator: We have our next question from the line of Rahul Jain from Dolat Capital. Please go ahead.

Rahul Jain: Thanks for the opportunity and congratulations on strong performance. One structural question, which is that on this Apple privacy policy impact, what we're hearing from several publishers that the monetization on the store has been impacted. I understand that you have been growing on this, because of your size and positioning, but more on an overall industry sense, who in your view would take the hit eventually? Is it the publisher side or is it higher customer acquisition cost for the advertiser or at the growth margin would be the bigger hit? Second thing, on the Jampp side, we have been growing well, so if you could help, what

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is driving our momentum here? Is it more about attractive pricing or better conversion efficacy and the clarification on Jampp margin, is it 10% margin or 10% contribution?

Anuj Khanna Sohum: So that's three questions. I will try to answer all in one breath. The changes that you are seeing on the iOS platform, while it may happen at an ecosystem level. I

strongly believe that they were sharply pointed at the big technology companies or the big advertising tech companies like Google, Facebook and the likes. I believe that Apple has been kind in the way they have opened up their backend platforms, capabilities, and the kind of APIs and ability for platforms like us to integrate with them. I think we have seen a fairly good, transparent and sensible approach there. We believe that the changes that are happening on iOS, the biggest pie to take the hit would be the likes of Google and Facebooks and similar tech companies potentially.

With respect to overall growth that we are seeing in digital advertising from brands who are working with us, I believe that the fundamentals of unique differentiated business model, which is giving ROI-linked conversions to the advertisers is a key factor in terms of how we are achieving outcomes. The second is that we focus on emerging markets disproportionately while competitors who we can see as credible technology platform players & who have invested meaningfully or have been around long enough to compete with us meaningfully, are all focused on developed markets disproportionately. They have relatively weaker focus or emphasis in emerging markets, whether it is in their R&D plans, whether it is in their teams that they assign or the strength of the offices that they open in the emerging markets.

It is interesting for us to go and compete with all the top global names in the ecosystem in emerging

markets, where we are the strongest player and then we have all these strong looking names, but they are weaker in their presence and therefore, we are able to beat. So, unique business model and clear competitive advantages in emerging markets make us a strong player to continue to win greater market share vs. industry average growth rates in emerging markets. You had a third question, but sorry, my memory has got -- skipped it. I only remember the...

Kapil Bhutani: On your last question, Jampp's EBITDA & PAT margin was about 10%

Moderator: We have our next question from the line of Mukul Garg from Motilal Oswal Financial Services. Please go ahead.

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Mukul Garg: Hi, Anuj. If we see the impact of Apple's IDFA and the recent macro environment, one thing which is picking up quite smartly is this plan of putting out first party ad networks by multiple properties, multiple large data sets which are out there in the world. Can you just share some thoughts on how you see this impacting the market as a whole because this obviously puts out a lot more credible and highly correlated data out in public domain, which can improve the efficiency of the ad networks? Also, whether this will enable relatively newer startups in the space to catch up to the large data sets, which we have collated over the last many years?

Anuj Khanna Sohum: Firstly, if you look at the emerging markets, exposure to Apple devices in emerging markets will be low and ad spends on iOS will be insignificant. As I see, well over 90% of mobile in emerging markets is Android. So, when we talk about Apple IDFA or even the macroeconomic factors, we must straight away take the context to developed markets. Europe has negligible contribution to Affle, US market is a large market and Affle is a very small there as a percentage, even within our scheme of things. And the numbers are small that suddenly the macro factor is not impacting what Affle is making in that market today. I think, when you take the question in the context of Affle, it becomes a question that is more intellectual for us to look at what's happening in the market, not how is that impacting Affle so deeply. US market is a small percentage of Affle's business and as a percentage of total US market, it is even more negligible. There is enough Android business in the US market for Affle to go and win that and still continue to grow disproportionately in the US. All of these factors have to be taken into account.

Now, is Apple IDFA change introducing new set of quality data into the hands of the market? The answer is no. In fact, it is clipping the wings of accessibility of data through asking for consent of the consumer and therefore, only a few select players would have that. Having said that, what they have crippled is Facebook and Google's ability to go beyond their own first party on their third party networks that they were doing with other publishers and so forth.

That is the part that has impacted these guys quite a bit. So, I think there is a lot

of assumption there in saying that what Apple IDFA is doing is to bring out quality data sets into the market. That is not true. These quality data sets, which are first-party data sets already existed in the market with each of those publishers. Now only those publishers who will have consent will have those data sets. So , data is becoming more premium vs. commoditized. Data is becoming harder to gain than to say that it has become easily accessible to everyone. At least that 's as per my understanding.

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But having said that, for any investor who's not keeping pace with this conversation or the depth of this conversation must know one thing that Affle is disproportionately anchored on emerging markets, with over 80% of our business from emerging mar

kets. Even in the developed markets, there is almost negligible impact of Europe. So , any worry about recession or deeper impact in Europe, please, keep that out of Affle's sort of forecast and plans.

Any impact on the U S market, please know Affle is very tiny with respect to how big the U S market is. We are still aggressive out there because when the base is small, I think all of us agree, it's easier to grow. Our base in the U S market is nothing almost. And so, even if we are in the U S market , there is a way for us to grow on the Android side of the ecosystem itself, where we come across as the strong contenders of the emerging market leaders . In the U S, we are still able to win business on Android and o n iOS , we have been in the top 10 in the first year after the iOS changes.

We are bullish and confident. We are not completely impacted , but we are in a highly privileged position vs. most competitors in the market.

Mukul Garg: A follow up, you said that the first party data is becoming more constrained or like, people need to pay to access those datasets. Is that something which can impact us as a business? Although , we have collated a lot of data and also if someone is willing to invest, spend for those datasets. And I am again focusing on emerging markets because those datasets will emerge here also in the due course. Is that something which worries us?

Anuj Khanna Sohum: Not really because the islands of data sets never lead s to the kinds of insights that we are talking about. First of all, the datasets that you are talking about are largely focused on iOS, consent based, IDFA based first -party datasets. They existed even before. Earlier , the con sent wasn't really as clinically required, but now the consent is clinically required. So they are becoming a little bit harder to get.

Now coming to emerging markets there is no such scenario because about 95% of the market is Android. iOS contribution on devices is may be like 5% or lesser. So , anywhere in emerging markets globally, we find that for almost 95% of the data set, no change is happening right n ow at least for the next several years.

Now, where Affle is unique is the fact that we have data across, let's say we talk about India, we have non- personal identifiable data of over 600 million connected device. This data is deeply verticalized across the top 10 verticals and Affle (India) Limited

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verna cularized over 30 different languages. When we talk about this depth of data across industry verticals, across this kind of wide consumer demographic segment, it is really hard to get. You can't just go and say, okay, you go to one publisher or one particu lar party and buy that data. The Consumer Privacy Laws are not allowing some free trade that anybody can go and buy and sell data. The access to that depth of data and information and the depth and breadth o f data that we have built over all these years of serving hundreds and hundreds of advertisers across these industry verticals . Therefore, we have the learning of which consumer cohort is likely to convert for which particular vertical and what is the correlation between th em. There is no shortcut way of doing it. Even if I were to tomorrow, start another startup all over again, with all my experience in Affle, I will take at least three -five years to get to reach any position to give a fighting chance to have some budgets run ou t of Affle. So , not eliminating the

possibility, I'm just saying it is hard for somebody even like me, for somebody to step out and do. It takes time. There is no shortcut to it.

Kapil Bhutani: Just to clarify because the response earlier was not fully understood by Rahul.

Just to clarify that the EBITDA margin from Jampp business is about 10% and contribution at the consolidated level is little less than 20%. So, I hope it is clear because the question was getting co

nfused between the contribution and the margin.

Moderator: We will take our last question from Mr. Sumail Choksey from Indus Equity Advisors.

Due to constraint in time, Mr. Choksey, I request you to ask only one question.

Sumail Choksey: Congratulations on your third IPO anniversary milestone and my commendations

to Mr. Khanna Sohum and the rest of the management on another steady set of numbers. I had a few questions, but I'll just ask two of them together. So at Affle, we have pursued a fairly robust M&A strategy, we have got many new acquisitions into the fold over the last few years and we are likely to do so in the future. Now, in this regard, what sets Affle apart from its peers in terms of being able to successfully integrate these acquired enterprises, both into your ecosystem and culture so well? Has there been any prime catalyst for this? I'm sure there have been some challenges faced in these integrations as well. So what have been the chief learning from these and how have they prepared Affle for the future? Also, on a q-o-q basis, there was a slight dip in revenues from India. Has this been due to a lack of demand or seasonality? I'm guessing if it's seasonal then it's likely to reverse in the coming quarters?

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Anuj Khanna Sohum: I will take your first question on the M&A strategy and then Kapil will answer the second one. Now, why our M&A strategy has worked out so well, especially with respect to Mediasmart, Appnext, Jampp, which were acquired outside India and culturally different from us. Mediasmart is in Spain, the Appnext founders from Israel, Jampp has Latin American founders. So the first reason for it to be strong is that we have a clear Affle 2.0 consumer platform stack, which we had then presented together with Jampp, Appnext, Mediasmart in December, 2021 to all our investors and analysts. This is a clear strategy on our platform stack which has enabled the playbook to be seamless, to bring an acquired asset on board and integrating them deeply.

The acquired asset sees an immediate benefit and the value system starts to enroll without becoming too intrusive or in the face of anyone. That's step number one. If any other company tries to do an M&A and doesn't back it up with a clear technology stack and a non-intrusive way of bringing value by bringing things together, they will have a tough time to do it. So, this is the one reason that makes it simple and that is more about technology and process, less about people and culture.

Second, in terms of people and culture, we have been extremely conservative and very careful. The point that I am making is that we had exceptionally long courtship periods with our acquired set of companies to iron out everything that could go wrong in terms of people and culture, prior to getting married business-wise. So thinking it with an analogy of marriage, is that you date someone, you live-in together, you make sure everything is clear, fully compatible, then let us get engaged and then married.

So, deep and long courtship periods, in the case of Jampp eight years, in the case of Mediasmart and Appnext about four to five years each, deeply connecting with them. Therefore, even during COVID times, we had the confidence to cross the line and to sign on the dotted line. So that's second reason. Of course, the third reason is that Affle's culture and Affle's own success creates a desirability and a pull factor. Where all of these companies are happy and feeling pride in its association with Affle.

I think the way they perceived us prior to signing the deal and how the employees perceive us after one to two years of the deal, we have risen in the internal credibility, perception and built pride for the Affle brand and that as a pull factor keeps people together. I believe these are the three factors that have led

to a

robust M&A success. It may seem as if we were aggressive, but I feel we have

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been conservative and careful and therefore successful. That is on question number one.

Sumail Choksey: Sorry, I don't mean to interrupt but just wanted to ask you again on the last part of my question. I am sure there must have been challenges, what have your chief learnings been from those? I mean have that prepared you all better for the future in terms of the integration, I mean the challenges?

Anuj Khanna Sohum: I have to admit that the expectation of challenges was always high. When we were nervous, even after doing these long courtship periods, having the confidence to do the deal is one thing, but I cannot eliminate the deep nervousness that I was also feeling entering into these transactions. I have to admit to that. In context to the nervousnesses around expectation of the challenges, that will come about or may come about, the eventual challenges that did actually come about were actually almost insignificant.

So, what kind of challenges come up? Well, sometimes there is an expectation of what kind of a long-term value creation that we can align as a path. Like we may want a 10 years togetherness plan. Well, most people don't think 10 years in our industry. I mean, most of the startups or entrepreneurs think maybe one, two or three years. They don't even know how to forecast beyond that. Affle thinks 10 years.

When we started this year 2022, Affle 2.0 was our strategy from 2020 to 2030. So, graduating people to think of that and to think it authentically not just, oh, we had to give something because Anuj is saying. No. To actually believe guys, we are going to be around together for that long and 10 years passes really fast. That level of maturity and bringing that authenticity to plan for 10 years is never easy, even in an organic situation, in your own management team, to get people to think that far and deep sometimes is a challenge. I had to deal with the CEOs and entrepreneurs who had already got fixed in their ways over the years to expand that sustainable, long-term thinking which is still work in progress. But I am at it and working upon it. I know I will get through it, but that is the challenge that I want to talk about and I would spend more time on it prior to the acquisition going forward, than post.

Sumail Choksey: Sure. My second question was on a q-o-q basis, India seeing a slight dip in the revenues. I mean, has this been due to a lack of demand or is it seasonal in nature?

I would guess if it's seasonal, it's likely to reverse in the coming quarters.

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Kapil Bhutani: I answered this question previously also. It is to be seen in the light of Q3 FY2022 to Q4 FY2022, there was hardly any dip in India revenue from Q3 to Q4. Generally for us, the Q4 is lower than the Q3. The Q4 vs. Q3 momentum was lower for the international market as compared to India, which was largely resilient in Q4 FY2022. Hence, in this Q1 FY2023, when you compare the India revenue sequentially, balancing has taken place given the India base in Q4 FY2022 was higher. There is no other way to read it.

Moderator: Thank you. I now hand over the call to the management team for closing comments. Over to you, sir.

Anuj Khanna Sohum: Well, thank you so much everyone for joining us today on our third IPO anniversary. I did mention earlier that we celebrate it today with our 385,000 + shareholders and it is deeply humbling, inspiring and it is stills greater responsibility, accountability on our shoulders to deliver the sustainable cash flow and positive long-term growth for Affle. I am looking forward to the journey ahead. Like I mentioned, we think long term, we are making all our teams think long term as well and we look forward to meeti

ng you as the journey unfolds. So,

thank you for believing in us and for supporting us.

Moderator: Thank you, sir. On behalf of ICICI Securities that concludes this conference. Thank you for joining us and you may not disconnect your lines.

end

Call: Nov 2022

Affle (India) Limited

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AIL/SE/ RCT/Q2/2022-23 November 15, 2022

To

BSE Limited

Phiroze Jeejeebhoy Towers,

Dalal Street, Mumbai 400 001

Scrip Code: 542752 National Stock Exchange of India Ltd

Exchange Plaza, 5th Floor, Plot No. C -I, G Block,

Bandra Kurla Complex, Bandra (East), Mumbai

- 400 051

Symbol: AFFLE

Sub: Transcript of the Earnings Conference Call for the second quarter and half year ended

September 30, 2022 conducted on November 09, 2022 at 09:00AM IST

Dear Sir/ Madam,

Please find enclosed the detailed transcript of the Earnings Conference Call conducted on Monday, November 09, 2022 at 09:00AM IST to discuss the results and developments for the second quarter and half year ended September 30, 2022.

The same is also available on the Company's website at <https://affle.com/investor-relations>.

Please note that the audio recording of the Earnings Conference Call was submitted vide our letter AIL/EC/2022 -23/Q2 dated November 09, 2022.

Submitted for your information and records.

Thanking you,

Yours Faithfully,

For Affle (India) Limited

Parmita Choudhury

Company Secretary & Compliance Officer

This transcript has been edited to improve the readability

Affle (India) Limited

Q2 & H1 FY2023 Earnings Conference Call

November 09, 2022 at 09:00AM IST

Management: 1) Mr. Anuj Khanna Sohum – Managing Director & Chief Executive Officer of Affle (India) Limited
2) Mr. Kapil Bhutani – Chief Financial & Operations Officer of Affle (India) Limited

Analyst: Mr. Shobit Singhal – Anand Rathi Share & Stock Brokers

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Moderator : Ladies and gentlemen, good day and welcome to the Q2 and H1 FY2023 Earnings Conference Call of Affle (India) Limited hosted by Anand Rathi Share & Stock Brokers. As a reminder, all participant lines will be in the listen only mode, and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing '*' then '0' on your touchtone phone. I now hand the conference over to Mr. Shobit Singhal from Anand Rathi. Thank you and over to you.

Shobit Singhal: Thank you Rutuja. Good morning everyone. On behalf of Anand Rathi, we welcome you all to the Q2 and H1 FY2023 conference call of Affle (India) Limited. I take this opportunity to welcome the management of Affle (India) Limited represented by Mr. Anuj Khanna Sohum, who is Managing Director & Chief Executive Officer of the company; and Mr. Kapil Bhutani, who is Chief Financial & Operations Officer of the company. Before we begin with the discussion, I would like to remind you that some of the statements made in today's conference call may be forward-looking in nature and may involve some risks and uncertainties. Kindly refer to slide #26 of the company's Q2 earnings presentation for a detailed disclaimer. I will now hand over the call to Mr. Anuj Khanna Sohum for his opening remarks. Thank you and over to you Sir!

Anuj Khanna Sohum: Good morning everyone and thank you for joining the call today. I trust all of you are keeping in good health.

We achieved robust organic growth in the first half of this financial year, despite the ongoing global headwinds that have impacted businesses globally. We closed this quarter with our highest quarterly revenue run-rate, highest conversions and highest EBITDA, anchored on our Affle2.0 growth strategy, tech innovations and sustainable long-term value creation.

Affle delivered organic revenue growth of 29.1% y-o-y, PAT growth of 39.6% y-o-y in Q2 FY2023 and Revenue CAGR of 61.2% in Q2 over the last 3-year period, much ahead of the industry growth trends. Our CPCU business noted a strong momentum delivering 64.7 million user conversions during the quarter, an increase of 32.7% y-o-y at Rs. 51 CPCU rate. In terms of H1 FY2023, we achieved revenue growth of 64.4% y-o-y & PAT growth of 61.4% y-o-y and this was supported by well-balanced organic growth over the first 2 quarters. Our sequential growth was approximately 10% higher on revenue in India as well as similar trend in other emerging markets and 2% higher on revenue overall in Q2, with a clear pattern of bottom-line margin expansion on both q-o-q and y-o-y basis.

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Our resilient performance in these testing times is a testament to our ROI-linked CPCU business model, the broad-based balanced growth and strong on-ground teamwork across global emerging markets. However, we did see a negative impact of the global headwinds in developed markets i.e., US and Europe. If not for the negative impact in developed markets, we would have potentially earned about USD3-4 million of additional revenue in the first 2 quarters of this financial year. To mitigate this short-term impact, we have realigned our execution

strategies and operating resources to focus on improving our platform level pricing and profitability ; as well as maximizing our strategic partnerships and overall productivity with even greater emphasis on bottom -line margin expansion and cash flow growth.

As per our understanding of the trends in the industry forum discussions, the near - term industry growth outlook across global markets for the year is pegged at approximately 10% sequential growth in H2 vs . H1 as more advertiser budgets will get unlocked & balanced over the festive quarter and Q4 FY2023 .

Affle's strong

organic growth momentum in H1 FY2023 should enable us to beat any short -term industry trends in H2 and we can realistically aim to end FY2023 with y -o-y organic growth % aligned with the long -term industry growth of about 25% CAGR over the next few years. Given our asset -light platform based business model, it is reasonable to expect margin expansion and thus our overall growth % on EBITDA and PAT in H2 will be significantly higher than our growth on revenue.

In view of our long -term optimistic growth outlook of about 25% CAGR, we are continuing to invest in our organic growth operations & we are also actively evaluating inorganic growth opportunities in line with our Affle2.0 growth strategy and execution track record. We are placing even greater emphasis on value driven strategic investments based on bottom -line financial fundamentals and cash flow returns . We remain optimistic about our bottom -line growth for this financial year.

Our focused execution on Affle2.0 strategy anchored on the 2Vs - (Vernacular & Verticalization) and 2Os - (OEMs and Operator) level partnerships has enabled us to drive deeper verticalization for our advertisers. This has further strengthened our moat and our Direct customers contribution has continued to be stable at 74% of our revenue in H1 FY2023. We further established our industry leadership position by winning the prestigious "Enabling Technology Company of the year award" for the 4th consecutive time at the MMA Smarties India 2022 and several other campaign awards in industry events . To reflect upon our platform strengths, we have also included three case studies in our Earnings Presentation focused

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upon Omnichannel Solutions for customers in Retail, Entertainment and Foodtech sectors in emerging markets.

With that, I now hand over this discussion to our CFO, Kapil Bhutani to discuss the financials. Thank you and over to you, Kapil!

Kapil Bhutani: Thank you Anuj. Wishing everyone a good day.

In Q2 FY2023, the Company reported Revenue from Operations of Rs. 3,546 million, a growth of 29.1% y-o-y. Sequentially, while our overall Revenue increased by 2.0%, we had a significant revenue growth of about 10% in India and similar growth trend in Other emerging markets, on a q-o-q basis. Except for the developed markets, which anyways has a much lower contribution for us on a consolidated basis, our business across Global emerging markets remained resilient, with strong bottom -line growth momentum and margin expansion. Our EBITDA for the quarter stood at Rs. 723 million, an increase of 38.8% y -o-y and 5.3% growth q -o-q. EBITDA margin stood at 20.3% in this quarter vs. 19% in Q2 last year and 19.8% in Q1 sequentially .

We are focused on higher profitability and margin expansion. This quarter, our EBITDA margin crossed 20%+ after a 4 quarter period, with Profit After Tax also slightly notched up.

In terms of Opex, our Inventory and Data Cost stood at 62% of revenue from operations, witnessing improvement over our last few quarters trend.

Our employee benefit expense for the quarter increased sequentially due to investment in human resources focused on business development activities and some currency adjustments. Further, we also rolled out our other platforms in various regions including the LATAM region.

Our Normalized PAT for the quarter was Rs. 587 million, an increase of 39.6% y-o-y. Normalized PAT margin increased to 16.0% versus 14.9% in Q2 last year and 15.6% in the previous quarter sequentially.

We remain focused on working capital management. Our cash flow from operations and collection efforts have been robust. We are not seeing any increase in credit loss risk.

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In regards to our balance sheet, you would have noticed a significant increase in one of the line items, that is

'Other Financial Assets'. This increase is on account of the Fixed deposits having a longer tenure of more than 12 months and thus classified as non-current.

As an update on our investment in Talent unlimited online Pvt. Limited i.e., Bobble, this investment continues to be classified as Held for Sale by the Board of the Company while we continue to maintain 26.24% stake in Bobble.

Looking ahead, we remain confident of the long-term growth prospects and will continue to invest in our organic growth as well as evaluate inorganic investment opportunities with well calibrated focus on higher bottom-line growth for FY2023 and beyond.

With this, I end our presentation. Let us please open the floor for Q&A.

Moderator: Thank you very much. We will now begin the question and answer session. The first question is from the line of Shobit Singhal from Anand Rathi. Please go ahead.

Shobit Singhal: I have few questions. Given the macro economic risk globally and especially in US and Europe, have you seen any ad budget cut from clients? What are their sentiments and how do you see H2 FY2023? Second question is how much did Jampp contribute this quarter as compared to the last quarter?

Anuj Khanna Sohum: Thanks for your questions. In my commentary, I had already provided details on the impact of developed markets. The way we should look at it is that Affle's business is in a very privileged position because of its deep focus on India as well as other global emerging markets. Because of that, we are continuing to see a very clear growth pattern in India as well as in other emerging markets on a sequential basis. When we compare Q1 to Q2, there is a clear sequential growth pattern in India and other emerging markets. Because of that a lot of the investors are saying, how come Affle is so immune to what is happening and keep on growing? We have a differentiated business model, emphasis on emerging markets and this keeps the Affle reasonably insulated and privileged on what is happening. There is definitely negative impact in the global developed markets primarily in US and Europe and in our commentary, we have also quantified that. If not for the macroeconomic global headwinds, we believe that the Company would have earned about USD3-4 million additional revenue in H1 FY2023. Even without that, I think our performance is very resilient, but in case there were no effects of

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budget cuts or the impact of the global headwinds, results would have been even more phenomenal.

Coming to the second part of your question, we have also given a clear direction that overall in H2, we see the industry growth outlook is pegged to be around 10% sequential growth in H2 versus H1. This is based on our assessment of the discussions in the industry forums and competitors commentary for rest of the year. So even with the macroeconomic risk factors, we will still continue to be growth oriented. As far as Affle is concerned, our growth momentum in H1 on y-o-y basis was quite substantial and on a sequential basis also, we have been able to keep a good growth momentum overall at least in the global emerging markets.

With the festive season along with the balanced budgets that the advertisers are looking to increase over the festive quarter as well as Q4, it is reasonable to look at about 10% sequential growth in H2. Even with that, we are already emphasizing that our focus is on bottom-line margin expansion and profitability which would absolutely ensure that EBITDA and PAT growth is better than the revenue growth because of the bottom-line sensibility and focus on the asset-light business. The company's every incremental growth is obviously leading to better margins and profitability.

With respect to Jampp, we are already looking at the situation where in Q2 last year we had Jampp and this

year Q2 also we have Jampp and therefore, it is 100% organic -to-organic comparison . There is no need to slice & dice into Jampp vs. non-Jampp . But qualitatively speaking Jampp is more calibrated on developed markets than the rest of Affle's business, so there is impact and we have quantified that. Overall as a group now , as an integrated proposition , we are seeing clear advantages because we are also launching other products and use cases in Latin American markets . There is a lot of positive synergy in the year 2 of Jampp, in terms of business expansion and bottom -line performance . We are quite satisfied with that.

Moderator: Thank you. The next question is from the line of Abhishek Bhandari from Nomura.

Please go ahead.

Abhishek Bhandari: My first question is related to the investment in CashKaro . If you could explain the rationale for that investment and how do you think that investment adds to your business moat from a medium -to-long-term perspective ? Secondly on Bobble , you mentioned in the opening comment it has been classified as a Affle (India) Limited
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financial investment and there was a press release that suggests that the deal with Krafton has not yet concluded . Maybe you could update on what is happening on that ?

Anuj Khanna Sohum: The first one , CashKaro is not an investment of Affle (India) Limited , the listed company . It is a financial minority investment made by the holding company from Singapore . Since the holding company has no other operating business other than its investments in the Affle (India) Limited as a promoter as well as any other investment that it is doing, which are financial in nature . So, that is to the extent I can speak . With respect to Pouring Pounds, which is a UK-based entity that owns the business of CashKaro India . With respect to any strategic advantages with respect to CashKaro's business in India , our teams are actively exploring it. I think there will be natural inclination for CashKaro and Affle India to work together since they have a common shareholder as the holding company .

The second question is more relevant question because it is linked to Affle India's investment in Bobble or rather Talent Unlimited, which owns and operates under the brand of Bobble in India . It is an investment that is held for sale , but at the same time the Krafton deal has not happened because Krafton is a Korean company and as a Korean company they have their own shareholders . They are a public listed company in Korea and there are certain complications with respect to the transaction, therefore the closing did not happen as per the time . In fact , we extended the closing date once and the closing still did not happen . Therefore , at the moment we are not pursuing any further discussions with respect to Krafton as a potential buyer of that equity. We are going to explore further possibilities as the time unfolds. We are happy to maintain the 26.24% ownership until we find an honorable buyer who would actually close the transaction . From a strategic point of view , Bobble continues to be an important partner and vernacular keyboard focused on innovative youth -related use cases and we are actively working with them to see how to grow that business.

Moderator: Thank you. The next question is from the line of Rahul Jain from Dolat Capital.

Please go ahead.

Rahul Jain: I have a question on the outlook side to Anuj . So, you mentioned something about the realigned strategy . Could you elaborate a little bit more on that and to your comment of H2 growth of 10% over H1 would imply 18 -19% growth on a Y -o-Y basis for H2 . So, I understand that delivering this will be incredible given the kind of macros we are following, but in that light , is it fair to assume that FY2024 growth
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should be slightly lower organically while

the CAGR aspiration of 25% + maybe even over a 4 -5 year period?

Anuj Khanna Sohum: On your first question on realigned strategy, the core strategy is the same. When we talk about realigning the operating resources, we are essentially talking about deeper focus on pricing and profitability . Whenever there is a recessionary conversation s or backdrops , there is intuitively pressure on pricing and one of the

things that we are doing is very strongly defending pricing. If we look at in Q2 , we delivered our highest volume of conversions but we held our pricing at Rs.51 CPCU rate, which is quite a commendable effort by our team . Similarly, we are focus ed more on profitability ; not just pick any business. Rather pick business that can deliver profitability, cash flow s and credit risk managed business. We are looking at even more resilient business in these times and therefore delivering a better impact on the bottom -line. This is a great time actually to look at any better optimization where we can maximize the profitability . The same applies to all the assets that we are integrating, whether it is Jampp or any specific organic or inorganic activity that the company is doing . The emphasis is disproportionately higher on the bottom -line. We have always been a bottom -line centric compan y, unlike many other fast -growing tech companies . I think that is one thing that differentiates Affle and that is what our investors also value and take pride in . We are emphasizing here even deeper realignment on bottom -line focus.

Second part of your question is about growth. Now , what I said is about 10% higher H2 vs. H1 is the industry growth outlook that we have understo od based on the recent industry forum discussions. We would love to beat it . We have always love d to beat industry average growth and whatever the times be . From a bottom -line perspective , we think that we will do significantly better than that. Overall , we are expecting to end this year at an honorable level, meeting or exceeding expectations from a bottom -line perspective . Now , like H1 we have already grown quite nicely and next year H1 , I believe that you should follow a similar trend . We will continue to be optimistic because of the emerging markets focus . In H2 FY2023 , if it is as per what you said the growth is going to be what it is , I think on a lower base it is actually easier to grow much faster. So , I think I would still maintain about 25% CAGR outlook for FY2024 or FY2025 and we will try to beat industry average growth comprehensively on the topline and even more so on the bottom -line.

Without giving any more detailed guidance on it , you can understand the mindset with which we are leading the company . It is growth & profitability -oriented and Affle (India) Limited
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we would want to beat industry average growth trends even this year. If you combine H1 and H2 , our goal would be to not miss on the 25% organic growth long-term trend that we have . Yes, markets are turbulent, but can we be stronger? Can we be more resilient? Can we find those pockets of growth and the answer is yes and we are pushing our teams for that. Until the last day of the year, we will be fighting for every single dollar of revenue and every single incremental dollar of profit. Let us see how Q 3 and H2 unfolds a nd for this financial year , we have two more conversations to go . But at the moment , I would not look at it with any further clouds of pessimism .

With consumers going more & more digital and let's say even when there is recessionary pressure , let that pressure be on traditional media . If the advertising budget is to shrink, let that shrink for traditional media with minimal impact on the digital and further lower impact for CPCU model . I think we should be more and more insulated and we should find those pockets of growth is my thesis and

that is how we are executing.

Rahul Jain: Just a small clarification on the margin comment that you made . Is it led by a better growth in H2 and giving us better margin in H2 or does it is also includes some potential acquisition ?

Anuj Khanna Sohumi: Jampp Year 1 was about integrating together which we have done phenomenally well. When I speak Affle now , I speak with the full embrace of Jampp . When we are talking about expanding the margin s, it is linked to volume . Given w e are asset -light business , as business grows expenses will grow slower than revenue growth and therefore there will be natural margin expansion trend . As a strategic emphasis , we are also focusing on pricing and profitability . We are picking business or picking only the volume of business that can support the profitability metrics and not give any volume -based discount because that is where the pressure come s. When people are asking for something cheaper because of the recession , there is a need for our product. There is a need for driving conversions with consumers for all our customers. What they are sometimes looking for is can

they get it cheaper in this time, which means it impacts pricing and profitability. How do we aim for growth but also have a strong defense play ? Being offensive and growth-oriented is one, while making sure that we are even more strong on defense than offense in the strategy, and I hope that is understood well, and that applies to Jampp. It applies to every single part of Affle's business.

Moderator: Thank you. The next question is from the line of Anmol Garg from DAM Capital. Please go ahead.

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Anmol Garg: I have a couple of questions. Firstly, just wanted to ask Anuj that we are implying about a 25% growth for FY2023. Now, we have already in the first half done around 35% organic growth, so would this mean that seasonality of Q3 would not play out in this year ? Secondly, I wanted to ask a bookkeeping question to Kapil. In this particular quarter we have seen forex gain into our cash flow statement by the tune of around Rs. 37 Crores. If you can highlight what does it regards to and how does it come out in the P&L statement?

Anuj Khanna Sohum: Thanks Anmol for your insightful questions. Let me first of all clarify that when I talk about growth or any growth percentage of the industry, I am only talking organic growth. Now this year H1 vs. last year's H1 had one difference. In last year Q1, we did not have Jampp. In this year Q1 we had Jampp and Q2-to-Q2 comparison is absolutely clear because in both Q2s we had Jampp. So, when we say that the industry will grow at an average 25%, we are talking about incremental organic growth. In our case, we have given you two commentaries, one for the full financial year - our goal is to attain organic growth of 25%, which is the industry average CAGR growth trend that we are looking at and in long term trying to keep pace with that or beat that. That excludes the Q1 with respect to Jampp. Then I have also given you some industry outlook with respect to Q3 and Q4 seasonality. Whenever there is seasonality, there is obviously incremental budgets but the customers are also hedging and they are careful. While the budget is incremental, customers may not spend all of that in the same Q3 festive season but they will spread it over Q3 and Q4. Therefore, when we are looking at H1 versus H2 and the seasonality, incremental budget will have a spillover effect in both Q3 and Q4. We expect that the industry would on an average deliver about 10% higher sequential growth from H1 to H2 and we hope to meet that or beat that. That is on the revenue side.

On the profitability side, we hope to beat that more comprehensively. I hope the math is clear. We have given clear commentary anchored on industry outlook as per our understanding. In terms

of your second question which is related to the forex gain, Kapil can you please take this up as it is directed to you.

Kapil Bhutani: This pertains largely to the foreign assets getting revalued and it has been offsetted mostly from the opening reserves. It did not have an impact on the P&L. It is an adjustment of each line item as the current and non-current assets or current and non-current liabilities getting flowed into the balance sheet and getting offsetted in the reserves & surplus and other comprehensive income. It is not routed through P&L.

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Anmol Garg: Just a follow up on that. Anuj, if you can also highlight that what are the margin levers that we can think about for the second half of this year?

Anuj Khanna Sohum: The margin levers are anchored on: 1. resilient pricing; 2. enough volume and growth to meet or exceed the industry trends; 3. combination of keeping a tighter balance between incremental revenue that has to come at a healthy pricing and the Opex used for productivity and efficiency. You can see from Q1 to Q2 our Opex is increasing, and a lot of people may ask why are you increasing Opex in the recession time? We are doing Opex because we believe in the long-term industry growth trend and will keep investing to ensure that we can capitalize on that growth trend and we are well resourced for that. Therefore, when we look at it with this balance, first is pricing, second is growth in volume with respect to incremental budgets for H2 vs. H1. Third, the asset-light business and scale on

bottom-line expansion will also come in because Opex is not going to increase and keep pace with the growth in revenue. This is exactly what we saw in Q2 this year, whether you see it sequentially or y-o-y basis. The same trend I think will continue in H2 as well and beyond. All the investors who had earlier got confused - Affle is growing fast, it is an asset-light company, how come we do not see margin expansion? There was always organic margin expansion, but because we were also acquisitive and we were acquiring companies that were less profitable. In the previous year periods, it was averaging itself downwards because the organic growth and the inorganic growth was being blended together. Now when you see Q2 -to-Q2, there is no inorganic in Q2. Q2 FY2023 compared with Q2 last year or vs. Q1 this year and you can clearly see the pattern of EBITDA and PAT margin expansion. So, those are the key levers.

Moderator: Thank you. The next question is from the line of Bharat Shah from ASK Investment Managers. Please go ahead.

Bharat Shah: I have two questions. In response to one of the earlier question, you made a remark that in FY2024 and FY2025, you are looking at an organic growth of 25% plus and you aim to beat the industry so long as you are in leadership of the firm. So, was that just an off-the-cuff remark or is there a change in leadership that is in contemplation?

Anuj Khanna Sohumi: There is no change in leadership contemplated, as long as I am healthy, fit and fine, I hope to lead the organization for decades to come. I think the nature of that comment is to be interpreted that I am giving you a peek into my mindset.

How do I set targets for this company? How do I tell my leadership team? How do I convince them? We have a strong leadership team and this is not just a one-man

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thing that Anuj says something and everybody has to follow. We have a vocal leadership here including Kapil. Many times we are challenged and debate ourselves, and this is my mindset. When I say we are growth oriented we have to beat the industry average growth rate. You said, line of questioning is, are we better than the rest of the players in the industry? Are we competitively stronger? The answer is yes. Is our business model dif

ferentiated? The answer is yes. Is their

growth in Emerging markets? The answer is yes. So, why would not we beat the industry average growth rate. That is how I set the targets for the team and a lot of times this conviction has to be delivered top down. We have to live by that example and therefore that comment. I do not see any leadership change that would be dramatic. Our company has been led consistently for the last 17 years and I am still a young man. I am only 44 and we have a long way to go Sir.

Bharat Shah: Sure. I just wanted to be clear what that remark was supposed to be. Thank you for that. The second question is - while it is understood that Affle is largely focused on fast-growing India and other emerging markets while developed markets are a smaller percentage for Affle and that smaller percentage have faced some setbacks. The question is with the way developed markets seem to be getting muddled due to macro headwinds, what are the structural reasons for you to believe & remain confident that the emerging markets will continue to be resilient and have strong long-term secular growth?

Anuj Khanna Sohumi: I am confident about two things: Firstly, consumer adoption curve on digital and that is fundamental to our industry. These are the fundamental drivers of industry. I believe that all of us on the call today can safely say that none of us is leaving the mobile device or our connectivity on the mobile device anytime soon for the next 3-4 years. The next generation in our home is spending even more disproportionately connected time online. Therefore, the adoption curve of connectivity in India, Africa, Indonesia, Vietnam, Thailand, Malaysia, Philippines, Middle East, LATAM, etc., all these places are expected to see massive consumer adoption over the next 3-4 years. If this continues to happen, the propensity for transacting higher value, higher volumes of transactions on mobile or connected devices will actually go up. This is one of the main anchors that I see for emerging markets to have resilience and growth for many years to come.

The second trend that makes me sure about this is that the advertisers in emerging markets are still under calibrated on digital vs. developed markets. In developed markets, digital is decisively more than 50% of the total ad spend, whereas in emerging markets, depending upon which market we look at, it is

either in a range of 20-to-early 30%, but it is nowhere close to being above 50%.
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The advertisers will need to also face the reality and shift budgets to the more efficient digital connected mediums and where the consumer is. If the consumers are spending disproportionate time on digital and transactions are happening there, why should the money not follow. So, the advertisers would shift the budgets. Both of these anchoring megatrends, provide me the clarity that these markets will continue to grow.

What is the difference between developed markets and emerging markets? In developed market, digital adoption has already reached a certain level of maturity and digital advertising as a % of total ad spend is already more than 50%. If you compare adoption curve on both the consumer and advertiser side, in developed markets and emerging markets, one can see a clear difference. Therefore, I am confident at the industry outlook and then within that I am wanting to assure myself that our team, our platforms, our business model is competitive vs. other players. Therefore, may we grow faster than the industry average growth. So, this is my only piece, it is grounded in reality.

Bharat Shah: But would you not experience a surprise here the speed with which the developed markets seem to be getting muddled. It is one thing about maturity of the market and relatively higher penetration of digital in the developed markets,

but the

speed at which the whole space seems to become chaotic, is that a source of surprise or do you think it is quite in the nature of things?

Anuj Khanna Sohumi: First of all, I do not know the adjectives muddled and chaotic. To me, I can see a sense in what is happening in developed markets. The customers are feeling wary of inflation, unemployment, the cost and efficiency. There are so many factors moving there right from currencies to geopolitical factors and so on. There is conservatism, but that does not mean that digital advertising will not deliver growth. Now, if you are looking at some examples, let us say the Big Tech. If your question is coming from how quickly Meta or Facebook have gone from where they were to where they are, if your question is born out of that, then I think we have to start looking at our own homes. Which teenagers are spending time on Facebook? I do not see that happening as much. It is still the older people who were once on Facebook and as a habit & inertia continue on Facebook. The consumer pool of that is down and that is why there was a need for Facebook to shift from Facebook to Meta to something else. That something else has not materialized as per the expectations that they set and therefore they are seeing a massive hit in terms of confidence levels and otherwise. Of course, Apple (iOS) has done certain changes, which have impacted them.

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Looking at them as an isolated case is not shaking my thesis and belief of digital advertising as a clear trend even in developed markets. Advertising is resilient, digital advertising will be resilient and if there is a recessionary uncertainty, of course some budgets will shrink. That is something to be expected. Now we are fortunate that we are focused on emerging markets where such recessionary backdrops are weaker and we are not seeing as much impact in emerging markets and therefore Affle is in a good place. But is it making me nervous looking at US and Europe that oh my God what is happening there, the speed or muddled; no, not at all Sir. I can understand what is happening there & at Meta and I am still bullish. In fact, if this kind of fear of recession continues it should strengthen Affle's ability to find value-driven strategic M&A consolidation opportunities in developed markets also and we will keep an eye out for that. I will be careful and realistic about what we execute on. But I see an opportunity for us that when markets are down, we should go ahead and look at strategic acquisitions, look at value-driven deals because we will find them cheaper in this time. So, we need to look at our execution strategy, where there is turbulence, how do we navigate. In emerging markets, we need to grow and in developed markets we need to navigate into that turbulence carefully and find opportunities to become

stronger . I would not necessarily agree that the speed and the space is all muddled and I think it is not so dire situation at all. Meta is just one example and we can decode and understand that.

Moderator: Thank you. The next question is from the line of Ashwin Mehta from Ambit Capital. Please go ahead.

Ashwin Mehta: Anuj, in terms of employee cost this quarter you saw an increase . So, what were the areas of investments there and does this increase continue in the near term or most of it will start to give us leverage as we go forward ? The second question was to Kapil , in terms of the level of intangible s capitalization in this quarter and any outlook on the D&A going forward , which saw some increase this quarter?

Anuj Khanna Sohum: On the employee cost , we are basically following our organic growth plan and investing into the areas such as sales and towards enhancing our on-ground presence in emerging markets as well as going for deeper verticali zation .

Therefore , focusing on teams which are verticalizing our platform s even further to unlock more strategic value so we can drive greater ROI for the advertisers and drive more profitability from those verticals. This is in line with our approach and the strengthening of our moat and backing it up . I want the investors and the analysts to look at is that if the company is capable of backing its strategy and delivering resilient results , it is a sign of confidence. If you had seen that Affle is Affle (India) Limited
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delivering better bottom -line margin expansion at the back of Opex reduction , I would not be celebrating that. The only reason to celebrate this Q2 result is to see 20%+ EBITDA while Opex was increased and invest ed in areas of growth . So, clearly the company is bullish . It is doing the right things and it is seeing financial fundamentals in its unit economics that when it grows it delivers margin expansion . The employee cost is broad -based backing our strategy or verticalization emerging markets and having on -ground presence. For the second part of your question, I will pass it over to Kapil.

Kapil Bhutani: The capitalization on tangible assets for the newer product lines or the newer models is almost similar to Q1 and around USD2.2 million . There is no major shift from Q1 to Q2.

Ashwin Mehta: Did the increase in terms of amortization largely happen because of translation for us?

Kapil Bhutani: If you compare this year amortization to the last year, you would see a significant change because amortization catches up to capitalized amount . In this Q2 P&L, you will see about Rs. 5 Crores higher amortization as compared to Q2 last year . So, you can see that catching up effect in this quarter itself on a y-o-y basis.

Ashwin Mehta: Anuj, if I could squeeze one more question. We saw your inventory and data costs come off this quarter, so is it largely because of the Jampp efficiency starting to play out ? Any perspective on where are we in the journey of Jampp profitability approaching our own profitability?

Anuj Khanna Sohum: Our emphasis is on profitability , productivity and the strengthening of partnerships and we are looking at multiple legs of it. We are looking at profitability per employee . We look productivity from the lens of profitability of each region, profitability of each vertical and so on . With respect to Jampp , the emphasis was always there because year -2 and year -3 is about maximizing profitability and some of the rationalization of revenue, which we talked about to the tune of about USD3-4 million in H1 that we could have made incrementally more had it not been for the macro headwinds. That is bringing a deeper urgency across the organization to ensure that if there is anything left to be done , can I please do i t. Can I make sure that pricing is better, the margin is better , what else can I integrate within the core tech stack of the company to leverage that what is happening in let's say Southeast Asia or India that can be implemented even better in Latin America or in Africa . So, there is a lot of internal huddle towards that and that is a positive thing. Will I want to quantify Jampp's Affle (India) Limited
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profitability % for you at this call ? Perhaps not , because we are still finding that balance because in developed markets some of the revenues were not there . Let

us look at it on a broad -basis by the end of this year. Qualitatively speaking, one of the investors had asked me a hypothetical question and he said, if you had to pay more for Jampp now with the hindsight of having owned it for a year, would you do that and the answer is yes . I believe it is a strong asset and it has worked out well for us.

Moderator: Thank you. The next question is from the line of Arun Prasath from Spark Capital. Please go ahead. Please go ahead.

Arun Prasath: My first question to Anuj . I take your point that the emerging market is strong and in developed markets we are facing some macro headwinds but if you see our own numbers, if you see the India segment topline sequentially it has grown at 10% but y-o-y it is more like 20% . We are used to see this number at a much higher 30-35%. Are we really seeing any growth slowdown in India as well at the category level or is it like more like some high base quarter issue ?

Anuj Khanna Sohum: The way to look at India right now is certainly on a sequential basis . The reason why I emphasize that is because the headwinds and related issues are primarily sort of common across H1 , in Q1 and Q2 . When we look at emerging markets doing better vs. developed markets , that thesis can only be analyzed on a sequential basis and not on a y-o-y basis. In terms of y-o-y basis, when you start looking at it and say how come India is only growing in 20%-odd and not 30% or 40% odd . I think there are also India or emerging market -specific issues, which we are quite resilient against any which ways and I have talked about this before as well. If one of the verticals, let us say Ed-Tech or Cryp to or Fintech is down , Affle is able to still get enough conversion s sold and delivered to other industry verticals in our ecosystem . Because we have broad -based growth we are able to capture that. In one particular quarter , if one vertical is impacted, one area if there is suddenly a negative trend, like during COVID times there is travel and transport, hospitality , retail was down and now that is coming back up, like with a vengeance . On the other hand we have Ed-Tech, Crypto side of Fintech , etc. these issues will happen . In a fast -growing company , in some quarter s you might see 30% in one area and then suddenly you cannot expect every quarter it will be 30%, it could be let's say 26% too. We have to see long -term trends and averages. I would not read into that as India is g rowing slower and there is a problem. I would read into that as whatever India was at 6 months ago and where India is at today, look at the sequential trend q-o-q. This is moving nicely and that is how Affle (India) Limited
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we should see it. We should also keep in mind that this is at the back of a lot of startups not getting funding, there are all kinds of issues and yes , Affle is able to be resilient because our base of advertisers is wide and there is alw ays this emphasis within Affle to have broad -based growth across advertisers & across verticals. Whenever there is any customer concentration that is building up, that is a risk that I want to cure as soon as possible. That is another peek into our mindset and therefore please analyze India in that light . If you are looking at forward -looking modeling , then my guidance has always been clear whether pre-IPO, post -IPO or every other earnings call, that I expect about 25% CAGR growth for the industry and therefore I want to peg against that.

Arun Prasath: My second question is related to the forex . The kind of fluctuations in rupee depreciation we have seen in this quarter - generally speaking keeping aside the accounting for a moment , is rupee depreciation good for you or bad for you ? As a follow -up to this, I would also like to understand what would be the constant currency growth that you had for Q2 in revenue as well as at the bottom -line level?

Kapil Bhutani: Affle is diverse in emerging markets where everything happens in the local currency. To give you a n answer whether the currency movement is advantage ous or disadvantage ous, it depends on which curren cy is such movement happening. So, there are certain pockets where we have advantage because of the US dollar getting stronger . While the costs are generally in dollars, so there is a pressure on the cost on the dollars, but it gets neutralize

d on the other side. So, at the moment, if I take the impact of currency movement on an average basis , we would be mostly neutral to it . If you see our bottom -line, the impact of currency movement is largely more muted as we are quite hedged . On your question of

constant currency , we have historically not presented constant currency financials for the comparison basis. We are not maintaining and commenting on that because if I comment on it , then I will be asked to comment on last three quarters also for an accurate comparison .

Anuj Khanna Sohum: The way to look at business is that we are naturally hedged on the currency risk.

When we see INR vs. USD or across the board the currencies , in some markets we see a negative impact . In some markets we see a positive impact and that balance is thankfully quite held up . In the sense that neither do we see a positive fluctuation nor do we see a negative fluctuation with respect to currency .

We have seen INR move from 70 to 82 and many times up & down over a period of time . In this entire journey both as a public company and even when we were

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privately held, not because we are doing some massive currency management but our business is naturally hedged. Based on where all we are doing business, what percentage of business is where, what cost and so on, we have been naturally blessed and hedged on that.

Internally, yes, it is something to be also seen that what else should we do beyond the natural balance that we are enjoying, but there is not a huge currency management function that we do within our finance or operations teams at the moment . The reason for that is because we see that balance. We have seen it consistently that we are naturally hedged and it does not impact us dramatically.

Moderator: Thank you. The next question is from the line of Mayank Babla from Enam Asset Management. Please go ahead.

Mayank Babla: Congratulations on a good set of numbers. Just wanted a clarification on what was the reason for the inventory and data cost to come off significantly and can we expect this to be the new normal and the trajectory going ahead?

Anuj Khanna Sohum: To me , the inventory and data cost did not really come down . It just stayed flat

as a percentage of revenue while the revenue overall increased 2% y-o-y but emerging markets did better . There is no dramatic trend to take out of it but I do think that there are levers within our hands to make sure that the inventory and data cost can be optimized . Which means we can buy cheaper because the inventory and data cost is what we are paying out . We are buying the programmatic inventory or we are paying for the impressions and clicks . As we get more volume, in terms of the commodity pricing we can pressure that down . If we play it smartly, for example we can commit more volumes to certain sources and so on . Those kind of levers are there and we are working on those efficiencies and we started to do that in the last 6 months a lot more. We have always maintained a neutral stance that we will let our algorithm decide where we buy from because we are looking for conversions or the probabilities of conversions . However, there is some optimization there . To see, if we are spending some amount with some particular platform or supply source or a publisher, can we go and do some negotiation there and see what we can further optimize ? There are certain levers that are being used, but I would not really call out any trend there at the moment . To call it a trend , we may need to assess it for a bit longer but it should be range bound . In some cases . a percentage here or there .

Moderator: Thank you. The next question is from the line of Vinayak Mohta from Stallion Asset. Please go ahead.

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Vinayak Mohta: I had a question regarding

the CPCU. We have seen that the CPCU have been on an upward trajectory for a while now . Given the business models , it augurs well for you as well . But we have been seeing with Meta, Snapchat , etc., that they are losing on the price per ad for a while now be it in the developed markets or in the rest of the world markets for them . How do you see this trend going ahead for you ? Do you see that there is some risk to the upside from here ? What are the risks that you see and how do you see CPCUs going forward considering that the larger players are losing out on the price per ad for a few quarters now?

Anuj Khanna Sohum: The fundamental aspect about Affle and you can check the history also. We

always have identified ourselves as a consumer platform company . Even though we are a B2B company and we are not direct to consumer, but we still call our tech stack, the consumer platform stack . In essence , I am trying to tell you is that our revenue is coming from the actions that the consumers are taking and delivering almost an assured ROI linkage with respect to performance to our advertisers . When you say price per ad is coming down , that should mean that I should see efficiency in my inventory and data cost because inventory for us is the price of ad that we pay because we are buyer of ads / ad spaces . We buy the ads and we deliver conversions to the advertisers. When we deliver conversions to the advertisers, the question then becomes that as long as the end consumer is increasing their average wallet percentage spend online and if the consumers are doing more conversions with higher -value products online over time , you should be able to see a higher CPCU rate because CPCU stands for cost per converted user. The cost per conversion which is being maintained , there is actually an opportunity to push that up . When we say that we will be resilient on our pricing, we are saying let us go for volume without discounting the price . But at some point in time , it appears to say let us go for volume while increasing the price. I am not in the business of selling commodity where on volume we will give discount . While most of the buyers may still ask for it, but we try to defend it and we explain to them that it is an ROI -linked business model justification of CPCU .

So, your observation is right. Price per ad which in other words you are saying is price per impression, price per click is coming down and ROI -linked CPCU cost per conversion is something that we can do it more profitably. One of the ways , advertisers can ask for a CPCU adjustment is Hey, as you are buying the impression and click much cheaper and therefore your cost and your ability to earn that conversion at a lower cost has gone up and hence share some benefit with us. We should always focus on margin expansion. If it means that if at Rs.50
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I can get a higher volume with my margin expansion at the lower inventory & data cost, I will take that business. Our focus on margin expansion and profitability is linked to pricing. It is linked to right at the top is pricing, right at the bottom is profitability and we are looking at optimizing that in a strong manner across all our business units .

I hope that answers the question . But please do not put just a blanket label of adtech on Affle as there is the fundamental difference . On CPCU , do not see it as a cost per impression, cost per click and therefore simply cost per conversion. The conversion is ROI -linked based event whereas impression and clicks are the raw material, the commodity within the digital advertising . I hope that makes sense . Thank you for the question .

Moderator: Thank you. The next question is from the line of Raj mohan Venkatraman, an Individual Investor. Please go ahead.

Rajmohan V: My question is in the light of you indicating - hypothetically being positively disposed to inorganic opportunities in developed markets under current recessionary environment . Will Affle even be looking at organizations like Digital Turbine whose market caps have crashed 80 -90% though the revenues may be 4 x-5x as that of Affle. Generally looking at it from a client addition perspective, have discussions at the Board level happened at acquiring bigger companies than Affle?

Anuj Khanna Sohum: I can tell you two things about our psyche . Yes, discussions happen because we are intellectually sharp and alert . Just as you , we are seeing possibilities in the map and we see all possibilities as well, but we are also very mindful of two things. We are executing on a solid track . When I say that I mean that to an external light, it might seem risky that they have operations in so many countries , across some many currencies. But from where I see it, it is just a predictable path of execution that we are on. Now any acquisition that we do add a certain element of risk to it such as risk of integration and risk of things going well or not. That is why all our investors are deeply observing it for at least 4-5 quarters and asking different questions as how is this number without this, with this, and how is it going , etc., and everybody has nervousness in this unknown factor of what has come.

If you look at our M&A strategy and one of the things that has worked really well for us is we have been conservative on the value that we are paying and the size of that M&A. Let us see the last 3 acquisitions . 1) Mediasmart, we paid less than Affle (India) Limited
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USD10 million, Appnext about USD25 million, Jampp about USD40 million . Now compared to our own market cap, revenue , bottom -line, cash & bank balance, whichever indicator I look at , I also plan for worst case scenario when executing a M&A . If it was to go bad , can we still be a strong resilient company and deliver value to our shareholders . When my answer is okay, we have covered all the risks and then only it is the right decision . But if ever we are wrong , may that not consume us.

When you acquire certain company , you also acquire a lot of baggage of those and there is a reason why those companies are losing value . There is a reason why those companies are not doing well . As industry insiders , we know those reasons many a times and we know where to go and where not to go . There are certain acquisitions that Digital Turbine has done that Affle had deep insights into and also we had the first right to do them or the opportunity to do them in terms of timing . I would not name them but we certainly were not feeling a loss that Digital Turbine acquired those companies . I said, all the best. We would not have done that acquisition. We are looking at all opportunities and respecting all possibilities though we know a lot more in terms of what is inside going on . We are extremely carefully calibrated and our execution strategy on inorganic has been flawless so far . I hope to keep that track record with no unfold errors . Affle is doing a good job.

M&A should be seen for strategic reasons, opportunistic value in terms of pricing at which we transact in terms of timing. Let us say, last year, if we have done a particular M&A, it would have been more expensive vs. this year . So, those kinds of optimizations we would do, but we would never just go and do it for size. There is no reason for us to just go and because something is cheap and is looking big , let us do it . I do not want to get tempted into that and we will be careful about it.

Moderator: Thank you. Ladies and gentlemen this was the last question for today. I would now like to hand the conference over to the management for closing comments.

Anuj Khanna Sohum: Thank you very much everyone for insightful questions and a good dialogue . I certainly

enjoyed it . I hope it was valuable for you and you have a deeper insight into Affle's mindset . Clearly for a significant part of our business , we are insulated from the macroeconomic headwinds and the good news is we still have tailwinds in the emerging markets . As far as the economic factors are concerned , there is actually some impact but that is limited and it is quantified so that you can all assess it . But there is also opportunity in there for us . Because a lot of the Affle (India) Limited
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competitors were fundamentally not as strong on their balance sheet and not as profitable . If they lose about USD3-4 million of revenue they are deeply hurt whereas for us we can still deliver a resilient outcome . In that sense we are in a strong and privileged position to navigate through H2 FY2023 . As we go along , we will continue to give you a transparent commentary on our expectations so that you know what to expect and we will talk about next financial year & beyond after that. Thank you again and stay well !

Moderator: Thank you. On behalf of Anand Rathi Share & Stock Brokers that concludes this conference. Thank you for joining us. You may now disconnect your lines .

*** end ***

Call: Feb 2023

Affle (India) Limited

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AIL/SE/RCT/Q3/2022-23 February 13, 2023

To

BSE Limited

Phiroze Jeejeebhoy Towers,

Dalal Street, Mumbai 400 001

Scrip Code: 542752 National Stock Exchange of India Ltd

Exchange Plaza, 5th Floor, Plot No. C-I, G Block,

Bandra Kurla Complex, Bandra (East), Mumbai

- 400 051

Symbol: AFFLE

Sub: Transcript of the Earnings Conference Call for the third quarter and nine months ended

December 31, 2022 conducted on February 6, 2023 at 10:30AM IST

Dear Sir/ Madam,

Please find enclosed the detailed transcript of the Earnings Conference Call conducted on Monday, February 6, 2023 at 10:30AM IST to discuss the results and developments for the third quarter and nine months ended December 31, 2022.

The same is also available on the Company's website at <https://affle.com/investor-relations> .

Please note that the audio recording of the Earnings Conference Call was submitted vide our letter AIL/EC/2022-23/Q3 dated February 6, 2023.

Submitted for your information and records.

Thanking you,

Yours Faithfully,

For Affle (India) Limited

Parmita Choudhury

Company Secretary & Compliance Officer

This transcript has been edited to improve the readability

Affle (India) Limited

Q3 & 9M FY2023 Earnings Conference Call

February 06, 2023 at 10:30AM IST

Management: 1) Mr. Anuj Khanna Sohum – Managing Director & Chief Executive Officer of Affle (India) Limited
2) Mr. Kapil Bhutani – Chief Financial & Operations Officer of Affle (India) Limited

Analyst: Mr. Ashwin Mehta – Ambit Capital

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Moderator: Ladies and gentlemen, good day, and welcome to Affle (India) Limited 3Q and 9M FY2023 Earnings Conference Call hosted by Ambit Capital. As a reminder all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing "*" then "0" on your touchtone phone. Please note that this conference is being recorded. I now hand the conference over to Mr. Ashwin Mehta from Ambit Capital. Thank you and over to you, sir.

Ashwin Mehta: Thank you Michelle. Good morning everyone. On behalf of Ambit Capital, we welcome you all to the Q3 and 9M FY2023 Conference Call of Affle (India) Limited. I take this opportunity to welcome the management of Affle (India) limited, represented by Mr. Anuj Khanna Sohum, who is the Managing Director & Chief Executive Officer of the company and Mr. Kapil Bhutani, who is the Chief Financial & Operations Officer of the company.

Before we begin the discussion, I would like to remind you that some of the statements made in today's conference call may be forward-looking in nature and may involve some risks and uncertainties. Kindly refer to slide 26 of the Company's Q3 earnings presentation for a detailed disclaimer.

I now hand it over to Anuj Khanna Sohum for his opening remarks. Thanks and over to you, Anuj.

Anuj Khanna Sohum: Thank you. Good morning everyone and thank you for joining the call today. I trust all of you are keeping in good health.

We achieved robust growth in 9M FY2023 to close the period with a revenue and PAT almost at par with previous full year, while we clearly surpassed previous year's EBITDA by 4%. We reported this quarter with our highest quarterly revenue & profitability run rate, highest CPCU revenue and user conversions.

Sequentially, Affle delivered revenue growth of 6.1% and a PAT growth of 17.6% q-o-q in Q3 FY2023. We achieved revenue CAGR of 58.5% in Q3 over the last 3-year period, much ahead of the industry growth trends. Our CPCU business noted a strong momentum delivering 67.8 million user conversions during the quarter, at an INR 51 CPCU rate. Overall, our CPCU revenue for Q3 increased by 14% y-o-y, ahead of the total revenue growth of 10.8% y-o-y. Our CPCU business continues to be resilient and underlines the long-term sustainable business momentum. In terms of 9M

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FY2023, we achieved revenue growth of 40.6% y-o-y, PAT growth of 40% y-o-y and this growth was largely well-balanced across the three quarters.

Despite the ongoing global headwinds that have impacted businesses globally, our

strong anchoring on India and other global emerging markets has enabled us to perform well. Our growth for India and global emerging markets was approximately 23% y-o-y. Our unique CPCU business model and focused execution on higher profitability and productivity underpinned our margin expansion on both q-o-q and y-o-y basis.

However, macro headwinds continued to impact our business in developed markets in US and Europe. I have also guided in the previous call, to mitigate this short-term impact in the developed markets, we realigned our execution strategies and operating resources to focus on improving our platform level pricing and profitability as well as maximizing our strategic partnerships. We are consistently holding our ground on quality of revenue, CPCU pricing and our market position of being a high ROI verticalized business for the advertisers.

We are focused on driving deeper consumer conversions for our customers, drawing significant moat from our Affle 2.0 strategy to deliver a broad-based growth across our top industry verticals in Categories E, F, G and H. This has strengthened our moat and our Direct

customer contribution stood at 71.8% of our revenue in 9M FY2023.

To reiterate our strength of delivering unique consumer experiences, we have in total shared 18 case studies in our Earnings Presentation over the last 6 quarters. These were focused on some of our key industry verticals including E-commerce, Edtech, Entertainment, Finance & Banking, FMCG, Foodtech, Healthtech, Retail and so on. Continuing on sharing our customer success stories, this time we have included three unique case studies.

The first one is Tata Neu, the super app in India, driving greater consumer adoption for online transactions in India. Here, we delivered approximately 2.3 times q-o-q growth in conversions.

The second case study is from a banking app, a Bank Jago app in Indonesia. Again, focused on growing the reach for essential financial services. Here, we delivered approximately 2.5x q-o-q growth in conversions.

Now what I am emphasizing from these case studies is that these are actually supported by either traditional large conglomerates owning and getting into digital Affle (India) Limited

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or traditional financial services like banking and essential services focused upon greater consumer adoption on digital. Therefore, there is little or no dependence on such customers that are heavily dependent on new funding or venture capital funding or what's happening with start-ups.

The third case study that we shared is of TapNation, which is of hyper casual gaming. This is a fast growing and globally resilient vertical with rising user growth of all geographies including in the US. For TapNation, we delivered approximately 1.5 million user conversions in the last quarter and brought them to be the number one app in the Android App Store in the US.

These are important qualitative indicators of what Affle is focused on and how we are building our trajectory for greater growth and possibilities, not only in global emerging markets but also finding those emerging verticals in developed markets where we can accelerate and create a high margin and sustainable growth possibility.

We remain confident of the long-term business prospects and we continue to invest in our organic growth operations to drive sustainable growth. We are also actively evaluating inorganic opportunities with calibrated focus on higher bottom line growth for FY 2023 and beyond, with greater emphasis on high-growth industry verticals. Our strategy is clear. We are looking at high growth but also sustainable bottom-line expansion and not just organic growth this time, but given the market situation, we think we can apply inorganic growth as well without compromising on the margins.

Affle continues to be recognized as an industry thought leader and as a testament to that we were awarded "Momentum leader for the Demand Side Platform" and was included in the "High Performer" categories in the prestigious G2 Winter Reports 2023. Recently, our platform also won seven more awards at India DG+ 2023 and "Mobexx Awards 2022" (organized by Adgully).

With that, I now hand over the discussion to our CFO, Kapil Bhutani to discuss the financials. Thank you and over to you, Kapil!

Kapil Bhutani: Thank you Anuj. Wishing everyone a good day and hope all of you are keeping safe and well.

Continuing our growth momentum – our Q3 FY2023 revenue stood at Rs. 3,761 million, a growth of 6.1% q-o-q and 10.8% y-o-y. We had a significant revenue growth of over 10% in India and other emerging markets on a sequential basis and

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approximately 23% growth y-o-y. Except for the developed markets, which anyways has a lower contribution for us on a consolidated basis, our business across global emerging markets remained resilient, with an overall bottom-line growth momentum and margin expansion. Our nine months revenue stood at Rs. 10,781 million

lition, a robust growth of 40.6% y-o-y.

We recorded the highest quarterly EBITDA of Rs. 804 million which was 21.4% of our revenue, an increase of 11.1% q-o-q and 18.7% y-o-y.

In terms of Opex, inventory and data cost was at 60.7% of revenue from operations in Q3, an expansion of 138 basis points sequentially, driven by our conscious efforts of focusing on higher margin revenue.

Our employee benefit expense for the quarter increased sequentially by around 4 % due to appraisals in few geographies and as a percentage of revenue, it was in line with our previous quarter .

Our normalized Profit After Tax for Q3 FY2023 was Rs. 690 million, an increase of 17.6% q-o-q and 14.8% y-o-y. Normalized PAT for 9M FY2023 stood at Rs. 1,829 million, an increase of 40.0% y-o-y. Please refer to slide 4 and 5 of our Earnings Presentation.

Our effective tax rate is slightly higher this quarter and is inching up towards a longer-term higher tax rate on account of lower deferred tax assets of our acquired businesses.

We remain focused on working capital management and our cash flow from operations and collection efforts have been robust. We have been extremely prudent in customers profile and as such there are no material changes in the collection risk.

Affle is well-diversified in regard to the markets served, tech use cases, platforms, customers, publishers and has a reasonable cash in hand. We remain confident of the long-term business prospects to invest further in our business and stand committed to deliver long-term sustainable growth.

With this, I end the presentation. Let us please open the floor for Questions.

Moderator: Thank you sir. We will now begin the question and answer session .

Ashwin Mehta: While the question queue assembles, I will go ahead with one question for Anuj.

So, international markets especially US has been a drag for us. What are we seeing

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from a customer decision-making perspective? How close do you think are we to bottoming out? Then given our smaller scale and capabilities, where do you see the opportunities to outperform in this market?

Anuj Khanna Sohumi: Thanks for that question. It's important for all our stakeholders to understand that

Affle is not only anchored deeply on India, but also on Global emerging markets which together with India, contributed almost 80% of our revenues. The developed markets contribution is smaller for us and our presence in developed markets is also relatively small . But those are very large addressable markets. Even though those markets are facing the headwinds at the moment, we are relatively small. We have a few customers there in few verticals . If those customers are holding back budgets , we will see some of those headwinds impact us, which has clearly been the case and we quantified it for H1 FY2023 . We grew around 23% in India and Global emerging markets. So clearly, the developed markets did not perform fantastically well for this quarter.

But the outlook for the calendar year 2023 and FY2024 is exactly quite positive, in my opinion. The reason why it is positive is because , I just came back from the US and I have looked at what is happening in that market , more from an internal perspective . You can say how much of this loss was or the slowdown and headwinds

were attributed to external factors? What else can we do internally? What can we calibrate so that we can accelerate faster, more sharply ahead in some of the verticals? I found certain areas where I know these are low-hanging fruits. We do these 3-4 things right in the next few months or quarters and we will start seeing a more broad-based growth in developed markets. Because our base is small in developed markets and the addressable market is still very large. So, yes, external factors are there and they have impacted us. But we are well geared up and I know a clear

action plan that we need to take over there. Let's see how it turns out. But I have a feeling that within the next couple of quarters, we will turn the situation around. It should be easy for us because of our differentiated proposition and we know what we need to be done. We just need to execute to the new ground realities and we are calibrating well towards it. Ashwin Mehta: Thanks Anuj. Just one follow-up. We also saw margins in the international markets go up despite revenues being flattish for us. From an investment perspective, to tap these opportunities, how are we looking at that? Anuj Khanna Sohumi: See it's counterintuitive. When you think that there are headwinds, a lot of times people would say, okay, to go ahead, we need to drop our pricing or margin. When Affle (India) Limited February 06, 2023

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revenue is not coming easily, one straight forward reaction is that, let's do something like that. In Affle's case, in fact, we follow a very contrarian strategy. In fact, I have been commenting on that quite deeply before as well. I have earlier said that we are focused on profitability and margin expansion. When the headwind is already there, there is only so much that you can drive forward. But at least make sure that how much ever we try, we maximize and strengthen our moat and position. Hold our ground well. Now what we did in this time is that we told our sales team and our customers that, look the number of conversions that we are bringing into the market are quality, deep funnel consumer conversions. There are enough takers for it. So, we were not going for volume. We were not saying that, hey, give me your volume budget or I want to get INR 400 crores of revenue in this quarter. There was no emphasis on volume of revenue. It was only quality of revenue with better pricing. We knew we had enough quality conversions to sell and we knew we had enough advertisers to give us a good price for the budget. We have conviction in that. We held our ground and kept that focus. We said, look, we have these many conversions, you take it. If you cannot pay the price, don't worry, we have other advertisers that will take it. So, we were able to hold our ground and hold our pricing. If you see the contribution of India versus international, almost 35%-65% split, with India contribution gone up few percentage points. The CPCU rate typically should have seen some fluctuations. But in our case, we have been able to improve our CPCU rate in this time, which is counterintuitive. Most people would think that recession or these kind of headwinds would mean pricing comes down. But if you emphasize on quality, put the scarcity premium and say that we have enough advertisers to buy and we are not looking for volume. We were not pushing for another million dollars of budget. We were not scrambling like that. Given that context, we were able to hold our pricing, in fact improve our pricing. That has reflected in the margins, not only in international, but overall in global emerging markets as well as in India. That strategy helped us. We were able to hold our ground and not commoditize. When the markets will improve, we should be able to defend our pricing and margin then if we are able to defend it in current times. So, with that philosophy, I think it has held us in a good stead.

Moderator: We have next question from the line of Abhishek Bhandari from Nomura. Abhishek Bhandari: Anuj, I just had one small question on your non-CPCU business. While it is not material, but that part of the business seems to be declining, maybe at least for the last two quarters. Historically, it has grown at a pace lower than CPCU given Affle (India) Limited February 06, 2023

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our focus on CPCU business. But if you could clarify what's happening on that part of the business? Also, will it be right to correlate that the increase in margin

n s, to

some extent, also has to do with a falling contribution of non-CPCU?

Anuj Khanna Sohum: Like you quantified in your question, non-CPCU business is not material and the CPCU business is bulk of our business. And it's natural that when times are tough, selling is hard, you sell what you can sell at the best price and margins. You go out there and make that happen. Our CPCU business is clearly resilient and we want to anchor ourselves as a differentiated business model, ROI-driven, verticalized for advertisers, driving higher-value conversions and so on.

The emphasis is clear. When times are tough, you work on your strength rather than on your areas of opportunity only. So, we are maximizing on our strength and the non-CPCU business continues to remain a great opportunity for massive expansion going forward. Whether it's online to offline conversions or driving newer use cases or even platform as a service, like coming out with those kind of self-serve mechanisms of licensing or enabling technology, there are many opportunities there for us. Those opportunities continue to remain as long-term opportunity. But I think in these situations, we had to choose and say that, look, we have this much execution bandwidth and let's maximize on where we can extract our greater profitability and better pricing. I think it is just the execution show. I don't think you should read into it as the opportunity of non-CPCU is shrinking. I don't think that's the correct way to look at it.

Moderator: The next question is from the line of Mayank Babla from Enam Asset Management.

Mayank Babla: My first question is regarding the revenue growth in this quarter. 11% y-o-y growth is much below than the sort of 25% annual growth that you are foreseeing in this industry, specifically in the CPCU business. What is attributing to this lower growth? Though we have a higher exposure to India and emerging markets and lower to the developed. Has there been any delayed decision-making at the clients' side. Could you throw some light on this.

Anuj Khanna Sohum: I earlier tried to answer this question in terms of the mix of growth. When we look at Affle's business, we see it in three buckets: (1) India, where we grew approximately 23% y-o-y; (2) In other Global emerging markets, where, combined with India also, the growth is in the similar range of 23% y-o-y; (3) Developed markets. Around 80% of our business, which is India and other global emerging markets have shown a reasonable consistency in terms of its long-term growth trend which is what you mentioned, about 25% annual growth.

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I think it's within that range given the larger base in Q3 last year because the last year festive season did not have the headwinds as strongly as the festive season this time. It's not exactly comparable. But even with that, we delivered around 23% growth in India and other Global emerging markets. I would take it as a great performance and I am happy with our team's focus in emerging markets.

Now going to developed markets. Clearly, we saw that in the developed markets, there was a contraction and the contraction is on a small base. We have a small base of customers there. If some of those customers are holding back budget or stopping some activity for some time, then there is obviously an impact. We saw an impact in the developed markets, largely localized into few verticals and key customers particularly in US and Europe. Now is that something to become nervous about with respect to rest of FY2023 or FY 2024? The answer is no. As I mentioned earlier, I just come back from the trip to the US and I am in touch with the ground realities. I know that how we can do certain improvement in our execution with internal optimization. In the developed markets, the addressable market is still large and all we have to do is

to have a smarter execution strategy. There are certain emerging verticals where we believe that we will continue to find resilient budgets & growth and our differentiated pitch will help us to win more customers. We have our action plans in place and I am reasonably confident that we show meaningful results in the next couple of quarters. The way to look at it is like 80% of the business is absolutely on track. Yes, in the US and Europe markets, there is some contraction but we are having action plans to neutralize that going forward. I hope that answers your question?

Mayank Babla: Yes, that does. My second question is to Kapil regarding the margins. So great execution on margins, congratulations. If we could attribute this to good execution in the acquisitions like Jampp? Or this is purely out of better cost control in the erstwhile organic business?

Kapil Bhutani: The overall margins have been improved following the strategy to work with those clients which have a higher margin profile to further augment our CPCU business .

As Anuj said, we have been prioritizing the conversions to customers who are paying better to us and where we can command a better CPCU rate. It has been a conscious strategy to focus on margins in this quarter.

Mayank Babla: Sure. Are you giving out what sort of margins is Jampp doing ?

Kapil Bhutani: If you see the overall profile, we have increased our margin by about 1.4% that is 138 basis points. And if you see the breakup, India is under 100 basis point expansion

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and the international business has over 100 basis points expansion . There are clear synergies coming in from the all markets, which are facing headwinds, and where we are trying to work on the CPCU rates to hold on to margins and improve our bottom line performance .

Moderator: The next question is from the line of Anika Mittal from Nvest Research.

Anika Mittal: My first question is can you please explain the organizational structure as a whole ?

Anuj Khanna Sohum: Company structure . I hope I 'm understanding your question correctly. We are a listed company in India and we have subsidiaries around the world. We have a material subsidiary in Singapore, which is Affle International (100% owned) and all other subsidiaries are also 100% owned, except for Appnext Singapore . So basically , the listed entity is an Indian company that has all the global business under it and it has subsidiaries internationally, which are mostly 100% owned . If you have any specific query on the group structure, that you will like us to elaborate upon?

Anika Mittal: Affle is not paying any dividend while company is growing at over 35% annually .

What is the company's rationale for not distributing the dividend?

Anuj Khanna Sohum: We are a fast -growing company and it is imperative for us to look at the capital allocation with respect to how we are creating value for the shareholders in the long term. We are not close to any possibilities. At the right time, we will take the right decision as the Board of Directors is always looking to maximize value for the shareholders. If utilizing our capital for organic & inorganic growth is the way to create greater value for the shareholders , we would do that with prudence, with careful calibration and in a bottom -line sensible way, making sure that we are always capital efficient. If we have surplus capital which is not needed to fund the organic and inorganic growth plans of the company, then we would certainly distribute dividend in that scenario. Kapil, if you have anything more, you can please add on?

Kapil Bhutan i: Yes. Just wanted to mention a point . As we mentioned at our road shows at the time of listing , the company has made a policy for the first five years of listing , we will not distribute the dividends and will focus on growth and deploying

ing capital for growth.

Moderator: The next question is from the line of Arya Sen from Franklin Templeton.

Arya Sen: I just wanted to check, last quarter you had given a guidance of around 10% growth in H2 versus H1 FY2023 . Now based on these numbers, to achieve that, you will

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have to show q-o-q growth next quarter as well. So, any update on that guidance?

Or are you sticking to it or any clarity on that?

Anuj Khanna Sohum: Yes. That guidance has largely held us in good stead with respect to India as well as other global emerging markets where the growth has been significant . Even on sequential basis , the trend lines have been meaningful. If you look at it from a CPCU business perspective, we have shown quite a resilient growth. It was not really a guidance , but it was more an industry outlook, which I had answered that I expect that the industry should deliver that kind of an outcome for an overall scenario.

In our case, more specifically, as I said earlier to some of the other stakeholders who were asking questions that we were not really pushing for top line maximization. For example , there was a campaign coming in and advertiser giving us a campaign for USD 20,000 at a lower CPCU rate . In some quarters, we take up those campaigns and bring the advertiser up along the way. So, you can have like a few million dollars' worth of campaigns which are maybe not as high margin or a

high value in terms of pricing, but we take it and we say okay, we will pull them up along the way.

But in this quarter particularly, our emphasis was very clear. We focused on productivity, pricing and profitability. In many of those cases, we were so stiff about it and not ready to compromise. It was completely fine to not have that kind of revenue. We just wanted to make sure that we were working with our larger customers, larger accounts, which will be resilient, more profitable, better pricing and better volume. That's how we chose to execute. I hope that is consistent with what you heard from us before.

Arya Sen: Yes, it is. Just to clarify, typically we have seen a sequential decline in the March quarter i.e., Q4. So, most likely that is how it will remain, right? There is no reason to believe that this time it would be any different?

Anuj Khanna Sohum: I think this year it will be different. Q4 versus Q3 should be more flattish than the kind of sequential decline you have seen in past. The reason for that decline used to be not because there's something wrong in Q4. It was always because Q3 was where the advertisers exhausted most of the budgets due to the festive season. Now when the festive season has headwinds in front of it and economic recession clouds on top of it, the advertisers are also more like balancing and flattening it out just to spend a little bit more in Q3. But typically, I think in this case, we will see a more balanced Q3 to Q4 versus the usual kind of a thing and that is because

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the Q3 was not as exhaustive in terms of the advertiser spends. So, I think Q3 to Q4 should be more flattish than otherwise.

Arya Sen: On the outlook for India and emerging markets, which are continuing to do quite well, what is the outlook there? Are you seeing any further improvement there? Or does it continue to be similar? Or can there be a risk there next year? What's the outlook on that part?

Anuj Khanna Sohum: From a competitive moat standpoint, Affle is in a very strong and happy place. A lot of our competitors, big or small ones, they are not calibrated on India and emerging markets. They are in developed markets where the headwinds are stronger and the business conditions are harsher at the moment. So, our competition is getting weaker.

In terms of India and emerging markets, our competitive moat is quite strong. I have no

reason to believe that what we have delivered in 2022, we should be able to at least deliver that kind of growth and hopefully a much better as we go along and execute in the calendar year 2023. Given the macroeconomic situation, nobody wants to hear an absolutely unqualified bullish statement. But if I could make one, I would say, India and other emerging markets will hold us in good stead.

If we get our act together on some of the execution plans that I have put in place after my recent visit to the US, I think we will surprise our stakeholders with the resilient continued growth performance going forward.

Moderator: The next question is from the line of Pranav from ASK Investment Managers.

Pranav: Is it possible to share the breakup of the converted users between India and outside India for this quarter and last year?

Anuj Khanna Sohum: I wish it was possible. It's not at the moment, because we believe it is competitively sensitive information to reveal our CPCU average pricing for India as well as other markets. Having said that, qualitatively speaking, I can tell you that India is one of the most difficult markets in terms of unit economics. The fact that we are successfully running sustainable growth performance with healthy margins, it should give you a lot of confidence that if Affle with its capabilities over these years can do well in India, then it is able to do better in other emerging markets like Indonesia, Africa or other Southeast Asian emerging markets and then follow into LATAM.

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This is a good thing because the CPCU pricing is better in other emerging markets than it is in India and of course, in developed markets, it's multiple times better.

Overall, I can give you this level of detail and insight at the moment. As and when

we feel that we are competitively safe enough to reveal more details about our pricing across markets and verticals, we will definitely keep you informed.

Pranav: Just a follow-up on that. Based on your previous commentary, better pricing was the sole reason for our CPCU rates to remain flattish on a y-o-y basis despite the skew increasing towards the Indian geography?

Anuj Khanna Sohum: Basically, even in these times, we are able to make sure that we can keep our pricing intact and still deliver meaningful growth across India and other emerging markets. So yes, it was linked to pricing. Even in the past, India vs. international, we have shown how the CPCU has progressed with the mix of business.

Moderator: The next question is from the line of Hitesh Malla from Steinberg India Advisors.

Hitesh Malla: I just had one question. I wanted to get your view on the recent updates to the Google Play policy for India. How do you think it will impact the industry as a whole? And how should we quantify the potential benefit to Affle given your strong OEM relationships?

Anuj Khanna Sohum: Thanks for that question. This is super important for the ecosystem in all emerging markets around the world. It's important for the industry to have a fair playing field for especially when we have ecosystem players that can have disproportionate control. They are the umpires of the match and also playing the match. I think in those kinds of situations in any industry, it is important to have some balancing factors coming in. We are happy to see that the Indian ecosystem is progressing towards that. Having said that, I think Google has a fair book. They have seen this across many geographies.

It will be an ongoing process. It is not going to be as simple as that there is a certain order that has come. It is too early to take sides or to start celebrating one way or the other. It is going to be a long-drawn process. But the end goal of any efficient marketplace or a business dynamic or a healthy business to happen is to have a fair balance in the playing field. I think

that is a good thing for the industry. For us, as Affle, we were able to negotiate our growth quite well when Google was dominating unchecked. Now that they are being checked, I think it should still be a meaningful play for us. I am not calibrating my business plans around what happens to Google. Independent of whether they are kept in check or they are not, Affle has a resilient Affle (India) Limited
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growth plan. Other than that, for an overall ecosystem level, I am actually quite happy to see what is happening one step at a time, but still it is a long way to go.

Hitesh Malla: Just a quick follow-up on that. Is it possible to give us some rough idea of the scale of your OEM business? How big would that be with respect to the overall company?

Anuj Khanna Sohum: I am not at liberty to give that breakup at the moment, but I can tell you that one of the clear areas of emphasis is how do we maximize ecosystem level strategic partnerships. We talk a lot more about the 2Vs and 2Os in Affle2.0 strategy. The 2Vs is Verticalization and Vernacular.

The 2Os are Operators and OEM partnerships. Operators and OEMs are important players in the ecosystem and we can absolutely partner with them and aid them to navigate through this journey. Then we would treat them more like a publisher partner with whom we can gain symbiotic relationship in the ecosystem. We see a lot of value in that collaboration across emerging markets especially and also in the developed markets progressively. But can I quantify that and give that you right away? No. But it is an area of consistent growth and value add for us.

Moderator: The next question is from the line of Rahul Jain from Dolat Capital.

Rahul Jain: Just to have sense in terms of your comment regarding India and emerging markets grown at 23% y-o-y. If I do my basic math, it implies that there is approx. 20% kind of a decline in the developed markets. So firstly, a clarification on that aspect please?

Anuj Khanna Sohum: The growth that we are seeing for our business in India is also consistent with the growth that we are seeing in other global emerging markets. It is almost uncanny how similarly India and the global emerging markets is behaving for us. Where we saw almost 23% y-o-y growth in this quarter. Then the terminology used is that developed markets, that is the international developed markets primarily countries like the US and Europe, where we have a smaller base of customers but it is a large addressable market.

Now when you have, let's say, 20-30 customers in the US market specifically and if some of them due to the economic pressure hold back certain budgets, you would

see a certain contraction and that is what we have seen. We have quantified that for H1 in our previous earnings call . If not for that in developed markets , we would have delivered even more fantastic outcomes. That is how we are looking at it.

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Rahul Jain: Sure, I was able to get through that. So that's fine. Secondly, with the kind of growth that you are seeing in different markets and the kind of mix you may have, is there a new aspirational margin that we should keep in our mind now? Or is there a number that we should chase , in specific?

Anuj Khanna Sohum: Look, We should look at Affle as a company that is not only looking for a certain healthy level of growth but for us, growth comes almost in the same breath with margin expansion and sensible bottom -line execution. We do not limit ourselves with EBITDA and PAT. We are very granularly focused on cash flows and we have shown that consistently as a company. This is not something that is new to us because we have gone public and because of the market dynamics. For the last 10 years, this is the DNA of our company. We have always grown like that. We have been capital efficient , cash flow efficie

nt and bottom line centric . Now one of the things that we have done in the last three years is that we have done inorganic growth . We acquired companies which were at breaking even and they averaged us down in terms of margin s.

Now we have reached a level where we are at a ~20% plus EBITDA margin and ~17% odd PAT margin . I think that is a healthy place to be in. As you know we are a asset - light business model and as we continue to scale up , our revenues would hopefully grow but the increase in cost will be lower as compared to revenue . Therefore, there should be margin expansion on a consistent basis.

Talking about M&A, we think in 2023 we will find the right pricing to buy alr eady meaningful profitable companies, which we then can unlock greater growth for them and for us, as a combined strategic unit. We do not think that now onwards when we do M&A , at least in 2023, that should not average us down in terms of our margins.

So, yes, it is reasonable to see us defending our margin position over time and expanding it further . If we take a 2 - 3 year view , I am reasonably confident that there is enough merit in our business to defend and expand the margin one step at a time. But can I give you a number right now? Please spare me that as I am not allowed by our Board to provide guidance with such gra nularity.

Moderator: The next question is from the line of Karan Taurani from Elara Capital.

Karan Taurani: Two questions from my side. One is if there is any kind of shift within the business model or the offerings that you have ? I think the growth in the last 2-3 years has been driven by lot of the companies which were up for customer acquisition and

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that's one of your larger revenue contributors . So in terms of getting more users for a particular app .

The second one is on increasing frequency for the existing user . Have you seen any kind of shift from just about customer addition towards an increase in frequency?

And what kind of an impact this has on your margins or your revenue growth?

Anuj Khanna Sohum: At least in emerging markets, the emphasis is clear for us and it is on new users and new customer acquisition. It is true because the demand from the advertisers is always going to be to get to the next 100 million, next 200 million new users in emerging markets globally . You can see in the case studies that we also share consistently , in which advertisers are looking for more user acquisition , more market share and expansion .

New entrants are also coming in. Many large traditional conglomerates, every other business, which is out there is now going digital. When they go digital and if they are consumer -focused, they need that reach . Even larger established digital companies like Google, Facebook, Apple or Amazon who have advanced technology and digital capabilities and data insight s, but when they come to emerging markets and they want to get to the next 200 million people, they also need to do digital advertising.

For Affle, there are enough big budgets to expect from large enterprise customers. At the same time, we are also carefully picking on larger players among the new age companies that are reasonably well funded, where we know that we can continue to work with them for many years and at least get our collections eventually. We are managing our risk in this way, but user acquisition in emerging markets will continue to be a key driver.

The definition of those use cases is also evolving, like from mobile, mobile to off-line, where we go into driving footfall and user acquisitions & transactions and so on. Having said that, in developed markets, we also see an opportunity to help our customers to drive repeat conversion where the users have already been onboarded.

Karan Taurani: Yes, thanks. Now the next question to follow up on this was t

hat a lot of these

companies right now, like e-commerce, fintech, gaming or the new age companies are spending a large chunk of advertising money on digital. I think, within digital, a more chunk of ad spends actually coming towards the new user acquisition part, which is now dropping and they are focusing on profitability. They are trying to cut the ad spends on new user acquisition and increase ad spends on repeat user and

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conversion. Just connecting the dots, is there a bigger negative impact for a player like Affle because of these kinds of reasons? Because I think these new age companies or internet or commerce companies or other could have digital ad share of close to 60-70%.

When times were good last year, they were spending a big amount of budgets over there. But what is the broader impact in terms of budget cuts? I understand that 23% y-o-y growth is what you are expecting in the emerging markets and this factors in the negative impact. But can things get worse from here?

Anuj Khanna Sohumi: Sir, when people focus on profitability then there are two ways to gain the profit.

One is that you are getting a repeat conversion from an existing user and secondly, by getting a new conversion from a new user.

If you have 2 choices: 1) Get INR 10 of sales from existing customer; 2) Get INR 10 of sales from a new customer, which one would you prefer? It is easier to get the revenue from the new customer because the existing one, I might anyways get this month or next month. But the new customer, I do not want to lose it to competition.

Now as far as Affle's business model is concerned, it is ROI linked for the advertiser.

It is a no-brainer for the advertisers to work with Affle to drive conversions. Affle also deliver conversions from existing users i.e., repeat conversions. My product works for all the use case scenarios, new user conversion, repeat user conversion, online to offline conversion, connected TV conversions. Our technology stack is allowing us to go deep as well as wide. What I was telling you was that this is the advertiser sentiment.

Then you were right that the advertiser is focused on more profitability and ROI.

They are being more careful with where they are spending their digital budgets.

That is helping us more because we are cost per converted user ROI linked business model, whether it is a conversion from a new user first time or a repeat user online second time, or whether it is online to offline conversion from a new or repeat, all three use cases, Affle has been supporting prior to our going public and we continue to support those.

I was only telling you where the industry trend is and not whether Affle is more on this side and less on that side. Affle is able to address all of those use cases. If my customer wants to spend 80% budget on repeat, I can do that. If they want to spend 80% on new user acquisition, I can do that. I was giving you my outlook that the advertisers are still spending and saying, Affle, if you can get me that conversion

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from a new user, please get that first. If you cannot get it from a new user, okay, fine, let's get it from a repeat user also.

Karan Taurani: How margins are different for both these segments for Affle as a company?

Anuj Khanna Sohumi: We are reasonably balanced on that and it is not dramatically different in terms of

margin s. Technically , we have a chance of charging more for new user acquisition. But while it is a new user for the advertiser, who has got the conversion from Affle platform working across thousands of advertiser apps promoted with us, chances are that user has already converted through Affle platform s before. Technically , if you think about it, everything that Affle might be doing is a repeat conversion. From an Affle platform perspective, for a certain a

dvertiser it might be a new user.

Moderator: The next question is from the line of Arun Prasath from Avendus Spark.

Arun Prasath: I just wanted to get a clarification. We say that we have very low base in the developed markets. We are mostly towards the emerging markets internationally also. So, it's still then puzzling that our international business has grown only by around 6 % on a y-o-y basis. Can you give us qualitative outlook on each country is which operating under the international portfolio . How it is there and how they have performed and what is the kind of outlook that you are expecting in calendar year 2023?

Anuj Khanna Sohum: Sure. I can explain it again. You can look at our business as India contributing in a range of about 30-35% of our revenue. You can then look at other Global emerging markets , contributing another around 45-50% to our revenue and developed markets contributing roughly 20% of our revenue. Now, therefore, India and other emerging markets was approximately 80% of our revenue. On that, we delivered consistent growth. Now , India has grown by around 23% y-o-y. What are countries in the other emerging markets we are talking about? We are talking about countries like Indonesia, Thailand, Malaysia, Philippines, Vietnam and so on in Southeast Asia, along with African emerging markets as well as Latin American markets. When we look at emerging markets on a broad basis , the growth of this market is actually in tandem with India's growth.

When you say international business , then it becomes around 65% of our revenue , of which around 45% was emerging markets and around 20% was developed markets.

If the developed markets see a contraction and the emerging markets grow by around 23%, they are neutralizing each other, net -net, we are still growing .

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The margin expansion and better pricing have delivered a much more positive outcome for our company in the last quarter . Because from a bottom -line perspective, we have seen margin expansion. From a top line growth perspective, we have continued to see strong resilient growth in almost 80% of our business. Wherever there has been an impact, we have a clear action plan with a hands -on clear leadership on the ground to go , execute and solve it.

In developed markets, our base is small. The contribution of developed markets to us is small, but the addressable market is very large. Even if that market is shrinking next year or next two years, it is still a large addressable market for a small base.

We need to execute into that market to find our growth and we will certainly give you updates on that in the next couple of quarters and how we are doing that.

Arun Prasath: Just to clarify, you are saying that out of the international pack, the emerging markets continue to grow at over 20% each and the developed markets are declining, so that's how the weighted average number 6% is coming. Is this what I'm hearing?

Anuj Khanna Sohum: That is absolutely right. When we say developed markets is contracting, you have to see it on a small base, few customers and some of those customers have held back their spends or their budget because of the economic factors that they are seeing . Therefore it is not something that I am losing my sleep over. If I was, I would have sensitized our investors about it.

Moderator: The next question is from the line of Anmol Garg from DAM Capital.

Anmol Garg: I have two questions . Firstly, our data & inventory cost as a percentage of revenue have reduced somewhat drastically in the last couple of quarters. Any particular reason for the same? Also, what can be a sustainable number that we can expect from our inventory & data costs. Can it remain in the 60% range, or it can go downwards further?

Anuj Khanna Sohum: The way you have to look at it is that the ratio of inventory & data cost to the

revenue is actually anchored out of the fact that 1) We are able to command a more meaningful pricing with respect to the CPCU rates and not allowing the data and

inventory cost to go up. So, the incremental benefit of the CPCU rate pricing and making sure of efficiencies in the inventory & data cost has helped us ; 2). We are focused on quality revenue, which Kapil also mentioned . If certain advertisers come in with smaller budget and smaller rates , in an expansionary mindset when headwinds are not there , one would say, okay, let's take it on and we will slowly scale them up and improve the pricing as we go along.

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In the current state of mind, we do not want to compromise on pricing and took a very stiff execution steps and therefore, said no to some of that. When that happens, you will see margin expansion as well. In terms of any guidance on that going forward, I would say that look at from a modelling perspective, it would be somewhere within this range. I'm not suggesting that every other quarter, we will have a few percentage points expansion .

But overall, in terms of EBITDA or PAT, our goal would be to consistently look for overall margin expansion because whether it is on inventory & data costs or whether it is on Opex, we expect that it should not grow on a combined basis as much as we will grow our revenue. The revenue growth should be at a higher level and therefore, we will see margin expansion at the bottom line. But can I give you a specific number on how to model it ? Not exclusively so, but it should be in a range of 60% +/- few percentage points and more so plus than minus .

Anmol Garg: Secondly, We had earlier stated that we are looking for acquisition which is relatively a sizable one. Can you talk a bit more on that? When can we expect it to close? Also, from which geography are we expecting to close this acquisition?

Anuj Khanna Sohumi: It will be too early to reveal our cards because I am sure that those who we are talking to and negotiating with are also listening or will curiously listen to our earnings call. I do not want to give them any reason to negotiate better with us. But what I can definitely tell you is that this is a good time for Affle to be a buyer in the market. We will find a value -driven appropriate transaction, which will be complementing symbiotic with us in 2023. Without giving any reference to clear timeline, in terms of transaction size, I can tell you that these transactions would be in the range of the kind of transactions that we have already done before. When we acquired Mediasmart, it was relatively smaller and so were we . Then when we bought Appnext , we had already grown in size and then we bought Jampp. As a proportion to our own size at that time when we bought these companies, we are going to look at a similar proportion and scale. We are not changing the playbook on size or strategic segment theory. The only place where we have clearly communicated that we have changed the playbook is that, instead of after acquiring a breaking even company and waiting for year 1, 2, 3 to turn it to a higher profitability, which we have already done in Mediasmart and Appnext . We are looking that in 2023, there is a clear opportunity to calibrate our inorganic strategy towards acquiring already meaningful profitable companies, which we then can unlock greater growth for them and for us, as a combined strategic unit. We do not

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think that now onwards when we do M&A, at least in 2023, that should not average us down in terms of our margins.

Moderator: The next question is from the line of Najman Isa from Sumitomo Mitsui.

Najman Isa: If you could share a bit more colour in terms of the change in revenue contribution mix towards slightly less India today vs. India which was at

50% couple of years ago ?

Can you share the trend in terms of the traffic acquisition cost side percentage - wise versus the conversion . How much has it gone up or reduced? From my old notes, the cost of traffic acquisition 3 years ago was ~60%. I am just interested to see how has it trended since then? Also, how much change of mix will affect these numbers as well?

Anuj Khanna Sohumi: I expect the inventory & data cost, which is traffic acquisition cost plus the cost of processing of data and the cloud computing related cost to be in that range . I think it will continue to be in a range of about 60%-65%. But when we invest more into going deeper into rural or trying to calibrate intel around the next sort of frontier

of user s and markets, we would typically invest more in certain scenarios . But I think the trends have been quite consistent overall. What I'm also seeing now is that, for the same amount of money that we spend, we are able to listen more deeply or widely in terms of connecting with the inventory and the scale b ecause it is no longer just looking at individual specific targeting with looking at more contextual intel. When you listen more widely, you build certain deeper contextual capabilities of what's happening across the verticals, across different segments and cohorts of different categories of users.

Our intel is much broader , wider and deeper because of the verticalization strategy that we have. We can drive more efficiencies as we go along at will . In many cases, we are also seeing that the first -party data that is coming from our partners where we work with them as a technology partner to deliver outcomes for them is also becoming a positive trend and that leads to more efficiencies as we go along.

Moderator: Thank you, sir. As that was the last question for today. I would now like to hand the conference over to the management for closing comments. Over to you, sir.

Anuj Khanna Sohum: All right. Well, thank you so much fo r joining the call today. I wish all of you a successful rest of the year 2023 and a great financial year 2024 ahead. I assure you that Affle will continue to deliver resilient , growth -oriented and bottom -line sensible performance . I look forward to having our next conversation in a few months. Thank you.

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Kapil Bhutani: Thank you, everyone.

Moderator: Thank you sir. On behalf of Ambit Capital, that concludes this conference. Thank you for joining us and you may now disconnect your lines.

*** end ***

Call: May 2023

Affle (India) Limited

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AIL/SE/ RCT/Q 4/2022-23 May 22, 2023

To

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Sub: Transcript of the Earnings Conference Call for the fourth quarter and year ended March

31, 2023 conducted on May 15, 2023 at 10:00 A.M. IST

Dear Sir/ Madam,

Please find enclosed the detailed transcript of the Earnings Conference Call conducted on Mon day, May 15, 2023 at 10: 00 A.M. IST to discuss the results and developments for the fourth quarter and year ended March 31, 2023.

The same is also available on the Company's website at <https://affle.com/investor-relations>.

Please note that the audio recording of the Earnings Conference Call was submitted vide our letter AIL/EC/2022 -23/Q 4 dated May 15, 2023.

Submitted for your information and records.

Thanking you,

Yours Faithfully,

For Affle (India) Limited

Parmita C houdhury

Company Secretary & Compliance Officer

This transcript has been edited to improve the readability

Affle (India) Limited

Q4 & 12M FY2023 Earnings Conference Call

May 15, 2023 at 10:00AM IST

Management: 1) Mr. Anuj Khanna Sohum – Managing Director & Chief Executive Officer of Affle (India) Limited
2) Mr. Kapil Bhutani – Chief Financial & Operations Officer of Affle (India) Limited

Analyst: Mr. Rahul Jain – Dolat Capital

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May 15 , 2023

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Moderator: Ladies and gentlemen, good day and welcome to the Affle (India) Limited Q4 & 12M FY2023 Earnings Conference Call hosted by Dolat Capital. As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing “*” then “0” on your touchtone phone. Please note that this conference is being recorded. I now hand the conference over to Mr. Rahul Jain from Dolat Capital. Thank you, and over to you, Sir!

Rahul Jain: Thank you Zico. Good morning everyone. On behalf of Dolat Capital, we welcome you all to the Q4 and 12 M FY2023 Earnings Conference Call of Affle (India) Limited. I take this opportunity to welcome the management of Affle (India) Limited, represented by Mr. Anuj Khanna Sohum, who is Managing Director & Chief Executive Officer of the company and Mr. Kapil Bhutani, who is Chief Financial & Operations Officer of the company.

Before we begin the discussion, I would like to remind you that some of the statements made in today's conference call may be forward -looking in nature and may involve some risks and uncertainties. Kindly refer to Slide 28 of the company's Q4 earnings presentation for a detailed disclaimer on that.

I will now hand over the call to Mr. Anuj Khanna Sohum for his opening remarks.

Thanks and over to you, Anuj.

Anuj Khanna Sohum: Good morning everyone and thank you for joining the call today. I trust all of you are keeping in good health.

Affle continued its track record to conclude FY 2023 as a landmark year having delivered over 5 X growth in topline and profitability over the last 5 financial years. It was an exciting year, marked with several important milestones and well supported by our focus on enhancing the quality of revenue and bottom -line fundamentals by further scaling our tech platforms & ecosystem level partnerships. I am pleased that despite the global headwinds that have impacted the businesses globally, Affle delivered robust growth for the year . Powered by our ROI -linked CPCU business model , our Consumer Platform delivered 256.8 million converted users crossing the 250 million mark for the first time and our CPCU revenue increased by 35.3% y-o-y. Our Cash from Operations increased at a CAGR of 52.8% since FY 2019. We are stronger than ever before and we are committed to deliver sustainable growth over this decade.

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May 15 , 2023

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Speaking of Q4 performance , Affle delivered revenue growth of 12.9% y-o-y with meaningful margin expansion resulting in greater y-o-y growth in EBITDA of 22.1%.

We achieved a revenue CAGR of 64.4% in Q4 over the last 3-year period, much ahead of the industry growth trends. Our CPCU business continued to be resilient, delivering 62.5 million conversions during the quarter at INR 51.2 CPCU rate.

Our strong anchoring on India and other emerging markets enabled us to perform well with 20% y-o-y growth in Q4. Our differentiated market position as a consumer-centric and ROI-driven platform for advertisers has helped us further enhance our productivity and CPCU pricing. This resulted in a steady CPCU rate, leading to y-o-y margin expansion and a strong competitive market leadership position across emerging markets. Our FY 2024 outlook for India and emerging markets remains optimistic and in line with our continued growth trends.

However, macro headwinds continued to impact our business in developed markets in Q4 FY 2023 in few verticals like Fintech and Entertainment. To mitigate this short-term impact and to accelerate success on the existing pipeline of opportunities in developed markets, we have actioned a multi-pronged 360 degree turnaround plan with decisive steps taken immediately in Q1 FY 2024.

4 around People, Partnerships, Products and Platforms, and that will yield immediate measurable outcomes in FY2024.

1. We have reorganized our people & teams that were focused on developed markets to ensure that these teams are aligned to upsell and cross-sell all our platform use cases on CPCU business model and not be limited by any one platform. In line with our hands-on entrepreneurial culture, I will directly lead the developed market focused business units in FY 2024. Accordingly, the reporting structure of teams and operating resources have been realigned with attractive incentives linked to attainment of aggressive turnaround growth plans across all key emerging verticals in all our developed markets.

2. We have realigned our strategic partnerships and execution strategies with deeper focus on product and platform lock-ins for multi-year growth focused on higher-value conversions, with multi-million dollar contracts with select supply-side partners, OEMs and Operator partners across these markets.

3. We have recently introduced all our CPCU use cases on our connected TV (CTV) product with household sync capability. These integrations are now completed with leading mobile measurement platforms to strengthen our competitive advantage as Affle (India) Limited

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the only CPCU model-based CTV platform for advertisers. This should result in greater growth of our higher-value CTV plus CPCU propositions from Q2 onwards.

4. Our first-mover advantage on Apple iOS SKAN advertising product is further fortified as we have successfully rolled out Apple's app store-related multiple touch points. Thus, providing our advertisers with the most differentiated and ROI-driven use cases on iOS SKAN and Apple app store. We are also working on app store-related touch points with other OEMs & Operators on Android as well. These initiatives are expected to drive greater growth for our CPCU business across all markets immediately from Q2 onwards in FY2024.

5. We have recalibrated our inorganic growth plan towards acquiring deeper access to customers' first-party data in high-growth verticals such as gaming with key execution strategies to deepen all our use cases of CPCU business to unlock the highest lifetime value of consumer conversion for our advertisers.

Our growth action plan for developed markets, as outlined is already in execution under my direct leadership and by Q1 itself, the internal reorganization shall be completed. The new contracts and integrations with strategic partners will be completed. The key product initiatives across CTV and OEM app stores will be scaled up with deeper focus on emerging verticals and the turnaround impact of these initiatives will show in our operating results from Q2 onwards.

We will continue investing in our organic growth operations, augmenting our OEM and Operator Partnerships with some of the largest global brands as well as actively evaluating inorganic opportunities with greater emphasis on high-growth industry verticals like Gaming. This will fortify our moat and ensure sustained meaningful growth with further uptick coming along the next few quarters this year as well as beyond.

To reiterate our strength of delivering unique consumer experiences, we had in total shared 21 case studies in our Earnings Presentations over the last 7 quarters. These were focused on some of our key industry verticals including E-commerce,

Edtech, Entertainment, Finance & Banking, FMCG, Foodtech, Gaming, Healthtech and Retail .

Continuing to share our customer success stories, this time we have also included three case studies which are focused on :

1. Health tech, thereby we are looking at driving greater consumer adoption of online health, diagnostics and well-being services in India.

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2. We have also shared a Gaming -related case study,

which is a fast-growing

vertical driving our growth across geographies

3. We have also shared the Insurance Super app case study focused on growing the reach and adoption of essential financial services

These case studies demonstrate our ability to provide innovative solutions and drive outstanding results for the advertisers globally.

Affle continues to be recognized as an industry thought leader and as a testament to that , we were awarded the best use of programmatic advertising at the Indian Digital Awards organized by the IMAI. We were ranked amongst the top media sources globally to deliver ROI on Apple iOS SKAN campaigns in the Singular ROI Index 2023. We also won 5 awards at Digixx 2023 across various high -impact categories such as Technology, Programmatic & Performance marketing and more , as well as one award in geotargeting category at MMA APAC , 2023.

With that, I now hand over the discussion to our CFO Kapil Bhutani, to discuss the financials with you. Thank you and over to you, Kapil.

Kapil Bhutani: Thank you Anuj. Wishing everyone a good day and hope all of you are keeping safe and well.

Continuing our growth momentum – we concluded FY2023 with revenue of Rs. 14,340 million, a robust growth of 32.6% y-o-y and the Q4 FY23 revenue stood at Rs. 3,558 million, a growth of 12.9% y-o-y. We delivered a revenue growth of 20% y-o-y in India as well as in other emerging markets. Except for the developed markets, which anyways has a lower contribution for us on a consolidated basis, our business across global emerging markets remained resilient with an overall bottom -line growth momentum and margin expansion y-o-y. During the quarter, India contributed 34.7% while International markets contributed 65.3% to our revenue. We recorded an EBITDA of Rs. 2,930 million for the full year, an increase of 37.2% y-o-y and Rs. 716 million in this quarter, an increase of 22.1% y-o-y.

As you are aware, our Q3 in any year is the highest quarter due to seasonality.

However, the cost of operations in Q4 remains broadly at par with that in Q3.

In terms of Opex, our Inventory & Data Cost stood at 60.8% of revenue from operations in this quarter. This was in line with Q3 while it witnessed significant margin improvement from Q4 last year.

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Our Employee cost during the quarter remained relatively stable sequentially, while Other Expenses increased by Rs. 18.3 million largely due to annual audit fee and other professional services .

Profit After Tax (PAT) for Full Year stood at Rs. 2,453 million, an increase of 33.8% y-o-y, while Q4 PAT stood at Rs. 624 million, an increase of 18.4% y -o-y, on a normalized basis. Just to remind that last year in Q4, we recorded a gain on fair valuation of financial instruments of Rs. 162 million (net of tax) . Please refer to slide 4 and 5 of our Earnings Presentation for the detailed working.

Our effective tax rate was lower this quarter on account of recognition of Deferred Tax Asset of a subsidiary.

We remain focused on working capital management and continue to see robust cash flows from operations. Our collections were robust and the ratio of our cash flow from operations to PAT stood at 106 % in FY 2023. We have been extremely prudent in customers profile and as such there were no material changes in the collection risk.

We remain confident of the long -term business prospects to invest further in our business and stand committed to deliver long -term sustainable growth.

With this, I end our presentation. Let us please open the floor for Questions .

Moderator: Ladies and gentlemen, the first question is from the line of Mr. Rahul Jain from Dolat Capital. Please go ahead.

Rahul Jain: Hi Anuj. The commentary from some of the global peers in this quarterly earnings has improved selectively . I would appreciate if you could share a bit more on what you are witnessing

across your key markets like India, South -East Asia and our developed markets?

Secondly, if you could share how the newer avenues such as CTV that you talked about, would have bearing on our key metrics such as CPCU , costing or margins in general?

Finally, last bit from my side would be to your comment on the inorganic growth strategy . Where in you are looking towards strengthening the first-party data. Any more colour here will be helpful . Is it like are we getting into the publishing side?

Or any further inputs will be helpful.

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Anuj Khanna Sohum: Thank you Rahul . For India or other emerging markets globally , we are no longer seeing the kind of headwinds or the economic headwinds that were very strong in the last financial year . Even though , we performed with quite a lot of resilience , delivering robust growth for India & other Emerging Markets in FY2023. In FY2024, our outlook remains positive for India and other emerging markets , which is already over 81% of our business at the moment. We are in a strong footing there . Our confidence and conviction is even more because in the last financial year we were able to deal with those headwinds and still deliver an honourable level of growth. Going forward in FY 2024, our confidence is high that we can deliver organic growth in a range of 20-25%.

In terms of developed markets, I have already given a detailed commentary about how we are looking at focusing and doubling down on certain differentiations that we have created in our product lines . For example, CTV combined with CPCU to go for even higher margin and higher value conversion . Then, for iOS, as most of us know iOS is a higher margin play, within iOS, we already had a first mover advantage on the SKAN changes that happened in 2021. But we have further enhanced our differentiation by adding into certain touch points on the Apple App Store, where we are combining that for the advertisers . The impact from margin perspective or the CPCU rate perspective should be going to more of a higher value and higher -margin segments, both CTV plus CPCU as well as Apple SKAN Network and Apple App Store plus CPCU .

I think these are positive initiatives that we have undertaken. This will help us not only in developed markets, but also these initiatives would be actually create first mover advantage for us in the emerging markets. I see positive trends and I am optimistic about it.

In terms of your question on the inorganic growth plans, I did mention clearly that we are looking at more first -party data of the advertisers . We are not shifting to the publisher side. We are doubling down on our CPCU business, but we are saying we need to go deeper on certain verticals . We believe that gaming is one such vertical where the advertisers who are also the game publishers, have deep first -party data and how we can work closely with them with deeper product introductions and offering all our use cases to those advertisers .

Any inorganic acquisition that we are looking at right now is focused on these very specific capabilities . We are evaluating it since last 4 -5 months and we are continuing to be carefully calibrated . We are looking at deeper verticalization focus

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and gaining first -party deeper integrations with these advertisers in verticals like the Gaming vertical .

Moderator: Our next question is from the line of Karan Taurani from Elara Capital. Please go ahead.

Karan Taurani: My question is around two things. First, if you could give us some kind of indication around the growth rates in U S, UK markets and the other emerging nations. I want

to get a sense in terms of what is the quantum of decline that U S, UK is facing right now? How much time do you think this would take to come back on track ?
Anuj Khanna Sohumi: In

terms of growth rates for the overall industry , we are still optimistic that the long-term tailwinds of digital advertising continue to be very strong. In our earnings presentation, we have included some specific slides towards that. If you look at some of the markets like developed markets including the markets like China , you will find that the digital spends in these markets have already gone to much higher levels. Like in China, digital spend as a percentage of total advertising spend is around 80%. In US and Europe, this number is somewhere between 65 -75%. Overall, digital spends in developed markets have gone up substantially whereas in India, Indonesia, Africa, LATAM , basically emerging markets, these numbers are significantly under calibrated. The long -term growth trends for at least India and global emerging markets business continues to be strong. Therefore, there is no reason for us as Affle to not be looking at, at least 20 -25% organic growth from these markets in FY2024 .

Now with respect to developed markets, the addressable market is very large and we have much smaller footprint . Last year, we saw a scenario where our footprint was small and yet because of the macro factors , some of the customers in Fintech and Entertainment category were impacted. Now with the initiatives that I have outlined, I am leading these initiatives directly . Therefore, I can give you further clarity and conviction that Q2 onwards this year, we should see a turnaround situation because of clear and concise action plan that have already been put in place and most of them will come to a conclusion within this quarter . The decisions have been made, actions have been taken and I am directly leading this with the team reporting to me on a daily basis.

We are making sure to go for a winning turnaround position from Q2 onwards in developed market. Once we achieve that, in this financial year we will come back to the same kind of growth guidance that we had in past. Also, we will continue to provide that kind of outlook going forward as well because there is a huge

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addressable market in developed markets and we are just scratching the surface . Our products are differentiated, our platform proposition is compelling and we are making sure that we will provide the right kind of entrepreneurial drive needed to enter these markets and create a meaningful impact.

I am confident that we will see a strong turnaround for developed markets within this year itself . All these initiatives are taking the conclusive footing now in this quarter, in Q2 we will ramp up and in Q3 we will be ready to tap into the growth.

Karan Taurani: The second question is around the developed markets. While the macro environment is easing but is there any final impact of Apple privacy policy ? Because what we hear is that conversion rates are down there and data costs are going up. What is the kind of disruption that you are seeing in developed markets today? Is this also a major reason for the growth to have possibly seen a decline?

Anuj Khanna Sohumi: The disruption related to iOS happened in 2021. We are in 2023 now and we have already sailed through that. In fact, I gave my commentary earlier on SKAN network, we are doubling down and fortifying our first -mover advantage of having increased the chances . We have very little baggage. Our iOS exposure was quite low before. I see iOS as a growth area for us because our product is complete , it is differentiated and we are able to demonstrate CPCU -based business model on SKAN iOS solutions to the advertisers. We are able to bring a unique proposition with the Apple app store related touch points and so on. What we are offering is unique , competitive while we have already navigated the privacy related issues , to bring our solutions to the market. I do not think that there is any

further kind of a concern.

On the contrary, because of these disposals, we have the ability to tell the advertisers that we have been working on iOS, the consumers are more premium , the challenges are addressed by our products and therefore, you have to pay us more. The ability to charge a higher CPCU rate and extract better margin on this segment will actually work to our advantage versus to a disadvantage. We have already demonstrated that in the last few years . We are now going to double down

on that with respect to bringing iOS . Because in developed markets, iOS is around 50% of the market share with respect to number of devices or the advertising spends going on iOS versus Android whereas as in emerging markets, the share of Android is over 90% . iOS is a growth proposition both in developed markets and even a high - margin growth proposition for emerging markets and this will be a growth segment for us as we execute in this year.

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Moderator: Our next question is from the line of Mayank Babla from Enam AMC. Please go ahead.

Mayank Babla: I have one question around the changes or the new contracts that you are rolling out with clients that you announced in your opening commentary . Could you give us a more detail about what parameters or key deliverables that have changed in the contracts with your clients that gives you so much confidence for a quick turnaround in the next 1 -2 quarters itself?

Anuj Khanna Sohum: This is still getting concluded , but the broad parameters are - working with supply - side partners , OEMs and Operators should lock -in some of their touch points with the consumers . These parameters are much more exclusive with respect to how they work with Affle's platform and doing a deeper integration together with them both on their first -party data and the touch points with their consumers , ensures that we have a longer -term lock -in and relationship with them .

Let's say 2-years, 3 -years or in certain cases even longer. That is the nature of the dynamics of these contracts, where we are going to them and saying that we are the partner which has the end -to-end consumer platform propositions and initiatives. As we make any material contract changes, we will also be disclosing and announcing it. Some of those contract changes are not material to go into any regulatory disclosures, but some of them are. Once those contracts are signed, we will also proactively make sure that our investors are informed about them so that you would know how to calibrate that forward .

We are already working with some of these partners for many years. Now what we are doing is just locking in deeper relationship at the highest levels in these companies and trying to do longer -term contracts . It gives them a certain predictable part of revenue. But for us, it becomes a much stronger competitive differentiation and a higher margin ability to deliver into the market. It will also help us to get longer -term contracts with the advertisers and the agencies once we have a strong strategic partnership . That is the kind of direction that I am taking and I am already directly in touch with most of the leadership of our partners and we are in final stages of conclusion.

Some of the contracts have already been concluded, but they are more like proof of concepts and not material for us to go and make any specific disclosures . But there are some material ones which we are working on and these are in final stages and we will announce them as they conclude.

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Mayank Babla: My last question was around the international revenue which had a growth of around 9% y-o-y in this Q4 . Can you highlight which geographies specifically had major headwinds?

Anuj Khanna Sohum: I have already mentioned in my opening commentary that India as well as global emerging

markets in this quarter saw over 20% y-o-y growth. Therefore, if the overall growth is lesser, it implies that the developed markets continued to see the headwinds . I mentioned two verticals Fintech and Entertainment , which shrunk for us in developed markets in this quarter and even in the previous quarter . If we take it on a consolidated basis, India and other emerging markets clearly are showing great resilience. Even with all the kinds of headwinds that were there, we are still in that range of 20 -25% organic growth.

Whereas in developed markets where we were under -calibrated, we have not been as strong to respond to the headwinds . We have seen the impact and shrinking in the developed markets in some of the verticals. To solve it, I have given clarity that what are the turnaround action plans that have already been put in place. I have a

lot of conviction and clarity of what needs to be done. I am hands-on involved in leading this and turning it around.

I am confident that we will see clear measurable outcomes on this from Q2 onwards and be ready for the festive quarter Q3 - October, November and December, which is typically our highest quarter. I want to make sure that we are all guns blazing on all of these initiatives and maximizing the advertiser budget in our favour in developed markets. That is the colour I can give to you. Markets included in those developed markets are primarily U S and Europe. These are the major contributors within our developed markets and this is where we are making sure that we put in the focus and turn it around.

Our products are strong and differentiated. We just need to make sure that we do smart execution on the ground and for that the appropriate teams are already wired with the right incentive structures. When they report to me, there is a lot more hustle in the process. We are bringing a lot of action on the ground. I am confident that the pipeline is already there and we will be seeing conversion starting from Q2 onwards.

Moderator: Our next question is from the line of Vikrant Gupta from ICICI Pru Life. Please go ahead.

Vikrant Gupta: I had a question mainly on the inorganic growth plan that you outlined. Firstly, could you talk a little more in detail about what sort of geographical exposure are

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we eyeing for? Or the Gaming acquisition you are talking about will largely be on the emerging markets again? Secondly, are we largely looking at acquiring some demand side platform here?

Anuj Khanna Sohum: Thank you for that question. The fact that we have not announced any transaction yet and there will be a limit to what level of clarity I can go into. I also don't want to give any negotiating levers to the targets with whom we are negotiating with or evaluating for the last six months. I just wanted to be a bit conscious of that and I hope you would appreciate it. But yes, broadly what we are looking at is our core strategy - verticalization. In that verticalization strategy, we have already enumerated what are those verticals that we are focused on. Gaming as a vertical for us as a whole group across the developed markets and emerging markets is under calibrated.

In emerging markets, Gaming is still an upcoming vertical. It is not that advertisers are spending huge amounts of money in Gaming at the moment in the emerging markets but we expect in the next 3-5 years, Gaming will also be a very strong vertical in the emerging markets.

In the developed markets, in advertising and digital advertising, Gaming is one of the largest verticals for most of our peers. For most of them, Gaming would be like north of 50% or in some cases even 80% of the revenue. For Affle as a group, Gaming is less than 10% of our revenue and therefore, we think that doubling down and verticalizing on Gaming would be strategic for us.

What are w

e looking for when we look at these target companies: 1) Do they have the right quality of customer integrations? 2) Do they have deep data integrations with those customers? If the answer is yes, then we see a great opportunity for Affle, for the rest of our core platforms and see how propositions to be upsold and integrated with those existing customers of the target company.

The strategy is more focus ed on to a particular vertical and growing to those customer accounts by upselling all of Affle's propositions on the CPCU business model basis. Therefore, expand the lifetime value of those consumers for those customers. We are looking at new user conversion, repeat user conversions using CTVs cross-device conversions. These kind s of capabilities that Affle's platforms have inherently, we just want to shorten the time to market. If we do this organically, it may take us three years because the Gaming customers do deep integrations with these platforms and the switching cost is h igher. For us to gain a stronger footing into this vertical, inorganic is a sensible way to do it.

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Currently, the valuation of most companies in this space because of the headwinds or macroeconomic factors are quite sensitively priced. We are evaluating a few targets for the last six months and have a long courtship period in deciding whether to proceed or not. Within this year, we should have at least one such transaction. Since it is CPCU business-led, it will be verticalized into high-growth verticals where we are bullish. Gaming is one of them.

We will still be on the demand side because we are basically doubling down and having the same core CPCU segment as the main segment of the company. We are not diversifying yet because we are still small and we need to get much more market share globally before we look at diversifying to other possibilities. At the moment, with same CPCU business model and verticalization as a strategy, we are planning gain access to customers to whom we can upsell and cross-sell our other propositions and that's really the thesis.

Vikrant Gupta: Understood. Your customers are looking to spend or advertise more on the Gaming side and that part of the spend is something that you are looking at?

Kapil Bhutani: It is not about our customers who are looking to spend on the Gaming side. It is the Gaming customers, we are looking to expand their portfolio.

Vikrant Gupta: Understood. What sort of margin expansion are we looking for FY2024 because we had guided that previously acquired entity may have mid-teens sort of margin. I think the FY 2022 numbers were closer to 7-8%. Where are we in FY 2023? And where do we think we will be in FY 2024?

Anuj Khanna Sohum: Two acquired entities, Appnext and Mediasmart, will complete three years with us in this financial year. We have brought them to the mid-teens kind of margin level and bottom line performance.

Jampp is going to complete second year in the next month. It is more focused on developed markets and therefore, we are going in the developed markets directly and making sure that we are integrating all our use cases and propositions across our platforms and pushing that to developed market's customers with key differentiation. By the time we complete this financial year, we would have almost reached the end of the third year for Jampp as well.

This is really the case of uplifting the margin profile of the company on a consolidated basis, at least north of 20% EBITDA in this financial year across all the quarters. Even if you look at last year's numbers for us, we have seen a margin

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expansion on EBITDA by about a percentage point. Going forward as well, our goal would be to see how we can improve it meaningfully a step at a time.

I want to give you some comfort around any inorganic tra

nsaction that we do. I am

no longer playing the playbook of three years for that. We have learned and understood how to do these acquisitions. We have learned over three years of integration and now levered to understand. In case, we do another inorganic transaction this year, we will ensure that in FY 2024 i.e. within year one itself, it should start contributing in terms of EBITDA performance. I would not see any significant averaging down.

On a stand-alone perspective for a lot of our businesses, our margin profile would be close to 25% EBITDA. But then factoring in the Jampp is still to complete three years and we do a new acquisition but still in the mid-teens. The average would still come down to north of 20% EBITDA on consolidated basis but still margin expansion on a y-o-y basis. We are very carefully calibrating this and making sure that not only our margin profile is showing a clear trend towards margin expansion but also, we are careful about generating cash flow because this is the only way to fund some of these acquisitions and what we are doing.

You will find the discipline of bottom-line performance and margin expansion to be sensible. We are not going to do something with averaging because averages will lower our margin performance. That is not going to happen.

Moderator: Our next question is from the line of Arun Prasath from Avendus Spark. Please go ahead.

Arun Prasath: Hi Anuj. You just spoke about the categories which let you down in this year, namely Fintech and Entertainment. Request you to also talk about the top 3-4 categories which helped you to sustain the momentum in FY2023 and which we need to sustain the momentum during this year also? Do you think that the risk in these categories is falling off the radar? If that happens, which other category do you think can

replace this so that our momentum can discontinue in the emerging markets ?

Anuj Khanna Sohum: Interestingly, Fintech and Entertainment impact was in developed markets . In emerging markets, Fintech and Entertainment did quite well. When I look at it on a overall basis, there was some balancing happening there but that was more emerging markets led.

E-commerce, Foodtech, Gaming and even Edtech verticals were resilient for us in developed markets , whereas in emerging markets, we saw the board growth across Affle (India) Limited

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all our verticals . It was quite heartening because there were times where Fintech was a bit in trouble in some of the quarters. Edtech was a little bit in trouble at the beginning of FY2023. But over the course of the year, we have seen broad based growth across all verticals in emerging markets.

In develop ed markets, in Fintech and Entertainment, we saw some of the customers shrink or suddenly have knee -jerk s tops in budget. I think we could have done better in terms of execution by upselling and cross selling our other product s & service s given our presence in those markets was still under calibrated and the leadership was not as confident of doing the rest of Affle business in those markets.

Therefore, making those changes , bringing in the conviction and pushing all our products as integrated proposition s in developed market will help us to bounce back quite strongly . Fintech and Entertainment offer very large addressable markets in the developed markets. Our numbers are so small in developed markets , so we cannot be on the back foot. I am confident that this financial year, we will see a bounce back across verticals in developed markets while in emerging markets, we already ended FY2023 with a good growth run rate and we should be fine there in FY2024 .

Our focus is clear we wanted to keep it verticalized, keep our product proposition differentiated and keep our business model compelling. The execution then becomes simple because we were selling in such a verticalized wa

y that those

advertising in these verticals will find it a compelling proposition and the rest of it is platform -based scalable execution. I am leading the sales teams with a strong hustle to make sure that we maximize or make up for any gaps or headwinds that we saw in FY2023, so make it more in FY2024.

Arun Prasath: Yes. Understood. My second question is on the Gaming. You gave quite a bit of colour on the Gaming. You also spoke about how you r peers have much higher revenue coming from Gaming but those are the peers who also help big Gaming developers to develop the game from the scratch. Are we looking to add this kind of capability through strategic initiations? Because that will mean quite a n elaborate set of skill additions to your organization.

Anuj Khanna Sohum: No. What I was talking about was not gaming publishers. I was talking about people who are running mobile marketing and ad -tech with the demand side platform company. They are very comparable to what Affle 's platforms are capable of doing, except for that they are so deeply focused on Gaming, whether it is relationships with the CXO for the product integration that what they have already done with Affle (India) Limited

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these gaming customers . There is a stickiness , if we go to win a Gaming customer , by default they would say they have too much anchoring on the existing partners for switching.

Within organic , we are looking to gain access to the gaming customers and integrations of a meaningful size & scale and add to our portfolio by default so that we have a high way on which the rest of our platforms can drive in and upsell & cross-sell and create organic growth on top of the inorganic acquisition of these customer portfolios . We are looking at these kind of ways to accelerate our market share into gaming . It is a good starting point on which we can then expand on by upselling our own platforms and capabilities .

We are not looking to create a new diversification or going into publication or some other thing. We are stayin g true to our course. This is what we do well. We are a CPCU business model -based consumer platform that is doing new user acquisition,

repeat conversions, CTV -based conversions, online -to-offline conversions and connected devices overall. This is where the use cases still the same.

We just want access to those gaming customers that have already done some integrations at data and platform level with the target companies that we are looking at right now. Once we do such a transaction, our goal is to upsell & cross-sell our core platform capabilities into that and create a stronger footing into the Gaming vertical. I am not just waiting for the long sales cycle that is involved in the gaming and onboarding customers.

Moderator: Our next question is from the line of Anmol Garg from DAM Capital. Please go ahead.

Anmol Garg: I have a couple of questions. Firstly, Anuj, you were talking about the margin expansion going ahead in next year. Can we expect the margin expansion to come from operating usage? Or do you also think that we can structurally bring down the inventory & data costs further? Or will it be to employee expense and other expenses based on the operating usage?

Anuj Khanna Sohum: I am looking at more scaling our business and growing it with a growth mindset. We will continue to invest in inventory & data costs. We will continue to invest in our operating expenses to ensure that we are supporting this growth part because we are not just looking at any one quarter or any one financial year.

We are looking at much ahead. We still have 7 more years to go till 2030 and I have a lot to deliver based on what we are looking to achieve for our company in long-term. Therefore, we will continue to investment in the right areas.

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Having said that, the m

argin expansion is calibrated today and some of our organic businesses are already at the 25% EBITDA level. Some of the acquired companies have already reached close to 18 -20% EBITDA level. They are still looking at teen margin contribution. When we look at our blended result on EBITDA level, we think about 20% EBITDA.

When we plan our business for FY2024, we are looking at scaling up revenue, scaling up our margin by going into higher value segments. How do I improve the CPCU pricing? How do I make sure that we are selling highly differentiated product proposition with our unique business model? We are doing that with gaining deeper access into the market as differentiated moat verses competitors. We done that by higher up in the value chain versus being commoditized. We are dependent on pricing and so it is important.

How much to invest for gaining deeper quality access to inventory & data is operating decision. There are some levers there for us to optimize. But we are looking at the natural progression, one step at a time. The acquired businesses should move closer to the 20% EBITDA level. If we acquire newer business within one year, making sure it is in the 15 -20% EBITDA range and so on and so forth. Therefore, given your predictable path there, our EBITDA was 20% in FY 2023 and we can aim for 20 -22% in FY 2024. Those are the kind of one step at a time scenario. But are we looking at dramatically shifting straight away 25%? The answer is no. But there is a clear path to doing that one at a time in the next few years.

Anmol Garg: That's sort of detailed answer. Just last one from my side. If you can highlight what percentage of our revenue comes from U S and Europe? Within that, are we dealing with a few large clients or there are a number of smaller clients over there, where we hope to scale up?

Anuj Khanna Sohum: That is a great question. In terms of our overall business, India and global emerging markets is at about 81% of our total revenues and the developed markets contribution is about 19%. It is a small base because the total addressable market is very large in the developed markets.

Now on that small base, we have existing customers and partners already where we can go and upsell & cross-sell better, so we can get more budgets from there and that is an area of growth for us. We do have a meaningful number of customers. We are well known in these markets. It is not that we are a new player in that sense. We are perhaps a lot more known in India and emerging markets globally because we are clearly anchored as an emerging market -focused player on Android. But

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after the 2021 change in iOS, which balanced out the playing field for the incumbent player. It gave us a good entry point to get into developed markets and talk about our proposition in a differentiated way both for iOS as well as for Android.

I am seeing a good opportunity for us to scale up in developed markets and we have a meaningful number of customers there. At this moment, around 30-40 customers contributing meaningfully across verticals and we are looking at growing that number substantially by 2-3x from here.

There is a healthy base to start from and it is a good market position for us to start with the differentiated product propositions, good case studies across these developed markets and then calibrate it up and make sure that it is coming back to the kind of growth trends that we are looking at so that we can deliver about 20-25% growth in FY 2024 on an organic basis.

Moderator: The next question is from the line of Swapnil Potdukhe from JMFL. Please go ahead.

Swapnil Potdukhe: My first question is on emerging markets. Since we have heard a lot about on this developed market growth rates, I just wanted to understand the growth rates in these emerging markets. We earlier used to say the i

ndustry is growing at around

25-30%. For the last 2 quarters, you have grown 23% and now 20%. Why are we underperforming the industry growth rate? That is the first question I would like to understand.

Anuj Khanna Sohum: The answer to that is the last couple of quarters are a unique situation, where the market is behaving to all kinds of macroeconomic headwinds and sometimes the customers are conservative, taking budgets of the festive season into the next quarter, the next financial year and so on. That could be perhaps an explanation. The explanation is not that Affle is underperforming.

I am confident that what we are delivering is still at par at least, if not ahead of what the industry is seeing. At least most of our competitors, they are either firing people or they are cutting down on costs as they are not performing particularly fantastic. We are doing all our appraisals. We have 50 positions open for hiring at this moment and the company is absolutely growing.

The conduct of our company is a sensible where we are not only defending our pricing in tough macroeconomic headwind situations but also not commoditizing our position in the market and not succumbing to these diverse budgets even if the pricing and margin is lower. We are choosing who we work with and doubling down on our investments in organic growth areas.

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I do not see any sign of weakness in the performance that we have delivered. At least in terms of our confidence as an organization is, like I said in my opening commentary, we are at the strongest position than ever before in terms of our performance, margin profile, cash flow, growth positions, products and the team. We are in a strong mindset while going into FY 2024.

I would not see a defensive or we grew only 20% or 23%. You got to see overall year's performance versus just seeing it as a one quarter here or there. Overall, 35% y-o-y growth on CPCU business in the financial year is by any stretch of imagination a very strong growth performance. 37% y-o-y growth in EBITDA is a very strong performance. Of course, one or two quarters, we also demonstrated 20% EBITDA growth in Indian emerging markets, given how the macro factors were and how the clients are shifting budgets from one quarter to the next quarter. It is not with the budget are difficult whether people are sometimes being more careful. I think you have to respect that.

The long-term trends or what is the calibration of digital advertising growth has not changed. Has Affle's products become less competitive? The answer is no. I think we have a strong position in India and other emerging markets. As I go ahead and talk about some of the contracts that we are trying to strategically close and align for the long-term, you would know that we are still the partner of choice not only for the advertisers but for the entire ecosystem.

Swapnil Potdukhe: Extending slightly that point, how do you see growth panning out in FY2024 for this market specifically? Would the 20% growth trajectory continue? Or should we look at a slightly higher number?

Anuj Khanna Sohum: Whenever we have a backdrop of a year like FY 2023 and at starting point, it will be sensible to conservative. Therefore, on that basis, I would say 20-25% overall growth

for Affle across all our business in FY 2024 organically is a sensible plan that we have already made and we are executing it. Can we do more than that? Possibly. With inorganic, if we do and complete any transaction this year, obviously the growth would be higher. Our goal would be to sensibly calibrate overall organic plus inorganic growth north of 35%. Now how much of that will come from organic or inorganic? Because either organic can do better or inorganic. Let's see, I think let's take a step at a time.

But in terms of organic growth, we should definitely calibrate

to 20-25%, given the

backdrop of FY 2023. I hope to change the discourse on that for FY 2025 by creating a different backdrop in FY 2024. But it has to be seen in the context of where we

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are coming from and where we are headed. We are respecting that and giving you an industry view as well as what we expect to happen in this year.

Moderator: Our next question is from the line of Mr. Roshan Chutkey from ICICI Prudential Mutual Funds. Please go ahead.

Roshan Chutkey: If ad budgets get cut, in a particular vertical like Entertainment, then CPCU budget should go down, whereas CPCU should actually improve because you are paying only unconverted user in times like this? If not, are you a marginal player in the developed markets and therefore you are losing out to other ad-tech platforms?

How should one think about it?

Anuj Khanna Sohumi: I think in developed markets, we were under-calibrated. I would not call us a marginal player, but would say under-calibrated where one of our platforms was sort of doing more in developed markets and others are busy growing in emerging markets. We did not let it put as much emphasis of direct leadership involvement for developed markets because we are clearly an emerging market-focused company and we will continue to remain that way given approximately 80% of the revenue is in emerging markets.

Having said that, in developed markets, when each particular customer reduces budgets or holds marketing for one quarter and then it recalibrates in the next quarter. Some of them might be immediately getting essence of everything. This is not a case of rational decision making. They are probably going to fire people. The whole marketing department is changing and when they recalibrate, they might hold that for a short-term period. That is why we always qualified that this is a short-term impact as to what happened in the last few quarters in some of the verticals in developed markets with some of the customers.

Now because our base was small in those markets, when a few of the customers hold back budget for a few quarters, you don't have sufficient feet on the ground, or sufficient pipeline to make that good from others because the base was small.

So therefore, we saw an impact.

We are absolutely and aggressively solving it by broadening our addressable market by coming up with strategies of how to win bigger, better customers fast and broadening the base across certain key emerging verticals in developed markets. I have outlined the five action points that are getting implemented as we talk this quarter. I hope to see Q2 to start showing some trends, which may then we maximize fully in the most important quarter which is Q3 and of course in Q4.

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Moderator: Our next question is from the line of Ashwin Mehta from Ambit Capital Private Limited. Please go ahead.

Ashwin Mehta: In terms of our CTV offering, which we are putting more emphasis on, which are the countries that we are initially focusing on? Any indications that we can give in terms of initial traction there? Secondly, how does the CPCU rates compare there like-to-like versus our consumer platform?

Anuj Khanna Sohumi: On CTV, what is happening is that the linear TV budgets are shifting to CTV. It is much bigger addressable market in US and Europe and also a strong theme in emerging markets, including India as well as other emerging markets. When we talk about the CTV proposition, most of the times, the advertisers are still used to paying per impressions or pay per activity or viewership kind of model.

What we are bringing is a differentiation where we are saying , we will charge on the CPCU business model . We already rolled that out starting this quarter. We are going to the advertisers and agencies, offering them a differentiated CTV proposition together with t

he combination of CPCU business model and being the only differentiated platform that is doing well. That gives us the room to play, a room to enter into winning budgets for new customers with a differentiated proposition.

Now CTV on CPCU business model basis would bring us calibration and higher value business . I will wait for the results to come so that we can give you more detailed commentary on that. But I would expect positive impact on our CPCU rate because of not only the CTV plus CPCU business but also the iOS SKAN as well as the Apple app store-related propositions that we are rolling out are all higher value propositions.

Within developed markets, these are the most premium segments and as we recalibrate and go for these propositions , the CPCU rate will be higher . In terms of understanding Affle's strategy for developed markets, we are not going there and saying, "Hey, we are coming from India, from emerging markets and we have a cheaper proposition." We are actually going there and say we have a more premium position, which is more compelling and ROI linked. Our goal is to go to the highest segment because we are small .

If we have only 10 people on the ground, do I want to go and play at the lower end of the segment or the highest end of the segment? I think we have a right to go and convince our advertisers to treat us as a premium . We have most premium

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proposition . We are going with CTV, CPCU, iOS and Apple app-store CPCU, these are the propositions we are pushing in the market. I expect a positive impact on our CPCU rates and our margin profile from these contributions as well.

Also, when you are going for the premium , we don't need an army of people. I don't need 100 people to solve it. I just need 10 smart people who can work with me and I will create examples of how to turn this around by focusing on the premium segment in certain verticals.

Ashwin Mehta: Just one follow -up. We had stable CPCU rates despite our developed markets portfolio has seen a decline . Would it be fair to assume that there have been an increase in CPCU rates in the emerging markets , and ideally with better growth in developed markets as you get into the next year plus some of these newer propositions , the CPCU rate should be higher as you go along?

Anuj Khanna Sohun: Yes, like I said that when the times get tough, there are two ways that companies would respond. One way is that is we are only getting 25-30% revenue growth, let's reduce pricing.

Affle and my philosophy is clear. We want to be seen as a differentiated platform, a premium platform and playing in premium segments . So, we do not want to drop prices. If you want to play hard, it's okay if revenue growth is 20-25%, but let's make sure that the CPCU and margin expansion is happening and our market position continues to be differentiated. We don't want to become commoditized and that is what you are seeing here as well.

When headwinds came in , we did not worry about revenue growth. We made sure that our margin is expanding, pricing is intact and we were positioning ourselves as a differentiated player, whereas our competitors were firing people and dropping prices.

There is a different strategy at play here and I am able to build organizational pride and confidence within our company that we are here for the long term and for sustainable growth . We are not trying to make any shortcuts to impress anyone in one quarter or the other. That builds confidence in the team . We are making long -term sustainable growth plans and not getting nervous about any short -term headwinds because we are here for building the company for this decade and well beyond. There is no reason to short -term change in our pricing or to take pressure .

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Yes, we are improving our CPCU pricing and margins.

Most importantly, we are improving our conviction and confidence in our organization that our products are superior and our market position is strong.

Moderator: Our next question is from the line of Onkar Ghugardare from Shree Investments.

Onkar Ghugardare: My question is around the initiatives which you have taken for the higher growth in the developed markets and margin expansion. Just wanted to know that the benefits of that would be short lived for quarters or they are structural, it will be there for the next couple of years?

Anuj Khanna Sohumi: It will be structural because I am taking charge of the team, I am taking direct reporting of a lot of the management there on a regular basis, going into customer meetings and pushing our team to get the right events and so on. All of that is happening right now within this quarter.

The question here is - have we bottomed out in any inverse trends that were there in developed markets? The answer is yes. From here, we turn around. How do we turn around or what do we see? We start seeing the trends in Q2.

In Q1 FY 2023, the developed market was at its peak and from Q2 onwards, it started to slide down because of the headwinds. Now we have stopped that trend and reversing it in Q1 FY2024 with certain structural changes that we have already outlined.

In Q2, we will start seeing measurable outcomes so that we can maximize the biggest quarter of our financial year because of seasonality. October, November, December is what we will be aiming for to be back in the driver seat of taking it to the upswing that one deserves.

That is how I would address it. But these are not for one or two quarters. We are not doing any short-term measures. We are working on our product strategy, partnership strategy, people organization and lifting it up the way one should be in these times. I am excited about it and convinced with what we are doing. It is structured and it should be there for many years to come.

Onkar Ghugardare: Just a small question. I just wanted to know what would be the CPCU rate for the acquisition you would be doing? It would be less accretive or other way around?

Anuj Khanna Sohumi: Positive. Any actions that we are taking today, whether organic or inorganic, is to go for more premium, to go more higher in the value chain and with bottom line sensibility. Whether it is organic or inorganic, I am clear about the direction and

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the promise to the investors that over the next several years, you will see higher quality revenue, higher quality margin and a stronger market position for Affle in terms of its product positioning, both in iOS and Android.

Moderator: Due to time constraints, that was the last question of the Q&A. I would now like to hand over the conference to the management for closing comments.

Anuj Khanna Sohumi: All right. Thank you. Well, I want to say that your company is now 18 years old. I started Affle in April 2005 in Singapore. It has been 18 years since I have been at the helm and I see it as a young adult, which has a long way to grow into a great corporate citizen. I hope that not only we deliver great value creation for our shareholders but rank high on good governance standards for the company. I am confident that with one step at a time, we will see much greater outcomes as we execute this year and beyond. Thank you.

Moderator: Thank you. On behalf of Dolat Capital, that concludes this conference. Thank you for joining us and you may now disconnect your lines.

*** end ***

Call: Aug 2023

Affle (India) Limited

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AIL/SE/ RCT/Q 1/2023-24 August 14, 2023

To

BSE Limited

Phiroze Jeejeebhoy Towers,

Dalal Street, Mumbai 400 001

Scrip Code: 542752 National Stock Exchange of India Ltd

Exchange Plaza, 5th Floor, Plot No. C-I, G Block,

Bandra Kurla Complex, Bandra (East), Mumbai

- 400 051

Symbol: AFFLE

Sub: Transcript of the Earnings Conference Call for the first quarter ended June 30, 2023

conducted on August 7 , 202 3 at 10:00 A.M. IST

Dear Sir/ Madam,

Please find enclosed the detailed transcript of the Earnings Conference Call conducted on Mon day, August 7, 202 3 at 10: 00 A.M. IST to discuss the results and developments for the first quarter ended June 30, 2023 .

The same is also available on the Company's website at <https://affle.com/investor-relations> .

Please note that the audio recording of the Earnings Conference Call was submitted vide our letter AIL/EC/202 3-24/Q1 dated August 7, 2023 .

Submitted for your information and records.

Thanking you,

Yours Faithfully,

For Affle (India) Limited

Parmita Choudhury

Company Secretary & Compliance Officer

This transcript has been edited to improve the readability

Affle (India) Limited

Q1 FY202 4 Earnings Conference Call

August 07, 2023 at 10:00AM IST

Management: 1) Mr. Anuj Khanna Sohum – Managing Director & Chief Executive Officer of Affle (India) Limited
2) Mr. Kapil Bhutani – Chief Financial & Operations Officer of Affle (India) Limited

Analyst: Mr. Anmol Garg – DAM Capital Advisors Limited

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Moderator : Ladies and gentlemen, good day and welcome to the Affle (India) Limited Q1 FY2024 earnings conference call hosted by DAM Capital . As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal the operator by pressing “*” then “0” on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Anmol Garg from DAM Capital . Thank you and over to you Sir!

Anmol Garg : Thank you. Good morning everyone. On behalf of DAM Capital , we welcome you all to Q1 FY2024 conference call of Affle (India) Limited. I will take this opportunity to welcome the management of Affle (India) Limited represented by Mr. Anuj Khanna Sohum who is the Managing Director & Chief Executive Officer of the company and Mr. Kapil Bhutani who is the Chief Financial & Operations Officer of the company. Before we begin the discussion , I would like to remind you that some of the statements made in today's conference call may be forward looking in nature and involve some risks and uncertainties. Kindly refer to slide 24 of the company's Q1 earnings presentation for a detailed disclaimer.

I will now hand over the call to Mr. Anuj Khanna Sohum for his opening remarks.

Thank you and over to you Anuj!

Anuj Khanna Sohum : Good morning everyone and thank you for joining the call today. I trust all of you are keeping in good health.

On Affle's 4th IPO anniversary milestone, we would like to thank our 3,64,000 + shareholders for their continued trust and consistent support that inspires our commitment to deliver sustainable cash flow positive long-term growth with high standards of transparency and corporate governance. In Q1 FY2024, we attained our highest quarterly revenue run rate, highest consumer conversions and the highest CPCU rate. This performance is a result of the differentiated Affle2.0 strategy and the disciplined execution by our teams to enhance our consumer -centric platform offerings, further verticalize our capabilities towards high -growth emerging market verticals and to leverage acquisitive synergies for margin expansion progressively.

I am pleased that despite the challenging macro environment and our ongoing turnaround efforts in developed markets, we delivered revenue growth of 17% y -o-y and PAT growth of 21.4% y -o-y. On a CAGR basis over the last 3 -year period, our

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growth is much ahead of the overall industry growth trends. Our CPCU business delivered 68.7 million conversions during the quarter, at a CPCU rate of Rs. 55 that

helped us achieve CPCU Revenue of Rs. 3,778 million, an increase of 17.1 % y-o-y. Our CPCU business continues to be resilient and underlines the long-term sustainable business momentum.

We fortified our Affle2.0 Consumer Platform Stack, advanced our value proposition in reimagining customers' business impact points and expanded our tech use cases to deliver growth across our top industry verticals in E, F, G and H Categories. This has strengthened our moat, enhanced mutual trust with our customers & partners and our direct customers contribution stood at 78% of our revenue in Q1 FY2024.

We have always been strongly anchored in India and Global Emerging Markets organically and we continued to witness broad-based growth in advertiser spends driven by our unique ROI-linked CPCU business model. Our organic growth in India and Global emerging market verticals combined was over 20% y-o-y. The market tailwinds continue to be intact, anchored on the accelerated consumer adoption of digital and the enhanced organizational shift towards digitally enabled processes. The recently approved Cabinet budget towards inclusive penetr

ation of the internet

across 6,40,000 villages would fuel further consumer adoption of connected devices in India.

Speaking of Developed Markets where macro headwinds had impacted our business over the last few quarters - we experienced expected de-growth in the months of April and May. We bottomed out in June based on the ongoing implementation of our decisive turnaround action plans as discussed in detail during the last earnings call. We successfully executed a series of tough steps mid-Q1 onwards that resulted in improved run-rate in the month of June itself. I am happy to confirm that we have rebuilt our foundation for Developed Markets with the integrated Consumer Platform approach with focus on key verticals, highest number of active customers till date and the highest number of full-time team members anchored in US. This instills confidence in our teams to go out, compete and win convincingly in US from here onwards.

Together with YouAppi now, we are stronger than ever before in developed markets with strong inroads with existing customers in the gaming vertical where we will upsell and cross sell our integrated platform. With this robust foundation rebuilt, we are confident of capitalizing on the improved macro market outlook through the competitive edge of our CPCU business model, deeply verticalized platform offerings and revived inspiration of our teams.

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We also continued to fortify the premium use cases on our Affle2.0 Consumer Platform Stack with unique ad placements across O&O OEM app stores. During the quarter, we launched our full-funnel Proposition on iOS Appstore Apple Search Ads, enabling advertisers to drive premium conversions of iOS users effectively and that makes us early forerunners on advanced use cases on the Apple ecosystem including SKAN. With a key focus on upselling and cross-selling all our platform offerings, we have also rolled out CPCU model on Connected TV (CTV) with our household ID sync capabilities in India, global emerging markets and in US as of last quarter. This will empower the advertisers to reach users across screens effectively and derive greater ROI with cross-device targeting capabilities of our platforms.

To reiterate our strength of delivering unique consumer experiences, we had, in total, shared 24 case studies in our earnings presentations over the last 8 quarters, that covered many of our key industry verticals. Continuing to share our success stories, this time, we have also included 3 case studies, which are focused on tech-enabled recruitment platform, FMCG and high-end gaming.

Affle continues to be recognized as an industry thought leader. Our mediasmart platform was recently awarded "Momentum Leader & High Performer" as Demand Side Platform in the G2 Spring 2023 report. We won gold for various campaigns in the CTV category at the coveted DATAMATIXX Awards 2023. We have also won 5 awards across various categories at Digixx 2023.

We are excited about growth opportunities that await ahead of us. As an AI algorithm powered consumer platform, we are further leveraging our core R&D capabilities and existing patent portfolio to build new IP, new patents and innovative use cases for responsible integration of Generative AI large language models as well. Our goal is to apply our new IP to generate better outcomes for consumer privacy protection, new data simulations based on past learnings, enhanced decisions for vernacular creatives

and campaigns, self-learning algorithms to detect digital identities and advanced fraud prevention in digital advertising.

With a clear vision, committed leadership and ongoing investments in tech, we are geared up to unlock new opportunities for growth and success.

With that I now hand over the discussion to our CFO - Kapil Bhutani, to discuss the financials. Thank you and over to you Kapil!

K

apil Bhutani : Thank you Anuj. Wishing everyone a good day and hope all of you are keeping safe and well.

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We have commenced FY2024 on a positive note to close Q1 FY2024 at a revenue of Rs. 4,066 million, a growth of 17.0% y-o-y. It was a broad-based growth across our industry verticals and across India & International Markets. During the quarter, India contributed 30.7% while the International markets contributed 69.3% to our revenue. Sequentially, Q1 revenue increased by 14.3% q-o-q, contributed by organic growth and on account of two months of consolidation of the acquired business.

Our EBITDA for the quarter stood at Rs. 781 million, an increase of 13.7% y-o-y, and EBITDA margin stood at 19.2%, despite the acquisitive consolidation. In terms of Opex, our Inventory and Data Cost stood at 61.1% of revenue from operations in this quarter. This was almost in line with the previous quarter while it witnessed significant margin improvement from Q1 last year.

Our Employee cost increased by 13.9% q-o-q on account of annual release of appraisals in few geographies and business consolidation of YouAppi, as well as our strategic efforts to expand our teams across platforms and markets. However, this increase in Employee cost was partially offset by the cost optimization in international markets on account of reorganized team structures in the developed markets.

Our Profit After Tax (PAT) for the quarter was at Rs. 662 million, an increase of 21.4% y-o-y. Our effective tax rate was lower this quarter primarily on account of lower contribution of profitability from select entities in developed markets and due to utilization of pre-acquisition losses of Youappi.

We remain focused on working capital management, have been extremely prudent in customers profile and as such there were no material changes in the collection risk.

We aim to play a much bigger role in the continuously evolving Martech ecosystem, with short-term macro challenges fully embraced and remain confident of the long-term business prospects to invest further in our business and tech IP.

With this, I end our presentation. Let us please open the floor for Questions.

Moderator : Thank you very much. We will now begin the question and answer session. The first question is from the line of Mr. Anmol Garg from DAM Capital. You can go ahead with your question, Sir!

Anmol Garg : Thanks for the opportunity. I wanted to understand how much the contribution from YouAppi would be this quarter on an absolute basis and from that standpoint, how

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much would be the organic growth in the company? If you can share the margin profile of YouAppi?

Kapil Bhutani: The contribution from YouAppi should be looked as consolidation of our developed market businesses. It was just a little over Rs. 450 million on the topline and YouAppi had a standalone EBITDA margin about 11%. This is an exercise to consolidate our overall developed market businesses along with the Jampp business.

Anuj Khanna Sohumi : I would like to add to that. The way to look at our results for this quarter and going forward is that the organic growth is deeply & consistently anchored on India and global emerging markets where we are growing consistently over 20% y-o-y.

In terms of developed markets, because of our ongoing turnaround efforts as also discussed in our last earning call and decisive steps taken, we have now rebuilt a stronger foundation for developed markets than ever before. Together, with YouAppi and the turnaround efforts we have taken, today our revenue in developed markets has improved, especially in US on which almost 80% of our developed markets business is anchored. Our number of customers, revenue as well as the number of whole-time team members on the ground in developed markets and the inspiration of the team

members being revived over the last few months under my direct leadership together with Anuj Kumar to lift it up has reached the level where we can safely say that our new cemented foundation for developed markets is larger than ever before . This provides a solid base on which we can now build upon confidently and convincingly versus where we were before for last few quarters where both macroeconomic factors as well as the internal issues were pulling us down and shaking the foundation there . Another positive is that the macro factors in developed markets seem to be easing out. On both fronts internal issues as well as macro factors , we seem to be now in the more cemented position to build upon.

Anmol Garg : Thanks for the detailed answer and congratulations on good steps taken on the international market's recovery . Just from that standpoint , any kind of guidance that you want to give of a medium term for this geography?

Anuj Khanna Sohum : This year most of the our acquired businesses whether it is media smart , Appnext or even Jampp , will complete three years in Affle since the ir acquisition and this is the year where we are consolidating and leveraging the acquisitive synergies . With YouAppi included within this year , we are making everything much more deeply synergized for margin expansion because one of the things that all our investors were consistently telling us that when you acquire , it averages the margins down .

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Organically , we are seeing margin expansion but because of the acquired entities being at a lower margin relatively , it was pulling us down . This quarter also you can see the our focus is on the margin expansion . Even with the consolidation of YouAppi , we are delivering over 19% EBITDA margin and on PAT level we delivered over 21% growth on a y-o-y basis. It is a very strong indicator of how Affle is operating and how we are going for quality customers, premium propositions in the market and consolidating our group this year so that there is no margin pull down or baggage of the acquisitions . On the other hand , we are also seeing acquisitive synergies like upselling, cross-selling and integration of the teams . For developed markets and especially in the US market where we are seeing very clear execution impact of this strategy.

From a bottom-line perspective , it would be safe to see around 20% plus growth on a y-o-y basis as a sustainable and defensible growth for us , given that this year our focus is going to be on margin expansion of the acquired businesses .

Anmol Garg : One last question from my end . Can we expect that even with YouAppi full integration that will come in the next quarter , can we still expect that the margins will expand on a consolidated basis from here on?

Anuj Khanna Sohum : The way I am looking at it is definitely progressively . I would not say this quarter or next specifically, but the goal for this year is to make sure that the entire group is synergized for premium propositions, higher CPCU rate, better overall bottom -line margin expansion and giving sensible growth on y-o-y basis . At least from a bottom -line perspective , we are making sure of delivering above 20% PAT growth on a y-o-y basis.

Can I say a specific number for this current quarter or the immediate next quarter ? I will not get into that. You know our execution focus is strong and typically we deliver or exceed the expectations barring last few quarters because of challenges in developed markets and we could not address promptly . However, now we have arrested the situation and rebuild the foundation . There is a positive outlook and a positive spirit with which we are now going ahead . I am glad with the way we have executed in the last quarter , given all the challenges that were on hand.

Moderator: Our next question is from the line of Raghav Behani from

Citi. Please go ahead with your question.

Raghav Behani : My question is on the CPCU rates . I see a bump up on a q-o-q basis. Is it because of the revenue contribution from developed markets going up ? But as per your opening

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remarks , DMs had actually seen some kind of a degrowth in April and May . Any comments on the CPCUs going up and what is your sense if these levels can sustain in the coming quarters?

Anuj Khanna Sohum : Yes, there are 2-3 factors that contributing to improvement in CPCU. One of the

factors is, of course, developed markets where the CPCU rate is always higher there. It is also because we are taking more premium services into the market as I mentioned in the last earnings call as well. Aligned with our strategy, we are looking at iOS users in India and global emerging market verticals. In developed markets as well, we are looking at premium positions and placements where the advertisers are seeing that Affle is bringing to them premium use cases to drive premium conversions and that necessarily means that the CPCU rates should move up. The CPCU of around Rs.55 is sustainable and we should see CPCU somewhere in the range of Rs.55 to Rs.58 for the rest of this financial year. Our goal would be to move it upwards from here towards Rs. 58.

Raghav Behani: Just one more question from my side is on the appraisal cycle. This time it was 1Q so usually is at 1Q every year?

Anuj Khanna Sohum: Some business units are appraised in April, while some are appraised in October. We typically balance it out between these two cycles.

Moderator: Next question is from the line of Sanjay Ladha from Bastion Research. Please go ahead.

Sanjay Ladha: Thanks for the opportunity. It is great to see that our CPCU model is accepted by all the companies across segments. Previously, when we used to see the case studies which were more from startup community. Now, it is mix of startups and well-established 20+ year companies adopting this channel of advertisement. What has changed in the last 3-4 years in terms of our approach and companies focusing on this model? Another question would be, most of the time what we see is, it is a one-time revenue vehicle. Is it possible that we get recurring revenue from players and do you share what percentage of revenue is recurring in nature and how is the trend going forward?

Anuj Khanna Sohum: Thank you so much for that question. When you look at our business definition and how we identify our company, we clearly take great emphasis on the fact that we are a Consumer-Centric Consumer Platform company. Yes, we make money from advertising, but more specifically we make money from advertising where our almost 93% of the business is anchored on CPCU business model. It means, the consumers are Affle (India) Limited

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accepting, engaging and reacting to those recommendations & ads and doing deeper funnel premium conversions with the advertisers.

Affle delivered 68.7 million conversions in Q1 FY2024 and the way our AI algorithms work is that they look for the highest probability of conversions with in any particular instance of recommending an ad or a product to the end users. In doing so, we can give one particular recommendation to a user at any given moment out of 1000 advertiser campaigns running with us. What that does is - it creates comparative bidding between the advertisers. If they really want their campaigns to scale up or to really be promoted to those consumers, they need to have strong product propositions for the consumers at the same time they need to bid a high enough CPCU bid rates for our algorithms to prioritize them. Therefore, the way we create a premium for our platform is to create competition between the advertisers to bid for it.

While most of the advertisers are on a recurring basis w

orking with us for several

years but we do not guarantee to the advertisers that we will definitely deliver your conversion. What we tell them is, please come on our platform & bid and our AI algorithms will provide consumer recommendations as per bids. As long as the consumer is engaging and converting, you will be invoiced and you will see a conversion benefit and ROI from there. It is not a typical scenario where we are trying to get lock-in budgets of the advertisers. We are giving them good guidance and competitive pressure to bid higher on our platform so we can give them better volumes of conversions and that is how the platform works.

We typically balance across our verticals and avoid concentration of any one customer or any one vertical or market. We aim to keep a broad-based growth and provide a variety of recommendations to the consumers so we can balance out the repeat conversions and new conversions. I hope that makes some sense but essentially advertising is how we earn our money but the core business model being CPCU is very consumer centered which is a core differentiation and a moat for our company.

Kapil Bhutani: Just to add to Anuj. We have seen the adoption of online payments using UPI or RuPay cards, which comes with lower transaction cost. This shift to digital payments has

facilitated our expansion into various verticals . The availability of various payment gateway s for different verticals is supporting growth of these verticals and enabling our deeper penetration with clients across the verticals.

Sanjay Ladha : I have one more question. Since last 2-3 quarters we have seen that our growth has little slow down as compared to our previous quarter s and still we say that we are

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growing faster than the industry . Does it mean that industry growth of 30% plus has been also slow or how should we look at it?

Anuj Khanna Sohumi : In the industry there are several categories of customers . If we just go by the metric of revenue growth, there are many categories of customers . What we do is selectively pick those quality of customers who will continue to sustain , grow and be together with us for many years to come where payments and credit risk is reasonably predictable and controllable . Because , when we do this business , we want to make sure that that we are giving sustainable quality revenue growth, premium conversions with premium customers and so on.

This is not about just getting all kinds of revenue and growing . If we were focused on that, we may not be seeing as stronger bottom -line strength that we have today . When you look at it from a cash flow lens , Affle has delivered superior quality of revenue . Affle is selective about which customers to choose and work with . You identified that in your question as well that instead of just taking money of start-ups who have recently been funded . It is more about waiting for them to mature a little more till we can absolutely scale them up . I think those factors are contributing to it.

In terms of looking at around 20% plus revenue growth in India and emerging market verticals globally , that is a sustainable and a sensible performance and at least in those markets we are also doing north of 20% plus EBITDA . As far as developed markets are concerned, we saw a pullback and because of that effect you see that the overall growth might be looking a little bit more subdued . However, the long-term tailwinds and long -term moat of our company is intact . Our confidence and outlook remains positive for the long term.

Moderator : Our next question is from the line of Ashwin Mehta from Ambit Capital . Please go ahead.

Ashwin Mehta : Hi Anuj. I wanted to get an update on the OEM partnership that we were wanting to sign. Has the contract been signed and when do we and how much should be the benefit from this ? When

should it start to kick in?

Anuj Khanna Sohumi : We have been cautious about setting a precedence of announcing every contract that we signed. Having said that , we have made clear commentary about the fact that we are strategically focusing on O&O OEM app stores . We have highlighted about the fact that we rolled out the product for iOS App Store and Apple search ads . We have remained a bit more guarded about the other OEM contracts where we are enabling

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monetization for several years on the app stores already for them . It is a continuing relationship, but what we are emphasizing is that we are going deeper strategically with them . Some of the contracts in this regard have already been signed and they are currently in the integration mode . We will announce it at appropriate time when partners are ready . At the same time , the business is already on and it is seeing incremental premiumness and benefiting us as we continue to grow . Please give us few months before we can make specific announcements but it is all in good stead and we are in a solid position .

Ashwin Mehta : Thanks Anuj that is good to hear. The second question is in terms of India market . We have seen some softness in terms of India from a sequential perspective . We are kind of flattish for the last three quarters and you have already talked about that this will be a slightly back ended year where in the holiday season is pushed out . How do we see the remaining say 6 -7 months of this year from an India perspective and especially in light of the cricket world cup as well . What are you hearing from the CMOs?

Anuj Khanna Sohumi : The broad long -term trends for India as well as global emerging verticals are really

encouraging and the outlook is favorable and positive. I elucidated that in my commentary earlier as well but if you are looking at specifically within this year, there are few macro factors. For example, there is additional tax on real money gaming and certain other factors. We are still calibrating what will be the impact. But on positive side, a lot of the other verticals are really rising & shining and there is no hang up or any pull down effect. We have cricket world cup ahead and the festive season in October, November and December. There are a lot of positive tailwinds but let us be conservative and continue to see that we will defend our organic growth trends in India and global emerging markets and across all our verticals. There is no reason to not uphold that and to continue to do better pricing on CPCU, more premium proposition even in India and global emerging verticals. I am confident about our execution and strategies, and the clarity with which we are pursuing them is strong and defensible. Can I give you any immediate guidance on numbers? I think we will wait for the results to come.

Ashwin Mehta : We have earlier talked about 20 % - 25% growth for this year. Now in the context of the current numbers and uncertainty how are we looking at that?

Anuj Khanna Sohni : If you allow me some flexibility, I still want to maintain the math of those numbers but more so on PAT level growth. We are confident of delivering sensible bottom -line margin expansion based growth this year. It gives us a room to consolidate, derive acquisitive synergies for the next three quarters and deliver overall organic plus

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inorganic healthy growth and robust platform to build upon going forward. We are aiming for bottom -line growth of over 20% which we have delivered in this quarter also. Of course, there was some tax efficiency involved but that is where we want to be measured. If you are modeling our company then you can absolutely note that we are aiming to deliver the bottom -line growth of above 20%.

Moderator : Thank you. Our next question is from the

line of Mayank Babla from Enam AMC. Please go ahead.

Mayank Babla : Congratulations on consolidating & integrating YouAppi to the organization. My first question is to Kapil about YouAppi. Apologies but I missed the earlier commentary on it. What was the contribution YouAppi had to our EBITDA this quarter. Could you give us some clarity on that?

Kapil Bhutani : As I previously mentioned, the contribution of YouAppi to our topline was just above 11% and YouAppi is sitting at its own EBITDA margin of close to 11%.

Mayank Babla : So, for modelling sake, what can we assume on YouAppi for rest of FY2024?

Kapil Bhutani : We are looking at these synergies to drive in and we commented already in the previous call that we will be taking YouAppi margins to the mid -teens kind of levels, by the year end. That means by June -2024, that is after 12 months of its integration.

Mayank Babla : My second question is to Anuj about the Connected TV (CTV) space. You mentioned that it is being rolled out during the quarter. What sort of response have you seen from clients in this space and what was the contribution to the revenue for this quarter? Also, what can be the potential & outlook for the CTV space over the next two years? Thank you.

Anuj Khanna Sohni : Thanks for that question. When we emphasize that our business is a Consumer Platform business, essentially the core tenet of that is wherever the consumer is, Affle platforms should be able to engage with the consumer over there. Now this necessarily means that mobile and smart phone devices becomes the anchoring point of contact with the consumer but then very quickly from there we are seeing that within a household, within a family there is a CTV at home. There are multiple smart devices at home and then there is a very interesting technology capability that we have which we call household ID based household sync technology.

When we drive a consumer conversion, which could have happened when we showed an ad recommendation to the consumer on the mobile device as well as when showed

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an ad recommendation to the consumer's family or household ID on other connected devices including the CTV. While there is one conversion that has happened with the consumer, the consumer may have been engaged on multiple touch points within that

household ID.

Therefore, when we talk about revenue attribution, it's essential to understand that we are an integrated platform. The ads and ad formats are varied, the touch points of those ads on various consumer connected devices are also varied. Therefore, when we derive efficiencies of cross device campaigns, connected mobile devices, CTV and so on, we are able to get highest ROI and efficiency as well as much deeper insights than many of the competitors.

What we have done is, we have taken our differentiated business model of CPCU and launched that on CTV as well. If an advertiser is spending budget with us on CTV, we are no longer charging them for just showing their ads. We are saying that we will charge you if we derive deeper funnel conversions on CPCU-based model and that is creating a differentiation of how we are going to market with CTV. This is especially noticeable in India and other global emerging markets and now in US as well where our CTV launch is being received well. We have seen our platform being ranked well in industry forums where we are seen as a thought leader winning the gold award in various campaigns on CTV category that I mentioned about the DATAMATIXX award in 2023.

All of these are indicators underlines that qualitatively we are on the right track. The customers are receiving it well and the industry is taking note of it. We have a differentiated go-to market strategy as well as the product proposition with the household ID and sync capabilities being brought to

market. We are positive about the direction that we are taking. In terms of quantifying or taking out the segmental contribution to our revenue, it is still part of the CPCU business. We are not slicing and dicing percentage of ads that are on CTV versus on mobile. Mobile is by far the dominant force and the CTV is an emerging touch point for consumers. I think this touch point will be a lifestyle shift, which will happen across most of the affluent households across the world.

Moderator: Our next question is from the line of Swapnil Potdukhe from JM Financial. Please go ahead.

Swapnil Potdukhe: I have couple of questions. My first question is on the international markets revenue growth. If I were to slice out your YouAppi acquisition and then consider that the currency has depreciated, the INR has depreciated versus USD. Can you give us a
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sense of what would be the constant currency growth that you have achieved ex-of YouAppi in international markets? My second question is with respect to the impact of IPL and the cricket world cup which is going to come in the next few months. How does that generally affect the advertising budgets and do we get a certain boost because of these events?

Kapil Bhutani: On the currency front, I will take that question. For over nine months the currency has been quite stable. The currency has been constant and last quarter also, INR was about Rs.82 per dollar and we deal across multiple currencies. That question of slicing YouAppi in the light of the currency needs to be re-checked out by you.

Anuj Khanna Sohum: On the first question, I also wanted to give you some insights. When we look at India as one and international markets another, this is at a broad basis the way we have always reported since we went public or even during our roadshows before the IPO.

Within international, there is further bifurcation into emerging markets and developed markets. Developed markets is majorly anchored on the US, while emerging markets is anchored on Southeast Asian emerging markets, Middle East, Africa, LATAM and several other countries. The emerging markets are behaving in a similar organic growth trends as India is and we have seen similar dynamics in those markets. Whether the advertisers are showing stronger affinity to the CPCU business model or the kind of innovations that you bring into the market and so on. We are also seeing similar competitive forces within emerging market and anchored out of India becomes a competitive advantage for us. Affle is one of the very few companies in this space that is deeply anchored on global emerging markets. When you see from that lens, you will find that a big part, organically over 80% plus of our businesses comes from India and global emerging markets. In these regions, the organic growth is very resilient, whether you take currency adjustment or any other angle you look at it. Whether it is CPCU conversion, revenue or customer's growth, broad based organic growth is robust across 80%+ of our business.

In developed markets, we have already given clear commentary for last several

quarters now and mentioned that we were facing macro headwinds, internal issues and how are we coping with that and changing it in order to rebuild our foundations to a bigger base than ever before . We provided details of our actions we have already taken and given an update on that as well in this commentary . We should be assessed based on that . I am confident that even in developed markets the base that we have now is defensible, solid and robust on which we can then build up sensibly with all the product and platform initiatives, strategies and the team focus . We are in a good shape today and also the macro factors have eased out a bit, so we are more optimistic that we can take this head on.

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In terms of the second part of your question on IPL and cricket world cup . There will always be certain events or festivals, which will create some boost effect but advertisers typically plan a budget for the whole year and then they typically optimize that budget between different quarters and different markets based on such events. For example , if there is an IPL happening, some advertiser would double down at that point, while some advertiser might hold back and say there is already too much noise , too many advertisers and they may work around it strategically . We are seeing that for the world cup too. We should see some positive impact from certain categories of advertisers . That will at least help to hopefully neutralize impact of certain other things such as introduction of certain taxation in real money gaming or any other factors .

We are looking at it in a balanced way, whether it is IPL, cricket world cup or festive season these are a definitely positive factors. This is not a one-off event. There are other such events which are constantly happening in each year . Overall , budget of the advertiser for the year is now being optimized and but there is no dramatic shift in the overall annual budget that the advertisers put on the paper.

Moderator : Our next question is from the line of Rahul Jain from Dolat Capital. Please go ahead .

Rahul Jain : Thanks for the opportunity. I have three questions. Firstly , the run rate which you mentioned for YouAppi for the quarter suggests that this is like a flat year for them on a y-o-y basis. Any clarity or input on this front will be helpful . Secondly , the exposure and potential impact from new GST taxation norm that has been announced in India for RMG companies . Lastly , any expected trend in Q2 for domestic business this year given that the festivals are a bit delayed . Do we expect a softer Q2 sequential trend versus past years?

Anuj Khanna Sohum : With respect to any acquisition that we have done in the past , typically in most scenarios our focus within the year 1 of the acquisition is to try to improve the profits and the margin expansion of those businesses . As you can imagine in any company which is pushing for topline growth , some of that topline is coming from segments which are not profitable . They are just pushing for topline growth and want to increase the sales. It is ok for them if the margin is not there. To bring that discipline , in any acquisition , in year 1 we are focused on rationalizing the process , where we only work on unit economic basis . Every campaign , project and activity in every region must have a discipline of bottom-line sensible sustainable growth . There is some recalibration that typically happens and therefore our focus for this year is to bring the entire group in a consolidated way with acquisitive synergies extracted for progressive margin expansion . It should not be seen as flattish performance .

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There are lot of growth opportunities in gaming but it is important to pursue the growth which is sensible & profitable and then scale up further. Without unit economics and margin , we would see a situation that you are getting the growth but not seeing the margin expansion . We need a few quarters to make sure that the integration and synergies are consolidated for margin expansion before we press the pedal for acceleration on that new base of unit economics. That is how I would like to answer your question on YouAppi and its a consistent pattern across our acquisitions .

With respect to Q2 and Q3 , delayed festive season is one aspect . It is normal for the advertisers to set their budget for the whole year around certain sort of events and

it might be balanced by certain other events . Whether it is a cricket world cup, festive period or the impact of GST , there will be both

positive and negative effects . Overall , we remain optimistic and positive on the long-term trends. Even for the immediate Q2 and Q3 , it is fair to expect flattish with an upward trend . How much of these effects pan out with respect to the cricket world cup, the festive period and the GST , not everything can be fully quantified . But what we are hearing from the market , it gives us a confidence that we are on a positive trajectory.

Kapil Bhutani : Just to add, with regards to GST impact on the RMG sector , we are in touch with our clients over this period to see how they are going to react. We have not seen any immediate reaction but let us be patient to fully understand the impact of GST which is going to be effective from October 1, 2023.

Rahul Jain So, July is so far trending in a usual behavior ?

Kapil Bhutani : No, initially there was about 15-20 days of kneejerk reaction but it has got stabilized now.

Rahul Jain : Anuj just a want a small clarification. I appreciate your color on YouAppi . The process which you explained has really helped us to understand all the past transactions that you have done . But from this quarter point of view , are those recalibrations that you mentioned – a big part of that would already be behind us or you think it is too early and you would review each and every aspect over a period of time ? So, could some run rate volatility still exist for some time and then we would see the real potential to play out ?

Anuj Khanna Sohum : Yes absolutely . We are not in a rush to impress. What is important is we are building for long -term, sustainable , profitable and positive cash flow growth . It requires a different kind of a mindset to run and that mindset to be transferred to the next in Affle (India) Limited
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line of leadership . This is why it is important that I am stepping forward and being the CEO of Jampp, being the CEO of Appnext and even the CEO of YouAppi . As the CEO of Affle , I am driving and leading from the front to ensure that we embrace, consolidate and derive the acquisitive synergies as we grow.

Together with the management team of Affle and the next in line leaders of these acquired entities , who are mature and professional , we are on a good stead. I am positive about our direction . There is no urgency . Let us press the pedal and extract every element of growth even though it may not have the unit economic sensibility. We have been very disciplined about it because once you allow some room and leave it, then it becomes a bad habit . We do not want to entertain any campaigns or any budgets which are not following the unit economic model that we insist upon.

Moderator : Our next question is from the line of Alisha Mahawala from Envision Capital. Please go ahead.

Alisha Mahawala: Thank you for the opportunity. With respect to the growth guidance earlier you mention that we are expecting CPCU of Rs.55 to sustain and CPCU for the year is expected to be in a range of Rs. 55 to Rs. 58. Even the number of users that we are adding are healthy , then why the hesitation in giving an outlook for the year?

Anuj Khanna Sohum : No there is no hesitation . It is just about being prudent . What we are guiding for and being transparent is about what we are doing inside the company . What products are we rolling out, what is the focus of the management, who is managing , which markets and so on. We are giving as much transparency as much as anybody could give including on things that are working well as well as on things that have challenges that we are working and hustling to turnaround . There is absolutely no hesitation in our transparency.

When I talk about going for premium use cases and propositions into the market and in the context of that it is a clear trend that the CPCU rate is moving upwards because of two factors , developed markets contribution as well as the premium

use cases in

emerging market verticals. It is not something that I am giving guidance on. It is something that one can see the trend line that is going to be in a range of Rs. 55 to Rs.58 . It is not some guidance but the fact that is reasonably evident today itself and what I am saying is that it is defensible and sustainable.

The same thing I am saying about our profits. We have grown our profits in this quarter y-o-y over 20%. Some people would say there were some tax advantage , so is it going to be sustainable ? My answer is yes, it is sustainable. Why it is sustainable ? Because

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there are several areas of growth that we are expecting to drive robust profitability as well as we will continue to see certain tax advantages for the rest of this year. Therefore, we have also given guidance on the bottom-line aspect.

In terms of topline, I have given clarity that our focus is on making sure that we take out the acquisitive synergies as a group and do margin expansion progressively. Therefore, I am not pressing the accelerator of any areas where the margin is not so high and just let us get the incrementally high revenue. What we want is disciplined execution from our team where they know there is no leeway. Where do you draw the line? We are talking about 650 people organization operating across so many geographies. We need to have certain rules for internal disciplined execution and that means that we are giving a strong message to our sales teams and execution teams, on what is allowed and what is not allowed.

With full transparency, there is absolutely no hesitation whatsoever. We have given long term guidance and we will stick by that. Overall, the long-term organic growth in India and emerging growth verticals is absolutely intact. In developed markets, we have rebuilt the foundation by doing certain tough decisions organically as well as cementing that position inorganically by adding YouAppi. This gives us critical mass of customers, employees in those markets so that we can build upon that.

Alisha Mahawala: That is helpful. Just one last clarification that the 17% y-o-y growth that we have achieved, how much will be organic growth?

Anuj Khanna Sohum: I think the answer to that again is in my commentary. At least as far as the organic business, which is over 80% in India and global emerging verticals, has delivered over 20% organic growth for us. In developed markets, we had a de-growth in April and May, but in June we were able to recover the trend. We obviously had y-o-y de-growth in developed markets versus where we were before, but we have cemented that position with the inorganic growth. What we have now achieved is the baseline run rate in developed markets that is higher than ever for us and therefore it is a new baseline to achieve.

The growth is in India and emerging market vertical, the de-growth is in the developed markets and we have solved it by taking turnaround steps as well as the inorganic cementing of our position there.

Moderator: Our next question is from the line of Onkar Ghugardare from Shree Investments.

Please go ahead.

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Onkar Ghugardare: My question was regarding a clarification which you mentioned earlier. In April and May, there was de-growth in developed markets and June was a turnaround for you. How has been trend for July and has the turnaround still there? How is the trend now?

Anuj Khanna Sohum: Yes, we have already clearly stated that we have bottomed out in developed markets. We are on the way back up and are consolidating our position to make sure that we also do progressive margin expansion. Our position is strong. The way I would want you to visualize it is that the foundation in developed markets, which was shaky for last three quarters or more, has now been cemented with t

he decisive actions taken

both organically as well as cemented with the YouAppi acquisition and putting it together as an integrated platform having highest number of customers in developed markets. Especially in US, having the highest numbers of team members on the ground, having a strong integrated product proposition with which we can go confidently and win convincingly.

You can imagine the team that had seen revenue in developed markets going down, they were not meeting their targets and some of the people were let go. They are now re-inspired as a unit, they are seeing a bigger team on the ground than ever before and more live customers together. There is lot of inspiration back and with that lens, there is no reason to be nervous about how Affle will do in developed markets for the rest of this year. Let us have the moment to consolidate and bring it back up, get to the margin expansion and then scale up.

Onkar Ghugardare: Just a follow-up on the growth of international business, this quarter you have achieved around 16% y-o-y growth despite two months of decline in developed

markets. If you calculate that for the rest of the year what kind of growth you are expecting in the international, since you are saying it has bottomed out?

Anuj Khanna Sohumi : I have been asked this question multiple times and in fact it is challenging that's why we are being hesitant in giving you the numbers. Let me once again anchor it that we will look for over 20% growth in bottom-line PAT performance of the whole group by focusing on consolidation, convergence and acquisitive synergies for margin expansion.

In terms of revenue growth, I would absolutely work on that. The growth in India and global emerging market verticals continues to be resilient north of 20%. In developed markets, we have arrested the situation where it was coming down. How quickly can we press the accelerator of growth and how much growth into the developed market? Give me at least one more quarter and when we come back to you with the results for Q2 FY2024 from there onwards, I will give you even more clear guidance but let Affle (India) Limited

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me build it up further with the team and then get back to you with the clearer guidance. The only reason why I am guiding you on the bottom-line is because those plans are clear to me and we are able to anchor on it.

Onkar Ghugardare : Why I am asking this question is because the international business is putting pressure on the overall business because in terms of India growth it is quite healthy. But if you look at the international businesses profit growth, it is flat and the revenue growth is around 16% so is putting the pressure on the entire group?

Anuj Khanna Sohumi : I understand why you are asking. I can tell you that I look at our numbers right from cash flow to every aspect of our numbers deeply. What I am asking you for is to allow the team to execute this quarter and to derive the margin expansion synergies and then press the accelerator for greater growth.

There is no nervousness about further degrowth or any other thing this could pull it down. I am trying to calm the nerves on that. I am giving you confidence that with our plans for margin expansion and the unit economics in every market, geography and business unit including YouAppi, which is the most recently acquired one where we will derive consolidated acquisitive synergies, we will do margin expansion and deliver PAT growth over 20% this year. In terms of how much will we grow in developed market in terms of revenue? It should be healthy outlook, but I will give you a quantified response on it when I give you Q2 results.

Moderator : Our next question that is from the line of Mohana Kumar who is an Investor. Please go ahead.

Mohana Kumar : Congrats on executing the plan that you had mentioned during the last earnings call. It

is encouraging to see that things are picking in the last couple of months. I am trying to get a sense on, are there any plans of expanding into other developed markets or we remain largely focused on the US?

Anuj Khanna Sohumi : US is the largest market in the world for digital advertising today and it will continue to remain that way for a long time. Even for us in terms of developed market contribution, we believe that if we win that battlefield well, we will have a stronger turnaround situation. We are focusing on anchoring the turnaround efforts on the US market a lot more. As I mentioned earlier, the current base of revenue, integrated customers and the number of full-time employees that we have in US as of now, is highest that we have ever had in the past. We have rebuilt robust new foundation, which has the ability to give us the inspiration to go and convincingly win more from here. Do we have plans to enter other developed markets? We already have some Affle (India) Limited

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presence in Europe, but our focus would be on anchoring around turning the US, where we will see the highest impact for this financial year.

Moderator : Ladies and gentlemen due to time constraint that was the last question of our question and answer session. I would now hand the conference over to the management of Affle (India) Limited for closing comments.

Anuj Khanna Sohumi : Thank you everybody for today's call and once again, as I said at the beginning of my commentary that this is a significant milestone for Affle as a group to have a 4th IPO anniversary. We got listed on August 8, 2019. We have built credibility and consistent

performance anchored on the trust and the support that we have got from over 3,64,000 shareholders .

We are optimistic about not only meeting our challenges & turning around but also delivering long -term sustainable profitable cash flow positive growth . We are also deeply excited about the things that we are doing in the new areas of R&D on responsible integration of Generat ive AI, large language models and so on. There were no questions asked on that today, but we will certainly see more happening in that area by the time we have the next earnings call . So, stay tuned and thank you for supporting us.

Moderator : Thank you. On behalf of DAM Capital that concludes this conference. Thank you for joining us. You may now disconnect your lines .

*** end ***

Call: Nov 2023

Affle (India) Limited

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AIL/SE/ RCT/Q2/2023-24 November 10, 2023

To

BSE Limited

Phiroze J eejeebhoy Tower s,

Dalal Street, Mumbai 400 001

Scrip Code: 542752 National Stock Exchange of India Ltd

Exchange Plaza, 5th Floor, Plot No. C -I, G Block,

Bandra Kurla Complex, Bandra (East), Mumbai

- 400 051

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Sub: Transcript of the Earnings Conference Call for the second quarter and half year ended

September 30, 2023 conducted on November 6, 2023 at 10:00AM IST

Dear Sir/ Madam,

Please find enclosed the detailed transcript of the Earnings Conference Call conducted on Monday, November 06, 2023 at 10:00AM IST to discuss the results and developments for the second quarter and half year ended September 30, 2023.

The same is also available on the Company's website at <https://affle.com/investor-relations>.

Please note that the audio recording of the Earnings Conference Call was submitted vide our letter

AIL/EC/2023-24/Q2 dated November 6, 2023

Submitted for your information and records.

Thanking you,

Yours Faithfully,

For Affle (India) Limited

Parmita Choudhury

Company Secretary & Compliance Officer

This transcript has been edited to improve the readability

Affle (India) Limited

Q2 & H1 FY2024 Earnings Conference Call

November 06, 2023 at 10:00AM IST

Management: 1) Mr. Anuj Khanna Sohumi – Managing Director & Chief Executive Officer of Affle (India) Limited
2) Mr. Kapil Bhutani – Chief Financial & Operations Officer of Affle (India) Limited

Analyst: Mr. Karan Taurani – Elara Capital

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Moderator : Ladies and gentlemen, good day and welcome to the Affle (India) Limited Conference Call to discuss Q2 & H1 FY2024 earnings hosted by Elara Capital . As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing '*' then '0' on your touchtone phone. Please note that the conference is being recorded.
I now hand the conference over to Mr. Karan Taurani from Elara Capital . Thank you and over to you Sir!

Karan Taurani: Thank you Akshay. Good morning everyone. On behalf of Elara Capital we welcome you all to Q2 & H1 FY2024 earnings conference call of Affle (India) Limited. I take this opportunity to welcome the management of Affle (India) Limited represented by Mr. Anuj Khanna Sohumi, who is the Managing Director & Chief Executive Officer of the company and Mr. Kapil Bhutani, who is Chief Financial & Operations Officer of the company.

Before we begin with the discussion , I would like to remind you that some of the statements made in today's conference call may be forward -looking in nature and may involve some risks and uncertainties. Kindly refer to slide #24 of the company's Q2 earnings presentation for a detailed disclaimer.

I will now hand over the call to Mr. Anuj Khanna Sohumi for his opening remarks.

Thanks and over to you Anuj!

Anuj Khanna Sohumi: Good morning everyone and thank you for joining the call today. I trust all of you are keeping in good health. I wish all of you a blessed Deepa vali celebration ahead .

H1 FY2024 marked a strategic transformational milestone in our journey as Affle India! We have come a long way since 2006 and will conclude FY2024 as our 18th financial year. Based on our past performance trends, we are well -poised to cross Rs. 1,800+ crore of revenues this year as we look ahead towards achieving our Growth Vision 2030.

In Q2 FY2024, we attained our highest quarterly revenue run rate, highest EBITDA, highest consumer conversions and the highest CPCU rate. We continued to enhance our consumer -centric platform offerings, as well as leverage synergies towards overall operating margin expansion progressively , delivering stronger than ever quarterly EBITDA of Rs. 872 million .

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We delivered a revenue growth of 21.6% y -o-y and a PAT growth of 13.8% y -o-y in Q2 FY2024. Our CPCU business achieved 72 million conversions during the quarter, at a CPCU rate of Rs. 55.6 that helped us to achieve a CPCU revenue of Rs. 4,006 million, an increase of 21.6% y -o-y.

In terms of H1 FY2024, we achieved a revenue growth of 19.3% y -o-y and a PAT growth of 16.7% y -o-y. Overall, for H1, our CPCU revenue increased by 19.4% y -o-y. Our CPCU business continues to be resilient and underlines the long -term sustainable business momentum.

Our strong anchoring in India and Global Emerging markets enabled us to perform well. Our growth for India and Global Emerging markets combined, was about 20% y -o-y, and almost all of it was organic. Notably, this is despite the fact that there was

a pullback effect of about Rs. 110 million (that is about Rs. 11 crore) due to regulatory changes towards applicability of GST within the online gaming industry in India. However, this impact was completely offset by the all -round growth in advertisers' spends across other industry verticals in India. If we exclude this one -time impact of online gaming industry , our performance in India would have been much superior. However, Global Emerging markets performed really well and grew by about 28% y - o-y, wherein this growth was also majorly all organic. That gives us confidence that broader market tailwinds in India & Global Emerging markets continue

to be intact

and they contributed almost 75% to our current revenues.

Speaking of Developed Markets, I am happy to confirm that our decisive turnaround action plan together with YouAppi now has started to yield positive results, where we expect consistent growth particularly from the lens of second half of FY2024, despite the pullback effect in the Fintech vertical in last quarter of about Rs. 140 million (that is about Rs. 14 crore) . Our realigned approach towards up -selling and cross -selling integrated consumer platform propositions with emphasis on premium & key resilient verticals with our highest number of full -time team members anchored in the US till date, instills confidence in us to deliver broad -based consistent growth from here onwards in developed markets.

Despite the combined impact of about Rs. 250 million (that is about Rs. 25 crore) from online gaming in India and from the Fintech vertical in Developed Markets, we delivered the highest Revenue and EBITDA ever in this quarter and our CPCU business continues to be resilient and positions us strongly for the multi -year growth ahead of us.

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We are consistently enhancing our strategic moats towards building sustainable global market position and I would like to highlight key anchor initiatives that we have undertaken to power our long -term sustainable growth momentum.

1. OEM anchoring partnerships: We are strengthening our strategic partnerships with greater scope and deeper touchpoints to enable premium use cases across the OEMs ecosystem and app stores . We have secured partnership with Samsung in India for their Samsung Platform 12 Touch Points across the premium Samsung Galaxy Appstore and Discover services placements where two phases of development and integrations have been achieved as of the last quarter and we are expecting to attain completion of the most significant Phase 3 in 2023 itself.

2. We have also completed development and integration on Lenovo smart phones across all the major international markets including North America, Europe, Japan, Korea, Southeast Asia and LATAM.

3. Anchoring Gen AI strategies: We are leveraging our core R&D capabilities and are investing in emerging technologies for our customers globally, with key emphasis on pursuing new tech IP and innovative use cases for responsible integration of Generative AI technology. We have recently released our 1st Generative AI -powered product which is a multilingual keyword recommendation tool for our iOS Appstore Apple Search Ads Advertising Platform. This will automate advertisers' play across search touch points to scale their iOS user acquisition effectively on Apple App Stores and engage vernacular audiences who search for apps in their native languages.

These are all significant achievements and we are more ready than ever before with our products, partnerships & people and our overall position in the ecosystem is much stronger, to unlock sustained multi -year growth ahead of us.

We also want to congratulate all our shareholders and investors for their trust and support has enabled the success in our ongoing strategic fundraise process. Affle India secured a commitment letter from Gamnat Pte. Ltd, which is an entity of the Ministry of Finance, Government of Singapore, for their binding offer to invest Rs. 749 crore (approx. USD 90 million) in our company . This will definitely strengthen our next 4 years of strategic growth initiatives.

This is a certificate of credibility and confidence in our resilience as a company . It has inspired even greater loyalty in all the Afflers towards ensuring consistent success and value creation for our stakeholders against all the odds.

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Continuing to share our customer success stories, this time, we have included 3 case studies, which are focused on online trading

, fashion growth with a vernacular approach and loyalty program of a global FMCG company.

Affle continues to be recognized as an industry thought leader. Our platform was named amongst the top mobile advertising companies 2023 on Business of Apps. One of our platform s was recognized as a High Performer at G2 Fall Report 2023 as well as won an award in the Connected TV category at Agency Reporter's Front Benchers 2023 Awards. Another platform was recognized as 'Best in Data Technology' in e4m Real Time awards and won Silver in the programmatic category at MMA Smarties. With that I now hand over the discussion to our CFO - Kapil Bhutani, to discuss the financials. Thank you and over to you Kapil!

Kapil Bhutani : Thank you Anuj. Wishing everyone a good day and hope all of you are keeping safe and well.

In Q2 FY2024, the Company reported Revenue from Operations of Rs. 4,313 million, a growth of 21.6% y-o-y. We delivered a broad -based growth of about 20% y -o-y across Global Emerging Markets including India. Emerging markets continued to be in high - growth momentum with strong operating profit performance. Our H1 FY2024 revenue stood at Rs. 8,379 million , a growth of 19.3% y-o-y.

Our EBITDA for the quarter stood at Rs. 872 million , an increase of 20.6% y-o-y. Our EBITDA margin stood at 20.2%. Despite the acquisitive consolidation, our EBITDA margin was in line with Q2 last year while it improved by over 100 basis points on a sequential basis. In H1 FY2024, our EBITDA increased by 17.3% y -o-y to Rs. 1,653 million, while the EBITDA margin stood at 19.7%.

In terms of Opex, driven by our consistent efforts towards enabling platform synergies and greater productivity, our Inventory and Data Cost stood at 60.5% of revenue from operations in this quarter, resulting in improved operational efficiencies and better margin realization on both y-o-y and sequential basis.

Our employee cost as well as other expenses remained relatively stable sequentially and increased by 2.1% and 6.4% respectively on a q-o-q basis.

Our Profit After Tax for the quarter stood at Rs. 668 million , an increase of 13.8% y-o-y. We had an impact of higher interest cost of Rs. 27 million in this quarter due to new term loan availed by our subsidiary for the acquisition of YouAppi business , as Affle (India) Limited

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well as the higher amortization. Increased amortization was on account of intangible assets that were put to use in the quarter and amortization of identified intangible assets for YouAppi acquisition and this increase was in line with our historical Q2 trend.

We remain focused on working capital management and as such there were no material changes in our collection risk.

Our OCF for H1 stood at Rs. 989 million which is close to our target of 80% OCF -to- PAT Ratio for H1.

Further, in regard to the commitment letter we received from Gamnat Pte. Ltd., a step-down subsidiary of Ministry of Finance, Government of Singapore, the utilization of net proceeds is intended towards following 3 identified uses and the rest towards General Corporate Purpose :

1. Up to Rs. 335 crore towards investment in technology, platform & Products
2. Up to Rs. 150 crore towards inorganic opportunities
3. Up to Rs. 75 crore towards repayment of outstanding liabilities of past acquisitions

Please refer to the 'Object of the Issue' for detailed disclosure that is given as part of our "Notice to the EGM" and is available on the stock exchanges as well as mailed to our shareholders.

Looking ahead, with the anchoring growth initiatives that Anuj discussed earlier on this call, we are ready with our Generative AI initiatives and are stronger than ever before with our products, platforms, partnerships and position in the ecosystem. We remain confident of the long -term prospects and will continue to invest to drive sustainable profitable growth for FY2024 and beyond

With this, I end our presentation. Let us please open the floor for Questions .

Moderator: Thank you very much. We will now begin the Q &A session. The first question is from the line of Karan Taurani from Elara Capital . Please go ahead.

Karan Taurani : Hi Anuj . My question is pertaining to the India business . You mentioned that the gaming vertical has led to a lower growth . What are the other verticals that are performing well and could possibly offset this negative impact ? Secondly , what is the normal case scenario for the India business in terms of growth over the next 2-3

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quarters ? Historically , the growth it has been around 20%. Should we assume that for the next three quarters , India business growth could be at mid to low teens?

Anuj Khanna Sohumi: Thanks for your question Karan. Yes, the GST impact on the online gaming industry in India definitely has had a measurable impact . We have quantified this impact at about Rs.110 million worth of pullback effect for us . If we have to eliminate this impact and assess our growth in non-gaming -to-nongaming comparison our growth has been highly resilient .

We are a broad -based company with our presence across multiple industry verticals and gaming is just one of the industry vertical . We have over 10 industry verticals under our EFGH categories which includes entertainment, e -commerce, education tech, fintech, food tech, FMCG , gaming , government , groceries , healthcare and hospitality . Lot of these categories having broad -based set of advertisers are working with us and this is where the strength of Affle lies. It gives me confidence that we are broad -based sufficiently and able to take the impact of Rs. 110 million pullback in the gaming industry . If you see , overall India did really well and neutralized gaming vertical impact . Also, in global emerging markets we saw broad -based growth across all our industry verticals. Overall across emerging markets including India , we were still able to achieve about 20% growth on y-o-y basis, it was mostly all organic because of this broad -based risk managed approach.

Going forward on a normalized scenario where there is no one -off event or surprise events impacting us, because whenever there is any such surprise event there will be a little bit of a hiccup until the industry finds its feet again and that particular segment of the industry finds its feet again gets back into a certain predictable rhythm and pattern. We have a multi -year growth trend ahead of us because in emerging markets like India and global emerging markets the advertisers are under calibrated on digital . I expect around 50% - 60% of the ad spend to decisively go to digital in the next three to four years . Therefore , we will see broad -based growth trends and yes , we should calibrate that within a range around 20%.

Karan Taurani : The second question is around the international business . Even excluding YouAppi , we have seen a better performance in the international business . Could you please give us some sense in terms of the US business . Where is that standing ? Because we are expecting some kind of a turnaround there , what is the expected growth rate , traction and whether things are aligning with our plan? Additionally, could you share information on our performance in the other emerging nations apart from India?

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Anuj Khanna Sohumi: Sure. In our reporting since pre -IPO till now , we have been adding more colour and emphasis around India & international perspective . The way to see our business is India, other global emerging markets and developed markets . Because the behavioral patterns of India and emerging markets globally are a lot similar and that is almost 75% of our business and roughly 25% of the business came from the developed

markets .

Firstly, of all the internal decisive steps that we have taken to turnaround the internal issues of the company , I think that has already been well rested , settled and we are in a positive spirit and momentum to go ahead and capture the growth that we deserve. In terms of our team and our people on the ground , the spirit and motivation are high . I have just returned from a sales offsite with our North America & Developed Market focus team , discussing on plans to continue growing from here . The pipeline and the spirit is strong. All of those internal issues have been fully addressed now. In terms of the external issues , the pipeline and the results of all the industry verticals

that we are addressing in developed markets , more specifically in the US are all doing well except for the one that we have quantified for you in my commentary where we spoke about Fintech vertical because of the interest rates on loans being very high, there was a pullback effect in that in the last quarter and we quantified it to be about 14 crore.

If this scenario had not been there , about Rs. 25 crore of revenue could have seen coming in the pipeline . But that did not happen because of India gaming and developed markets Fintech verticals . Even without that revenue and the pullback effect , we saw fairly resilient growth across other verticals . Gaming has been a positive vertical in developed markets for us while in India that was not so positive in the last quarter.

Developed market wise , we have a confidence in our team, our products, our unique propositions and our premium placements on Affle's ecosystem . I think we have a very strong position. I am bullish today than ever before in terms of our position in developed markets and with US of course as the anchor market , we are also seeing it extend towards Europe as well as Japan.

Moderator: Thank you. The next question is from the line of Mayank Babla from Enam AMC. Please go ahead.

Mayank Babla : Good morning. I was wondering what was the contribution from YouAppi during the quarter . Last quarter we had around Rs. 45 crore of contribution in two months of Affle (India) Limited
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consolidation . If we just adjust for that in this quarter presuming equal contributions of around Rs. 67 crore was from YouAppi , then y-o-y organic business growth rate falls significantly to 2.5% y-o-y. Two main sources of impact that you quantified were Rs. 11 crore from emerging markets and Rs. 14 crore from developed market . Am I on the right track ?

Kapil Bhutani : On extrapolation of YouAppi revenue, it is not very sequential as Anuj mentioned that we are on path of integration , so there is somewhat consolidation of revenue on the YouAppi side and it cannot be seen on a linear way for the last quarter.

Anuj Khanna Sohum: You are doing the math broadly correctly. The way to look at it is that most of the contribution from YouAppi is obviously towards developed market. Now in the developed market , we have seen a combined effect . Even though we are stronger than ever before but we also experienced a pullback effect of about Rs. 14 crore in Fintech category in the last quarter .

Our India and emerging markets growth of about 20% y-o-y in last quarter was largely organic . In developed markets , there was a pullback effect and you have added YouAppi for one additional month . If you do the math of that , you see there is a growth of approximately Rs. 10 to 11 crore in developed markets because you reduced Rs. 14 crore and added around Rs. 20+ crore for the additional month of YouAppi because I know you are slightly enticing it that way. I would encourage you to look at it and also tie it up with my commentary for about 20% y-o-y growth in India & global emerging markets and a pullback effect of about Rs. 14 crore in developed markets . That is how you look at

a math but sometime over analysis does not give you the essence of the business . The essence of our business is that India and global emerging markets have strong tailwinds and in developed markets together with YouAppi now, we have revived our position to be in a situation where we can look at consistent growth going forward . That is a very important turnaround that we wanted to achieve within this year. In the last quarter of this financial year , we will see decisive and very clear numbers anchoring what I am saying right now .

Mayank Babla : Sure. Anuj. In the beginning of the call in your commentary , you mentioned about some partnership with Samsung but I missed that . Could you please repeat that ?

Anuj Khanna Sohum: Absolutely . So, in regard to Samsung in India , I had mentioned and I am just quoting what I was saying earlier that our partnership with Samsung in India for their Samsung platform which has 12 touch points across and including the premium Samsung Galaxy Appstore and Discover Services where we have already completed two phases of Affle (India) Limited
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development and integrations have been also achieved as of the last quarter . We are

expecting to attain completion of the most significant Phase 3 in 2023 itself .

Moderator: Thank you. The next question is from the line of Aditya Chandrasekar from UBS.

Please go ahead.

Aditya Chandrasekar : Hi good morning. Just a couple of questions from my side . On the CPCU rate , we have almost come to around Rs.56 this quarter . You had previously said that the range would be between Rs. 55 to 58 for the year . Just wanted to check if you think that we can hit this upper end of this range or even exceed it going forward ahead into FY2025 . How do you see this growth in CPCU rates and is there a kind of theoretical cap at which it stops growing? That is my first question and second question is, I just wanted to kind of get an update on the Connected TV space . I think you had mentioned in the last quarter just to get a sense of how it is on the ground and what is the kind of outlook for this space? Thank you.

Anuj Khanna Sohumi: Aditya thank you for the very important question. I think your question about CPCU and the pricing band of CPCU between Rs.55 to 58 and whether we may hit the upper end of band is an important question but not so much from a quantitative length but from a qualitative aspect . We are consistently moving up in the value chain closer to more premium segment of consumers, more premium segments and touch points be it the partnership with Samsung on Galaxy Stores touch points , be it the gen AI related product that is addressing vernacular capabilities on the Apple app store search ads . There is a very clear method that is coming out in all our commentary and that method is directed towards going to the more and more premium segments so that we can deliver higher value to the advertisers . This involves offering better quality touch points, better quality of consumer audiences and greater tech enabled powered experiences due to better partnerships and better pricing . Better pricing almost necessarily means better margins in most business models .

We are a fast growth company and we do not want to give the power to our customer to bring the price down just because they are saying they are spending more with us. The only way to defend that is it to go for more premium products . We say that our products are becoming more premium so please pay us more and we will deliver you more ROI . Therefore , it all makes business sense.

What you see in our CPCU pricing and what you seen in our product & partnership initiatives in my commentary today is influencing that and will definitely consistently inch upwards and positive . Because , we are building the company not just to deliver revenue growth but deliver profitable cash flow and improved margins .

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point of that is we are going to sell at the right price . We are going to sell something premium and we need to take a defensible mode on those ecosystem positions and that is what we are doing .

Moving to your second question on the CTV space , CTV is an important strategy for us not because we are a Consumer Platform company and a lot of the consumer households are going to adopt CTV. In both emerging and developed markets , CTV has already adopted in a significant way and you will see more CTVs as one of the influencing touch points for the consumers . You will have smart phone devices , tablets and CTV in your home and it helps us to create an integrated consumer experience to drive conversions for the advertisers and that is our endeavour. CTV product has been ready and household sync , an important enabler for how CTV would connect to other connected devices in the households is also been out in the market . We are consistently educating and building top leaderships across emerging markets and seeing positive tractions. However , when a user converts for an advertiser it would necessarily always be with some touch point on mobile and on CTV and it has to work in conjunction . In our opinion , technology wise, product wise, proposition wise , we do not want to segment it out but we want to say that it is an end-to-end Consumer Platform where you can connect with the consumer on one additional touch point which is CTV and may play a positive role in the consumer conversion that we deliver to the advertiser.

Moderator: Thank you. The next question is from the line of Arun Prasath from Avendus Spark.

Please go ahead.

Arun Prasath: Good morning , Anuj and Kapil. My first question is on OEM partnership in the last couple of quarters . I was just wondering , this OEM partnership we always add to Appnext . What is different this time from what we have been doing or what Appnext was doing for several years . Is the partnership only differing in the size or it is

differing qualitatively . Can you help us understand this please?

Anuj Khanna Sohum: Yes, the premium partnerships mean that you are moving up in the value chain within the partner ecosystem . There are different touch points that one can go to and I could safely say that going into the app store of an OEM partner and partnering with them on and around the app store is perhaps the highest premiumness that one could achieve . This is highlighted in the commentary that I made earlier today . Going deeper with partners means that you are integrating tech at a deeper level . It also means that you are having a long -term relationships with those partners so more predictable path for consistent growth and you are doing higher impact, so not only

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is the partner important to us but we become important to that partner and take it to a new level.

What Appnext was doing before was a very important stepping stone to take on premium and deeper partnerships which we had now and it brought us to a level of maturity that we can now start talking about some of those partnerships like Lenovo . There are many ecosystem partnerships but I am only highlighting those which are premium or impact ful partnerships to give you a stronger indication to our strategy.

Arun Prasath: Right , which means that we will have a much better conversion and predictability of the conversion and it also removes uncertainty for the customer as well . That is how we should say?

Anuj Khanna Sohum: See, the conversion s is always linked to the consumer but what it is absolutely achieving for us when we have these kind of OEM deeper partnerships is that it is a message to the ecosystem that Affle as a platform will help the advertisers to reach the most premium segment of consumers, to drive the most premium conversions and

therefore Affle deserves a higher CPCU pricing and a better margin . That is what premiumness does and this is what I was trying to answer to the earlier que stion from Aditya as well when he asked how your CPCU pricing is going up.

When you go with premium products where you are solving gen AI , going deeper on the vernacular verticalization, go into app stores and do deeper tech integrations then you go to the advertisers and say that all of these products and partnerships with ecosystem level market position deserve a better price . Of course the advertisers would eventually judge it and say if I am paying you Rs.56 or Rs.58 CPCU and did you achieve the ROI that you had in mind in the campaign . However, it makes business sense and you are right that by having these partnerships is one step deeper and closer to charging more premium pricing to have better margins .

When we look at it with a four year perspective , these are multi -year long -term deeper integrations and partnerships and will give us more predictable and sustainable modes of the conversion .

Arun Prasath: If I translate this in terms of numbers and current margin , is there still have a lot of potential to go upwards? Is this the right way of reading from what you have said?

Anuj Khanna Sohum: We have already delivered good outcome in the last quarter , with all three months of YouAppi are fully loaded . It is less than six months since we acquired YouAppi , we have delivered over 20% EBITDA in this quarter on a consolidated basis . We have

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acquired the company at the lower level of EBITDA , that means our business is already on an organic basis is in a healthier zone of much above 21% to 22% . That is where we are constantly striving and it is not just numbers as numbers are a result of decisive action and the clarity of strategy .

Our strategy revolves around growing more premium, deeper and building better product , build a deeper connection within partnership ecosystem , ensuring predictable long -term PAT and delive ring higher pricing ROI to the advertisers . We are inching one step at a time and as we are entering into new quarter and going into the next year 2024 , I feel we are in more stronger position than ever before .

Kapil Bhutani: Just to add to what Anuj said . We should look at from the lens of sustainability and growth rather than from looking at the margins . This discourse is to bring out the sustainability and the growth potential of the company.

Arun Prasath: Understood. My second question is on the capital allocation. I understand that

recently you have filed with stock exchange s for the proposed fundraise . It indicates some broad counters of how you will be using the Rs.750 crore which is coming in . But, if you look at our balance sheet we have a cash balance of around Rs.500 crore and now our cash balance will go more than Rs.1 ,200 crore. I am just wondering how we can effectively use these resources without diluting ROCEs . What is your vision for this in the near term ? Of course , long term will have much better sync, we can go for acquisitions whenever it makes sense but near term do we find any use for this cash? Kapil Bhutani: The first object of our utilization is on the tech development and the AI development . It is not expected to be substantial in next one or two years. The time to utilize this money is about four years from now so adjusted ROCE or ROCE will not get impacted till we have consumed the amount mentioned in the object clause for the purpose of innovative tech developments . The impact is going to be smaller as we will remain larger on cash balances for the period . Moderator : Thank you. The next question is from the line of Ankur Baheti from JP Morgan. Please go ahead. Ankur Baheti: My question is regarding the digital ad market dynamics in India . It is a fact that it

continues to remain healthy but there are as some ad publishers like Truecaller, Dailyhunt, and ShareChat which has seen y-o-y decline or slowdown in ad revenues in 2023, largely driven by falling CPM while ad impression growth and other variables continues to remain strong . I wanted to know which pockets in the market are Affle (India) Limited
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underperforming and seeing weaker growth momentum and what is driving the low CPM in such pockets of the market? Anuj Khanna Sohumi: Thank you Ankur for that question . I have been in this business for over 18 years and I have mentioned this over the last five years since we were in the road shows of our IPO that the only way in our industry as well emerging markets to run a 20% plus revenue growth or 25% + EBITDA company is not by selling the commodity of impressions on CPM prices. That business is too commoditized . In India alone , we have around 650 million smartphone users who on an average per capita data usage of internet on smartphone devices would be one of the highest in the world . The number of impressions are getting generated on all these kind of ads is an ocean of those impressions. However, the true value lies not in the impressions but in diving deep into that ocean of impression, jumping deep with unique equipment like the DMP, the deeper connect with the OEM ecosystem, deeper product with vernacular verticalization and then you find those pearls of convergence where the user has actually converted and you have delivered an ROI to the advertisers. When you bring that out , then you charge a pricing of increasing CPCU rate of Rs. 56 or higher to make a 20% + EBITDA . That is how the business is differentiated. We are a buyer of impressions from a lot of the publishers . We know what is happening and understand the demand and supply economics . There are more impressions and consumer adoption of digital today than the advertiser has shifted their budgets to digital. In emerging markets , the total ad spend versus total digital ads spend ratio still has a lot of catching up to do but the consumer has gone into digital big time . There is a lot more impressions than the budget to buy those impressions. In terms of demand and supply these impressions would go down . As intelligence become more consumer oriented , the value of each placement is not as important . However, if I can get you converted to a particular advertiser on a net premium placement then I will find a way to do that . Because that is where optimization comes in and it is driven by algorithms and AI machine learning . Rather than look into this data point with nervousness , I would look at it with deeper understanding . There is a lot of digital consumption from consumers with a lot more ad spend coming from the advertiser into the ecosystem with the right business model and there is a good amount of consistent money to be made . Affle has been doing it for almost a decade. I do not know of any other adtech company that is around 75% Affle (India) Limited
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focused on emerging markets and is consistently cash flow positive for more than a

decade .

If you have to sell higher value offerings , take more risk and run a system which is differentiated . This is why you can be sure that Affle will defend its pricing and will continue to charge more and inch upwards a step at a time to deliver that amount.

Moderator : Thank you. The next question is from the line of Animesh Yadav from Purnartha Investment Advisors. Please go ahead.

Animesh Yadav: Thanks a lot for the opportunity and a good set of numbers. The first question that few quarters back you shared a clear and a concise action plan and you expected that to turnaround from Q2 onwards . How do you see that , is it on track ? Are Q2 numbers come up in terms of your expectation or is there any setback ? Lastly, can you please

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give a guidance in terms of how do you expect that to reflect in terms of the measurable outcomes for Q3 and Q4?

Anuj Khanna Sohum: Thanks for your question, Sir. In our commentary , we have already answered almost all of your questions but let us put it this way. In May 2023 , we had to do an emergency operation on our developed market – an internal team restructuring and realignment .

That was a decisive action plan which is not for the faint hearted and we took that heads on. We talked about it , took those steps and the operation was largely completed by July end and we recovered by September 2023.

In October , we have completely sorted the operational challenges , fully cured and now operating at full capacity with the largest motivated sales team on the ground in developed markets than ever before along with our product partnerships . We have positioned ourselves as much stronger than ever before in developed markets and therefore , I am confident that we will deliver consistent dependable growth in developed markets from here onwards.

Of course , we cannot control macroeconomic factors but we can have strategies to cope with like we have across different verticals in India and global emerging markets. Similarly , in developed markets we have the same broad -based cross industry verticals growth strategies. Yes , in the last quarter Fintech had a pullback in developed markets and similarly we had a pullback in India in gaming vertical . Despite these pullbacks delivered dependable and sensible bottom -line results . Our internal issues are fully resolved and we are out there to achieve our highest potential . Barring macroeconomic factors , we should be doing well consistently. If

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there is any particular industry vertical where there is any pullback effect , we will keep this transparency of quantifying it, bringing it back to you and keeping it measurable but at the same time building the trust that we have a broad -based growth coming in the company . One-off setbacks here and there but those are just hiccups in the journey which any mature company should be able to deal with . Affle is certainly dealing with it gracefully and we are going to continue to deliver growth.

Animesh Yadav: Thank you. Just a follow -up to Kapil . The other expenses look to be a bit high this quarter . Is anything specific driving this increase or does it in line with your expectation?

Kapil Bhutani: It is in line with our expectation. The amount which is added is coming from the acquisition of YouAppi . This is also a period where we invest on marketing activity on account of festive season .

Moderator : Thank you. The next question is from the line of Swapnil Potdukhe from JM Financial . Please go ahead.

Swapnil Potdukhe: Thanks for the opportunity. I have couple of questions. First a clarification. You mentioned that there was a hit of around Rs.11 crore because of the GST changes that happened in the gaming industry . I just wanted to understand the Rs. 11 crore impact that you mentioned was that for the entire quarter or that was on the time this GST notification came in?

Kapil Bhutani: This change came in July and the behavior of the clients changed immediately . With 28% GST deduction from the deposited amount by gamers, there was a noticeable impact , leading everyone to recalibrating their strategies and waiting for October 1 , 2023. There is impact in Q2 and we will see how much it gets eased out in Q3 . We are yet to see significant change in the P&L at the moment . We are in touch with the clients to see how it impacts on Q3 or Q4 going forward.

Swapnil Potdukhe: My second question is with respect to your developed markets trends , I was doing calculations and realized that your revenue in developed markets in 2Q was around Rs.70 crore. If I adjust the current quarter's revenue that

you mentioned for the

YouAppi acquisition and then add up the Rs.14 odd crores impact of Fintech , then your quarterly revenue is around Rs.55 crore. There is a difference of around Rs.15 crore on a y-o-y basis and around Rs.20 odd crore on a q-o-q basis. Here, I am not able to understand from where this difference is coming .

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Anuj Khanna Sohum: I have already given the detailed breakup and the analysis of our numbers . Regarding developed markets , I am not sure exactly what excel sheet you are analyzing but I would encourage you to talk to our investor relations team and get the correct set of numbers .

In this quarter, around 25% of our revenues are from developed market . Whether you take out YouAppi , take out the pullback effect of select industry verticals or whatever slice & dice you do , one thing I can tell you for sure , our position and our number of active customers in developed markets on a broad basis is stronger than ever before. Our dedicated sales team, comprising top talent from competitor companies is passionate, committed and confident in our ability to deliver growth and success. Our pipeline is strong . Moreover, the developed market is very large and whether you take the numbers that you have or what I am saying is a very small number , from a small base with a competitive product to grow from here is what is most important is where are we today. We are stronger than ever before in developed markets , we have solved our internal issues, quantified external issues , have a strong pipeline and we are going for consistent progressive growth from here quarter -on-quarter .

Swapnil Potdukhe: Sure Anuj. If you can just quantify the number of YouAppi for developed markets , that would be really helpful?

Anuj Khanna Sohum: I will quantify it one more time . In this quarter , almost 75% of our business is from India plus emerging markets , and roughly 25% is from developed markets. In the developed markets , majority of the contribution is coming from the US and a little from Europe & Japan . YouAppi has been a positive contributor within the developed markets and has helped to strengthen our position in developed market especially in gaming vertical .

In terms of Fintech , we have already mentioned that why in developed market especially in US there was a pullback effect and we have quantified that to Rs.14 crore.

Moderator : Thank you. The next question is from the line of Rahul Jain from Dolat Capital. Please go ahead.

Rahul Jain: Yes. Firstly , I want big picture view. You mentioned this in certain ways but with the changing mix of business both in terms of the technology that we offer and the mix of market where we operate , what is the best way to understand the potential growth

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in the near & medium term across various markets including India, other emerging markets and developed markets ?

Anuj Khanna Sohum: Our long -term growth trends are anchored on our growth vision for 2030 . Our clarity of thought, confidence in our capabilities, the commitment to pursue it relentlessly and being resilient to changing dynamics & situation positions us with lot of strength . Our big picture view is very clear . We are going to continue to keep a strong broad -based growth trend across our India and emerging markets . We are going to consistently push for more premiumness to improve our margins and strengthen our position in the ecosystem.

Now the mix of markets, India and emerging markets globally . It is fair to say that these markets for next 3-4 years will continue to deliver broad -based growth for the whole industry and of course for us. The difference between everyone else and us is that we are running for only the profit pools in this growth period . When you see growth coming and digital advertising is

going to grow , it is important to note that not every dollar of growth is worth of 20%+ EBITDA . We have to pick those segments of growth where we see the profit pools are robust enough for us to make an ROI for the advertiser, charge sufficiently and make margins for ourselves . We are very selective about which pockets of growth we are going for and with that we should be able to deliver good growth in India and global emerging markets.

In developed markets , significant growth has already happened and there , growth is going to be at a macro level . However, despite this, the addressable market is very large and our base being small , we should be able to notch up and hit above our weight to get better growth than industry average with our own terms in absolute basis. This has changed our long -term growth thesis .

You also asked about the short term . In that context and acknowledging the fact that our company is going to complete 18th financial year by the end of FY2024 . I took a liberty to emphasize our aim to reach the Rs.18 billion , which is Rs.1 ,800 crore revenue mark by the end of this financial year. We are well poised to work towards that direction and it is largely in this context to connect the dots . The important thing is the big picture and the tailwinds continue to be favorable with that longer term view.

Rahul Jain: I just want one small clarification . You are saying about the total addressable market (TAM) or you are talking about TAM where a 20% margin can be achieved even by the aspect of a large market?

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Anuj Khanna Sohumi: No, I am talking about there is broad -based digital advertising growth is expected to for India and global emerging markets . Any industry report is going to tell you that digital advertising is set to grow for many years to come in global emerging markets because it is under calibrated versus what it is in developed markets. In China, US and Europe there is more than 70% to 75% of the total ad spend is digital but we are nowhere close in India and other emerging markets to that percentage . We will see higher calibration of ad spends going to digital so that is a large total addressable market.

Within that total addressable market Affle makes clear calculated decisions about which pockets of this growth should we have as our revenue . Because , we are not gunning for every revenue in the market. If the pricing is too low we would rather not take that campaign . It is very important to run an organization with a discipline and we instill this discipline in our sales team by defining a range of pricing and how we work. If we are not seeing sufficient ROI for the advertiser and margin for ourselves , it is better not to pursue that revenue . We are picking our battles carefully and we think there is sufficient growth that we will derive in this market . This growth will be premium in nature and we will get profitable sustainable growth going forward .

Rahul Jain: Lastly, if I can squeeze in about the resignation announcement of Elad Natanson . Do you see the management bandwidth getting slightly thinner and more responsibility coming up for you or we would look for right replacement?

Anuj Khanna Sohumi: I do not see that to be the case. Whenever we acquire a company there will always be a clear transition that must happen. When we did the acquisitions post our IPO that was COVID time and because of COVID time we maintained the same structure in a way that we took a three -year view to the full transition, integration and getting the acquired assets to the level of unit economics that we wanted them to come to. Now, since that has been achieved in some of those acquired assets , it is time for complete transition . Elad's move was expected and has happened honorably . It has happened effortlessly and it is the right thing to happen.

Moderator : Thank you. The n

ext question is from the line of Onkar Ghugardare from Shree Investments. Please go ahead.

Onkar Ghugardare: Good morning. My question was regarding segregation of segmental revenue between India and outside India . If you look at the revenue growth for outside India it is about 25% but when you look at that the margin growth it is around 7% to 8% . Does that mean there is compression in the margin ? And that is around 70% of the overall business . Can you articulate what is the issue on that front?

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Kapil Bhutani: If you see our results , there is a footnote on segment s indicating that the segment s are based on the billing entity whereas the earning presentation is based on the user 's location and where the ad has been served so that those data points are not comparable .

The data given in the earnings presentation aims to provide better understanding of

geographically where the consumer is based and how the market in that geography is responding. As Anuj mentioned earlier it is consumer behavior which drives the growth and adoption by the consumer . That is why we gave a different set of numbers based on the location of the ad where it was served and where the consumer is located . This explains why the reporting on the geographical information on the result sheet and earnings presentation would always be a little different . In standalone , India also if we deliver certain ads outside India then will move that revenue to the other geographies . Please see the foot notes of the segment working for clarification .

Onkar Ghugardare: Okay, but if you look at the margins within India and outside of India excluding the developed markets , what kind of margins are comparable to India?

Kapil Bhutani: Margins definitely would be higher in the international markets as we have been stating that the CPCU pricing is higher in the international market as compared to India. The unit economics in India is much tougher than the developed markets and other markets . If you see our DRHP , you will be able to understand that the India is the most toughest unit economics geography .

Onkar Ghugardare: The second question is on the CPCU growth even though the growth in the conversion rate has fallen down and the pricing has improved , so is that going to be the strategy going forward?

Anuj Khanna Sohum: Our strategy is focused on maximizing the growth as well as the pricing. I do not see that it has to be one or the other but both have to grow. We are going to drive for more conversions and pricing . Both factors are strong defensible moats of the company. Our platform's strength lies in ability to drive conversion, find consumers for necessary conversions, premium placements, partnerships and touch points across mobile as well as CTV. This showcases capability of our platform and our product and ability to deliver a ROI linked business model and improve pricing as both of these are very important.

We should not base our assessment basis one particular year or basis a few quarters , because this year has been slightly different from our usual pattern of growth. We saw pullbacks of various clients, internal issues related to Jampp, external

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macroeconomic factors related to certain verticals and certain markets at different times . This year was a complex year in that sense . However, if you ask me for the long-term outlook going forward , with more smartphone users and CTV users doing more active digital conversions , and higher value of digital conversions happening from consumers going forward and higher frequency of those conversions , I am confident about rise in number of conversions and it should keep up with the long - term growth trends . Regarding pricing , I have answered it a few times on this call today.

Moderator : Thank you. Ladies and gentlemen

in that was the last question for today. I now hand the conference over to management for closing comments.

Anuj Khanna Sohum: Thank you so much for your interesting questions especially related to the strategies of the company going forward. I am confident that our company is in a better position today than ever before and as an 18 -year-old and as a young corporate adult , Affle has definitely been brought up very well . I am optimistic about how we will shape up going forward in many years to come. I would look forward to the upcoming EGM for those of you who are shareholders in the company . Please participate and give us your participation & support . I wish you a very happy Deepavali and may the next year be even more successful. Take Care. Thank you.

Kapil Bhutani : Thank you everyone with season's greetings for the festive season.

Moderator : Thank you. On behalf of Elara Capital that concludes this conference call. Thank you for joining us. You may now disconnect your lines .

*** end ***

Call: Feb 2024

Affle (India) Limited

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AIL/SE/ RCT/Q3/2023-24 February 12, 2024

To

BSE Limited

Phiroze J eejeebhoy Tower s,

Dalal Street, Mumbai 400 001

Scrip Code: 542752 National Stock Exchange of India Ltd

Exchange Plaza, 5th Floor, Plot No. C -I, G Block,

Bandra Kurla Complex, Bandra (East), Mumbai

- 400 051

Symbol: AFFLE

Sub: Transcript of the Earnings Conference Call for the third quarter and nine months ended December 31, 2023 conducted on February 05, 2024 at 10:00AM IST

Dear Sir/ Madam,

Please find enclosed the detailed transcript of the Earnings Conference Call conducted on Monday, February 05, 2024 at 10:00AM IST to discuss the results and developments for the third quarter and nine months ended December 31, 2023.

The same is also available on the Company's website at <https://affle.com/investor-relations>.

Please note that the audio recording of the Earnings Conference Call was submitted vide our letter AIL/EC/2023-24/Q3 dated February 05, 2024.

Submitted for your information and records.

Thanking you,

Yours Faithfully,

For Affle (India) Limited

Parmita Choudhury

Company Secretary & Compliance Officer

This transcript has been edited to improve the readability

Affle (India) Limited

Q3 & 9M FY2024 Earnings Conference Call

February 05, 2024 at 10:00AM IST

Management: 1) Mr. Anuj Khanna Sohum – Managing Director & Chief Executive Officer of Affle (India) Limited
2) Mr. Kapil Bhutani – Chief Financial & Operations Officer of Affle (India) Limited

Analyst: Mr. Anmol Garg – DAM Capital

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Moderator : Ladies and gentlemen, good day and welcome to Affle India Q3 & 9M FY2024 Earnings Conference Call hosted by DAM Capital Advisors Limited. As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during this conference call, please signal an operator by pressing “*” then “0” on your touchtone phone. Please note that this conference is being recorded. I now hand the conference over to Mr. Anmol Garg from DAM Capital Advisors Limited. Thank you and over to you Sir!

Anmol Garg : Thank you Nirav. Good morning, everyone. On behalf of DAM Capital, we welcome you all to Q3 & 9M FY2024 Conference Call of Affle (India) Limited. I take this opportunity to welcome the management of Affle (India) Limited, represented by Mr. Anuj Khanna Sohum who is Managing Director & Chief Executive Officer of the Company; and Mr. Kapil Bhutani who is Chief Financial & Operations Officer of the Company.

Before we begin with the discussion, I would like to remind you that some of the statements made in today's conference call may be forward-looking in nature and may involve some risks and uncertainties. Kindly refer to slide 23 of the Company's Q3 earnings presentation for a detailed disclaimer.

I will now hand over the call to Mr. Anuj Khanna Sohum for his opening remarks. Thank you and over to you Anuj!

Anuj Khanna Sohum: Good morning everyone and thank you for joining the call today. I trust all of you are keeping in good health.

We are glad to confirm that we have achieved a decisive and timely turnaround in developed markets anchored on our determined execution with increased investment in sales and marketing and our hands-on entrepreneurial leadership. Post-Covid, this was our first significant challenge and we were transparent with our stakeholders about our action plans since the start of this financial year and we delivered on our commitment to complete the turnaround in CY2023 itself.

We entered CY2024 with our strategic moat fortified stronger than ever before. Our 15 Gen AI patent filings have strengthened our intellectual capital and the Rs. 7.5 billion recently raised cash capital has strengthened our financial balance sheet. We consciously invested in new product use cases and ecosystem level partnerships to unlock premium inventories and touch points on connected devices including CTV, Apple SKAN, iOS App Store and other OEM app stores both in India and international

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markets. This was the first significant step towards our long-term strategic direction as the premium converted users enable higher lifetime value for advertisers and thus unlock the sustainable premium pricing bids for the most profitable ad campaigns across both emerging and developed markets.

Speaking of Q3 FY2024, we achieved our highest-ever quarterly revenue, highest EBITDA, PAT, Conversions and CPCU Rate till date. In Q3 FY2024, we delivered revenue growth of 32.6% y-o-y and 15.6% q-o-q. We continued to enhance our consumer-centric platform offerings progressively delivering stronger than ever quarterly EBITDA of Rs. 967 million and PAT of Rs. 768 million. Our CPCU business delivered about 84 million conversions during the quarter, at a CPCU rate of Rs. 57.0

that helped us achieve CPCU revenue of Rs. 4.77 billion , an increase of 38.2% y -o-y and 19.2% q -o-q. We continue to witness a robust market opportunity as advertisers steadily accelerate their digital spending, resulting in a broad -based growth in our CPCU business in global emerging markets .

In terms of 9M FY2024, we achieved revenue growth of 24 % y-o-y and PAT growth of 14.7% y -o-y. Overall, for 9M, our CPCU revenue increased by 25.9% y -o-y and has grown at a CAGR of

about 60% in the last 4 -year period.

Our strong anchoring across India and Global Emerging Markets continues to be resilient and it contributed over 74% of our quarterly revenues this time . Our growth for India and Emerging markets combined, was about 24% y -o-y which was majorly all organic, and about 16% on a q -o-q basis.

While Global Emerging markets clearly performed exceptionally well and grew by about 41% y -o-y, there was a significant pullback effect of Real Money Gaming (RMG) within the Gaming vertical in India and if not for this impact India would have achieved much greater sequential growth from Q2 to Q3 in FY2024 just as we did in FY2023. Our broad -based growth across diversified verticals continues to give us the confidence that broader market tailwinds in India across most of our verticals and global emerging markets is intact.

Speaking of Developed Markets, we have significantly strengthened our foundation for the Developed Markets with our integrated Consumer Platform propositions , greater investments in sales and marketing and the confidence in our teams to convincingly win from here onwards. Despite the US Fintech Vertical continuing as a major laggard even in this quarter , our growth in Developed Markets together with YouAppi was about 67% y -o-y and 14% q -o-q. With this robust foundation rebuilt, we

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are confident of capitalizing on the improved macro market outlook and our outlook for FY2025 is optimistic.

While most of the other industry players are adopting Gen AI to optimize human capital and cost, Affle is investing in Gen AI powered innovations to go much beyond cost efficiencies to enable long -term revenue growth and competitive advantages. We filed 15 new patents in India during Q3. These patents power futuristic use cases of interaction, training and integration of Gen AI agents and cover advanced AI areas including personalization & recommendation, predictive analysis, privacy and enhanced fraud detection. As discussed over the previous earnings call, in Q3 we launched our 1st Gen AI -powered product which is a multilin gual keyword recommendation engine as a premium platform to drive conversions. In addition to this, we were recently granted a new patent in US related to digital ad fraud and our total patent portfolio includes 35 patents filed or granted.

Continuing to share our customer success stories, this time, we have included 3 case studies, which are focused on travel, foodtech and e -commerce conversions for a global FMCG company.

Our Affle2.0 Consumer Platform Stack continues to be recognized in the industry as the top performer and we recently won top rankings and awards across various industry forums and indexes. For example, in the 16th edition of the AppsFlyer Performance Index, our platforms were ranked amongst the Top 10 Global Gaming Platforms and featured amongst the Global Top 10 (non -gaming) category as well . We also achieved the Number 1 non -SRN App Discovery Platform rank in India. In the Singular's SKAdNetwork rankin gs, we were the top DSP on SKAN 4.0 readiness. Furthermore, we won the "Most outstanding programmatic platform of the year" award at the Adgully Mobexx Awards 2023. Lastly, we also won the "Outstanding Partner Award" at the OPPO Developer Conference.

With that, I now hand over the discussion to our CFO - Kapil Bhutani, to discuss the financials. Thanks and over to you Kapil! !

Kapil Bhutani: Thank you Anuj. Thank you everybody for joining in. Wishing everyone a good day and hope all of you are keeping safe and well. This is the first time we are meeting in 2024. Wishing you a Happy New Year also .

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Continuing our growth momentum – We concluded Q3 FY 2024 on a strong note and delivered Revenue from Operations of Rs. 4,987 million, (i.e. Rs. 498.7 Crore) a growth of 32

.6% y -o-y. During the quarter, India contributed 26.5%, while the International markets contributed 73.5% to our revenue.

Sequentially, Q3 revenue increased by 15.6% q -o-q, led by a broad -based growth in our CPCU business with robust business momentum across Global Emerging Markets and the successful turnaround in Developed Markets.

Our nine -months revenue stood at Rs. 13,366 million, (i.e. Rs. 1,336.6 Crore) a robust growth of 24% y -o-y.

In terms of Opex, our Inventory & Data Cost stood at 61.6% of revenue from operations in this quarter which was higher by about 108 basis points on a sequential basis. As also highlighted by Anuj, we are calibrating our platform on to premium inventories, touchpoints and deeper ecosystem -level partnerships.

Our Other expenses stood at 6.6% of revenue and increased by Rs. 75 million (i.e. Rs. 7.5 Crores) on a q -o-q basis, mainly on account of higher sales & marketing costs to support the developed markets growth during the festive season.

We see this as a short -term investment phase with the combined impact of increase in our Inventory & Data cost and the Other expenses, underpinning our strategic positioning and business growth globally.

Our Employee benefit expense for the quarter increased sequentially by 7.4% due to appraisals in few geographies.

We achieved our highest -ever quarterly EBITDA in Q3 which stood at Rs. 967 million, (i.e. Rs. 96.7 Crore) an increase of 20.3% y -o-y. In 9M FY2024, our EBITDA increased by 18.4% y -o-y, while the EBITDA margin stood at 19.6%.

Our Profit After Tax for the quarter stood at Rs. 768 million (i.e. Rs. 76.8 Crore), an increase of 11.4% y -o-y and 15% q -o-q.

We remain focused on working capital management and as such there were no material changes in our collection risk.

In Q3, we made an investment of Rs. 372.97 million (i.e. Rs. 37.3 Crores) and acquired 9.03% stake in Explurgr Private Limited on a fully diluted basis. Explurgr owns an indigenous social media app for people who like to travel and explore new places. It Affle (India) Limited

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is a strategic investment for us as it complements our verticalization strategy to go deeper into the travel vertical.

Looking ahead, we remain confident of the long -term business prospects to invest further in our business and stand committed to deliver long -term sustainable growth.

With this, I end our presentation. Let us please open the floor for Questions.

Moderator : The first question is from the line of Anmol Garg from DAM Capital Advisors Limited.

Please go ahead.

Anmol Garg: I have a couple of questions. Firstly , we have seen a strong recovery in international business led by developed and emerging markets . I understand that some of it is because of seasonality , but even excluding the seasonality , can we expect the strong growth momentum to continue in the developed markets?

Anuj Khanna Sohumi: In the developed markets , the growth what you are seeing has been long awaited .

First of all , in developed markets we were degrowing for several quarters . We were dealing with deeply internal issue and sorting them out. We knew we would sort it out because we had a clear action plan . We have to see the growth in that context.

This is the growth that we deserved , which belonged to us but had evaded us because of certain issues . We fixed those issues decisively and won it back. Now , when we have won it back, I would say our base is still small and the addressable market is huge. Our belief, confidence , our differentiated offerings and our commitment to deliver growth is there. The opportunity is there for us to take .

I am very optimistic that we will continue this trend because there is renewed commitment and confidence on the ground . The team has greater self -belief ; it is not easy to turnaround , especially when you are fixing the team . I believe, we h

ave done

something fantastic in solving what we did in CY2023. I am very happy with where we are and we are stronger than ever before .

Our optimism , on continuing developed markets growth trajectory is positive , especially on year -on-year basis , because the last few quarters were so muted for us .

The bad news of CY2023, the subdued quarters of developed markets , will appear as better performance in CY2024 because as we build up from here you will start seeing much bigger year -on-year positive trends for developed markets . I am not solely comparing on year-on-year basis only because that is the easier battle for us on developed markets going forward. However , sequentially , our fundamental strength

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position s us to secure what we deserve in the market because we have great products and a differentiated model . Therefore, I am quite optimistic on that.

Anmol Garg: I have a question on the India business as well . We have seen some sequential weakness because of RMG to some extent . Is RMG now coming to the base and we will see good growth from here on?

Anuj Khanna Sohum: RMG has impacted us basically in the last two quarters - in Q2 FY2024 and Q3 FY2024 . In Q2 FY2024, RMG impact ed us in midway because of certain regulatory changes , which impacted the fundamentals of the RMG category and kind of ROI measurement these people do . There was a clear impact and last quarter we quantified it . This quarter the impact was bigger because typically bigger budgets were expected from RMG but they were holding back . The impact was for the whole quarter Q3 FY2024 versus half the quarter of Q2 FY2024.

If I have to eliminate RMG impact , on a comparable basis from Q2 to Q3 and festive season , we would have seen India growing comfortably around 20% year-on-year basis and sequentially we would have grown much better like we have always done from Q2 to Q3 . This quarter the only vertical that I would isolate the impact to is the gaming vertical , primarily linked to RMG and the GST impact . We are hoping that in 2024, this will taper off slowly .

One of the ways to cover that is to go more premium . Just think of business fundamentals - each of these advertisers needs to make money and they need to be profitable. The only way to be profitable is if they get new users and converted users , which are going to deliver high lifetime value for them. If we give them premium users , they will have the ability to pay us and we will be having the ability to price well enough to make around 20% to 25% EBITDA . Therefore , especially , in markets like India where unit economics is harsh, the strategy of Affle to go more premium including there is enough critical mass of iOS devices focusing on iOS SKAN , iOS App store, CTV, OEM, app stores and inventories which are more premium in the market . Getting to more premium users for our advertisers is the way to solve it and this strategy is already in place preemptively before this RMG impact . It will solve all this going forward and may take a few more quarters , but the strategy is clear and the direction is right . Once RMG budgets come back , we will be the first company to take them on to a profitable advertising campaign and deliver value for them . We are ready for it.

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Anmol Garg: My last question is for Kapil . On the cost side , we have seen almost Rs.7.5 Crores increase in the other expenses . Is this because of the marketing expenses in the developed markets and how much of it will continue going ahead in Q4 FY2024 and in FY2025?

Kapil Bhutani: As mentioned in our commentary , primarily this is on account of marketing spends we have started post -Covid and maximum impetus come in Q3 FY2024 . However , in Q4 FY2024, there are many events lined up internationally and in India . These expenses would conti

nue in Q4 before it stabilizes for the next year.

Anuj Khanna Sohum: I can add further on that. As I mentioned in my commentary , when we go for a turnaround situation there are two ways of turning around . One is, which was done by some of our leaders , who had to let go off their jobs , become more defensive when the business is coming down and spend less. However, in 2023 by taking the reins of the developed markets directly , our conviction and belief led to - no, we have to back it up. We realized that , we have to do more investments in sales and marketing because we believe in our product .

If you see consistently throughout these nine months , we invested almost Rs.30 Crores more in these other expenses versus the same period in the nine months in the

previous year. Now , out of Rs. 30 Crores , Rs. 15 Crores should have anyways done because of the kind of growth expectations but we doubled it down to another Rs.15 Crores and you are seeing the impact of that . But this is not a defensive view that expenses are going up. This is a more aggressive move which is showing belief into our capabilities saying guys we need to deliver this turnaround and let us make it happen. I am really glad that we did that and those investments are working and will continue to work for us as we go into 2024.

Moderator : The next question is from line of Arun Prasath from Avendus Spark. Please go ahead.

Arun Prasath: Anuj, I want to ask about the India portfolio . You qualified that RMG is a problem but is a spending in this vertical has completely come to a standstill ? Or, it is more like a budget getting curtailed for the quarter and it will be coming up in by the year -end? What is the ground reality right now?

Anuj Khanna Sohum: The ground reality is this used to be or is expected to be a high growth profitable advertising budget . After the impact of the GST , sometime middle of Q2 FY2024 , most of the spending was being held back or if there were advertising budgets they were pricing it at a level where profitability of those revenues will become a challenge . In order to fix that , one has to understand that RMG has to find its own

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unit economics and equilibrium again and adjust to that . We need to help that category by getting them more premium conversions so that they can make higher lifetime value on those users and get an ROI on the marketing spend , leaving enough room for everybody to make money . The issue is not only about money going away but it is hitting the profitability and the fundamental ROI of those ads spends and therefore it is going to impact pricing.

We as a company will never succumb on pricing . We will always justify that what we do and how we do it. Because their problem is also our problem ; they need to make ROI on those ad spends and we need to deliver ROI to them on those ad spends . We want to make sure that , we do that while ensuring our profitability .

The challenge is both in terms of the spend is not coming and if the spend is there or some limited budget is still there , then the pricing on that budget is still waiting to bounce back . We are helping by fundamentally showing them that when you spend do not worry about pricing , focus on your ROI, we can give you profitable users and you will be able to make money . Let us work together .

All revenue s are not equal . Some revenue s are worth around 20% to 25% EBITDA and some revenue s are not worth that . Affle is very selective & careful and not only taking up the revenue but delivering fundamental values otherwise how would we sustain ?

If somebody run a campaign but they do not make profit , then the next quarter they will not put the budget . How do you build sustainable , profitable and consistent growth ? It is by giving ROI to the advertisers . The math of RMG still needs to find profitability and therefore

sustainable growth but we are fixing it and it is work in progress.

Arun Prasath: If I understand correctly what you are saying about the unit economics part given the current regulations and how the marketable or targetable users in this universe shrunk , it is impacting the stand and which means there are fewer users to be targeted at the elevated CPCU or premium CPCU?

Anuj Khanna Sohum: It will be a mix and not pure. You need to do a mix so that in each campaign it can become better. At least , our endeavor as Affle would be to let us take the most premium segment and the budgets for the most premium segment at the most premium pricing . Let us take that the cream of the budget . Let us say , whatever budget is there for RMG , the most profitable segments , I want Affle to log that in and be the default partner for RMG or any advertiser for that matter in that segment .

However, it does not mean that there will be no budgets for other users . That is not what I am implying . It is not so black and white . It is always more in the gray . What I

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am trying to explain to you is that the unit economics of RMG is shaken by that and it will take time to find its balance . I am explaining how Affle is helping in that and how it will take the best part of the budgets.

Arun Prasath: If you go by your commentary that without RMG we would have achieved around 24% y-o-y growth in India non-RMG business . This implies that the contribution of gaming to our India businesses is quite high which was not I had in mind . Because , I remember you were saying that no vertical contributes more than 10% to 15% but it seems like we are quite hit by this . Is there any other verticals which is the high contributing vertical . For example , currently something is happening in fintech as well with the RBI regulating one of the largest fintech . What are other risks that we are probably running at this point of time . With respect to that, it seems like one or other vertical always coming and biting us at some point of time . Could you can qualify this risk?

Anuj Khanna Sohum: Maybe I will explain to you in a slightly different way. When I say our business is broad -based , what is the meaning of broad -based ? Broad-based means that we are across multiple verticals and across multiple geographies including India, global emerging markets, international markets . Across these markets , which are fairly broad -based , existing customer base is very large and new customers are getting joined in across industry verticals .

At a macro level , of course , certain verticals which are bigger than the others . For instance , fintech is relatively bigger, gaming and e -commerce is becoming important vertical s for us . Category E, F, G and H , which are the four categories that we talk about . I would say category H is now bouncing back with travel is becoming stronger and we are trying to put more investments to boost that even further . In category E , which is e -commerce, entertainment and edtech . Yes, there was a time when edtech was under pressure but the other verticals were going along strong. In category F , we have put case studies on fintech and foodtech verticals several times and we are doing well . This time , we have put the case study of FMCG vertical , which is also doing well. In category G , gaming is definitely strong vertical . In category H , as I said we are improving.

Within the overall global business of our company , in some country , let us say in India , a RMG or gaming category reaching close to around 20% odd but when I look at it overall across emerging markets globally , it balance out. What level of granularity of diversification do we go ? Now when we look at the US market , we have already qualified in my commentary in last couple of quarters that fintech has caused some impact there . The way I wan

t you to look at our business is that it is a diversified broad -based growth business and in that sense it is naturally derisked .

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Therefore , even if we say that we would have done maybe Rs. 23-24 Crores more business with the RMG , that would still keep it around 20% odd or lesser as a whole sort of space within India . If you look at any other Adtech player in the India market , they are probably way more deeply over calibrated. I would say almost all of them , whether it is the publishers or the partners , are easily at around 50% odd plus in the gaming category. Globally , if you look at any Adtech company , they will have more than 50% to 60% or in some cases 80% of the business is coming from gaming category. We are a well -diversified broad -based company and if we were not , we would not have survived . When the US and developed markets took a hit we were still able to cope up because the rest of the 75% of business India and emerging market was doing well. When RMG had an impact we qualified it proactively , but the rest of India is still able to neutralize that impact because we are a broad -based company . Yes, some vertical will have an issue in some country but you must also take confidence from the fact that it is a well -diversified business . It makes me sleep much better knowing that we have naturally derisked ourselves by being broad -based and well -diversified.

Kapil Bhutani: Just to add one thing what Anuj said was we would have done 20% on Y -o-Y growth .

Arun Prasath: Yes, thanks Kapil. My second question is on the margins especially the inventory & data costs . It used to be around 50% to 55% and then we did quite a few acquisitions and then we also qualified that some of those increase in the cost is because of the investments . Now, the growth , especially in the couple of verticals , is under some pressure , is there any scope for us to revisit the strategy and reduce the near -term investments ? Of course , for long term we need to invest but is there any scope for inventory and data costs going back to 55% to 58% rather than currently at around 60% to 62% ? The cost is going back to those levels because there are some headwinds in these categories . Is it right to keep investing in some verticals or is it something that is under review?

Anuj Khanna Sohum: Sorry , which verticals are you suggesting that we should not be investing in?

Arun Prasath: Not at a specific vertical level but overall the growth in some countries has moderated . Is there any plan to reduce and go back to those levels of cost and cut back inventory & data costs ?

Anuj Khanna Sohum: Probably , you have already observed that we are an assertive growth -oriented company. Unless we are forced to , I do not think we will play defensive ly. This is important to know what is the DNA of the company . Of course , it has to be balanced strategy where you play aggressive and defensive both . You cannot play one , but

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anybody who know s us well would know that we will continue to be an aggressive growth oriented player and our postures would hardly ever be defensive by default and therefore I would not pull back.

I would say that there is a great opportunity for us. Around 74% of our business is emerging markets . One vertical here or there is not going to change Affle's overall posture , but we need to be a market conqueror in these places. We are investing in our products. We are future proofing our products and capabilities. We have a differentiated proposition. We are going and winning the ecosystem. We are building ecosystem partnersh ips that will lock in premium relationsh ips and partnerships for 4-5 years . That is the kind of posturing we are doing , so there should be no pullback and quite frankly we are not trying to optimize for a percentage p

oint here or there.

We are doing what is right for our business with a long -term view and that is what we are doing even when we were turning around in the US . The focus was not only that turnaround quantitatively and deliver some number because we need to get back to those numbers . It was to fundamentally strengthen what we were doing in that market . It is like you do not renovate your house just to be at the same level as it was before . You renovate because you want to make it much better . In 2023, we have done that renovation, rebuilding the stronger foundation and there is no reason for us to be defensive to optimize and pull back anywhere . We have a very good market position and we need to keep on pushing forward and we will keep doing that.

Moderator : The next question is from line of Shobit Singhal from Anand Rathi. Please go ahead.

Shobit Singhal: I have couple of questions . First, what was the contribution from YouAppi and the organic growth during the quarter ?

Anuj Khanna Sohum: I would let Kapil answer the split of organic to inorganic but qualitatively , I just want to make two comments before Kapil goes into the detail of the answer. YouAppi , unlike the other past acquisitions which were done in the Covid periods , YouAppi was post-Covid transaction . Given that , we had built our confidence both with good cases and some complications with acquisitions which are always inevitable . Our confidence was higher so we built the thesis of integrating YouAppi within one year and I am confident that we will be able to integrate YouAppi fully within our system in less than one year . We are already seeing very positive engagements in terms of what we have managed to achieve so far. With that as a backdrop , Kapil, over to you to answer the split of organic and inorganic .

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Kapil Bhutani: For the Q3 FY2024 , YouAppi revenue contribution is close to 14.5% and EBITDA contribution is about 9.8% of our consolidated EBITDA.

Shobit Singhal: Second question is around international business . If I exclude YouAppi , we have seen a better performance in international business . Could you give us some sense in terms of the US business ? Where is that standing now and what is the expected growth rate ? Whether things are aligning with our plan ? Additionally , if you could share information on our performance in the other emerging nations apart from India?

Anuj Khanna Sohum: Well thanks for your question. Yes , it is correct that international markets are growing well. I covered that in detail in my commentary . Around 74% of our quarterly revenue comes from India plus global emerging markets and we are doing exceptionally well. Of course , in international markets we are doing very well as well and the developed markets turnaround has helped us. Earlier , global emerging markets and in India we were consistent , barring the RMG situation in India . However, in developed markets , we were seeing a pullback for all this time and that is the reason why you are seeing of international not growing as much . But now , with the developed markets , which

were earlier degrowing , we have managed to turn this around to get it back to the growth trajectory , so you are seeing a positive impact . For next 3-4 quarters , you will continue to see consistent growth in developed markets in the international markets overall. I am very bullish about it and do not see any reason disturbing that.

In terms of more color on specific non -India emerging markets , we are doing broadly well across Latin American markets, the rest of Asia -Pacific emerging markets and Africa . Overall , global emerging markets are a strong anchor for us. The unit economics of India as well as global emerging markets is tough for other competitors to play in and therefore Affle's approach and strategy is able to create the right kind of premium pricing to do profitable business . These markets are harsher territories for other competitors . Yes, there are competitors but we have a competitive moat which is stronger than others in these markets and that is how we are anchored.

Moderator : The next question is from line of Vikrant Gupta from ICICI Prudential Life Insurance . Please go ahead.

Vikrant Gupta : I have two questions . Firstly, if you could talk about the mobile advertising industry in India in 2023 . What sort of growth rate did the industry grow at and how do you think the Affle India grew after adjusting for the impact that we quantified on the RMG side? Are we growing faster than the industry or slower than the industry ? What is your sense and how is the growth for the industry as we exit CY2023?

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Second , on the margins , in Q3 FY2024 despite the strong revenue growth , where we generally see a margin expansion , which did not come true because of the investments that you talked about . As per your commentary , these are front foot investments and you like to continue to invest to get that growth in developed markets . What is your view on the margin trajectory of the acquired entities which got this developed market exposure ? We were thinking that at least directionally the margins would be picking up for these entities as you optimized on costs ? Is there a rethinking?

Anuj Khanna Sohum: Thanks for your questions. I will take the second question first because it is more specific to us and then I will also talk about the industry , India, emerging markets and about mobile ad industry growth .

Now in terms of margin , it is important to see that this is not just usual business and growth . One is business -as-usual growth , where there is sequentially continuity . The other is a turnaround growth. Turnaround growth occurs when, on quarter -on-quarter basis, we were actually coming down in developed markets and then we had to put group efforts to lift it back up , to change the entire direction and push it back into growth but in a much stronger way. When you go t back up , let us be better than where we were before . That is the kind of turnaround that you are seeing here and therefore , that has to be seen in light of what it took to do the turnaround .

The transparency that we built since May 2023 , talking about the fact that , we have issues in developed markets, we are seeing degrowth and we need to turn around and we will turn it around by end of this year. That commentary, transparency, investing into sales and marketing are significant . It is not just sales, I am telling you the amount of time and effort on the ground as well as intensity of leadership that we have provided to this turnaround. It is of much greater magnitudes and the numbers will never show you that . It has taken us a good amount of effort to ensure that we turn this around , to change the trajectory .

One of the parameters that the number is showing you is increase in other expenses and we have qualified that . If somebody is not confident about their product or turnaround capacity , they will not put time & money on its back . I would have not put my words and credibility on it that I will turn it around by Q3 FY2024 . The fact that we believed in our plan , we executed it and we were transparent about it. Now you have seen the turnaround together with that , you have seen the symptoms of higher other expenses so we are explaining that .

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Now, do we have to consistently keep on investing ? No, I do not think so. We do not have to be aggressive on the other expenses all the time , but give us at least another

quarter or so to be sure that the turnaround is indeed steady state and then from there, we can put it to the normalization levels and see a margin expansion. I hope that has answer

ed your question on the growth commitment and the margin aspect.

Vikrant Gupta: You are saying that we may see moderation but you are not sure yet and you would like to wait for a quarter?

Anuj Khanna Sohum: I would want to reserve my options. I am not going to spend where it is not needed but, at the same time, I just want to see how things are going. We will take it up maybe in the next earnings call. Therefore, I am not committing that I am going to pull it back or it is going to be lesser but you will see it becoming more normalized because what happened in the last nine months was a much deeper effort to turn it around versus what we would have done otherwise if we were just closing steadily. I think that distinction has to be taken note of.

With respect to the India market or global emerging markets, yes these markets are growing well and in 2023 the growth in mobile ad space would have been easily around 20% to 25%. However, not all growth of mobile ad dollars in budgets is in the most profitable segment. Factors such as pricing, advertisers and payment terms vary across ad campaigns and budgets. Affle is playing the premium platform play not only because as a public company we have to attain certain level of profitability, but that has been the DNA of our company for the last 10 to 12 years. Even if, I want to or attempt to change, I cannot because it is deeply seeded in our company - profitability, cash flow positive, operations and the margin efficiency.

Most of the sales which come in our organization involve detailed check on campaigns to determine whether we should accept it or not. We check if it deserves to go in the system or not. Even if it goes into the system, the algorithm is designed in the way that looking for premium conversions and premium pricing. If we are not making enough margin there is no point of running that campaign.

The important thing to note is that in India and global emerging markets, there is going to be a very good growth for next many years to come and that growth is anchored on the simple insight that the Adtech industry is still under-calibrated on digital versus the total advertising spends.

In China, US and Europe, the total digital mobile spend has gone up to almost 70% to 80% of the total ad spend whereas, in India and other global emerging markets it is

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well below half of that. In the coming years, we will see consistent growth in digital ad spend in these markets. But because these markets have tough unit economics therefore not all growth, revenue and ad campaigns will be deserving profitable execution. We need to pick up and therefore my emphasis on premium inventories and driving premium conversion so that the advertiser sees a higher ROI and when they see a higher ROI they are willing to pay for that and that is what is important to analyze our numbers. That lens is very important.

There is no other company in my opinion that are large enough to be analyzed and can deliver this kind of profitability on emerging markets. They do not know how to operate on these cost structures and these unit economics. The only way is, go CPCU and go premium. This is the only way to make money in the emerging markets and which is around 74% of our business at the moment.

Vikrant Gupta: I just have one more question for Anuj. I wanted an outlook on YouAppi for FY2025. I think you have characterized FY2024 as a year where you would optimize on the unit economics of the campaigns they are running and it may not reflect as much at the topline. So, where are we in that and how do you think FY2025 would play out for YouAppi?

Anuj Khanna Sohum: I am very confident that, we have done the right acquisition and more importantly post-acquisition we have done the right integration. We are smarter & wiser and we have covered our basis

based on the learnings of what happened before. Therefore, I feel confident to say that with YouAppi we are very optimistic and positive because the product integrations, the platform integrations, the people & process integrations all of that has moved in way more smoothly than ever before. Either we got lucky or we have become better at this as the case might be but I think it is a combination of both. My outlook for rest of 2024 and FY2025 with respect to a fully integrated YouAppi is very optimistic. I would not want to quantify it any further.

Moderator : The next question is from line of Swapnil Potdukhe from JM Financial . Please go ahead.

Swapnil Potdukhe: I have a couple of questions . First is related to organic growth. If I were to look at your numbers for the last five quarters , we have not crossed 15% organic growth in any of these quarters . I understand that can be partly explained by your weakness in the developed markets . What I failed to understand is that when the underlying market , India especially , is growing 20% to 25% , why are we not being able to compensate for that and at least come closer to the market growth ? Logically that

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should have been the case . However, we were grown in low single digit in some quarters so that disconnect is something which is not clear .

Anuj Khanna Sohumi: I will explain to you the math. If your business is growing 25% in India and global emerging markets organically but in developed markets your business is coming down by \$3 million to \$4 million every other reporting period, you would see the overall reporting being normalized down . There is nothing I can do about that math except for telling our investors that we were not doing well in developed markets and we were seeing a pullback and we are trying to turn it around . Now, I am telling you that we have turned it around successfully and therefore you see that the revenue has grown.

If this quarter also , developed markets would have pulled itself down instead of going up, I will still be telling you the same discourse that okay we tried to turn it around and the turnaround did not happen and therefore our growth is not there in the last three to four quarters . We have been seeing this consistent pullback in developed markets. The numbers are coming down. It is not about staying stagnant or growing lesser . It is coming down and is negating some of the growth .

On one side we were turning around developed markets , on the other hand we saw RMG in India has an issue . After the Q1 FY2024 earnings in July or August , the announcement on GST was made. There were these few significant pullback events and yet with all of that we ended Q3 in December with the results that I have announced today. We ended it with the preferential issuance of Government of Singapore investment , with 15 patents filed and turnaround being achieved .

Qualitatively and quantitatively , in every way , our financial balance sheet, our intellectual balance sheet and our market position all of that has turned around. 2023 was a year , where you were living in Affle which was being renovated, fixed and at the same time punching ahead . We have finished all of those projects, we have fully renovated, our foundations are strong and now we are living and breathing and saying "wow, we are entering 2024 calendar year stronger than ever before ." It was a tough year no doubt but if you are trying to make sense of the numbers and the math , the only way to make sense of it is India and global emerging markets consistently growing well till a pullback in RMG come in. Developed markets were pulling it lower therefore the reporting for last four quarters was always not the usual one from Affle.

This is the fifth year since we went public and we navigated all the challenges with almost perfection and I think everybody started belie

ving that in Affle nothing will

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ever go wrong . But it is not like that. Affle is also another company which is exposed to all kinds of things . But, this was an important moment , a significant challenge post-Covid came , how we dealt with it, how did we communicate our action plan since May 2023 till now to deliver a turnaround . I am deeply satisfied with how our team has performed in that context.

Has it changed the thesis of growth of the company ? Is India and emerging markets going to grow slower now ? No, nothing like that . It is what it is . We are reporting transparently and trying to make everybody understand how we are executing . I am very happy with where we are.

Swapnil Potdukhe: Just slightly extending that point . Would it be fair to say that the worst is behind us and now we should start factoring in more than 20% organic growth on overall consolidated basis?

Anuj Khanna Sohum: I would love to say that but I have been advised by our IR team/ senior team to be conservative . There is no reason to be over conservative in guidance on what you should calibrate in your models . It gives us a chance to over deliver and surprise you . For me that makes a lot of sense , please go ahead and model us conservatively and allow us to come back to you with positive results. My state of mind is very clear - I want to grow this company and keep it growing disproportionately but most importantly with much better profitability than any other Adtech industry player in the world . For next five years I would like to see Affle to set a benchmark that this is how you run an Adtech company and I think we will set a great example if we can do that. That is what we will work hard for .

From that qualitative message , if you can do a conservative modeling please do so that. It will be much better versus if you are always putting it aggressive then we will always be under more pressure which we should not be . Because we should execute to how the situation on the ground is.

Kapil Bhutani: Swapnil , just to add to what Anuj answered to the previous question raised by Vikrant . We like to keep the short -term guidance in a muted state because we need one more quarter to be very sure on how our turnaround plan is working. We have done it for one quarter and let us give one more quarter before we come to the next earning call to give you a more concrete vision around it.

Anuj Khanna Sohum: Also, next quarter is significant because there will be no festive season . Even if the turnaround has truly happened it is not a festive season turnaround. It is turnaround that must continue to show without the festive season . Our teams are working really

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hard and we are on the right track . We should come back with positive outcomes but let it be one more quarter.

Moderator : The next question is from line of Rahul Jain from Dolat Capital . Please go ahead.

Rahul Jain: Thanks for the opportunity. Just wanted two to three data points and one question .

If you could tell what is the current RMG mix if we could share that ? Is the non -CPCU business going down in this Q3 , is recalibration of our contract in the CPCU part or it is also because of decline in the RMG business . These are the clarification s.

Just one incremental thought , Anuj if you could share - You said that the 50% odd or whatever percentage people are spending in digital should go higher for emerging market just like the Western world . Do you think this advancement would be function of a better outcome that Adtech player like you can deliver for them ? Is it more about their awareness about spending on the premium inventory as you highlighted or it the general adoption that would happen on its own natural pace ?

Anuj Khanna Sohum: I will take the second question first . The thesis of having the conviction in Adtech

space for next three to five years , especially on India and emerging markets , is broadly anchored on two key aspects. First , we as consumers are deeply spending our time on digital, our attention is completely consumed by digital connected devices and that is not likely to change anytime soon in the next three to five years. The youth or rural to urban all demographics of users , we can safely say next three to five years everybody would be spending around 75% to 80% of their attention span on digital media. On the other hand of the ecosystem , the advertisers have no option but to calibrate up and to catch up to spend their ad spends also in proportion of where the consumer's attention is going . It is a cause and effect.

The consumer has already been on the devices, why is the advertiser not catching fast enough . I started Affle in 2005 and since that time , I believe mobile should be the dominant media and it took a long time . We are turning 19 years old now as a company and still it is under calibrated . It is only a natural course inertia time . It is inevitable that the spending of the advertisers on digital needs to double up from where it is right now . In terms of percentage , I think it has to get into around 70% to 80% zone eventually and I think three to five years is the time for that.

It will have many things. It will have regulation support, technology support and it will have players like us who are saying better ROI , Gen AI and a lot of other things but the fundamental thing is the consumer trend. More and more people are transacting higher value and higher volume on mobile and digital . This is the answer

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to your second question . If I may bother you , could you kindly repeat your first question . It will help me to answer .

Rahul Jain: It was data point. What is the RMG mix a year back ? A reverse math suggested 20% plus or so. What percentage it would be now ? Any data would help here .

Anuj Khanna Sohum: Yes I would say around 20% . It is not reverse math , I am actually stating that number . Considering the budgets, at the beginning of the year i.e. pre-GST time , we forecasted what is going to come in this financial year in the various quarters . When I look at those plans , we see that we should have grown comfortably in India over the Rs.150 Crores plus revenue . However, this pullback in RMG which we have discussed extensively , has impacted our projections . It took away the profitability , changed unit economics and therefore impacted the ad campaigns which are eventually going to deliver .

There is an impact and there is no running away from it . The way to solve this problem has also been provided some insight . We should just see it as it is a blessing that Affle has a diversified broad-based business and these situations will happen in the industry and some will be for a few quarters and some will be for a year . However, I am confident that we will navigate through that gracefully and sensibly.

Rahul Jain: One last question. What led to the non-CPCU part of the business going down is it re-contracting ?

Anuj Khanna Sohum: No, it is not re-contracting . I will highlight the case study that we shared . Non-CPCU campaigns are basically branding or some other forms of ad campaigns that are running . If you look at the case study , it is FMCG customer , which is typically doing branding campaigns . Even for those categories of products , we are increasingly seeing greater adoption of conversion led metrics and doing CPCU business, running ads to drive users, high intent users to e-commerce stores to convert and create a purchase transaction . We are seeing more and more people adopting CPCU business . It is a natural phenomenon .

For all practical purposes , you have to see Affle as a conversion led consumer platform company . Within that space ,

there will always be some advertisers who want to use our platform and intelligence to run other forms of campaigns and we would not stop that . However, our endeavor is always to encourage them to drive ROI and conversion because that is how we are positioned and how we want to be known.

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Moderator : The next question is from line of Aditya Chandrasekar from UBS Group. Please go ahead.

Aditya Chandrasekar: I just have a quick question on the Connected TV (CTV) space . We are seeing the expanding universe of CTV. I just wanted to get your thoughts on how Affle is performing in this segment especially on the CPCU model that you rolled out recently? Thank you.

Anuj Khanna Sohum: Thanks for that question. I love forward-looking questions and especially when they are on our products where we are doing well. CTV is an important aspect of what we are doing not only because this is an expansion in the market where we are seeing linear TVs budgets getting spent into CTV budget . It is expanding the digital pie more because of TV spend over to digital in this particular manner so this is of course a strategic area.

It is also strategic for us because it fits well with our connected devices discourse . In any household , there will be one or two connected TVs and several smart mobile phone devices. Now , how do you create the appropriate contextual sort of engagement and recommendations and experiences for these households is an important aspect in how we run a campaign . The business on CTV is doing well. In fact, across all verticals we are blending CTV as integrated proposition .

For example , in North America it is an integrated proposition. We are going and selling mobile and CTV , at least the pitching from the sales team and going to the customer . All of that is happening in an integrated fashion and it is seen by our customers . We also got direct feedback that we are one of the few companies that is pitching it as an integrated proposition of connected devices of CTV plus mobile . Some of our competitors are now starting to catch up with that and talk about it . It is doing well for us.

It is building thought leadership for us and qualitatively in emerging market . CTV is still at a more nascent level as the market size is not large enough. In developed

market s, CTV is a much bigger phenomenon already . However, when we go there as a combined proposition of mobile plus CTV and presented with our CPCU business model it is being received very well by the customers . Our sales team feels more confident that we have a differentiated way to go to market , which is helping us in many ways.

Aditya Chandrasekar: A quick follow -up. Do you g et any kind of data from CTV or is there any technology evolved for the CPCU model to work well in that segment?

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Anuj Khanna Sohum: CPCU model is a calibration which absolutely works in a scenario where you combine CTV together with mobile . That is why I was explaining to you that it is CPCU on connected devices. Connected devices meaning in a household the CTV is not an isolated device. CTV shows ads to a consumer in household, in that household consumer is also using the smartphone . If there is a conversion , it occurred because you showed the CTV ad together with mobile or you showed only on mobile or CTV then it becomes more of a question of attribution .

When we do CTV business , we go to the advertiser and say this is our product, give us your campaign and we will drive a conversion with the consumer. That consumer is having thi s connected devices access and we are able to hopefully deliver . The campaign will run across CTV and mobile as a combined pit with all the units taken into account but you cannot simply isolate and say this is a pure CTV conversion or this is a pure mobile . The conversion is always

linked to a consumer and the consumer

will have exposure to more than one connected devices and that is the reality we are living with .

CTV as a another ad unit. On mobile you can show a video ad, while on CTV you can show a video ad or a banner ad and you can show different kinds of ad formats . The end goal is to drive a conversion . Once you drive a conversion , you then attribute and say how much was the effect of showing . If you showed the campaign on CTV the conversions were higher. However, i f you did not show the campaign on CTV the conversions were lower . It is kind of data analysis that we are able to show to advertise rs.

Moderator : Thank you very much. Ladies and gentlemen due to time constraint we will take that as a last question. I will now hand the conference over to the management for closing comments.

Anuj Khanna Sohum: Thank you very much for joining our earnings call today and for your insightful questions. I have always enjoyed talking about our company and especially in the context of the fact that we have achieved the turnaround that we had promised and on time . I feel confident, reassured and looking forward to delivering greater outcomes in CY2024. I am looking forward to FY202 5 starting from April . Thank you very much and stay well.

Moderator : Thank you very much. On behalf of DAM Capital that concludes this conference. Thank you for joining us. You may now disconnect your lines .

*** end ***

Call: May 2024

Affle (India) Limited

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AIL/SE/ RCT/Q4/2023-24 May 31, 2024

To

BSE Limited

Phiroze J eejeebhoy Tower s,

Dalal Street, Mumbai 400 001

Scrip Code: 542752 National Stock Exchange of India Ltd

Exchange Plaza, 5th Floor, Plot No. C -I, G Block,

Bandra Kurla Complex, Bandra (East), Mumbai

- 400 051

Symbol: AFFLE

Sub: Transcript of the Earnings Conference Call for the fourth quarter and financial year ended

March 31, 2024 conducted on May 25, 2024 at 11:00AM IST

Dear Sir/ Madam,

Please find enclosed the detailed transcript of the Earnings Conference Call conducted on Saturday , May 25, 2024 at 11:00 AM IST to discuss the results and developments for the fourth quarter and financial year ended March 31, 2024.

The same is also available on the Company's website at <https://affle.com/investor-relations> .

Please note that the audio recording of the Earnings Conference Call was submitted vide our letter AIL/EC/2023-24/Q4 dated May 25, 2024.

Submitted for your information and records.

Thanking you,

Yours Faithfully,

For Affle (India) Limited

Parmita Choudhury

Company Secretary & Compliance Officer

This transcript has been edited to improve the readability

Affle (India) Limited

Q4 & 12M FY2024 Earnings Conference Call

May 25, 2024 at 11:00AM IST

Management: 1) Mr. Anuj Khanna Sohum – Managing Director & Chief Executive Officer of Affle (India) Limited
2) Mr. Kapil Bhutani – Chief Financial & Operations Officer of Affle (India) Limited

Analyst: Mr. Karan Taurani – Elara Capital

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Moderator : Ladies and gentlemen, good day and welcome to the Affle (India) Limited Conference Call to discuss Q 4 & 12M FY2024 earnings hosted by Elara Capital . As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing '*' then '0' on your touchtone phone. Please note that the conference is being recorded.

I now hand the conference over to Mr. Karan Taurani from Elara Capital . Thank you and over to you Sir!

Karan Taurani: Thank you Lizann . Good morning everyone. On behalf of Elara Capital we welcome you all to Q 4 & 12M FY2024 earnings conference call of Affle (India) Limited. I take this opportunity to welcome the management of Affle (India) Limited represented by Mr. Anuj Khanna Sohum, who is the Managing Director & Chief Executive Officer of the company and Mr. Kapil Bhutani, who is Chief Financial & Operations Officer of the company.

Before we begin with the discussion , I would like to remind you that some of the statements made in today's conference call may be forward -looking in nature and may involve some risks and uncertainties. Kindly refer to slide #24 of the company's Q4 earnings presentation for a detailed disclaimer.

I will now hand over the call to Mr. Anuj Khanna Sohum for his opening remarks. Thanks and over to you Anuj!

Anuj Khanna Sohum : Good morning everyone and thank you for joining the call today. I trust all of you are keeping in good health .

Growth thrives in the face of challenges! Q4 FY2024 marked a landmark period for Affle, as we achieved record growth on both y -o-y and sequential basis to convincingly cross the Rs. 500 crore mark in quarterly revenue run -rate. Defying the historical pattern where Q3 is the highest quarter for us in any financial year, Q4 FY2024 has surpassed this cyclical trend by inching above sequentially. This underscores the strength of our strategic initiatives, committed leadership and the strong business momentum.

We have concluded FY2024 on a strong note, with our accomplishments demonstrating our resilience and a clear indicator of our long -term growth potential. Let me highlight some of the key achievements of FY2024:

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1. As also confirmed in the previous call, we have delivered a decisive and timely turnaround in developed markets anchored on our determined execution with increased investments in sales, marketing & business promotion and our hands -on entrepreneurial leadership.

2. We have fully integrated all our tech platforms including that of YouAppi, the business integration of which was successfully achieved within the 1st year itself. Our strategic moat is stronger than ever before with our unified Affle2.0 Consumer Platform Stack of all Demand -Side Platforms fully integrated and powered by Affle's ConvergeAI Supply Cloud , to drive deeper consumer engagements and premium conversions at scale.

3. We have enhanced our product capabilities and invested in new product use cases as well as ecosystem -level partnerships to unlock premium propositions and

touchpoints for advertisers across connected devices, including CTV, Apple SKAN, iOS App Store and other OEM app stores. We have successfully implemented GenAI powered use cases on our Consumer Platform Stack to strengthen our 2V s - vernacular and verticalization strategy to drive greater innovation as well as operating efficiencies. Our GenAI powered multi -lingual keyword recommendation engine has delivered success for our customers across all key industry verticals. 4. We have further expanded our technological prowess harnessing next -gen technologies in a responsible manner, particularly in AI by filing 15 new Gen AI patent claims

, as well as received 1 US patent grant that was previously filed, to unlock competitive advantage and to augment our market position. Additionally, we have started FY2025 with significant momentum, having recently secured one patent grant in the US and one in India. This brings our total IP portfolio to 36 patents, with 9 patents now patented.

With over 5X growth delivered in topline and profitability over the last five financial years powered by our unique ROI -linked CPCU business model, we are poised to further accelerate our growth trajectory in FY2025 with gradual increase in profitability margins.

Speaking of Q4 FY2024 numbers, we delivered revenue of Rs. 5,062 million, a growth of 42.3% y -o-y. We continued to enhance our consumer -centric platform offerings progressively delivering stronger than ever quarterly EBITDA of Rs. 990 million and PAT of Rs. 875 million. Our CPCU business delivered about 88.4 million conversions during the quarter, at a CPCU rate of Rs. 57.0 that helped us achieve CPCU revenue of Rs. 5,038 million, an increase of 57.4% y -o-y and 5.5% q -o-q. We Affle (India) Limited
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are experiencing a strong market opportunity as advertisers are consistently increasing their digital spending. This trend is driven by the widespread adoption of our CPCU model across our customer base and its application to premium use cases, further solidifying overall value proposition and enhancing our market position.

In terms of full year performance, we achieved revenue growth of 28.5% y -o-y and PAT growth of 21.2% y -o-y. Overall, for FY2024, our CPCU revenue increased by 33.6% y -o-y and has grown at a CAGR of about 56% in the last 5 -year period.

Our strong anchoring across India and Global Emerging Markets continues to be resilient and it contributed 72.9% to our quarterly revenues. In Q4 FY2024, our growth for India and Emerging markets combined, was about 28% y -o-y. Our broad based growth across diversified verticals reinforces our confidence in the sustained market dynamics in India and Global Emerging Markets.

Speaking of Developed Markets, we have significantly strengthened our foundation through our integrated Consumer Platform propositions, realigned strategies and confidence in our teams to continue to drive success moving forward. In Q4 FY2024, our overall growth in Developed Markets was about 105% y -o-y and it contributed 27.1% to our quarterly revenues.

Continuing to share our customer success stories, this time, we have included 3 case studies, which are focused on Fintech in India, Gaming as a global emerging vertical and Ride -hailing business in emerging markets.

Our Affle2.0 Consumer Platform Stack continues to be recognized in the industry as the top performer and we recently won top rankings in the Singular ROI Index 2024 for our SKAN iOS performance. We also won 3 prestigious recognitions as the 'Best AdTech Company of the Year', 'Best CTV AdTech Platform' and 'Most Outstanding Programmatic Platform of the Year for Mobile Advertising', at the India Digital Awards 2024.

With that, I now hand over the discussion to our CFO - Kapil Bhutani, to discuss the financials. Thanks and over to you Kapil .

Kapil Bhutani : Wishing everyone a good day and hope all of you are keeping safe and well.

We concluded Q4 FY 2024 on a strong note and delivered Revenue from Operations of Rs. 5,062 million on an overall consolidated basis and Rs. 1,557 million on a standalone basis. On a consolidated basis, our revenue growth stood at 42.3% y -o-y Affle (India) Limited
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and 1.5% q-o-q. This sequential growth is a pleasant change to see Q4 inch above Q3, surpassing our cyclic trend as well as we crossed the Rs. 5,000 million quarterly revenue run-rate in Q4 FY2024.

It was a broad-based growth in advertiser spends anchored on our CPCU business model, coming across our markets. During the quarter, India

& Emerging Markets

contributed 72.9%, while Developed markets contributed 27.1% to our revenue.

Our FY2024 revenue stood at Rs. 18,428 million, a robust growth of 28.5% y-o-y.

Our business continued to be in high growth momentum with our integrated platform & product propositions leveraging upon the evolving digital ecosystem.

This helped us achieve highest-ever quarterly EBITDA of Rs. 990 million in Q4 FY2024, a growth of 38.2% y-o-y and 2.4% q-o-q. EBITDA margin stood at 19.5%.

Our FY 2024 EBITDA stood at Rs. 3,611 million, an increase of 23.2% y-o-y, and EBITDA margin stood at 19.6%.

In terms of Opex, our Inventory and Data Cost stood at 61.0% of revenue from operations in this quarter, which was almost in line with Q4 previous year, while it witnessed margin improvement sequentially despite our ongoing platform calibrations on to premium inventories, touchpoints and deeper ecosystem-level partnerships.

Our Other Expenses stood at 7.8% of revenue and increased by Rs. 65.1 million on a q-o-q basis, mainly on account of our continued investments in higher sales & marketing costs and trade events participation, which was also highlighted in the previous quarter.

Our employee benefit expense for the quarter largely remained flat on a sequential basis.

We achieved a Profit Before Tax of Rs. 1,002 million in this quarter.

Our Profit After Tax for the quarter stood at Rs. 875 million, an increase of 40.2% y-o-y and 13.9% q-o-q, despite an increase in the effective tax rate this quarter and our tax rate is expected to gradually inch upwards.

We remain focused on working capital management, have been extremely prudent in customers profile and as such there were no material changes in the collection risk. Our Operating Cash flows to PAT ratio for the year stood at 88%.

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Looking ahead, we remain confident of the long-term business prospects to invest further in our business and stand committed to deliver long-term sustainable growth.

With this, I end our presentation. Let us please open the floor for Questions.

Moderator: Thank you. Ladies and gentlemen, we will now begin with the question and answer session. The first question is from the line of Karan Taurani from Elara Securities.

Please go ahead.

Karan Taurani : Sir, congrats to you for a very good quarter as far as growth is concerned and also the profitability. The first question is on developed markets. We have been indicating that the developed markets are seeing strong traction. If you could break this up for us in terms of the organic revenue growth that we have seen from the developed markets.

And going ahead, what is the kind of traction as well as what are the kind of growth rates we can expect? Further, what are the kind of verticals that are contributing for this kind of growth?

Anuj Khanna Sohum : With respect to organic / inorganic split, I know this is always the emphasis point.

I just wanted to share that in the US market, we have undertaken a very clear process of making sure that we are fully integrated as a premium platform. We are focused on those verticals where we think we will find long-term sustainable & profitable growth in the US market. We have already combined or we are already in the process of combining even the entities of YouAppi and Jampp, the US entities which we had in the US as well as the operations, the sales process and so on. It is taking effect fully at this moment.

Now, when we look at the organic growth of our company in this Q4 at an overall consolidated level, and not just at developed markets or emerging markets level, we achieved organic growth of about 18.5% y-o-y in this quarter. This is after considering the global impact. Now most of the global impact was in the International markets, developed as well as in few emerging markets. The

sequential basis of looking at

the number is actually perhaps more important because Q3 comprising of the months of October, November & December, is usually our peak quarter.

Now, Q3 to Q4 is better comparable because there's no organic, inorganic adjustment needed. Typically, Q3 is the peak quarter and Q4 would be a slight dip on a sequential basis. In Q3 to Q4, we have sequentially seen a favourable impact.

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We are seeing that the Q4 trend even in international markets was in line with the Q3 trend. So, the growth momentum is there for us.

I can safely say to all our investors that we have fully recovered and bounced back from all the complications that we were facing with respect to rebuilding and turning around Jampp. We have fully integrated all the acquired companies. We have also successfully fully integrated YouAppi, and the synergies of that are more or less already visible in the Q4 results and would be even better realized as we go proceed further into FY2025.

Within the next few quarters of FY 2025, you would find more synergies emerging from how all of these platforms are now completely integrated to the Affle ConvergeAI supply cloud. That is having a very positive impact in the way we are able to expand, scale, drive premium conversions to our advertisers. I'm bullish about the way we have integrated and going forward in Q1 FY2025, almost 2 months of which have already passed, we are already enjoying the benefits of this integrated approach of running our company.

Karan Taurani : Any verticals that you will point out, maybe in emerging or developed markets which are doing strongly well. Anything on the verticals level point of view?

Anuj Khanna Sohum : Thankfully in Q4, all the pressure points have been neutralized and balanced out. We are seeing broad-based growth across verticals and across all markets. We are calibrating carefully to ensure that we are not having any overdependence on any specific vertical.

Our goal is to keep it broad-based as much as possible across geographies and verticals. At the moment, I have no pressure point to report to you that we are feeling any stress or pressure in any particular vertical. In fact, we are seeing positive momentum everywhere at the moment.

Moderator: Thank you. We will move on to the next question. That is from the line of Anmol Garg from DAM Capital. Please go ahead.

Anmol Garg : Congratulations on strong sequential growth in our seasonally weak quarter. Just had a couple of questions. Firstly, going ahead in FY 2025, now as you are indicating that most of the complications are over. Would it be right to assume that the company can grow 20% plus again for the foreseeable future?

Anuj Khanna Sohum : Well, I have always said it very clearly that I measure our team internally as well as I measure my own performance internally at that kind of a benchmark where at

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least from a bottom line perspective, whether it is cash flow, whether it's profit after tax, I wouldn't settle for anything less than 20%. So in terms of revenue growth, I think it should also be in line with that. I would always be pushing for that.

Having said that, given the backdrop of how things have been last year, it should be easier to do this year than the last year. So, if you just look at the run rate that we have in Q4 which is typically our weak quarter, and it's important to take note of that. There is no one-off event, which has helped us to look better in this Q4. What we have delivered is a broad-based all-round, sensibly calibrated growth which we will definitely be able to defend and improve upon as we execute into FY2025.

It's a simple math. You look at INR 506 crores in Q4, give it some sequential uptrend and calculate H1 FY2025, you would naturally see that the math will add up that in FY2025, if we defend our Q4 run rate an

d do a little bit better, you would see that

the math would land up in that zone of numbers that you're seeking for me to confirm.

But I mean, I leave that to you in terms of modeling. Long term, as long as the consumers are still using smartphone devices and connected TV, and that consumer trend is intact, I would expect nothing less than a 20 -odd percent growth from our company.

Anmol Garg : Sure. Secondly, I wanted to understand the non -CPCU business part. In Q4, it's almost non -existent now. So , just wanted to understand if we have deliberately reduced the work over here and what's the outlook over there?

Anuj Khanna Sohum : I've been pushing the entire organization & team s and saying that let's make sure every product, every use case in every vertical is pushed on the CPCU business model . That is our differentiation. That is how we stand. If you noticed a few quarters earlier in the earnings call, I mentioned that even our CTV product is now getting blended with the CPCU business model and accordingly pushed into the market. We have found that to be our anchoring transition. I have given a deadline to our team that starting CY2024, we have to push really hard in that direction and we have been successful in doing it. I am very happy with that outcome. In fact, you have to see it as the CPCU business is like the single cash -generating unit for us as a company.

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Anmol Garg : Sure. Last question from my side. As we are seeing more synergies coming in YouAppi and Jampp business, particularly in developed markets. So can we expect that as more synergies play out, margin s will increase going ahead?

Anuj Khanna Sohum : Absolutely. See, when we acquired Jampp - one of our thesis was to enter into Latin America markets, North America markets, go into gaming. Jampp was struggling to kind of achieve those goals. In order to augment that and to solve it, we had to take some decisive steps last year.

One of the steps was absolutely to acquire YouAppi and see how we can create those objectives and get to those growth targets that we have as an organization at the consol level. Affle has done fantastically well in that execution.

This year, I am super proud of how we have integrated this whole go -to-market approach. At the same time, I think rebuilding Jampp. Now synergies -wise, there are 2 areas of operating synergies that we will be working towards. One - the ConvergeAI supply cloud, which is like the Affle's core engine for the platforms, which is essentially making sure that all our DSPs have clean supply . Clean meaning that there should be no bot traffic . How do we filter out the not so good traffic and really have clean access to the consumers and target premium consumers, on-premium inventory. So this efficiency we are bringing to all our integrated platforms.

The second area is compliance, making sure that we are dealing with data privacy, we are dealing with all of those aspects and providing that baseline level of compliance as well as clean premium scale up in terms of the traffic.

This is leading to great outcomes because all the platforms are leveraging the same sort of central platform capabilities. That is helping us in dropping certain areas of cost and optimizing the margins or even growing more premium, maybe the cost is the same, but we can charge more to the advertisers. We can go and inch up our pricing. I think those synergies are now starting to show in our numbers.

I am feeling the power of it in the execution. That's why we have also said that progressively we will see some incremental improvement in profitability as we execute and scale from here onwards.

Anmol Garg : Sure Anuj. That's helpful. Thanks for answering.

Moderator: Thank you. The next question is from the line of Rahul from Dolat Capital. Please go ahead.

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Rahul

Jain: First question for Anuj. I know you said growth is really broad -based. But is it possible to attribute it in some manner such as, let's say, is it more client wins, is it revival in spend from some of the troubled clients such as the Fintech in US or

RMG in India? Any flavour for this quarter and in general demand environment across key markets, would be of great health?

Anuj Khanna Sohumi : Thanks for that question. I will give this answer in 3 dimensions to you. Let's look at India. In India, we are seeing more broad-based bounce back across verticals. We are no longer feeling overdependence on gaming or real money gaming. We broadened our approach towards that. So I think that effect is weaning off. In terms of emerging markets, global emerging markets beyond India, we never had any issues. So we are doing fine there. But what we are benefiting from is that we are selling more integrated product propositions. We are going and winning new logos and customers and we are winning it with a competitive advantage of bringing an integrated suite of capabilities. A lot more upselling and cross-selling is happening with the way we are approaching the market. That's really working well for us in markets like Brazil, Southeast Asia, Middle East Africa and so on.

In terms of the developed markets, I have already commented earlier that we are going out there, again, with an integrated approach and finding positive outcomes. But there is less pressure now on the Fintech vs. the rest of the year. In this quarter, we have seen budgets coming back from those customers who had tailed back before. So there is an all-around favourable impact. The pressure points have been released. The strategic integrations of our products and platforms coming together are being realized across markets.

When you see existing customers, you see there's a lot more upselling and cross-selling happening. When you look at new customers, we are winning better in the verticals that were under pressure, as well as the integrated proposition is a competitive moat versus our competitors don't have all these integrated platforms in their capabilities. It is definitely helping us get budgets on these basis.

Rahul Jain: One question for Kapil. Given the fact that our organic growth is back to about 20%, is it safer to assume you may get operating leverage of nearly 70 to 100 bps here on? And any specific reason for the jump in the unbilled revenues, if you could highlight?

Kapil Bhutani : I will answer your second question first. There is no specific reason for the contract assets or the unbilled to increase. If you compare it from the last year, the turnover of the revenues from YouAppi have added in. So that is first reason. Second reason

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is the developed market billing either for Jampp and YouAppi was earlier being done on the 31st of the last month which has gotten changed into the 1st or the 2nd of the next month.

The dating of the invoice has changed, and that is in line with our SOPs and RCMs. On the cutoff date that has brought in a higher unbilled versus the previous year opening. With regards to the efficiencies on the organic growth, as we have mentioned that we are working for the premium inventories, so we are striving there also. It cannot be assumed that it will be 100 bps. Yes, there will be some efforts to notch it up. But yes, we are spending a lot of efforts to prove our inventory base on the premium inventories also

Anuj Khanna Sohumi : To add here, we are also seeing the Gen AI-related efficiencies. Gen AI is helping in two dimensions. One is innovation. Clearly, bringing new use cases and power of Gen AI to make our advertisers get better ROI. The second area is improving efficiencies. Efficiencies means we can do the same things faster, better and with less manpower involvement and so on.

Whether it is coding,

testing, creating media creatives, creating data science

decision-making or reports, many things are getting automated inside the office.

We are embracing Gen AI like a full embrace on the innovation, on the product side as well as on operating efficiency. There will be definite positive impact on the margin. Let's not quantify it and take a forward forecast or basis points but let us execute and deliver the numbers and you will see the trend as it emerges, but let's not nail it down into some specific number forecast. But I'm pretty optimistic that we are seeing efficiencies for sure.

Rahul Jain: Yes. That's helpful. Congratulations on achieving the milestone.

Moderator: Thank you. The next question is from the line of Swapnil Potdukhe from JM Financial. Please go ahead.

Swapnil Potdukhe : Congratulations on a good set of numbers. First question is on the breakup of your revenue growth across India and other emerging markets. I know you have given

the combined number, but it will be helpful if we can break it down and help us understand separately. Any particular reason why you have changed the reporting structure with respect to growth in these markets? That would be my first question.

Anuj Khanna Sohumi : Okay. In terms of year -on-year growth in India, we have seen over 15% year -on-year growth. In the rest of the markets, we have already provided that. If you see India

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and emerging markets on a combined basis, that's over 28% and in developed markets over 100% .

But what is happening is that the advantages that we have of our business in India, in terms of data, in terms of data science, capabilities, product, processes, efficiencies, dealing with the mass sort of volumes that we are dealing with in terms of the Indian consumer and how tens and thousands of servers are running to process that efficiency, the same efficiencies are absolutely replicable across all other global emerging markets that we are running into, where the pricing is always under pressure. The number of users is very high. The data science algorithms are also finding that what we do in India is actually finding great success in terms of how we apply it directly into the other emerging markets. So we see that as an important sort of segment that emerging markets globally are behaving in a certain pattern. And what we are doing, of course, is anchored on India. India's anchoring and how we report India is super important. It is anyways as a listed company, India stand -alone is being reported and consol is being reported. But from a growth perspective, we are seeing that India and emerging markets is one segment . Let's take out the developed markets and see how we're going to ramp up there, bringing it back into the focus versus blending it as one, I think it was important to see it in that lens. I hope I've answered your question.

Also, it is all around growth and I'm very happy with what we have achieved . It's super important to exit FY 2024 with this kind of a growth momentum where organically overall consol basis, we are seeing 18.5% growth year -on-year. This is very positive. I hope to improve it in further as we execute into the rest of this financial year.

Swapnil Potdukhe : Got it, Anuj. The second question is - The other emerging markets growth seems to be significantly higher over the last two , three quarters. In fact, if I'm right, it would be more than 30%, 35% kind of a number. Now what kind of confidence we have that this growth will continue in FY 2025 as well given that the base itself would have changed? Any particular verticals within these other emerging markets that are doing significantly better than others?

Other question is with respect to developed markets as well, wherein there has been tremendous growth in those markets as well. Any particular thing that you're doing differently this time around, which

is helping you penetrate the customers in those markets. Because there is a significant competition in those markets already. What is helping us penetrate the customers. Some examples could be helpful.

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Anuj Khanna Sohumi : In terms of other emerging markets, we have seen a consistent pattern of growth all along. What has helped is that there was no particular pressure point that, oh, there is a problem in this vertical or that vertical. Unlike in India, there was either an Edtech issue, then there was challenges in gaming verticals and so on . There were different moments of challenges coming in different verticals in India. Then in developed markets, there were similar challenges coming across certain verticals and issues, but I think in other emerging markets, we were fortunate that there was no such stress point at any moment.

Now it is benefiting overall from the fact that we are doing all the integrated propositions . We are able to do upstanding and cross -selling of those propositions. Therefore, there's a broad -based growth both on existing customers and new customers. Regarding developed markets, I already answered that question earlier. So if you have any specific clarification on that, I'm happy to clarify.

Swapnil Potdukhe : What I meant in the developed markets is what exactly is helping you win more revenues from those customers which otherwise would have been working with

some of our competition earlier?

Anuj Khanna Sohum : What's helping us there is in, let's say, one, that the customers we already had in Fintech before who had pulled back quite a bit because of their own industry dynamics, are coming back. Those budgets are coming back. So that is one factor . The stress point has been released. Second is, we are also pushing our gaming as well as non -gaming products in an integrated fashion, like I mentioned that we are creating synergies across how we can push certain use cases in an integrated way in the North America market and that is helping. Third is the execution. Our base is so small.

Our base in developed markets is quite small . So it's not a scenario where one has to think that okay we execute well on the ground, sharply on the ground with the right kind of sales and marketing positioning our product, definitely has the capability to deliver and be competitive versus those competitors out there. How to win business out of them is just about sales execution. That's why you would see that last whole financial year, we have invested disproportionately more money in sales and marketing efforts. I think that has yielded results. I mean first, you start investing, then you build a pipeline. If your product and merits are good, you will convert those pipelines. So that's what is happening. Just sensible execution on the ground.

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Moderator: Sorry to interrupt Mr. Swapnil may we request you to return to the question queue. There are participants waiting for their turn. Thank you. We will move on to the next question that is from the line of Mayank Babla from Enam AMC. Please go ahead.

Mayank Babla : Congratulations on a great set of numbers and a great exit to FY 2024 despite the seasonal weakness. Anuj, my question is to you that you mentioned earlier in the call that there were no one -off events in this quarter and also the integrations are coming through nicely for you. So in the future, can we see the seasonality in Q4 disappearing in the foreseeable future?

Anuj Khanna Sohum : No, I wouldn't say that. I would say that this Q4 is a better outcome because of several unresolved things getting fully resolved . I think I made that statement last time also that by the end of Q3, a lot of the challenges were already overcome. I was keeping fingers crossed that my assessment be right and then we will show it in Q4, and we have shown it in Q4.

I think that's how you should look at it.

The fact that Q3, October, November, December has always been higher than Q4, it's more of a function of advertising industry and budgets. The consumers are in a happier state, it's festive moment. So the advertisers are also spending and the consumer is also spending more. There is a clear correlation there. I would expect that trend to continue. But at the same time, this Q4 is not a one -off in the sense that this is the new base. This is the new base where we are at, and on this base we will be able to continue to build up . So what you're seeing here is that, oh, this is about an exceptional Q4. It is a normalized 3 month result that we are seeing. This is the base on which the business will continue to build forward .

But as you go and model FY 2025, you would say, Q1 should have some sequential growth. Q2 should have some sequential growth. Q3 should have that better spike that used to happen each year. And then Q4 of FY 2025, I would still model it slightly lower than Q3 FY 2025. Does that make sense?

Mayank Babla : Sure. Got it. My second question to you is I wanted to understand what is your vision or strategy with all the patents that Affle has . I mean how do you plan to monetize them? Or is there any aspiration there?

Anuj Khanna Sohum : The patents are monetizable in many ways. The constructive way of monetizing is to be innovative , put into your products those patent concepts and then go and make money by selling to the advertisers . So a lot of big companies respect that . A lot of big companies would respect that and say that you are the inventor. So we will work with you because using another company's product which may have patent

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infringement issues later on . The best way to monetize is by taking that first mover

advantage back into your products and taking it to market and winning.

The other way of monetizing is to go and issue notices to all your competitors and say, start paying me royalty because you're trying to use this particular invention that is assigned to us in this patent. But Affle has not taken this approach so far. We are winning business on the merits of our products versus trying to go after the industry and say, "Hey, this is our patent. Start paying us the royalty." We have not exercised that option yet. Someday maybe we might look into that. But it is much more prevalent in U.S. I will look into it maybe FY2026 onwards. But for now, the patent is an indicator of the future readiness of our company, of our products, our mind-sets and it is also a great opportunity for us to defend areas of future invention. In Gen AI, when there will be more companies and products doing many things and we will have the patents in those areas. I think we will have some clear advantages whether in terms of acquiring those companies or investing in those companies, and we will use it to our advantage at the appropriate time. But it's been core to our philosophy.

Mayank Babla: Got it. Thanks. Best of luck for the future and hope you will drive higher and higher growth.

Anuj Khanna Sohumi : Thank you.

Moderator: Thank you. The next question is from the line of Arun Prasath from Avenue S Spark. Please go ahead.

Arun Prasath : Anuj, the YouAppi performance looks very good. When we acquired it last year and compared to that, it has kind of doubled. If that is the case, I know our exposure to gaming is very small. It's a very big market. But can we double this? Can we grow in this space in this vertical? What is our right to win? Now you have seen YouAppi closely for the last 12 months. How can we sustain this growth? If you can add some color to this?

Anuj Khanna Sohumi : Yes. A few things I want to share. One, YouAppi has achieved for us what we once thought Jampp would achieve for us. We have achieved the right level of integration points

. One of the things that we have also seen with YouAppi is that we have been able to enhance the upsell opportunity with the CTV initiatives of our company that were built organically by our company over time and have now been fully integrated with YouAppi as well as Jampp.

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We are able to integrate these platforms and use cases in a way where considering that with the CPCU business model, we are creating a greater right to win for us. The differentiation is on the product. The differentiation is on the business model. And of course, you have to still execute well on the ground.

I think with all of these things combined plus the Gen AI innovations that we are doing, we are really lifting up the differentiation and the moat of all of our companies by combining the power of the use cases across our platforms. We have already seen success stories on that. If you see the case study that we have shared this time, it's a gaming case study, gaming customer but on CTV. CTV was not something that Jampp and YouAppi or any of these platforms were doing before. We have built it over time internally across these platforms. We are able to augment these use cases to create success. Upselling to existing customers of YouAppi, Affle's products and propositions as well as bringing new differentiations to these platforms so they can compete better in the market, that's something we have done exceptionally well.

Earlier during COVID times when we were doing acquisitions, we were already conservatively guiding 3 years to integrate. And actually, we took that time as well because we were figuring things out. But now our confidence is so high. We have seen the good cases. We have seen the not so good cases.

We know how to manage it, fix it and deal with it and while communicating transparently with all stakeholders like yourselves, So I'm very positive about how our company is shaping up to take on FY 2025 convincingly.

Arun Prasath : So Anuj, where today CTV is, how it is growing and how big an opportunity you have in gaming, is it fair to assume that you yourself will be disappointed if you don't sustain this kind of a space in YouAppi?

Anuj Khanna Sohumi : I think you have to go beyond this. I've been saying it very clearly that it is 1 integrated cash generating unit and 1 integrated platform stack. I am seeing it as 1 integrated body with many limbs, and those limbs are all being integrated to the

one common central ConvergeAI supply cloud of Affle. Now that is how you're going to see it. So you say that, okay, there is 1 DSP that's focused on gaming. There's another DSP that's focused on CTV. But this is all working in an integrated fashion across one sort of central system. It is not going to be a one-trick pony that okay, this one is doing well or that. There's no such cross-platform hedging that is necessary. It's really an overall market.

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So an overall market, we have a right to -- and by the way, if I break it up like that, we will not have the competitive moat that we enjoy today. The way we have integrated it, that was always the plan, that is how it was supposed to be done, and I am glad to report that we have achieved it. Today, every single acquired platform is fully integrated as one cash-generating unit within the Affle Group, powered by our Affle ConvergeAI supply cloud and we are doing well. These platforms, I dare say, wouldn't have done as well, if not for these integrations. Had we not put in the CTV, had we not put in our supply efficiencies to deal with it or introduce certain mechanisms, I don't think we'd be doing that well. So now is the time to say, is the overall advertising budget of the advertiser is going to support our growth plans and the answer is yes. We are seeing growth in advertising budgets in some of these emerging areas. Our advertisers are com

ing to

us and saying, "Hey, show us what we can do in CTV." And it is not about just TV. It is integrated right, saying what can we do in the consumer journey? How can we leverage some of these innovations and drive better consumer conversions. End of the day, what an advertiser wants is to engage with their right quality of consumers and to convert with them.

Now whether you touch them on a mobile or a CTV or other variable computing or you use Gen AI, whether you deal with them on a vernacular context of trying to convert, are you using video, or are you using banner, those kind of things are what we need to absolutely integrate and all our platforms are able to do those integrations to bring conversions to the advertisers.

We are seeing budgets across verticals, across our markets. It's also a blessing our base is still small. Affle has a long, long runway of growth ahead. Our base is still small, whether in developed markets, other emerging markets or even in India.

There is room for a lot of growth.

Arun Prasath : Very interesting. Anuj, you are saying you have integrated very well. You have greater resources and bigger team, more proficient team as compared to, say, what -- what was that in 5 years. So you have all the levers to grow and then you have a bigger market. So given all this is growing at the industry level slightly higher, it is given. But what are the specific challenges that you are seeing so that you can grow at higher rate than the industry growth? Because you have all components in place with you right now.

Anuj Khanna Sohni : When you say industry growth, you have to see that not all ad revenue in the industry is worth 20% EBITDA, not all revenue is equal. When the industry growth

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metrics is reported, it's only reported on revenue, correct? That how much ad spend increased. But some of that ad spend, I would reject that budget completely and say about the pricing, the way those guys are asking for it and whoever is chasing for it, that business. I don't want to do that because that business will give us nothing. There's no margin. There's no profitability. You have to choose the battles that you will fight. If you look at our commentary, we are saying that Affle is not just going for growth, it is going for cash flow positive, bottom line sensible, high-margin premium profitable growth.

Now when you add all of that together, then you'd say that, okay, which segment should we be playing in? Which vertical should we be playing in? Should I be going for more iOS? Should I be going for more SKAN & iOS, should we be going for OEM app stores, premium, etc. Kapil had also talked of our premium inventories.

I just want to explain to you that we are going for the highest profit pool segments in our business. And then going for those with great efficiency and therefore,

delivering superior financial results on top line growth and bottom line sensible outcomes . That's how you have to look at it versus saying, industry average growth industry average profitability is also not that strong.

We want to be that and therefore, going premium selective, I will choose my rate of growth and the profitability and build for sustainable, sensible growth. So therefore, I think as long as we are operating in that sensible range of about 20% growth, I think that is a good, healthy place to be in, in our industry.

Arun Prasath : Thanks Anuj. Thank you very much.

Moderator: Thank you. The next question is from the line of Moez from Ambit . Please go ahead.

Moez: My first question was that in previous quarters, you had called out some slowdown in real money gaming in India. Has it changed incrementally in this quarter? And what's your outlook on this sector moving forward?

Anuj Khanna Sohum : Thanks for that question. Whenever there is any major change, where suddenly an unexpected change comes and then

everybody has a major reaction, there will be a period of time within which that reaction will get digested, normalized and things will get a little bit better.

I wouldn't say real money gaming has bounced back fully . It's yet to be back to its past glory, and there is definitely some impact. But Affle has gone beyond that. We are not interested in just talking real money gaming because Affle is way more than Affle (India) Limited

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that. For us, It was just 1 vertical in 1 market. And yes, it was a big exposure point, but we have gone beyond that. I am no longer going back to that discourse anymore. We will grow in India on a broad basis. Real money contributes more, great, but I'm not channelizing or keeping a baggage of that in our minds nor in my discourse. But yes, real money gaming, there's still some room for it to bounce back , become better, but our solution to that is the same. What is the issue with real money gaming? The cost of doing that business has gone up. The incentive for the consumers to play those games has gone down because they can't make enough due to taxes . So the only way to do is go to more premium base of users.

Now, if you go to more premium base of users, those have bigger lifetime value, contributions to the advertisers then they can afford to spend . The solution to most of what we are talking about from a strategic point of view is, play in the premium segment, go higher up in the value chain, go on CPCU business model, price higher, get higher ROI to the advertisers, that's the name of the game, and that's exactly what we're doing.

We are going on iOS platform in a big way. We are, of course, programmatic CTV. We are going for innovations and Gen AI. We are going for CPCU business model. All of these are indicators of going more premium for higher ROI customers. Then similarly, on the supply side, we are saying we're going to target more premium touchpoints . Just see the trend line that we're talking about, it solves not only for real money gaming, but most of the challenges in the industry.

Moez : All right. My next question was on your average CPCU rate. So now with your focus on targeting more premium customers, is it fair to say that your average CPCU rates would go up in the future? And how would that split be between, say, the developed and emerging markets?

Anuj Khanna Sohum : Pricing is always a sensitive topic and to command a higher price, you have to first demonstrate higher value, right? So the way it works is that as you go more premium, we'll be able to show to the advertisers that when they're working with us, they're getting higher value. Consequently, we should command better pricing. To command better pricing, we have to deliver that higher value and create competition for that amongst many advertisers.

All of them coming to our platform and bidding and saying, you want more volume on our platform, you got to bid higher price. So there is a gestation period. First, you invest in the innovations to go premium, deliver that value proof of the pudding, Affle (India) Limited

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get enough competition in the market then influence the pricing. That whole process is underway, and you will see that inching up as we go along.

There is room for revenue growth, there is room for pricing improvement, there's room for margin improvement and efficiencies. I am optimistic.

Moez: All right. Thanks.

Moderator: Thank you. We'll move to the next question that is from the line of Rishit Parikh from Nippon India Mutual Fund. Please go ahead.

Rishit Parikh: Congratulations on a decent quarter. Just couple of questions. One, how are we splitting responsibilities given that we've had some changes in the U S market especially where you've taken up responsibilities, but now obviously you've got India and emerging market which is also growing fairly well. Just sort of help me

understand on how the management responsibilities are playing out? Have you relocated or how are you looking at that business?

Anuj Khanna Sohum : See today, in my opinion, and I've said it many times that Affle is still a very small company. I mean over 600 people is not a very large company. In my view, it's a 19 - year-old company where in the last 12 months I would travelled to every single office of Affle from Argentina to US to Japan to Korea to Southeast Asian offices, of course, India, every other time, Israel, including pre as well as during and post war and so on to Spain. It may seem like we are all over the place, but we are still a small company.

All of the 600 + people in the company, I would have either already met or known with great proximity. But this is not only about me. What I am saying is that we have a big management team for the 600 people. So if you go to our website, you look at the management team profile of our company. The Chief Revenue Officer, the Chief Operating Platform Officer, the Chief Architect of the Platform, the Chief Strategy Officer, all of these people, a lot of them have been with the company for 17 to 18 years. Many of them have been with the company for 10-plus years. And then you have the next line of leaders who are already strong professionals which we have acquired. So YouAppi, which we acquired, within Mediasmart which we acquired, within Appnext and so on. That bunch of people are the non-entrepreneurs, the professionals who are CXO level people in those companies, haven't made much money from the exits, they are in it for the stock options that Affle (India) has given to them.

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They believe that, hey, we're going to grow 5x in the next 4 years of their vesting schedule because we have seen in the last 5 years, we've already grown 5x in terms of at least our revenues and profitability. So they are seeing that, okay, hey, this is a team that knows how to execute.

Next 5 years, if they stay together with us, there is a lot of incentive alignment. I would say there's at least a good 20 to 25 people who are CXO VP level people in this company of only 600 people. So we don't have a management bandwidth issue at the moment. I'm still picking up my children from school and helping them to bed in the night. There is a balance of life. Though there's a common joke in the family that I love Affle more than the family, but other than that, I think we are a young team. We are ready to work hard and fight it out, and we have a strong team, a big enough team, and we feel that our potential within management team to lead this to 3x to 4x growth from here and still be the leadership team without making any dramatic leadership changes or upgrades is possible.

I don't see us growing too much in the employee base. So if we have 600 -odd people strong, to grow 3x, 4x from here, I mean, I don't think I am needing that many more employees. It's going to be a test. In fact, with Gen AI capabilities the way we're implementing it I don't think we have to grow the employee base too much.

Rishit Parikh : No, that makes sense. The second question is on Developed Markets. That's interesting. Now look, it's 27% of our revenue base, right? But on an absolute number, it's still much smaller considering the size of the market that we are operating in. So, just sort of help me understand that, look, from the capabilities, what is the strategy, let's say, from a 3 -to 5-year perspective in this business. Are we sort of targeting niches? What is the kind of competition that we typically run into? And then from a growth & outlook perspective, are you sort of being a little more conservative because that business, in my mind, can grow multi-fold. And your India AUM is already growing 20% on an aggregate basis, right? So I mean just sort of help me sort of put that puzzle in the D

M, even a little more perspective around 3 year to 5 year strategy.

Anuj Khanna Sohum : I have been advised by all our top institutional investors, Anuj, you are too aggressive and bullish all the time. I say but that's who I am. I mean that's how I lead my role as a CEO, as an entrepreneur. The advice is under promise and over deliver. By no stretch of imagination, am I saying that 20% plus growth is under calibration.

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All I'm saying is that when we are looking for growth, we are looking for sensibly calibrated growth, which I think there is a lot of revenue in this market. I mean, if you tell me just grow the top line without worrying about the bottom line too much, yes, I mean that game, I could have played even 10 years ago.

We have built this company on the DNA of profitability, cash flow, positive and sensible execution . So I think the philosophy of running the business that way is actually something I would never trade -off for anything else. I think that has been a huge advantage for our company, especially in the context of being a public listed company because we were always building Affle the same way. So I wouldn't change that for anything.

Can we get a lot more growth? The answer is yes. Can we get it now this year, this is, sure, we can. But I don't want to grow in a way that is not sensible. So we will pick our battles. We'll pick and focus and grow sensibly. If we over deliver on that, that would be cause to celebrate.

Rishit Parikh : What I'm trying to understand is, look, you've got gaming, you've got couple of verticals today. So that 3 year to 5 year strategy is what I was looking for. How do you sort of penetrate into customers. What is the strategy of expanding slow deals strategically across some of these customers. I get the profitable part which is something that you highlighted earlier in the call as well .

Anuj Khanna Sohum : That's right. So I was just commenting on your last comment that are we under calibrating at 20% growth . And I'm saying no. I'm just being more balanced about it.

Having said that, let me also put it this way that our strategy is already very crystallized on vernacular and verticalization. Adopting Gen AI capabilities for greater innovation and efficiency, integrating all of these platforms and use cases, offering a full suite of services to the advertisers, right from mobile to CTV to wearables, give them something that they cannot refuse in a business model with CPCU pricing. Then say, that when you get ROI, pay us, you're not successful, don't pay us. But give us your budgets for across -the-board budgets. TV budgets are going to CTV, let's fight for that. Mobile is already continuing to grow, let's get greater ROI and make the consumer centric CPCU business model. You know our vernacular verticalization strategy, how we are putting the Gen AI together. You know how we're executing deeply with the committed team in India, not letting that be focus for anything under the sun. Yet , having local teams in Southeast Asia, Middle East Africa, Latin American markets, also looking at CIS markets going forward, looking at North America . Our team is already doing so well in Japan.

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Focus is local execution. And for those local teams, let's power them with the resources for the highest level of market share win in those markets. So verticalization is an important execution strategy because we can start small. We don't have to go and say, let's attack all 10 verticals in every market that we are in. So when we open North America or Japan market or when we go into Spain or UK, you're looking at it which are the verticals that we can go in and shoot for like a snapper. Have a small team, have a small sales team there, 5, 10 people, and then let's go and win against competition on the merits of our products and integrated proposi

tion.

That's a very simple strategy. I'm not sure how else to paint it, but we are not going with some massive attack on let's go North America and hire 100 people, that's not how I have ever executed. We would always do incremental movements but very strong incremental movement backed with great team members and winning at the back of product and giving the heat to the competition one step at a time. That's

how we'll execute. So nothing dramatically different from what you have already seen.

Rishit Parikh: Got it. That's helpful. Thank you.

Moderator: Thank you. The next question is from the line of Arushi Shah from Sushil Finance Services. Please go ahead.

Arushi Shah : Thank you for taking my question. I wanted to know we have been done multiple acquisitions . So any more acquisitions which we might have in pipeline for say next foreseeable future FY 2025 and FY2026. If you could shed some light on that? Also what is a typical ticket size for our acquisition?

Anuj Khanna Sohum : Regarding acquisitions, you would notice that Affle's acquisition approach has been very systematic, consistent and conservative. One, every acquisition we have done is in the consumer platform business. We are not acquiring to diversify. We are acquiring to integrate, consume it and make into 1 integrated cash -generating unit. So, the consumer platform business as one single cash -generating unit is growing organically on a CPCU business model. As it generates cash, we are also conservatively saying how much cash have we generated in the last few years. We are using that as a basis to define how much of a budget or hand do we have for acquisitions.

So if you look at all our past acquisitions largely funded from cash generated from operating cash flows of the company. So that discipline is there that, hey, we're

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not going to go around borrowing dramatically or going outside our means in order to do any acquisitions. So that discipline is there in terms of your question of size. In terms of your opening remarks that you said that it's multiple acquisitions , let's say, we wanted to enter into Lat am. Our strategy is - Let's get a team there rather than hiring one by one, let's go do an acquisition also in North America. You can do it. You can achieve faster movement through acquisitions. You can think of it as actively hiring , acquiring customers, acquiring teams of people that are functional and then doing it conservatively, winning sensible valuations, sensible size of the deals. And have realistic expectations to integrate it together so that we can expand the margins using the power of our integrated ConvergeAI supply cloud capabilities. I think these are the methods that are already proven, tested and we are confident of. Going forward, will we do any acquisitions? I think time will tell. We are keeping ourselves resource ready and capable in order to do it, but we are very selective.

We are also very experienced now within all dimensions of it, whether it is an acquisition in Israel or Spain or Latin America, US, etc. We have covered significant ground and experience to understand the various challenges and dynamics. So we will be carefully calibrating. If the right opportunity emerges, we'll guide you towards that. At the moment, can I tell you if we are going to do 1 this year, in 1 next year, there is no such prediction or clarity that I can give to you at the moment .

Arushi Shah : So what would be the approximate investment amount for the acquisitions which you might do for , say, this year or next year and are you looking at a typical rate of return to integrate with your growth rate?

Anuj Khanna Sohum : First of all, that question has an assumption that we are doing an acquisition and therefore, it assumes that I will give a budget, I will give neither. So one that we are not forecasting that we will do any. If we

do, there's no budget rate that I can give you, but let me give you some clarification. Historically, our largest transaction was around USD 40 million to USD 45 million . If you calibrate that, is that equal to the kind of EBITDA levels that we are doing in those periods of time, in the trailing 12 months of run rate, I think we typically see that can we pay it off from 1 -2 years of EBITDA worth? I think that's how we typically calibrate.

We're not going to outsize our deal transaction. It's not like you're going to buy a USD 1 billion company and say, let's create some complicated merger structure. That's not my mindset. And I don't see that happening. So it will be more bitesized .

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If it adds incremental value great, if it doesn't, we should be able to either digest it and integrate it or reject it, but it should not fundamentally change us in any way.

Moderator: Thank you. Ladies and gentlemen, that's the last question. I now hand the conference over to the management for their closing remarks.

Anuj Khanna Soham : Thank you very much everyone for taking time on a Saturday. I know we typically do our earnings call on Monday. But this time, I appreciate you all taking the time out on the weekend. I wish you and your families a happy weekend and healthy rest of the financial year ahead. I hope to see you soon. Thank you.

Moderator: Thank you, members of the management team. Ladies and gentlemen, on behalf of Elara Securities Private Limited, that concludes this conference call. We thank you for joining us, and you may now disconnect your lines. Thank you .

*** end ***

Call: Aug 2024

Affle (India) Limited

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AIL/SE/RCT/Q1/2024-25 August 12, 2024

To

BSE Limited

Phiroze Jeejeebhoy Towers,

Dalal Street, Mumbai 400 001

Scrip Code: 542752 National Stock Exchange of India Ltd

Exchange Plaza, 5th Floor, Plot No. C-I, G Block,

Bandra Kurla Complex, Bandra (East), Mumbai

- 400 051

Symbol: AFFLE

Sub: Transcript of the Earnings Conference Call for the first quarter ended June 30, 2024

conducted on August 05, 2024 at 10:00 AM IST

Dear Sir/ Madam,

Please find enclosed the detailed transcript of the Earnings Conference Call conducted on Monday, August 05, 2024 at 10:00 AM IST to discuss the results and developments for the first quarter ended June 30, 2024.

The same is also available on the Company's website at <https://affle.com/investor-relations>.

Please note that the audio recording of the Earnings Conference Call was submitted vide our letter AIL/EC/2024-25/Q1 dated August 05, 2024.

Submitted for your information and records.

Thanking you,

Yours Faithfully,

For Affle (India) Limited

Parmita Choudhury

Company Secretary & Compliance Officer

This transcript has been edited to improve the readability

Affle (India) Limited

Q1 FY202 5 Earnings Conference Call

August 05, 2024 at 10:00AM IST

Management: 1) Mr. Anuj Khanna Sohum – Managing Director & Chief Executive Officer of Affle (India) Limited
2) Mr. Kapil Bhutani – Chief Financial & Operations Officer of Affle (India) Limited

Analyst: Mr. Shobit Singhal – Anand Rathi Share & Stock Brokers

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Moderator : Ladies and gentlemen, good day and welcome to the Q1 FY2025 Earnings Conference Call of Affle (India) Limited hosted by Anand Rathi Share & Stock Brokers. As a reminder, all participant lines will be in the listen only mode, and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing '*' then '0' on your touchtone phone. I now hand the conference over to Mr. Shobit Singhal from Anand Rathi. Thank you and over to you.

Shobit Singhal: Thank you Neha . Good morning everyone. On behalf of Anand Rathi, we welcome you all to the Q1 FY2025 conference call of Affle (India) Limited. I take this opportunity to welcome the management of Affle (India) Limited represented by Mr. Anuj Khanna Sohum, who is Managing Director & Chief Executive Officer of the company; and Mr. Kapil Bhutani, who is Chief Financial & Operations Officer of the company. Before we begin with the discussion , I would like to remind you that some of the statements made in today's conference call may be forward - looking in nature and may involve some risks and uncertainties. Kindly refer to slide #21 of the company's Q1 earnings presentation for a detailed disclaimer. I will now hand over the call to Mr. Anuj Khanna Sohum for his opening remarks. Thank you and over to you Sir!

Anuj Khanna Sohum: It is a matter of great pride that Affle has completed 5 years as a public listed company . We have achieved remarkable success and wealth creation for all our stakeholders and have consistently over delivered on the pre -IPO expectations. Over the last 5 financial years , we have achieved about 6X growth in topline and 5X growth in profitability and about 10X growth in our market cap. This performance was a result of our disciplined execution focus on long term strategic initiatives to consistently enhance our consumer -centric platform offerings, verticalize our capabilities towards high -growth industries and leverage acquisitive synergies successfully.

In Q1 FY2025, we completed the strategic integration plan of all our acquired businesses. We have reached a pivotal moment in our consolidation efforts as one cash generating unit and a professionally managed business with the top leadership team of 20 CXOs and VPs globally. We have successfully consolidated all our business and platform operations with hands -on leadership providing direct oversight, thus creating a cohesively managed global business. This has resulted in robust strategic synergies and cross-platform efficiencies that fortifies our market position and demonstrates the strength, control and commitment of Affle's leadership to drive continued long term growth.

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Turning our attention to industry trends, one of the notable developments has been Google's recent decision that it will NOT deprecate third-party cookies. Affle was always immune to deprecation of cookies as our business is focused on on -device and in -app experiences as opposed to browser based ads. However Google has clearly indicated even after 4+ years since it announced that it will deprecate cookies, it couldn't overcome the complexities and challenges associated with its own privacy initiatives. Consequently Google's privacy sandbox project is also delayed. In 2021, Affle transformed the iOS privacy changes to its competitive advantage in both developed and emerging markets. We are well prepared as

our expanded IP portfolio of 36 patents includes futuristic GenAI user cases and our platform is privacy compliant by design.

Speaking of Q1 FY2025 numbers, we continue to exceed our performance targets, with this quarter marking yet another period of significant growth having achieved our highest quarterly revenue run-rate, highest

EBITDA and consumer conversions

to date. We delivered revenue of Rs. 5,195 million, a growth of 27.8% y-o-y. We continued to enhance our consumer-centric platform offerings progressively delivering quarterly EBITDA of Rs. 1,047 million and PAT of Rs. 866 million.

Our CPCU business delivered about 90.8 million conversions during the quarter, at a CPCU rate of Rs. 57.0 that helped us achieve CPCU revenue of Rs. 5,177 million, an increase of 37.0% y-o-y. This growth is driven by the broad-based adoption of our CPCU model across our customer base and its application to premium use cases, further solidifying our overall value proposition.

Our strong anchoring across India and Global Emerging Markets continues to be resilient and it contributed 73.2% to our quarterly revenues. Our growth for India and Emerging markets combined, was about 24.8% y-o-y. The market tailwinds remain intact affirming our positive outlook for continued growth across India and Global Emerging Markets.

Our growth in Developed Markets was about 36.9% y-o-y and it contributed 26.8% to our quarterly revenues. We are strengthening our foundation through continuous enhancements to our Consumer Platform and are confident of sustaining the existing growth momentum.

Continuing to share our customer success stories, this time, we have included 3 case studies, which are focused on digital-first financial investments in India, direct-to-consumer fashion retail in international markets and quick commerce as an emerging vertical in India, leveraging our GenerativeAI solutions.

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As we look ahead to the rest of FY2025, we are poised to further accelerate our growth trajectory with gradual increase in operating profit margins and will continue to deliver greater value to all our shareholders.

With that, I now hand over the discussion to our CFO - Kapil Bhutani, to discuss the financials. Thanks and over to you Kapil.

Kapil Bhutani: Thank you Anuj. Wishing everyone a good day and hope all of you are keeping safe and well.

We have commenced FY2025 on a positive trajectory to conclude Q1 FY2025 at a revenue of Rs. 5,195 million on a consolidated basis and delivered a growth of 27.8% y-o-y. Sequentially, our revenue increased by 2.6% q-o-q, further building upon our exceptional Q4 FY2024 performance. On a standalone basis, India grew by 19.0% y-o-y while on an adjusted basis, India growth was about 15% y-o-y and on a consolidated basis, our organic revenue grew by over 20% y-o-y.

Overall, we had broad-based growth coming across industry verticals and across our markets. During the quarter, India & Emerging Markets contributed 73.2%, while Developed markets contributed 26.8% to our revenues.

Our business continues to be in growth momentum, driven by our integrated platform and product strategies leveraging upon the dynamic digital ecosystem.

Thus, we achieved highest-ever quarterly EBITDA of Rs. 1,047 million in this quarter, a growth of 34.0% y-o-y and 5.7% q-o-q. We achieved an EBITDA margin of 20.1%, delivering a strong operating margin expansion.

In terms of Opex, our Inventory and Data Cost stood at 61.6% of revenue from operations in this quarter, while we continue our platform calibrations on to premium inventories, touchpoints and deeper ecosystem-level partnerships.

Our past investments in human resources coupled with integrated team strategies have provided us efficiencies on the Employee Cost for the last two quarters, thus normalizing our human resource cost.

Our Other Expenses stood at 7.0% of revenue versus 7.8% in Q4 FY2024. This is again on the back of our past investments in sales & marketing cost over the last 3 quarters that have yielded results without further increase in marketing cost in this quarter, thus bringing the Other Expenses down by Rs. 32 million sequentially.

We achieved a Profit Before Tax of

Rs. 1,066 million in this quarter, an increase of 52.1% y-o-y and 6.4% q-o-q.
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Our Profit After Tax for the quarter was at Rs. 866 million, marking an increase of 30.8% y-o-y. Notably, our Effective Tax Rate (ETR) stood at 18.7% during this quarter, a significant increase on both y-o-y and q-o-q basis, as we had guided over the past two quarters. Normalizing our PAT for higher taxes will demonstrate substantial profitability growth, underscoring the robustness of our financial health. Moving forward, we see this Effective Tax Rate to be a new standard for us. We continue to prioritize efficient working capital management and as such there were no material changes in the collection risk. We remain confident of our forward growth trajectory as we advance our strategic goals and invest to expand our market presence.

With this, I end our presentation. Let us please open the floor for Questions .

Moderator: Thank you very much. We will now begin the question -and-answer session. The first question is from the line of Shobit Singhal from Anand Rathi.

Shobit Singhal: Congrats on a good set of numbers. I have two questions. Sir, first one is top verticals contribution has increased to 95% from about 90% earlier. So which vertical has led to this growth in the current quarter?

Anuj Khanna Sohum: Thank you for your question. We are seeing a n overall broad -based growth . But I would say that the growth in the gaming vertical, both in emerging markets and developed markets has been quite significant.

Shobit Singhal: Okay. Second one is how the growth in US market and emerging market shifting up except India. If you can provide growth rate s in those markets and outlook ? Thank you.

Anuj Khanna Sohum: On a consolidated basis, our organic growth this quarter has been over 20%, and that is really positive. We're also seeing that India is growing for us in a sensible way. We are growing well in India and global emerging markets . In developed markets , while we saw pullbacks in the previous 1.5 years period, but we are now moving forward in a much stronger way .

So you're seeing perhaps higher growth at this moment. But if you are looking at modelling our company for few years ahead , I think that 20% topline growth is a sensible way to model our company at this moment, and we will continue to improve our margins, thus hopefully deliver higher growth on the bottom line.

Moderator: Our next question is from the line of Raghav Behani from Citi Group.

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Raghav Behani: I have two questions. One is that employee expenses have grown just 4% y-o-y, somewhere in that range. What is your outlook on employee expenses going forward?

Anuj Khanna Sohum: So, Kapil in his commentary had mentioned that we have seen significant efficiencies coming in because of the integration & consolidation which we have achieved globally for our businesses as one single cash -generating unit. While the top-performing people have obviously got healthy appraisals and bonuses , but we don't need to grow our overall employee base as much, and there has been some efficiencies.

Also, it may not have come across as clearly, but we are adopting the new technologies as a scalable platform . We have adopted Gen AI not only in some of our product propositions to our customers, one which has been mentioned in the case study as well in this earnings presentation. But also within our internal operations . Thus, we are seeing significant efficiencies coming from that as well.

So as business expands, I would expect to keep our employee expenses largely flattish, at least for the foreseeable future. You will see much higher growth in revenues and a flattish to low growth in the employee expenses.

Raghav Behani: Ok. Now since other emerging markets and developed markets are growing faster than India , plus

Affle is also investing in premium inventory. So, do you expect acceleration in the CPCU rates from the current 3% to 4% annual growth that we are seeing?

Anuj Khanna Sohum: I think it is possible to see some lift over there. But given that you also pointed out

in your question that we are also investing into premium inventories . I see that effect being utilized from a margin perspective, right . Overall, the way Affle is strategizing itself is that we are going more and more premium in a way we are working with different strategic platforms, be it the app stores or the alternate of app stores . The way we are working deeper with our partners, with multi -year plans and product initiative you will see a better CPCU premium pricing, and we would be able to work better in the market to attract the top dollars. Hopefully, helping us to achieve the higher margin that we intend to deliver because margin expansion is an important execution focus for us for the next few years.

Raghav Behani: Congratulations on the good quarter.

Anuj Khanna Sohum: Thank you.

Moderator: Our next question is from the line of Vijit Jain from Citi Group.

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Vijit Jain: Just following up on my colleague's question . I was wondering about this news around TCL partnership with mediasmart towards the end of the last quarter, right?

So I'm wondering, is that what you are referring to when you talk about investing in premium inventory? And one should look at that as impacting your inventory costs and data cost, etc., right now with the hope of higher CPCUs down the line?

Anuj Khanna Sohum: This is just one example. TCL for the benefit of those who don't know, is one of the largest CTV Android makers in the world, globally. Maybe in India, they're still coming up, but in other markets, they are clearly a market leader in terms of the Android TV segment. Therefore, these kind of partnerships are important.

I'm not suggesting that this is the only one. But there are several partnerships that we are doing and investments that we are making. You would have seen that we mentioned in the previous earnings call that we're working with the app stores of OEMs, we are working strongly with Affle inventories and pushing, let's say, Affle 's iOS focused platform across all global emerging markets, including in India because the share of those devices going up and those are premium segments.

What does premium mean? Premium here means that we are going for the highest value and highest value wallet share of the consumers. To go to those consumers, we need to go into high -end devices, need to go into CTV, need to go into iPhone and iOS ecosystem. Even on Android , we need to find those premium touch points where we can get higher value conversion. Now we get higher value conversions, this is a core differentiation in the market because then the advertisers and the agencies have no choice, but to fully adopt our platform and to pay a premium CPCU rate, which is what we were talking earlier.

In the long term, we think this strategy is one that will provide defensible, sustainable margin expansion , better profitability and competitive moats versus any of our competitors. I think most of the competitors in emerging markets at least , are not very strong on the iOS platforms. Given that we have a unique global presence, across developed markets and emerging markets, we are leveraging our strength of emerging markets & developed markets and our experience in developed markets on iOS platforms and premium inventories , thus bringing it to emerging markets. Net effect of it is higher CPCU rates over the long term, higher margin extraction capability and very importantly, competitive moat, that's where it becomes defensible and sustainable. So yes, TCL is just one of them.

Vijit Jain: Got it. I have one last question. So you also highlighted your rankings

specifically

with YouAppi and RevX on these AppsFlyer Performance Index, right? I'm just

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wondering two things. One, do these rankings impact directly your ability to get more advertising dollars from agencies specifically. The related question to that is this quarter, the agency or the non -direct business seems to have gone up slightly in the mix. So just wanted to understand if there's a correlation between these two things ?

Anuj Khanna Sohum: No. When you look at the slide where we talk about our awards or thought leadership and so on, it is definitely an indicator that we are doing well versus the competition. But it is still a lot more, let's say, positioning of the company. The

essence of winning business is about delivering performance and conversion. Advertisers would realize that, so when they run the campaigns with us and they see the results, more business comes.

Now direct versus agency, it's within that range, 70% to 75% direct business. It is all in that range. So please don't read into 1 quarter or the other. It could very well be that one of the advertisers has gone from direct to work through an agency because of any corporate policy or otherwise. End of the day, we are serving the end advertiser. Fundamentally, all our business is about serving the end advertisers ads and delivering performance back to them. So please don't read too much into that that or the rankings. I think what's important is that we are out there in the market and the advertisers & the agencies are coming to us for business as much as we are going to them.

It's about creating the pull factor. While we are selling to them, we are also creating enough marketing pull that if anybody is doing mobile advertising, they should want our platform within their budget.

Moderator: Our next question is from the line of Arun Prasath from Avendus Spark.

Arun Prasath: My first question is related to the cost side. On gross margin front, we have seen the days where we had around 48% -50% gross margin. Even until recently before the Jampp acquisition, we had around 41% -42%. Is it in our plans any time, say, in next couple of years, to be coming up to that kind of a margin level or this is the new normal, especially given that we are focusing on premium? I assume the premium means eventually you will have better margins as well. So, is it something which is in your business plan, Anuj?

Anuj Khanna Sohumi: Thanks for that question. Let's understand first, when we talk about the data and inventory costs, we are consistently not just utilizing that to earn our revenue but we are also investing into the future to make sure that we are listening deeply enough across different verticals and predictively understanding what is working

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and what is not working. So as we open new verticals, as we expand to new markets, and go deeper, for example, within India, our goal would be to go deeper beyond Tier 2, Tier 3 cities to rural regions as well and help our advertisers to drive conversions. Now India has 650 million plus connected devices, not all of those users are necessarily out there shopping and converting, right? But we still make sure that we are creating that wider coverage so that we can keep understanding, investing into the future direction of our market. What I'm trying to tell you is that when you look at financials and numbers, you see revenue. You see that all the data inventory cost is going straight because it's creating that revenue. But there is an element of forward-looking investment in that.

Similarly, when we are calibrating our business plan towards premium positioning in the market, we are investing into that aspect, so as to raise the profile of our company, deliver higher value to the advertisers, create that validation interdependent so that we have a competitive m

oat, and can get higher wallet

share and achieve higher CPCU levels and better pricing / better margins.

All of that is going on. I would not just cast it as the new normal, but I would say let the numbers do the talking, a step at a time. The margin profile, which is there right now, I would say it's sustainable. Can we improve it further? Let's see. But I think it has to be seen in the broader lens of what's happening. We are disciplined and we fully expense out all the data and inventory costs in the reporting period, but there is an element of investment in that.

Arun Prasath: Anuj, you touched upon this investment part, but it's been always the case, right? I mean, it's not like something new to our business. So is this also possible because your competition is probably lowering the prices and hence, probably we will have to respond to that. Can we infer it as that as well?

Anuj Khanna Sohumi: I would not say that because of competition, because we are not fighting the competition on pricing. We are fighting the m on value. What do I mean by value?

So when we work with the advertiser, let's say somebody delivers a conversion for the same advertiser of a user A and another person delivers the conversion of user B. Now if user A has a higher lifetime value, the advertiser would be willing to pay happily premium. I mean both persons sitting at the back of the car and the driver of the car, both are using smartphones. Both might convert with the same app to order some food, but let's say, the person who is the boss and pays the driver salary,

that person's conversion is more valuable to the advertiser than the driver .
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What I am trying to say is, we are a value ROI -based business model, not a cost plus business model . We are not necessarily fighting out on pricing. What we are fighting out on is how do we deliver highest lifetime value to an advertiser, deliver premium conversions. So the pricing is not as impacted. Maybe in some advertisers who are not thinking strategically or fully through the funnel, they're saying, hey, somebody is offering this price go for that. But once they start working with us, we graduate them to see it as a value -based pricing versus a cost plus, right?

I don't think that competitive forces are pulling us down. But it is an ecosystem level play and even for us to look at how can we sustain in the long term. We don't want fluctuation where, okay, in 1 quarter, we are at certain level of margin or the other . What you see right now is a sustainable pattern, and we will consistently endeavour to do what is right for our business for the long term. I'm not promising you straightaway going 40% less, but I'm comfortable with where we are at the moment.

Arun Prasath: Understood. My second question is related to what Anuj spoke about Google's policy in changing the third -party cookies. Do you see the similar action panning out in the GAID or depreciation as well?

Anuj Khanna Sohum: Okay. When I mentioned that Google has delayed the Privacy Sandbox project , that was precisely what I was talking about. So previously Sandbox is the name of the project that is related to GAID and so on. It is a holistic thing, everything is played, deferred or not build on. I think it's a complex environment from Google's perspective, one at an ecosystem level, second, from a regulatory point of view . There have many considerations to take care of it before they take any action. So at the moment, it seems that cookies, which I thought was a very simple thing for them to do, technically at least, and for 4.5 years, they have essentially said that is not going to happen for now.

We were not too worried about the cookies at all. We are fully prepared and ready for Privacy Sandbox. There was no nervousness as such about it in our mind . But the fact that all of this is delayed or deferred from an i

nvestor's perspective or the analyst perspective, I mean, right now, as status quo for at least several years forward, and that's good news. This question can be parked aside. But I also want to give confidence to everybody, please remember, in 2021, what Apple did was way more intense, way more holistic with the privacy initiatives in 2021 on iOS , and what happened to Affle with that. We turned it into a competitive advantage in developed market s and then brought it to emerging markets as well. So we aren't particularly worried about it.

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Arun Prasath: Right. Anuj, but on this GAID, I just want to understand fundamentally how important is in today's environment . Is GAID very important for you to deliver a campaign ? As compared to what it was 3 years ago, is GAID still relevant for you? Or you have technology or have algorithms which can work beyond GAID as well?

Anuj Khanna Sohum: See, what is important is some kind of an identifier . Whether it is our own internal identifier or we are working with the triangulation of several data points to do a predictive identifier or we are working with the OEMs to get and identify at the moment on Android, GAID is the way it works. For next many years, it will continue to work like that. But even if Google was to deploy Privacy Sandbox and say, GAID is gone, there still has to be a way to deliver an ad to a user and to see which device was it delivered to, which user was it delivered to and what happened on it. There has to be an ability to track it. The only thing that is being done right now by all such changes by Google is an attempt is to protect the consumers' privacy. Let's not have any scenario where the users privacy is getting compromised. We are a big supporter of that since inception as a company . I'm not worried about data privacy, I'm a big supporter of data privacy and whatever needs to be done, should be done because once the consumer privacy is intact, there will be more confidence in the ecosystem. It's not that the advertising will suddenly s top. What you need is

some kind of an identifier to track that . We have shown the ad and what happened to it. I think that's what the purpose is of an ID or a GAID in this case.

Moderator: The next question is from the line of Swapnil from JM Financial.

Swapnil: I had a couple of questions. First one is on your use case split. I would like to understand what percentage of your total revenue comes from new downloads , transactions and O2O use cases. If you can just help us understand that because what I see your use cases are more focused towards new downloads, which is basically a new customer acquisition. So I just wanted to understand from that perspective.

Anuj Khanna Sohum: Swapnil, this is a data point that you're requesting that is typically for us when we go to an advertiser, what we want is a big part of their budget. Each advertiser based on where they are in the stage of their own journey will have different levels of split. So for example, let's say, if it is an advertiser in an emerging vertical, and it is a new entrant in India. They will be putting a huge amount of money to get new users so that they can drive new conversions versus an advertiser, which has already got, let's say, 20 million, 30 million or even 100 million users, they will be spending in a balanced way and saying, that I want new users, but also want to

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drive incremental conversions on my existing base of users , which is what they already have. But they don't want to lose that base or conversion from their existing consumers to a competitor, right? Because each of these industry verticals where we are playing, there are new entrants in those verticals. There are incumbents in those verticals.

If you do a tabulation, we have delivered hundreds and millions of conversions and

converted users already. So for our database, that user is not new anymore, right? I mean, chances are that 90% plus of Indian converting users have already delivered at least some level of conversion, some volume of conversion through the Affle platform to the advertisers.

So to a particular advertiser, user could be new for them, it is a new budget but for Affle as a platform, we are having almost 100% penetration on the conversion base of the users, and for us, it is not so much as new or existing. We are looking at, how can we maximize the conversions from the user . Whether it is from a new advertiser or an existing one. So therefore, the slicing and dicing that you're expecting is from our platform vantage point is not that important.

However, let me give you an industry insight. A new advertiser, an advertiser, which is needing to conquer a lot more of the territory would typically put 80% of their budget on new user acquisition and only 20% on repeat business from existing users. Whereas an advertiser, which has gone to a certain scale and is seen as an incumbent or a market leader could even put 60%, 70% on new acquisition in emerging markets and 30% to 40% on repeat conversions. Then in developed markets, the budget is more sort of balanced. You'll see more spends across these initiatives. I wish I could give you the numbers that you were seeking for, but I hope I've given you a better understanding.

Swapnil: That's useful, Anuj. So just on that point, you mentioned that it may happen that you might have a decent data base of the users and not necessarily because advertiser is new, that would be adding to some incremental things. So will it be fair to say that since you have such a big data base, your gross margins should ideally keep on coming down as the same use case is getting repeated more often?

Anuj Khanna Sohum: This is not a fair understanding because each time you want to drive a conversion, whether it is from a new user, for a new advertiser or an existing user for a new advertiser and existing user for the repeat conversion from an existing advertiser, you still have to work hard in ensuring that you reach the user at the right place at the right time. We have to show the ad in the appropriate context. So the context

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of the user is very important. I mean, if you're busy in your office doing your work, you're not going to suddenly start registering for some entertainment or some game. But maybe during lunch break, you'll order food. It depends on what time, in what

context you show an ad. There's a lot of effort in still showing ads and creating engagements. But yes, what it does is it creates competitive moat because our advertisers who have worked with us for years and they have seen that a lot of their converted user base has come from us. There is a lot of confidence. They also know that we have intel, first-party data that the advertisers have about their own users and conversions.

All of that is a relationship of long-term trust. Therefore, when they trust such data and insights with our platform, they will continue to work with us longer. As that happens, if you can convince them to pay a premium, pay higher for the conversion because we can show them a higher lifetime value of those users, or more premium conversions, then we have a way to increase our CPCU price and therefore, the margin. So it is a much more involved thing versus saying one segment is more profitable than the other.

Swapnil: Got it. Just one more thing on your India revenue trends. So we have been hearing about Real Money Gaming (RMG) impact in the previous quarters. So is it fair to say that the RMG impact is now gone for good? So that basically has helped you deliver a decent recovery on the growth part?

Anuj Khanna Sohumi: We are going more broad-based. Even in India, realigning the definition of gaming

for us. I mean, looking at it in a much broader way than just RMG. We are neutralizing that impact. Yes, I would say for now that impact is over and this is our new normal, and we will continue to grow sensibly from here.

Swapnil: Okay. One data point with respect to your revenue split on developed markets, India and emerging markets, which you have given it for the current quarter. If you can help us with the previous year 1Q number, that will be helpful.

Anuj Khanna Sohumi: 1Q, 4Q. Look, what we are clear is that India and emerging markets behave in a very similar manner and the demographic profile of users, the penetration of connectivity, the adoption of CTV, iPhone, I mean all of those elements across emerging markets is extremely similar. So India and emerging markets need to be seen as a one block, and developed markets was where we had some performance issues in the past, which we were very transparent about. We thought let's bring it out and let's club it in the logical sense. We did that in the last quarter as well. We Affle (India) Limited
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have done it this quarter and onwards as well. But you can connect with our Investor Relations team, and I think they should be able to provide you what you're seeking.

Moderator: The next question is from the line of Anmol Garg from DAM Capital.

Anmol Garg: Anuj, if you can indicate how do you see growth in emerging and developed market in coming years, which is the market where you are more bullish of? Secondly, if you can also indicate what are the margins in both of these markets. In case, the developed market is growing faster, do you see a margin impact for a longer term?

Anuj Khanna Sohumi: I think at the moment, we are seeing a good momentum across emerging markets and developed markets. The kind of verticals and the kind of effort that goes in to winning in these markets is slightly different. Clearly, North America, Europe, these are the 2 main regions in our developed markets. In these markets, the addressable market is very large, even though the overall pie is not growing as fast, but the size of the pie is so large, and we are still so small there that there is a massive runway for long-term growth to be extracted in these markets for us. Now the way we address these markets operationally is super-efficient. We don't go and say, let's hire hundreds of people to go and dominate in this market. We go incrementally. We focus on some key verticals in those markets, get into the ground position. Whereas in emerging markets, I think the battlefield is different, the kind of competition, the competitive forces we deal with is different. So in developed markets, the pricing is high, competition is high and therefore, margin is balanced. In emerging markets, the competition is low, the pricing is low. So you see a very different math. But overall, from a margin and bottom line perspective, I would say both of these segments are providing us the ability to deliver a similar kind of margin profile in terms of bottom line efficiencies.

From an EBITDA perspective, we are looking at 20% plus EBITDA in these markets, in emerging markets, the pricing is low, the cost is low, competition is low. With all of that, we can still extract 20% plus EBITDA. In developed markets, pricing is high, margin due to competitive forces can get balanced out a bit, but then you still see Opex, which is also relatively higher. What we are building our business for

is to build a consistent expansion on the EBITDA margin overall on a consol basis as well as in each of the segment basis.

At the moment, developed markets because of a smaller base, is growing faster.

But I would think that modelling our company long term for the next several years, at about 20% growth in revenue is a fair way to do it.

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Anmol Garg: Sure, Anuj. We have a decent cash

on our balance sheet. So are we looking at any

further M&A? If you can indicate would it be in developed or emerging market?

Anuj Khanna Sohum: We have been extremely successful in our track record of M&As over the last 5 years

since we went public. Barring the challenges that we faced in Jampp , which we told you about transparently and gracefully. We have shown that we are good at this. We know what we are doing and are conservative in our approach of doing it.

So the cash on the balance sheet is one aspect, but we're also consistently generating more cash every day. Our business is a cash flow positive operations.

We will keep adding to the cash pile. So the question is a valid question. How will we invest that cash to unlock more shareholder value, and M&A is one of the ways of doing it. But we are not in a rush. We have just completed YouAppi 's integration.

YouAppi is 1 year and full integration has been done in less than a year. So if we find the right acquisition target, we certainly would but we are not in a rush.

But we must also keep ourselves ready to see how the ecosystem evolves around new innovations, which we are already building in -house as well, but we also keep an eye out for what's happening in the market . If we see something interesting, that would add value disproportionately and put a booster shot into our growth, we will certainly take that step for the acquisition. I wouldn't be able to give you any clear indicator yet whether there's a preference of doing it in India or emerging markets or developed markets. Let's keep an open mind and when we find the right target, we will provide the right scores.

Moderator: The next question is from the line of Deepak from Sundaram Mutual Fund.

Deepak: Sir, this quarter, we have shown a good growth of 28%. Partly, it is because of a favourable base in last Q1, where our YouAppi revenue was around Rs. 45 crores.

Now on the quarterly run rate, it is around Rs. 89 crores. So that's why we're able to show that 28% consol growth rate. Now going forward, the rest of 9 months into FY2025 or H2 FY2025, do we expect that to maintain 20%+ growth on a y-o-y basis?

Because last quarter, you had mentioned that we have recovered some lost ground in Q4 FY 2024 and the reversal to cyclicity of revenue from Q3 to Q4 FY20'25 could be expected?

Anuj Khanna Sohum: We don't give short -term guidance. However, if you look at the numbers of this quarter, we've already provided that it's over 20% y-o-y organically. So even if you

remove the effect of YouAppi which is 1 month in this quarter , you still see organic growth of 20%. Further, i f you take our last year's Q2 numbers and you applied our current Q1 numbers run rate , assuming this coming quarter, which is July, August,

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September, let's say, we do exactly the same Q1 numbers in Q2 as well , and there's no sequential sort of uptick, which is not how we are. I mean we typically see Q1

to Q2, there is some sequential uptick. But let's say there isn't any and we keep it flattish, even then compared to last year's Q2, we can deliver more than 20%

growth, and that's fully organic because it's like -to-like comparison . Its not a guidance that I am giving to you but just extrapolating current Q1 numbers to Q2 and seeing the o rganic y-o-y growth . I am also telling that not just on a short -term basis, but even on a long -term growth outlook basis, it is a sustainable & defensible growth position to have. If we do any other inorganic transaction , then the number would hopefully be even more, but 20% is defensible.

Even if you take last 5 years growth trend, I mean, I started my commentary by saying in the 5 years roughly, we delivered almost 6x growth in revenue . If you map it up and you'll find that, that's almost 50% CAGR growth, but that's organic plus inorganic. But if you just want to m

odel it on, let's say, no acquisitions, nothing

else, 20% is a defensible long-term position for modelling our growth.

Deepak: Ok. My second question is with respect to your inventory cost. So now all the platforms have been integrated. So now we can use each platform's ability to target our existing clients or newer channels. For example, YouAppi and Jampp used to target an in-app mobile. Now because of this integration, maybe we want to target those on CTV as well, new channels. Those will be kind of relatively newer venture for us for those clients and those sectors. So right now, our inventory costs as a percentage of sales is around 61.6%. Because we are venturing into this premium inventory and newer channel, do we expect this cost to go up or to be maintained at the current level?

Anuj Khanna Sohum: First of all, that's a good insight that you gave and you connected it to CTV that if you see our reports or news, we have talked about Jampp -CTV and YouAppi - CTV. We are talking about different dimensions of expanding the reach of our integrated propositions across connected devices to the consumer. At end of the day, the consumer is the same. So if you, as an individual, go and transact with an advertiser, do you think it makes a difference to the advertiser, whether you came from in-app mobile, on-device, mobile or from CTV?

You as a consumer are of the same value to that advertiser and if you see how Affle has consistently defined its business, we call ourselves as a consumer platform business. Why? I've never said we are an ad tech company or an ad tech platform. I have always made the distinction to say Affle is a consumer platform business. We are focused on consumer-centric innovations and when we focus on the consumer

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centricity, it means that we will go to all connected devices that the consumer is going to connect with.

So since mobile is the center forward device at the moment for the consumer, CTV is another device. As we go forward, there will be other wearables too. There will be new form factors, as long as Affle's innovation focuses on the consumer, we cannot go wrong. Similarly for the advertiser, we are saying, look at the consumer, it's the same consumer on mobile, it's the same consumer on CTV. As long as we focus on the consumer, we will find the right conversion and it doesn't matter whether the conversion comes from CTV connect or it comes from a mobile connect and so on.

Our focus is on the consumer. As long as we do that, we will need to be on all connected devices. As far as the data and inventory cost is concerned, I think I've already answered in the previous question, and we are where we are and comfortable to defend that range and position at the moment.

Deepak: Okay. So then our monetization factor won't be affected because of these different channels.

Anuj Khanna Sohum: I think the monetization factor should become more favourable as long as with the right choice of channels if we can go more premium and command better pricing.

When we say premium channels, it means we are going after premium users. We are going after those users in each country who are actually going to transact a lot more than the other users.

So in India, let's say, the 150 million transacting users, who are actually ready to pay or engage with an advertiser. Not all of the 150 million are the same. The ones who are on iOS devices or the more premium Android devices, or the ones who have CTVs at home, wouldn't you agree that those are the users who are perhaps more premium. If they are, then we should be able to charge a better pricing, hopefully, get better margins as we go on.

Our focus is to make sure that we are covering the whole spectrum of the user base and bringing our advertisers' objectives to the forefront. But we are covering the whole base. On one side, we're going more premium

. On the other hand, we're also making sure we are deepening our reach even into rural India and so on because the advertisers' objectives might be different. On one side, it could give us higher premium users, give us higher ROI. On the other hand, it could give us deeper reach because we want to cover more ground. We are balancing that out in a sensible way.

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Moderator: The next question is from Rahul Jain from Dolat Capital.

Rahul Jain: If you could share what are the top 3 or 5 market for us at this point and what are their respective ways? Or if you could share what is the industry growth rate for us on a weighted basis, based upon the markets that we are working at this point?

Anuj Khanna Sohum: Well, I would say in terms of markets, the broad regions that we are focused on include Asia, Latin America and Africa are the emerging market regions. From a developed market perspective, it's clearly in North America and Europe as the developed markets. I think the growth rates across these regions is different. So for the emerging markets, one could say that the growth rate is higher than the developed markets, but then the addressable market in developed markets is bigger and we are smaller.

The theory around growth rates of an industry is applicable once you reach a certain size and scale. So for in emerging markets, I would say the industry growth rate becomes important to us because we are a meaningfully sized player in emerging markets. But in developed markets, we are so small that the industry growth metric should not be a dampener for us because the addressable market is so big. I wouldn't want to give you any specific numbers. If you look at industry growth across markets, you will be able to pick it up from some market research reports that you prefer or want to rely upon or you can connect with our IR team and see what they want to share, but I would rather quote it from a source than just throw some numbers on the call.

Rahul Jain: Sure. Another thing that will help us is since you said that in emerging markets, we are relatively better sized. So India I understand. But if you could give us some color on our market share or positioning in some of top 2 or 3 relevant markets within the emerging market pie? Also what is the typical churn between performance and brand?

Anuj Khanna Sohum: Typically, when we look at advertising, we slice the pie. So what is the total advertising spend in that market and then we look at what is the digital spend.

Within that digital spend, how much is going to the walled gardens like the Google, Facebook and so on. Then from there, we will say, okay, in the non-Google, Facebook part of the pie, who are the market leaders. You will find that within that space, Affle is clearly positioned as one of the key market leaders or the company that should be in the consideration set.

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So our goal from a market positioning perspective is that all advertisers are necessarily spending on digital and they are increasing their spend on digital. Within digital, they are also increasing their spend on non-walled garden, non-Facebook, non-Google digital spends. Within that space, if anybody is spending money, they should definitely look for Affle or our sales team should have already knocked on their door or they should already be our existing customer.

This is the way we map the landscape and we go into these markets. I would say that we have a very good market position, tabulating market shares specifically is challenging. But I would say that in terms of perception, our competitors, their employees, our employees, our customers, their employees, our agencies, ecosystem partners, OEM operators, all of them see Affle as a market leader in the non-Google, Facebook space of digital advertising. Also, see us as a market leader

who they can trust and they can share their first-party data with and do long-term, 4 years, 5 years kind of integrated projects or initiatives with. So we are seen as a very important stakeholder in our ecosystem across emerging markets. In developed markets also, we are creating a name and space for ourselves very well.

Moderator: The next question is from the line of Lokesh Manik from Vallum Capital.

Lokesh Manik: I just have two questions. One is just to get some insight from Anuj's understanding of the global industry. The advertising budget of an advertiser is divided between brand awareness and performance marketing. So what would be this ratio globally if you would have some idea on that? The follow-up on that is how do you see CPCU as your proposition, what is the market share versus CPM, let's say, 5 years back and how it has improved? How are you seeing it improving across the global markets.

Anuj Khanna Sohum: In terms brand and performance in digital, lines are actually getting more and more blurred. I mean, the way we see it is that even though we go to agencies and we

go to the brands and we work with them, our pitch to them is still that, it's not that you just do the advertising to show or to create an impression or an impact on the minds of the consumers. But you can actually drive conversion because in digital, most of us want to engage with something that we have built general interest in. Whether it's a click or whether you go beyond that or you save it for later or you want to share it with some friends or make it more viral. There has to be some actionability associated with digital, and that's why digital is such a personal and interactive medium. In traditional media, it is very easy to see what brand and performance advertising is.

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But if you're asking me from an overall ad spend, how much is going to traditional media brand and how much is going on digital. I think there are several reports in the market. But within digital, is there really such a big distinction between brand and performance? Not to us. So when we work with brands, we convince them that you should still do branding on a conversion measurable basis, whether it is the conversion or engagement that happens online, or whether it's a conversion, which leads to a footfall where somebody walks into your retail store or engages with your brand offline.

Because consumers still carry the mobile phone with them. If you can create that level of conversion metrics for, let's say, budget that was marked for branding. This is what Affle's endeavour is, and that's a very good space to be in because brands like to see accountability as well. Nobody is saying, okay, no, I'm putting branding money so take chill, no problem, just show our ad to as many people without any accountability. Everybody wants to know truly what was the impact? And what kind of conversion, ROI impact it would have. So it is possible to measure it on a CPCU basis, and that's what we are educating the market for. So far, we are seeing pretty positive response even from agencies, traditional agencies, brand advertisers and we are finding good audience with them and converting them slowly but surely.

Lokesh Manik: Great. Anuj, my second question is if we have to gauge your intelligence software tech stack and how it is improving year-on-year. Apart from conversions and the connected devices that we're adding, any other variable you would like to call out that we can track and gain more insight and confidence into how tech stack is getting more intelligent day by day?

Anuj Khanna Sohumi: See, I think the intelligence of the tech stack is something that we are constantly calibrating multiple times in a day. Any campaign that is continuing, we're just trying to see how we can make it more efficient. If we can make it more efficient, then we allow ourselves

room for doing more strategic investments, either trying to experiment more, let's take it more premium, let's take it further.

So there are two options I mean, let's say, if our campaign intelligence becomes better, that means we should be able to drive conversions at a lesser cost. Now we can, therefore, pass that benefit back to the advertisers, so they see higher ROI. Or what we can do is we can cast the net wider and look to invest into the future to find new pockets of high-value users or deeper strategic reach in those markets. So I think the measurability of our intelligence can be seen in many ways. For example, one could slice and dice the intelligence of our platform to say, how are

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video ads doing on our platform? Are we becoming more intelligent in the combination? How are we doing on CTV? Are we driving more conversions there? What kind of a combination of connected devices within households are we doing? So if we show an ad on a mobile and then another one on CTV. We are doing so many slice dice combinations, and that's what our data science teams and when we talk about AI, that is what we're doing.

Interestingly, even to assess our own performance we are using Gen AI. So we are using Gen AI to assess the performance on a real-time basis to see which algorithms and which context is doing better and the slicing and dicing has become very efficient. Per campaign, per market, per inventory type, the granularity of our intellectual platforms in connect and performance is very high. We don't want to

open all of this to our competitive advantage. So I'll leave it at that for now.

Moderator: Ladies and gentlemen, due to paucity of time, this was the last question. I now hand the conference over to the management for closing comments.

Anuj Khanna Sohum: Well, thank you so much for the support to Affle. Like I mentioned at the beginning of my commentary, we take immense pride as an organization that we have been able to deliver value over the last 5 years as a public company and with over 3 lakh shareholders in India, some really strong institutional investors, including the recent addition of the Singapore government investing in our company.

It is a matter of great pride to us that Affle had a great 5 years' journey as a public company. We hope to provide consistent performance over the next decade and beyond. We are looking forward to more opportunities. Please stay interested and we will provide you clarity as we get more opportunities on the next earning calls and beyond. Thanks.

Moderator: Thank you. On behalf of Anand Rathi Share & Stock Brokers that concludes this conference. Thank you for joining us. You may now disconnect your lines.

*** end ***

Call: Nov 2024

Affle (India) Limited

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AIL/SE/ ECT/Q2/2024-25 November 18, 2024

To

BSE Limited

Phiroze J eejeebhoy Tower s,

Dalal Street, Mumbai 400 001

Scrip Code: 542752 National Stock Exchange of India Ltd

Exchange Plaza, 5th Floor, Plot No. C -I, G Block,

Bandra Kurla Complex, Bandra (East), Mumbai

- 400 051

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Sub: Transcript of the Earnings Conference Call for the second quarter and half year ended

September 30, 2024 conducted on November 11, 2024 at 10:00AM IST

Dear Sir/ Madam,

Please find enclosed the detailed transcript of the Earnings Conference Call conducted on Monday, November 11, 2024 at 10:00AM IST to discuss the results and developments for the second quarter and half year ended September 30, 2024.

The same is also available on the Company's website at <https://affle.com/investor-relations>.

Please note that the audio recording of the Earnings Conference Call was submitted vide our letter

AIL/EC/2024-25/Q2 dated November 11, 2024.

Submitted for your information and records.

Thanking you,

Yours Faithfully,

For Affle (India) Limited

Parmita Choudhury

Company Secretary & Compliance Officer

This transcript has been edited to improve the readability

Affle (India) Limited

Q2 & H1 FY2025 Earnings Conference Call

November 11, 2024 at 10:00AM IST

Management: 1) Mr. Anuj Khanna Sohum – Managing Director & Chief Executive Officer of Affle (India) Limited
2) Mr. Kapil Bhutani – Chief Financial & Operations Officer of Affle (India) Limited

Analyst: Mr. Ashwin Mehta – Ambit Capital

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Moderator: Ladies and gentlemen, good day, and welcome to the Affle (India) Limited Q2 and H1 FY2025 Earnings Conference Call hosted by Ambit Capital. As a reminder, all participants' lines will be in the listen only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing '**', then '0' on your touchtone phone. Please note that this conference is being recorded. I now hand the conference over to Mr. Ashwin Mehta from Ambit Capital. Thank you, and over to you, sir.

Ashwin Mehta: Thank you, Neha. Good morning, everyone. On behalf of Ambit Capital, we welcome you all to the Q2 and H1 FY2025 conference call of Affle (India) Limited. I take this opportunity to welcome the management of Affle (India) Limited, represented by Mr. Anuj Khanna Sohum, who is the Managing Director and Chief Executive Officer of the company; and Mr. Kapil Bhutani, who is the Chief Financial and Operational Officer of the company.

Before we begin with the discussion, I would like to remind you that some of the statements made in today's conference call may be forward-looking and may involve some risks and uncertainties. Kindly refer to Slide 25 of company's earnings presentation for a detailed disclaimer.

I will hand it over to Anuj Khanna Sohum: for his opening remarks. Thanks, and over to you, Anuj.

Anuj Khanna Sohum: Thanks Ashwin. Good morning everyone and thank you for joining the call today. I trust all of you are keeping in good health.

In H1 FY2025, we delivered a landmark performance on all fronts. We outperformed H1 as well as H2 of FY 2024 and we are confidently on track to deliver 20%+ revenue growth in FY 2025 and even higher growth in terms of EBITDA and PAT this year.

In Q2 FY2025, we attained our highest quarterly revenue run rate, highest EBITDA, highest PAT and highest CPCU conversions. We continued to enhance our consumer-centric platform offerings to leverage synergies towards overall operating margin expansion. We delivered stronger than ever quarterly EBITDA of Rs. 1,133 million, a growth of 29.9% y-o-y with robust margin expansion.

We delivered a revenue growth of 25.9% y-o-y and a PAT growth of 37.7% y-o-y in Q2 FY25. Our CPCU business delivered about 95 million conversions during the Affle (India) Limited
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quarter, at a CPCU rate of Rs. 57.1 that helped us achieve a CPCU revenue of Rs. 5,416 million, an increase of 35.2% y-o-y and 4.6% q-o-q.

In terms of H1 FY2025, we achieved revenue growth of 26.8% y-o-y and PAT growth of 34.3% y-o-y. Overall for H1 our CPCU revenue increased by 36.1% y-o-y.

Our CPCU business continues to demonstrate strong growth underscoring the strength of our unified Affle2.0 Consumer Platform Stack fully powered by our ConvergeAI Supply Cloud. Together, it enables robust cross-platform efficiencies and elevates our ROI-driven CPCU use cases with strong competitive advantages.

With global digital spending continuously on the rise, we see significant opportunities across all our top verticals and key markets, driven by advertisers' increasing commitment to digital channels. India and Global Emerging Markets,

together contributed 73.4% to our revenue in Q2 FY2025, and grew by 25.3% y-o-y. Developed markets are also experiencing sustained growth momentum. In Q2 FY2025, we saw a robust growth of 27.5% y-o-y in Developed Markets, which contributed 26.6% to our quarterly revenues, affirming the impact of our strategic realignment and platform consolidation efforts achieved over the last few quarters. Our continued investments in technology and new product use cases are yielding positive results. As we expand our suite of Gen AI -powered capabilities, we are also strengthening our competitive moat through our com

prehensive patent portfolio.

During the quarter, we were granted two additional patents in the US related to 1) Enabling user interactions with live streams such as a podcast via machine learning; and 2) Optimizing user identification through IDs, thus enabling high -quality consumer engagements.

In line with our commitment to best -in-class ESG practices, Affle's subsidiaries have achieved ISO 27001:2022 certification underpinning our proactive implementation of robust data security controls and excellence in our Information Security Management System. We have also appointed one new Independent Director to the Company's Board in India. With 3 of our 5 Independent Directors completing their tenure next year, we have ensured a phased transition plan to further strengthen our governance.

We continue to innovate and expand our tech offerings & use cases, consistently unlocking new client success stories. This time, we have included five case studies in our presentation. 3 of our case studies cover India, Brazil and Indonesia regions, highlighting our unique capabilities in scaling Fintech services across emerging

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markets. The other case studies highlight our success in driving increased e-commerce usage in the US through iOS SKAN -based optimizations and our global success in geo -targeting high -value gamers to drive conversions for gaming advertisers.

Our Affle2.0 Consumer Platform Stack continues to be recognized as the top performer and we recently won the Gold award across 'Mobile Marketing Platform' and 'E-commerce & Q-commerce' categories at the ET Brand Equity's Martech+ Awards 2024.

With that, I now hand over the discussion to our CFO - Kapil Bhutani, to discuss the financials. Thanks and over to you Kapil.

Kapil Bhutani: Thank you, Anuj. Season greetings to all. I hope all of you are keeping safe and well.

Continuing our strong business momentum, in Q2 FY2025, we delivered consolidated revenue of Rs. 5,429 million, a robust growth of 25.9% y-o-y and 4.5% q-o-q. It was a broad-based growth across industry verticals and across our markets. On a standalone basis, India grew by 31.6% y-o-y while on an adjusted basis, India growth was about 19% y-o-y.

EBITDA for the quarter stood at Rs. 1,133 million, an increase of 29.9% y-o-y. Our EBITDA margin was 20.9%, with an expansion of 65 basis points y-o-y and 76 basis points on a sequential basis. In H1 FY2025, our EBITDA increased by 31.8% y-o-y to Rs. 2,178 million with an EBITDA Margin of 20.5%.

In terms of Opex, our Inventory and Data Cost stood at 61.1% of the revenue from operations in this quarter, with a sequential reduction of 53 basis points while a marginal increase y-o-y, as we continue to calibrate our platform offerings on to premium inventories, touchpoints and deeper ecosystem -level partnerships in line with our discussion during previous earnings calls.

Our Employee cost declined by 3.3% q-o-q as our past investments in human resources coupled with integrated team strategies have continued to provide us efficiencies over the last three quarters, thus normalizing our human resource cost. Our Other Expenses stood at 7.6% of revenue versus 7.0% in Q1 last year, increasing primarily on account of our ongoing investments in business promotion activities & trade events participation, particularly required as we expand our product propositions as well as expand our footprint in newer geographies.

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We achieved a Profit Before Tax of Rs. 1,135 million in this quarter, an increase of 55.1% y-o-y and 6.5% sequentially.

Our Profit After Tax (PAT) for the quarter was at Rs. 920 million, marking an increase of 37.7% y-o-y and 6.2% sequentially.

Our Effective Tax Rate stood at 18.9% during this quarter which was in line sequentially. As guided in Q1 FY2025, we see this effective t

ax rate to be the

normalized tax rate for us.

Our Operating cashflows for H1 was Rs. 1,459 million, with an OCF -to-PAT ratio of 81.7%.

We continue to prioritize efficient working capital management and as such there were no material changes in the collection risk.

Our strategic investments in platforms, people and a healthy balance sheet have reinforced our competitive position, supported by strong cash flow generation and robust financial performance. As global digitalization accelerates, we are well - positioned to be sustaining our momentum through FY2025 and beyond.

With this, I end our presentation. Let us please open the floor for Questions.

Moderator: Thank you very much. We will now begin the question -and-answer session. The first question is from the line of Ashwin Mehta from Ambit Capital. Please go ahead.

Ashwin Mehta: Congrats for a good set of numbers. My first question is that we have seen equalization of growth in India , Emerging Markets along with the Developed Markets , which is positive. So qualitatively, if you could give us a sense of trends for India versus Emerging Markets ? Also, how are you seeing the holiday season panning out in H2 across geographies? Do you expect a similar seasonality in Q4 as we have historically seen or the pace of customer addition is strong enough for the seasonality to not necessarily be there?

Anuj Khanna Sohum: Thank you Ashwin. We have delivered all round performance in Q2 FY2025 , be it in India & Emerging Markets overall, as well as in Developed Markets . We remain confident over the long term in terms of sustainable growth momentum across all of our key regions. Especially for this financial year, I have in my commentary clearly mentioned that we expect strong profitable growth for the company, that is stronger than the revenue growth with margin expansion. Even on revenue side, over 20% growth for this whole financial year is where we are headed confidently and convincingly.

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With respect to the ongoing festive quarter, the month of October has already gone by where we saw a strong momentum . October, November, December is typically the best quarter of the financial year for us. Last year, we were able to beat our Q3 performance in Q4 and this year again, we are keeping similar outlook that we will have a strong Q3 as well as a robust Q4.

Hence , we are comfortable across all our key regions key verticals . It is a privileged position to be in, that we are a well hedged company with broad -based presence across global markets as well as within those markets , we have good number of verticals that we are addressing.

Ashwin Mehta: That is good to hear. My second question is broader in terms of the key GenAI trends that you see in advertising and how are we preparing for the same , because domains like personalization, content creation, data and insights, all have material implications from GenAI. It would be good to know of the steps that we are taking to be prepared for this ?

Anuj Khanna Sohum: Today, a lot of our product use cases have already incorporated GenAI capabilities , whether it is new gen use cases or creating vernacular content including vernacular ads, keyword recommendations, as well as helping the advertisers who may not have such vernacular capabilities to curate these assets , on the fly using GenAI . Our GenAI capabilities are already powering many of these use cases for the advertisers . We are also seeing a lot of GenAI implementation and optimization of our operating expense s as we don't have to increase our operating cost in line to the revenue growth . We will continue to have more productivity from our base of employees and that would lead to margin expansion as we go along. That is another area of positive impa

ct which we are seeing.

When we extrapolate this further into a longer -term vision of how in a GenAI world with all kinds of agents and bots , each one of us might have a personalized GenAI agent representing us as an authentic alter ego , helping us to do certain activities in the digital world on our behalf on an authentic delegation. We think that eventually household s will have their own agent, right from dealing with what the refrigerator might order for you or deal with other gadgets in the same household . Every corporation / individual will have a digital agent and a lot of these online interactions would happen between human to agents, agents to agents and so on. Now as far as one can intellectually map these possibilities, Affle within its context of digital advertising has deeply mapped these possibilities into the future. We have Affle (India) Limited

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built the road map of what we stand for and what we believe is the best way to curate this future . We have then distilled that into 15 unique intellectual property patent applications related to GenAI which we have already filed . We are clearly showing demonstrable steps to our shareholders that we are preparing forward, not only using GenAI today in our products, in use cases, bringing it to the advertisers, but also using it deeply in our operations and enhancing productivity of o ur teams . We are also providing a much longer term, like a 5 -year forward road map to what all could happen here . Are we prepared , are we thinking ahead ? The answer lies in our patent portfolio. Some of the clues you can find from there as tod what Affle is thinking and planning for. At the moment , as far as we could have prepared ourselves, we have done so and are future -ready.

Moderator: The next question is from the line Deep Shah from B&K Securities.

Deep Shah: Congrats on good set of numbers. The first question is around this antitrust legislation, which is going on in the United States. While it might be sub -judice, I don't expect a comment on the particular legislation per se, but if you could help us understand how does it impact our industry and in which condition we are better off, because the initial hypothesis suggest that should that condition or should that legislation go through, it would be p ositive for us because the strength of the leader comes down. But that is the initial hypothesis. Is that true? Your comments on that would be useful.

Second , when we say 20% growth, you mean for the medium term, right? Because given how well you performed in first half of this year , full year growth could be much higher. I understand that Jampp recovery happened in the third quarter last year, but then we also had the India GST impact on RMG, which shooed away those revenues. So , just a clarification on near term that when you say 20%, it is for the medium term? FY25 growth could actually be higher given how well the first half has been?

Anuj Khanna Sohum: Regarding the antitrust case, it is important to understand that we are navigating in an ecosystem where when we approach an advertiser, i.e. our customer, they are not asking us, "Hey, how do you compete with Google?" They have a separate budget for what they are spending on Google's platform. Typically, they have a separate budget for non -walled pie where we fit in .

The two team s at advertisers' end are different. The team that is looking at non - Google, non -Facebook, non -walled garden platforms, and those budgets, are different teams . So we, in many years, have not been asked this question, why Affle (India) Limited

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should we spend with you or why should we not spend with Google . Whereas , when analyst or investors like you would look at it, you would see it as one whole sort of a common space.

Having said that, the spaces are sort of interrelated. If an advertis

er is spending

less on the walled gardens, then consequently , chances are they would spend more on non-walled garden platform s.

Therefore, the thesis is clear that we are net -net seeing a more bullish outlook towards the non -walled gardens . It is not only the antitrust issue, which is challenging these larger players, but also the data privacy laws across jurisdictions. The data privacy laws are not as worried about Affle as they are perhaps worried

about what Meta, Twitter, Google and platforms like these are going to do in their respective countries.

A lot of these antitrust or data privacy related regulations are strengthening the non-walled garden s. Platforms like Affle would actually benefit much more. It is also evident in the performance of some of the other public listed companies in US and their trading multiples are an indicator of that . Because people are seeing that in the adtech space, all these macro trends are providing long -term tailwinds to platforms like Affle. Therefore, we are quite bullish and excited about the global possibilities , including developed market opportunity that lies ahead of us.

Regarding your second question, as a DNA of our company, we are a n aggressive growth -oriented company with strong focus to defend our bottom -line financial fundamentals. Having said that, we are a little conservative when giving forward growth outlook . So, 20%+ growth guidance on revenue for this financial year is an important message , and the plus (+) here is also very important . Not jus that, we are convincingly looking at providing greater growth percentage on EBITDA and PAT in this financial year.

In terms of long-term outlook , if you do a 5 -year modelling for our company and look at it on an annual compounding of top line at around 20% and bottom line at around 25%. This kind of an annual growth compounding is a sensible modelling to do for our company. Given what's happening in GenAI, with respect to antitrust, data privacy laws, all of that taken into account, I believe this is achievable , it is realistic and that is what is exciting about leading this business .

Moderator: The next question is from the line of Swapnil Potdukhe from JM Financial Limited.

Please go ahead.

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Swapnil Potdukhe: I had a question related to your cost. On a q-o-q basis, if you see last 2 quarters, we have seen some decline in your employee benefit expenses. I understand that you had taken some cost reduction effort decisions over there, so that is okay. What I am not able to understand is in the balance sheet, your other intangible assets seem to have increased meaningfully over the last couple of quarters? If you could just address that, that would be my first question.

Kapil Bhutani: I will take this question. When we added YouAppi in last year Q1, we had started integrating that tech stack and developing newer models on YouAppi for a greater integration platform. The investment in the YouAppi platform started in quarter 2 last year, hence you would have seen the spike there.

With regards to our preferential issue, which we raised last year, we had clearly mentioned that we will be putting additional effort on the GenAI side. We had marked about 50% of our capital raise in the preferential capital towards developing the GenAI technology over a period of time.

At the moment, we are not pushing larger budget on the AI side, but development of AI technology is taking shape, and we are gradually increasing our investment . You can say that there is an increase of over 10% on a y-o-y basis on the intangible assets .

Swapnil Potdukhe: Okay. Would you like to provide any forward guidance on the capital allocation

Kapil Bhutani: For the next 2 -3 quarters, this is the go -to trend. What you have seen in H1 is going to be a trend for next 2 -3 quarters.

Swapnil Potdukhe: Okay. Got it.

The second question is on your gross margins. How do you see your gross margins moving in the medium term? The Inventory & data cost has been around 61% for a decent period of time. If you can just guide us, will we see some improvement over there? Or we should build the current levels of gross margins?

Kapil Bhutani: You can build us on the same model as the current quarter as we have mentioned in the last few calls that we are integrating and going deeper with our premium placements across OEM inventories . Our efficiencies are coming in into the bottom line from other line items . We are happy with the current proportion of the medium margin and other margins we earn, as we are delivering the efficiencies on EBITDA and PAT .

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Also, we believe that in the next 2 -3 quarters onwards, you might see some efficiency in inventory & data cost also. At the moment, you can model us for medium term on the same basis.

Moderator: The next question is from the line of Vijit Jain from Citigroup. Please go ahead.

Vijit Jain: My first question is - In India, if I look at the e-commerce, fintech and possibly even the entertainment space now with Zomato probably launching District, we are starting to likely see a bigger uptick in push to acquire new customers or retarget dormant customers, etc., right? So, do you especially benefit from that also in Q3 ahead with q-commerce and foodtech space in general? My question is likely near term as well as more longer term because I can see e-commerce, fintech, entertainment, all these categories kind of heating up.

Anuj Khanna Sohum: You may ask your second as well. I will answer both of them together.

Vijit Jain: Yes, sure. My second question is - In U.S., if I see some of the other digital advertising platforms like Applovin, they have seen some pretty solid growth in the current quarter, and the outlook that they have given is also positive. So, outside of the walled gardens in US and digital ad market, could you give a sense of where you are growing relative to the rest of the industry or what you would consider your comps in general? That is my second question.

I also had a last question, which I will just throw in here. In terms of strategic partnerships that you do, are there any OTT apps as such that you think you could do a strategic partnerships with and that would be beneficial from expanding your ability to serve ads in general? Those were my three questions.

Anuj Khanna Sohum: Thank you for your questions. Regarding India, e-commerce, fintech, entertainment, gaming, all of these are important verticals that you have named, which cover our E, F&G categories or verticals, and even hospitality where travel finds its place there or even health care.

We are seeing that in most of the emerging markets, not just India, look at Indonesia, Brazil, Africa, etc. all of these emerging markets have similar trend lines in these verticals, and it is all about growth. Now, what is fuelling this growth? New smartphone users, existing smartphone users upgrading to higher income levels, higher quality of devices and so on, each consumer is doing more volume of conversion and they are also increasing the average value of these conversions. So the digital transaction space is growing and going up.

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The digital consumption, like the bread and butter consumption, has become a basic lifestyle, with e-commerce, fintech, entertainment, gaming, health care, education, etc. evolving as a fundamental consumption, which will be there on a broad basis over the long term.

Having transactions from digital platforms leading to user acquisition use cases, leading to retargeting such users for repeat conversions through the lifetime of their journey not just driving conversions through online devices, but also trying

to

drive footfalls of these important consumers to the physical stores or locations of these brands and advertisers, all of these 3 use cases will continue to thrive for the long term in the emerging markets, and we will continue to benefit from it.

Talking about US, and we talked about some macro trends earlier, which we are bullish about. We also asked about what the comparable companies are, who do we benchmark, who do we follow, track and see what's happening, certainly Applovin, certainly the Trade Desk. One is more focused on gaming, the other one is more focused on CTV. What is unique about Affle is that we are way more anchored on India and emerging markets at the moment, and we are entering into developed markets in a stronger way with more calibration on that dimension.

We have also strengthened our gaming credentials. You will see the case study that we have introduced in our earnings presentation. Several times, we have shown gaming case studies. If you look at Applovin, they are talking about their focus areas as gaming. They talk that they are a gaming company, and then they talk about adtech, and now they are starting to talk about e-commerce. Trade Desk, very focused on agencies and very focused on CTV.

Affle is quite unique. If you look at our direct-to-customers business, over 70% business is direct to the customers / advertisers. Agencies are important strategic partners & channels and we have a good balance overall. We are not over-anchored on one particular country or one particular vertical, whereas, of course, US is such

a large market. While I am saying it today, in the next 3 years, if our U S business continues to grow, it will have a dominating effect overall in the company. If you see Applovin or Trade Desk, the biggest part of their revenue is coming from U S and it is anchored on a few key verticals and that's it, whereas Affle is a much more broad-based de-risked organization today and fast growing as well.

Third question, strategic partnerships, I wouldn't say as much focus on the OTTs at the moment, but we are looking at CTV on a broad basis and seeing right from OEMs or other content partners. In CTV, we are looking at it in a much more holistic way

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from a consumer journey perspective and trying to do a strategic partnership where it is appropriate. But I wouldn't name or call out any specific OTT for strategic partnerships.

Moderator: The next question is from the line of Deepak from Sundaram Mutual Fund.

Deepak: My first question revolves on vertical. I just want to understand, is there any particular vertical that you may want to highlight, which you would hope the revenue growth in both Emerging Markets and Developed Markets? How are your conversations shaping up with the Fintech companies in US?

Anuj Khanna Sohum: We look at our categorization of verticals into categories E, F, G and H, and we enumerate that in our earnings presentations. We are seeing categories E, F and G are the stronger categories and H is still catching up. In categories E, we see e-commerce as the leading vertical; in category F, we see fintech; in category G, we see gaming. So these are the three verticals. Incidentally, the 3 case studies that we have also highlighted this time are covering these three; fintech, e-commerce and gaming across different geographies.

We see that these will continue to be strong resilient verticals, barring 1 quarter here or there, one country or the other. There could always be some hiccups along the way, but those are just hiccups and we see long-term sustainable growth in these verticals across geographies. In North America or in US, we see fintech as also an important vertical. We do have a few fintech customers where we are doing well for them, but we see a lot more emphasis on gaming as well as e-commerce because we are

strong in all the three verticals.

Therefore, we are keeping a balanced approach and going out there to win customers. But I remain positive about the outlook of not only these verticals, but the other verticals as well. We see broad-based consumption increasing on digital.

Even in developed markets, we see a lot of scope for greater growth.

Deepak: Sir, my second question is relatively long term in nature. Now as we have done our platform integration and it is a consolidated platform, would M&A be still a priority for us? Or would M&A take a backseat since first we would want to reap the full benefit of this platform integration and then maybe focus on M&A? Would a subsequent acquisition, if at all it happens, its integration will be much quicker since now it is a full stack for us?

Anuj Khanna Sohum: For our integration, we have the ConvergeAI Supply Cloud which is the backbone of how we are consolidating, ensuring that we have consolidated our power of all the

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different platforms and integrations in a certain way and through a certain process.

We have achieved that successfully so far. There is always something work in progress that we can improve and we are working on that.

But in the longer term, I would expect that any other acquisition that we will do, now we feel much more confident specially after having onboarded YouAppi and integrated it, as an organization and as a platform within the Affle group in less than a year. We feel confident that we can absolutely achieve full integration within 1st year of any acquisition, make sure that we bring the acquired business to similar levels of profitability of about 20% EBITDA or so within the first year.

We have actually shared that the last time when we did the YouAppi acquisition, we had indicated it, but with some caution because we were just coming at the back of the Jampp-related unique challenges. But we have been successful in demonstrating what we did in YouAppi.

Going forward also, we would be looking at acquisitions, certainly. I wouldn't say that we are done with it, neither am I saying that we are going to focus on just acquisitions. It is going to be a carefully calibrated approach. Acquisition is always and should always be carefully calibrated, and we have a very good track record on that. There is no reason to not keep pursuing it.

But at the same time, what has worked well for us will be what we will do even going forward. We will be careful, we will do the assessment and our guiding principle to all our investors and analysts who are tracking us is that the acquired business should not put a drag on our bottom line margins or performance.

We will make sure that during the first year of the acquisition, we bring it up to speed to about 20% EBITDA and so on. If we are not confident about delivering that, chances are we will not do the acquisition. We look at all aspects of it, strategic alignment as well as bottom line financial fundamentals and the ability for us to integrate it and bring it into our journey. All of this will be considered comprehensively, if and when we do another acquisition. I hope that answers.

Moderator: The next question is from the line of Anmol Garg from DAM Capital. Please go ahead.

Anmol Garg: Congrats on good set of numbers. Couple of questions. Firstly, I wanted to understand that in the last few quarters, we have seen a non-CPCU business reduced to now negligible levels. So has this business been classified to CPCU business or has there been any closures of contracting on the non-CPCU part?

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Anuj Khanna Sohumi: See, even when we had the non-CPCU business, I had always provided such guidance that we expect this business to graduate to becoming the CPCU business. We educate our advertisers, incentivize our teams to ensure that

that happens. So the focus

has been CPCU business. I mean it is a single cash-generating unit. As an organization. It is an extremely strong business unit.

Even when we do acquisitions, you will see that we are always talking about transforming those acquired businesses into the CPCU business. Sometimes we have non-CPCU components and so on, and we are aligning it back, and making sure that we are doubling down, because we are still, in my view, a small company. We have a long way to go. There is a lot of market share to be won, there is a lot more territory to conquer in the CPCU business globally. This is how I would like you to look at it rather than seeing it as something is lost in the non-CPCU part, not at all. The gain in the CPCU part is where the focus has to be. If there was anything material that we have lost or something to be concerned about, our governance processes would have absolutely disclosed it in the way that we have always brought - not only good news, but any challenges as well. So there is nothing that you should spend your energy on over there. You see it as CPCU business is growing fast, is doing well and there is a lot more to be done there. Affle is a focused company and while it is doing everything on CPCU, it is also well hedged across verticals and across geographies. That's how I would like you to analyze it and maybe not too much focus on the non-CPCU part.

Anmol Garg: Understood. Secondly, if you can indicate, if the R MG spends have come back to pre-'24 levels? Or do you believe that it is still much lower and there is opportunity that those spends might come back in coming quarters or years?

Anuj Khanna Sohumi: It is different. When we look at numbers, life becomes easier. The number is the same. The ecosystem is evolving, and the R MG segment is evolving. This segment has huge potential for further growth. There is a lot more to be achieved. I wouldn't say that it has bounced back in the same way or to the same extent, but where we are today, we are comfortable with it. From here, we see a clear path of growth.

So we don't see anything pulling it back at the moment. We see a better, more sensible calibrated growth. Sometimes you need a bit of shake up to settle things back, and then have a more robust foundation to build upon and I think that is what has happened in the R MG segment.

Moderator: The next question is from the line Arun Prasath from Avendus Spark Institutional Equities. Please go ahead.

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Arun Prasath: My question is on the balance between the growth and margins that we have so far done beautifully over the last 2.5 years, 3 years. Sometimes you have come out and said that there is an opportunity, so I will invest little more and that is how the growth will be higher in the future, and sometimes you have held back this. So right now, where we are in this cycle? Are you seeing that the investment is enough and that it should pay off for the growth or is it time to cut back? So some thought on that, please.

Anuj Khanna Sohum: I think in terms of balance between growth and margin you are pointing, our company has a strong DNA. I mentioned earlier, we are an aggressive growth - oriented company. We are a long-term player thinking 10 years, even 20 years ahead, and many of you have heard disclosures and internal conversations with key leadership team members. At the same time, we have an extremely strong DNA towards, how are our cashflows or what is the profitability. Both of these aspects are core to the DNA of Affle, growth powered by product innovation, being future - ready, thinking long term. At the same time, clearly what is the daily cash generation, weekly cash generation, monthly cash generation. The discipline as well as the ambition, both of these aspects are there.

In terms of balance, you are asking to choose one or the other business

ss. It is a deep

part of who we are. There is no way to say, okay, this quarter, we will focus on this and not that. I think it goes together. Fortunately, for the kind of business that we have, we can actually achieve both. Why? Because it is an asset-light business, it is a tech platform business.

On the cost side, if we are having the right kind of talent and algorithms, the cost should not grow that much and the business should be scalable. So, if you are aggressive, get more customers, get more market, more geographies, more verticals, let's get it on board.

The only area where we make a clear distinction and that I would continue to make, are the business fundamentals. There is all kinds of advertising revenue out there. You can go out there and tell somebody, You know what, I will make almost nominal margin, give me your business, give me INR 50 million more business, I will get you so many conversions and so on. It can be loss-making, low margin, what I would infact call it to be a poor quality revenue, and such revenue also exists in the market.

Now we are a disciplined company. We say no to that. If we are getting a campaign or an advertiser who is basically wanting conversions and not ready to pay the right

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CPCU pricing, we are saying, "No, hang in there, we have other advertisers, we can pull the price up." We don't have to take the lower quality of revenue. We are clear that we are looking for profitable long-term sustainable growth. We are ready to say no to low quality revenue.

We are clear that there is enough revenue to make profitability. We will continue to be profit oriented and we don't have to compromise margin for growth. That is who we are as an organization, and I don't think that will ever change. I hope that answers your question.

Arun Prasath: This is illuminating, but I was asking more in respect to, say, verticals. Have you invested enough in all the verticals that you are confident that you don't need further calibration there? Or you think there are some verticals where you are weak, so you have to invest and there is a growth available or maybe in certain places where the competition could be strong, probably you need to invest more. So from that perspective, can you help us understand this?

Anuj Khanna Sohum: Sure. In terms of organic investments that we are doing, which Kapil also talked about earlier that we are constantly improving our tech platforms. We are constantly investing and improving. We are not saying, look, we have invested enough, let's enjoy the ride. We are constantly pushing for further improvement. There is a clear road map at all points in time. There is no complacency.

There is alertness and there is ambition to go ahead and keep improving and becoming better. Am I comfortable with the level of organic, continuous ongoing investment that we are doing - the answer is yes. Is that sufficient to beat any competitor in the world, in any market in the world - I believe the answer is still yes.

In terms of investing to strengthen or double down on certain verticals, in certain

markets, doing acquisitions for that and investing into those acquisitions, I have also answered that we will evaluate it carefully. If we see enough strategic leverage in value as who we meet as a potential acquisition candidate, we will look at it. If we are confident that we can deliver strategic value as well as financial fundamentals, even in that within the first year, we will go ahead and do those acquisitions. We are investing in all the verticals. We are constantly investing to improve organically in those verticals.

Arun Prasath: Second question is on the competition. Maybe we have become a reasonable size in some of the emerging markets and in India, maybe we are small in Developed

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Markets. But in these spe

cific markets, say, India, Indonesia and other Emerging

Markets, how is the competition now as compared to say 2 or 3 years ago?

Do you see smaller players getting eliminated? Is there anything advantage we can gain out of it because having become bigger in these markets, can we push more and, say, at a much higher margins, at a much higher growth? Is it the possibility or we have still not reached that stage in India and emerging markets as well?

Anuj Khanna Sohum: I think it is still work in progress stage. In terms of competition, the good news is that most of our advertisers or ecosystem partners, they are evaluating us with all the top global players - some of them we named earlier in the call. We bring in our best people on the ground in all the emerging markets, whereas most of these other, global companies listed in US or in Europe are focused on developed markets and their best people are fighting the battles in developed markets because there is a disproportionate revenue for those companies from those markets.

So they hire maybe one-off country directors in some of these emerging market regions. Even though they come from these big global companies, their ability to compete against our best people on ground is limited. That gives us a lot of advantage in terms of how we execute in emerging markets. So competition-wise, we have found ourselves in a good place.

We compare with the best and try to beat them in emerging markets, then use those credentials & case studies to go and win in developed markets against them and say that, "Look, we are beating them in complexities of emerging markets, give us a chance in developed markets as well." So I think those kind of competitive positioning is how we are navigating. At the moment, I would say that the numbers that you see and the growth and the margin expansion is at a sensible, sustainable level.

Moderator: The next question is from the line of Adnan Amroliwala from Bastion Research.

Please go ahead.

Adnan Amroliwala: Congrats on the good set of numbers. My first question is related to any guidance on the CPCU rate, since you said that main reason for increasing CPCU rate is basically premium inventory and direct markets. So any guidance on that?

Anuj Khanna Sohum: The most important factor for us to extract better CPCU rates from the advertisers is the competitive bidding. If we have a broad base of customers and they are all fighting to get the same conversion at that time, in that month or in that time of the campaign, then we have the ability to make sure that we can command a CPCU

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rate. So that is one of the factors, create the competitive tension so that they bid higher for the CPCU rates.

Second is, can we take it to unlimited levels of height? No, there is another factor - what is the fundamental value of the consumer conversion? What is the lifetime value of that consumer's wallet for this particular advertiser? If you are converting that consumer for this advertiser, will it make ROI eventually for the advertiser? So these are the parameters and boundary conditions within which we operate.

One, get to highest level of margins by making sure there is competitive pricing so that we are selling it at the right price and pushing that right price to a level where the advertiser is still making money. It has to be a win-win proposition, otherwise it wouldn't work. To get to the premium users or the premium conversions, which have high lifetime values, go to premium touch points - iOS devices, Samsung

devices, AppStore inventories, etc. Basically, go to the right kind of consumer segments to drive premium ROI for the advertisers. But then you also want scale , so it is not just about premiumness.

We are looking at this in a balanced way, and we believe that the CPCU pricing will continue to move in the right direction.

It will keep inching upwards as we have already done over the last many years.

Adnan Amroliwala: Perfect. Sir, another question is, how does the inventory cost come? How does the contractor publish it? Is it like you buy the inventory and pay them upfront? Or is it a revenue sharing basis? Secondly, how much of the inventory cost is forward-looking? If you can clarify that.

Anuj Khanna Sohum: I don't know if I can answer everything and some of that would result in trade secret, but I have been clear that we are buying the inventory, we are paying for the impressions for showing the ads and we are charging the advertisers for driving conversions . On one side, we are basically the buyer of advertising space and on the other hand, we are taking responsibility for driving the end conversions and therefore, charging the advertisers against that.

Whether it is just the price per impression or effective price per impression or are we doing a revenue share ? I would like to reserve that. In certain publishers, it could be a revenue share while in certain other publishers' case, it would be just a clear bidding -based process and using our intelligence and making it happen. Where we have strategic partnerships, we may do revenue share. But most of the supply sources are connected programmatically . We are bidding for it , we are buying the space , we are using our algorithms . We are making sure that we are optimizing and

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maximizing the outcome for the advertisers at the lowest cost of converting the user.

You also asked about how much of the inventory cost is forward-looking. At any given time, let's say, in India, we are also looking at calibrating deeper to understand those consumers who are non-shoppers today . In India, there are 700 million connected devices. Out of those devices, we constantly keep predicting that what percentage of devices are shoppers today . Hence, a good part of the spend goes in that dimension across not only India but other emerging markets as well . I would not quantify it today, but I would say at least 10% to 15% of the cost is forward-looking.

Moderator: The next follow-up question is from the line of Deepak from Sundaram Mutual Fund. Please go ahead.

Deepak: My question was around CTV. As we are talking about more premium inventories and entering into CTV channel, I just wanted to understand what will be your approach to managing the ad latency and buffering issues, which is prevalent in CTV because if your consumer doesn't completely engage with the ad and switches between the channel in CTV, that could lead up to higher inventory costs for us, right?

Anuj Khanna Sohum: So far, we haven't faced the specific challenges that you are talking about, in terms of ad latency or switching cost of the consumer . Maybe the companies that are only focused on CTV with just one -dimensional engagement point with the consumer are trying to grapple with some of these aspects. For us, CTV is one additional touch point in that consumer's life, such that let's say firstly when the consumer is on their mobile phone, then in their office, then traveling, and then they are coming back to their home . So, they connect to their households , then they are on their mobile device, and they then go on to the CTV. There are multiple mobile devices in the home because there are multiple individuals, maybe there is one or two CTVs in different rooms of the house.

The CTV is one channel to influence the consumer, and the mobile and other touch points of the consumer journey are also important to the overall connected device experience that Affle talks about. In this process, there could be certain challenges, whether it is ad latency or something else. But eventually, what we are talking about is how most of the tech challenges would get overcome over a period of time. The most important

insight, Deepak, is that you and I, as consumers, are going to

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be on the mobile device, on connected TV devices, other connected gadgets, it is an expected pattern.

Affle's role is not just to look at one channel or the other, but looking at the consumer centricity of Affle's platform . We are a consumer platform and the consumer platform is focused on all connected devices that the consumer will touch with. Maybe on CTV, there could be certain unique challenges, maybe on mobile as well. Tomorrow , there will be other variable devices. They will all go through their journey of consumer adoption & overcoming challenges, but I don't see CTV and ad latency as an issue that we are disturbed by at the moment.

Deepak: Okay. Will there be customer overlap also? For example, what we are targeting today on mobile -only installer, some overlap would be where we will be targeting the same consumer on CTV channel as well?

Anuj Khanna Sohum: Of course, yes. The consumer is the same. If somebody is trying to drive a conversion with me, they would say that you have shown the ad on mobile, show it on the CTV also . Ideally, it should work like that to drive the conversion. We have to look at it in a consumer -centric way versus one touch point at a time because that is not the strategic direction that we are taking. We are looking at it as a consumer -centric platform. Wherever the consumer goes, we have to map and provide that engagement point.

Moderator: Ladies and gentlemen, that was the last question of the call. I now hand over to the management for closing comments.

Anuj Khanna Sohum: Thank you everybody for your very insightful questions. We look forward to the festive quarter . The festivities have happened for Deepawali and we have already seen good momentum, but rest of this quarter is ahead of us . We look forward to connecting back in early 2025 and hopefully with much stronger results & performance as guided earlier today. Thank you and stay well.

Moderator: Thank you. On behalf of Ambit Capital, that concludes this conference. Thank you for joining us and you may now disconnect your lines. Thank you.

*** end ***

Call: Feb 2025

Affle (India) Limited

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AIL/SE/ ECT/Q3/2024-25 February 17, 2025

To

BSE Limited

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Dalal Street, Mumbai 400 001

Scrip Code: 542752 National Stock Exchange of India Ltd

Exchange Plaza, 5th Floor, Plot No. C -I, G Block,

Bandra Kurla Complex, Bandra (East), Mumbai

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Sub: Transcript of the Earnings Conference Call for the third quarter and nine months ended

December 31, 2024 conducted on February 10, 2025 at 10:00AM IST

Dear Sir/ Madam,

Please find enclosed the detailed transcript of the Earnings Conference Call conducted on Monday, February 10, 2025 at 10:00 AM IST to discuss the results and developments for the third quarter and nine months ended December 31, 2024.

The same is also available on the Company's website at <https://affle.com/investor-relations>.

Please note that the audio recording of the Earnings Conference Call was submitted vide our letter

AIL/EC/2024-25/Q3 dated February 10, 2025.

Submitted for your information and records.

Thanking you,

Yours Faithfully,

For Affle (India) Limited

Parmita Choudhury

Company Secretary & Compliance Officer

This transcript has been edited to improve the readability

Affle (India) Limited

Q3 & 9M FY2025 Earnings Conference Call

February 10, 2025

Management: 1) Mr. Anuj Khanna Sohum – Chairperson, Managing Director & Chief Executive Officer of Affle (India)

Limited

2) Mr. Kapil Bhutani – Chief Financial & Operations
Officer of Affle (India) Limited

Analyst: Mr. Rahul Jain – Dolat Capital Markets Private
Limited

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February 10, 2025

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Moderator: Ladies and gentlemen, good day and welcome to the Affle (India) Limited Q3 and 9 M FY2025 Earnings Conference Call hosted by Dolat Capital. As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing '*', then '0' on your touch tone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Rahul Jain from Dolat Capital. Thank you, and over to you, sir.

Rahul Jain: Thank you Aleric. Good morning, everyone. On behalf of Dolat Capital, we welcome you all to the Q3 and 9 M FY2025 Conference Call of Affle (India) Limited. I take this opportunity to welcome the management of Affle (India) Limited represented by Mr. Anuj Khanna Sohum, who is the Chairperson, Managing Director and Chief Executive Officer of the Company; and Mr. Kapil Bhutani, who is Chief Financial and Operations Officer of the Company.

Before we begin with the discussion, I would like to remind you that some of the statements made in today's conference call may be forward-looking in nature and may involve some risks and uncertainties. Kindly refer to Slide 25 of the company's earnings presentation for the detailed disclaimer on the same.

I will now hand over the call to Mr. Anuj Khanna Sohum for his opening remarks. Thanks and over to you, Anuj.

Anuj Khanna Sohum: Good morning everyone and thank you for joining the call today. I trust all of you are keeping in good health. First and foremost, I must share that I feel deeply honoured to be re-appointed as the Chairperson of Affle for the next 10 years. Together with the continuing management role as the MD and CEO of Affle, this would ensure credible and long-term entrepreneurial leadership commitment towards Affle's 10x growth journey and the compounding impact on our shareholders value creation!

In Q3 FY 2025, Affle delivered a landmark performance driven by our consistent focus on sustainable growth. For the first time, we surpassed INR 6,000 million in quarterly revenue, INR 1,000 million in quarterly PAT and achieved over 100 million quarterly CPCU conversions at the highest CPCU rate till date. During the quarter, we delivered revenue growth of 20.6% y-o-y and a PAT growth of 30.5% y-o-y.

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February 10, 2025

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Our focused execution on higher productivity, operational efficiencies and continuous innovation enabled us to achieve highest-ever EBITDA of INR 1,314 million and a record 245 basis points EBITDA margin expansion on a y-o-y basis. Our CPCU business delivered 103.3 million conversions at a CPCU rate of INR 57.8 and we earned CPCU revenue of INR 5,968 million, an increase of 25.0% y-o-y and 10.2% q-o-q.

In terms of 9M FY2025, we achieved revenue growth of 24.5% y-o-y and PAT growth of 32.9% y-o-y, and our CPCU revenue increased by 31.9% y-o-y. With global digital spending continuously on the rise, we see significant opportunities across our top verticals and key markets. India and global emerging markets together contributed 73.6% to our revenue in Q3 FY 2025 and grew by 19.7% y-o-y.

Speaking of developed markets, our strategic initiatives in the recent past to integrate platforms, teams and operate with a single local entity structure in the U.S. makes us well hedged, and it derisks us from any currency risks

or tariff risk, thus ensuring business stability. In Q3 FY 2025, we saw a robust growth of 23.3% y-o-y in developed markets, and it contributed 26.4% to our quarterly revenue.

Our consistent business momentum across geographies and industry verticals has strengthened the market position of our tech platforms. We continue to exceed our performance targets and are confident of delivering 20

% + growth

in FY2025 and sustaining this growth trajectory ahead.

The global macroeconomic environment has been marked with uncertainty ; however, our industry tailwinds remain intact. Return On Advertising Spend known as RoAS, and ROI are more critical than ever before for our customers. Our unified Affle 2.0 Consumer Platform Stack and our conversion -driven CPCU business model positions us at the forefront of delivering scalable and profitable outcomes for our customers globally.

Our focus on innovation and investment in next -gen technologies, including AI, continues to strengthen our competitive moat . As we expand the use cases of our GenAI tech IP, we are proud to have received a new patent grant in India, further enhancing our comprehensive tech IP portfolio. We received the patent related to - System for switching and handover between one or more intelligent agent conversational agents. Additionally, we received one more patent grant in India that was already granted to us in the U.S. for - Affle (India) Limited

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Method and systems to utilize advertisement fraud data for blacklisting fraudulent entities. This underscores our commitment towards responsible adoption of emerging AI tech to drive value for our customers.

This quarter, we have included three customer approved case studies in our presentation . The first case study highlights our unique capabilities in scaling fintech services in India targeting high lifetime value (LTV) iOS and iPhone users . The second case study highlights our success in making urban mobility more efficient in global emerging markets with use of AI -led vernacular strategy and the third focuses on the E-commerce vertical, enabling deep funnel conversions in developed markets.

Our Affle 2.0 Consumer Platform Stack continues to be recognized as a top performer and recently won the 'Best Partner Award ' at 2024 OPPO Ads Awards, Silver award in 'AI and ML category ' at the Maddies 2024, 'Best use of Martech ' at India Digital Award s and multiple other awards at MMA's Smarties APAC.

Finally as also discussed in the last quarter's earnings call, to strengthen our governance, we have been onboarding new independent directors progressively since last year as part of the transition plan for some of the directors, who are completing their term this year. We aim to further augment our culture of tech innovations and entrepreneurial leadership with even deeper commitment towards consistent execution and attainment of our long -term 10x growth goals.

With that, I now hand over the discussion to our CFO, Kapil Bhutani, to discuss the financials. Thank you and over to you, Kapil.

Kapil Bhutani: Thank you Anuj. Good morning and hope all of you are keeping safe and well.

We have continued to raise our performance bar to conclude Q3 FY2025 with highest -ever quarterly revenue, EBITDA, PAT and CPCU conversions.

In Q3 FY2025 , we delivered consolidated revenue of INR 6,017 million with a robust growth of 20.6% y-o-y, led by a broad -based business growth across our key industry verticals and in India & international markets.

It also marks our 7th consecutive quarter of sequential growth with 10.8% q-o-q increase in revenue. This highlights our ability to build success of each previous quarter as we continue to execute our strategic initiatives effectively across our business units.

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In Q3, on a stand alone basis, India revenue grew by 34.7% y-o-y, while on an

adjusted basis, India growth was about 19.8% y-o-y.

We delivered strong growth in operating profit with our EBITDA increasing by 35.9% y-o-y and 15.9% q-o-q. This resulted in EBITDA of INR 1,314 million, reflecting a margin of 21.8% of revenue compared to 19.4% margin in Q3 last year.

As guided in our previous call s, we continue to calibrate our platform offerings on to premium

inventories, touch points and deeper ecosystem

level partnership. Despite these ongoing calibrations, our unified Affle 2.0 Consumer Platform Stack continues to provide us operational efficiencies across our tech platform s, resulting in further decrease in our inventory and data costs, which stood at 60.3% of our revenue in this quarter versus 61.1% in the previous quarter sequentially.

Our employee costs increased by 1.5% q-o-q but declined by 6.5% y-o-y, as our past investments in human resources coupled with integrated team strategies, continue to provide us efficiencies over the last 4 quarters, thus normalizing our human resource cost.

Other expenses stood at 8.3% of the revenue versus 7.6% in the previous quarter , increasing primarily on account of our ongoing investments in business promotion activities to further capitalize on emerging opportunities across markets and maintain our growth momentum ahead.

We continue to deliver higher Profits Before Tax. We achieved a Profit Before Tax of INR 1,237 million in this quarter , with an increase of 48.4% y-o-y and 9.0% sequentially.

Our Profit After Tax for the quarter was INR 1,002 million, marking an increase of 30.5% y-o-y and 8.9% sequentially.

Our operating cash flow for the nine month s period was INR 2,837 million. We continue to prioritize efficient working capital. As such, there were no material changes in our collection risk.

Our robust financial performance supported by a healthy balance sheet and strong cash flow generation has further cemented our competitive position in the Ad tech industry . With performance advertising on the rise, we are Affle (India) Limited

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well-positioned to seize emerging opportunities, driving sustained growth and continued success through FY 2025 and beyond.

With this, I end our presentation, let's open the floor for questions.

Moderator: The first question comes from the line of Rahul Jain from Dolat Capital Markets Private Limited.

Rahul Jain: Congrats on strong quarterly execution. My question pertains to how you see the environment both on the developed market s side and the emerging market s side. I specifically want to understand how the holiday season for retail space has played out because the commentary that we are hearing from the IT peers is that this has been a very strong quarter, and it was a strong holiday season.

Similarly, in India, there is a lot of consumption theme buzz right now after the budget announcement. So , what is your view on both the sides? Secondly, how does that should shape up the seasonality for Q4 this time versus last time?

Anuj Khanna Sohum: Thank you for your question. In terms of the overall trend lines, you can see from our commentary and discussion that it is an all -around broad -based growth momentum that we have seen for many quarters and for many years in our company and this year is no different.

This year , we are also seeing a lot of operating efficiencies coming into play, and that is because of the successful integrations and strategies that we put in place as well as our very good adoption of AI technologies across the board, helping our customers to get higher ROI and RoAS so that we can defend our prices.

While the volume is going up and the business is growing, we are able to also increase our pricing. That is showing the strength and the premium nature of our business and that applies across verticals, across markets, be it India, emerging markets and even in developed markets. That momentum should definitely support our trajectory.

Of course, in any advertising business, there is some seasonality. If you look at the historical track record of our company, we have always seen Q3 being the highest quarter and Q4 being flattish or sometimes a little bit lower than Q3. But given where we are today, our goal is to stay inspired.

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What we did in Q4 last year was we had beaten Q3 even though it was still flattish, and that seems a long-term trend that we are able to beat or meet Q3. So yes, seasonality plays an effect in Q3, but we have an overall growth momentum that is also helping us.

When we go ahead and we get more budgets from our advertisers, it's not only about seasonality, it's about delivering performance, giving them ROI, RoAS and that becomes a strong case for winning new customers & getting more budgets from existing customers. We are hoping that Q4 will continue to be in line with what we have seen with Q3 and hopefully expecting more bottom-line efficiencies as we execute.

We are optimistic. It's not only about Q4 but also going forward into the next financial years ahead, our commitment to deliver long-term 10x growth kind of goal that we have set for our company is intact. The thesis is intact and we are confident that we are on the right trajectory.

Moderator: The next question comes from the line of Vijit Jain from Citi.

Vijit Jain: Anuj, if you could broadly talk about how the overall ad ecosystem outside the big guys (walled gardens), has changed over the course of last 1 year.

Any interest from your side in acquiring any supply side platforms or businesses now that it's been about 2 years since you last did an acquired and integrated YouAppi?

I asked that question because I keep seeing all these commentaries which suggest that having more first-party data or having more end-to-end offerings is attracting a lot of ad dollars, especially in the developed markets? Do you see that overall theme playing out? If you can give an overview from your vantage point? That will be very helpful.

Anuj Khanna Sohumi: Sure. One of our key unique aspects is that we offer a unified platform. It's an end-to-end unified platform and where we highlight a specific point that we are unifying and simplifying an otherwise fragmented and complicated digital ecosystem.

What are we offering to our advertisers – It is end-to-end ROI-driven conversions with consumers, which includes not just the demand side, but also the supply side and all the other technology components that go within the system to deliver the end conversions.

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We are clearly a unified end-to-end platform. Of course, the revenue comes from the advertisers. Hence, the demand-side platform typically gets a lot of attention. But when you look at our whole structure, the Affle 2.0 Consumer Platform Stack, that is an end-to-end platform and it is a complete platform.

Should we still look for an acquisition, whether on demand side or on supply side? Well, that depends on many factors. Typically, if you look at all our acquisitions, we have had a long gestation period. You may have seen a lot of acquisitions done since IPO, but we are very selective. We always wait for the right time. We look at the targets carefully. We integrate them fully, maximize them fully and then we look at what's next. We are going to be careful in terms of what we do in terms of acquisitions next, but there is no particular gap in terms of our existing platforms capabilities or the comprehensive end-to-end capabilities that our platform today offers into the market.

You talked about it highlighting the developed markets, where it's slightly different. I believe the fundamental thesis is the same. When we are going out and executing in developed markets, we are looking at premium

touch points. We're looking at CTV, iOS devices, giving a CPCU -led conversion model, differentiating verticalization of our platforms and going into different industry verticals, serving those customers with ROI -oriented outcomes , and that is holding us in a good stead.

Also, the customers are looking at learning from us . We are a thought leader in

the market. We are going out there and sharing with them how we can deal with the new age GenAI use cases, whether it is in creative creation, content creation or even on Governance . How do you fight digital fraud where GenAI could be used in a good way or could some people, some actors out there use it in a bad way. Affle is not only creating patents but also creating use cases demonstrating that we do responsible adoption of AI. All of these factors, when you put that together, we have a strong competitive moat and a competitive advantage as we go out and execute. This is not something that we are now pivoting towards. We have always maintained this position of our platform since a very long time.

Since our DRHP or the draft presentation roadshow, from 2018 to 2025, we are consistently talking about being an end -to-end platform, and these

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capabilities are inherent in our approach to the market. I hope that answers your question .

Vijit Jain: Yes Anuj, that's helpful. My second question is just on the employee cost side. I believe the expectation at least I had here was there were going to be wage hikes in some geographies this quarter , but I see that the employee costs are down 7% Y -o-Y. So if you can just explain, is that just ongoing integration efficiencies and those kinds of things? Or is there more to it?

Anuj Khanna Sohun: Absolutely. When you compare last year to this year, we have completed the full integration of all our platforms. Across markets, we have unified the teams, the entities and so on & so forth. There are some efficiencies that have also come from there.

Of course, people have got appraisals . That's why you see sequentially, our cost has gone up. We do take care of our teams well. We also have a comprehensive stock option plan which many employees are a beneficiary of. Overall, we have a comprehensive structure.

The team is super motivated and aligned. We are also enhancing the internal operating efficiencies because almost all the teams and departments are leveraging , not just the assistance, but the automation and the autonomy that we are deriving from using GenAI capabilities internally.

Hence, we are able to do a lot more, a lot faster with the same number of people. So people can get paid more, they can be even more productive. We don't need to increase our workforce dramatically. We can keep growing our revenues and our productivity without increasing headcount. I believe that you will continue to see, especially in tech platform -driven scalable companies and businesses.

We are certainly one and we are realizing the full power of it. It's quite a fantastic thing that has happened to us. We are unlocking new use cases and new ways to drive even higher productivity. Everybody is way more productive and therefore, that leads to employee satisfaction and the value creation.

Moderator: The next question comes from the line of Swapnil Potdukhe from JMFL.

Swapnil Potdukhe: My questions are mainly growth related, and I will start off with your emerging markets growth. My back of the analysis says that there has been some tapering of growth in Other emerging markets in this particular quarter.

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Just want to understand, is there any particular reason for that? Or is it macro related?

I mean it would be great if you can just help us understand how does your growth stack up versus the underlying market growth in other emerging

markets? Also follow -up to that, a similar analysis to your 19.8% growth in India for this quarter versus the broader digital Ad tech market growth in the country?

Anuj Khanna Sohumi: All right. First of all, I am satisfied with the broad-based growth and performance of our company. The emphasis for us this year consistently has been on deriving not just growth, but growth to

gether with deeper profitability and better pricing .

It is not just to be seen in one dimension of growth . It has to be seen as premium growth, premium conversions, better price conversions and better profitability . We are choosing the business that we want to do in order to achieve the growth that we have, while attaining all of those metric points leading all the way down to positive free cash flow s.

When we work across emerging markets, it's extremely important to know how you are pricing the customers . Generally , the willingness of a customer to pay or how promptly they eventually pay to us ; all of these factors are considered when dealing with customers and we have a very disciplined execution.

The sales team can bring an order , but until we go through the check on all of the fronts, whether the pricing is right, whether the payment terms are right, we make sure all of that is taken care of and then we onboard the business or a campaign.

I am satisfied about this approach because that shows disciplined, sustainable cash flow positive and profitable growth for our company, and that's what we are achieving across markets.

This discipline is important because our company is running across so many countries and therefore, the process to ensure that we are achieving each of these metrics well and therefore, delivering sustainable and sensible growth is what you are seeing in the results. There is no other factor to that.

If we look at it from one quarter to another, I suggest you should probably do the analysis back of the envelope even on a broader sense and you would

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find that it is sustainable, sensible growth, and there is no real trend of tapering off or any particular concern on that front.

I, as a CEO don't have that concern that we have any area of tapering of growth. It's a sensible execution that I am pushing for in the company.

The same goes for India. We are always making sure that just because our business volumes are growing, there should be no customer coming out and saying, "Can I get a discount? Or can I get a lower pricing and so on?" We keep it competitive, premium and that has been our approach.

Swapnil Potdukhe: Okay. I get your point on the sustainable profitability improvement as well while pushing for growth, which is evident on your gross margin. You have been able to maintain or slightly improve the gross margins. But if I were to just extrapolate that, are you suggesting by any chance that gross margins will keep on improving, and henceforth, we are close to around 39% right now. Should we see that improvement going ahead? In pursuit of that, you are okay with slightly less growth versus the broader market growth?

Anuj Khanna Sohumi: No, I wouldn't say that. We are a n aggressive company. We are not saying less on anything. It is not always a trade-off. We have a business plan of achieving long-term 10x growth for our company. On that business plan, you have to calibrate and say how much growth at what parameters.

For each of those parameters, revenue growth, margin percentage, operating efficiencies, profit, cash flow, we are monitoring all of those metrics in an integrated fashion . Therefore, it is important for us to make sure that we must achieve all of them , it's not just one of them. It's not okay to say that let's go for margin and okay, let's go for lesser revenue . No, it's not like that. We can get all of it.

But we need to be positioning ourselves right. If we position ourselves for right kind of customers who will continue to increase their spend s, who will pay us well, who themselves make enough ROI from those consumer transactions that they don't mind paying us what we ask for earning for ourselves. Now that's where we are going .

So give the clients premium conversions, high LTV consumer conversions.
Then you can extract the

right kind of margin, the right kind of execution
and then internal efficiencies come into place. We are looking at it
holistically. I don't think it's a necessary trade -off. So far, we have not
reached that place in terms of a trade -offs.

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We have a plan and we stick to it. If we are achieving that plan with all
metrics achieved, that's the outcome we look for in every result that we're
aiming for.

Moderator: The next question comes from the line of Arun Prasath from Avendus Spark.

Arun Prasath: Anuj, my first question continues with the previous participant's discussion.

So what I infer was that in emerging markets, probably there are some
pockets of challenges in collecting money and hence you let go of those
business or chose not to take the business, and hence, in the emerging
markets , growth is lower than the developed markets. Is this the right
takeaway from your explanation?

Anuj Khanna Sohum: No, I don't think that is correct. What is the right way to understand what I
said earlier is to say that we are not looking at it only at one dimension. What
we are saying is that there are many kinds of organizational cultures . There
are some companies where sales is king . Anybody brings an order, okay, let's
just take it on, even if it means there is lesser margin or even if people think
they can solve the problem later on.

Affle's culture is not that way . The DNA of the company is that we will look
at all the metrics to be achieved successfully in all campaigns in all markets
across all customers. That's disciplined execution should not be seen as there
is a certain element of risk.

Let me give you a simple example. At any given moment when, let's say, you
are using your device and we can show you one ad . Now to you as a consumer,
we will show you, say, one ad at any one given moment, which ad should we
show?

The decision -making algorithm that is working on this is saying, what is the
probability of getting the conversion from this person ? Therefore, let's show
a particular advertiser's ad . But then you would also look at which advertiser
is bidding at a higher price for that moment.

If we get a higher price, is that going to translate to higher margin? If it
translates to higher margin, will we also eventually get the collection? The
whole risk management algorithm from first consumer decision -making to
conversion decision -making to profitability and margin and cash flow
decisions, is all seeded as part of the algorithmic decision -making, which is
made in split seconds .

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When there is a moment of truth, when are you on your device, you're using
an app, the algorithm that's working behind is doing all of this calculation in
every split moment of decision -making . It's not like Kapil and Anuj are sitting
there and just saying, okay, let's not take this or take that.

Even if we take all the business on board and without putting the necessary
checks and balances, the technology stack as well as the DNA of the
organization will insist otherwise because even the salespeople, they earn
commissions only on collections. Even the salesperson is going to check
themselves and the algorithm will check.

This is a sensible, sustainable profitable growth plan and execution DNA of
the company. That's all that I'm saying. Now I'm not sure why you would want
to interpret it as a trade -off between revenue or collections or something.

This is the algorithm. This is the DNA of the company.

Arun Prasath: Anuj, thanks, that's already a broad explanation, but I just wanted to double
check on the disparity - I mean slightly better growth in developed markets
versus emerging Markets. Is there any single driver that you would like to

point out, say, a certain verticals doing well or certain geographies doing well, which is not doing well probably in

emerging Markets ?

Anuj Khanna Sohum: I would just say that in terms of the organizational emphasis, you would have seen that we were last year turning around developed markets. Therefore, there is a certain momentum that it creates in terms of where are you attending more marketing events, where are you investing a bit more effort in terms of thought leadership and so on.

It's just a case of organizational momentum. I don't think it has to be read into anything. We are constantly calibrating towards maximizing growth in all regions, but there could be an effect of the fact that we were so deeply focused on turning around North America, we are seeing a natural momentum carryover effect of that, and I think that should continue.

I wouldn't read into it as if there is any weakness in one or there is any unique carved out strength in any vertical in developed markets. But what I am seeing it is broad -based growth across all markets. To me, the trend lines look fairly sensible on a broad basis .

Arun Prasath: Yes. Understood. My second question is on our past acquisitions, especially Jampp and YouAppi. Now would you say that in terms of what you can control and what they can do, you have done completely all of that. I am sure you

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would have done that. But in terms of output, that is in terms of let's say, margins or profitability levels, do you think we have reached the levels satisfactory to you? Or is it still some way to catch up from the rest of the portfolio?

Anuj Khanna Sohum: I am satisfied with what we have done so far in integrating, turning around. Acquisitions are not always straightforward, but the kind of conviction with which we have done the integration and the outcomes that we have seen, I would say that our team has done a fantastic job of making sure that each of our acquired businesses has been integrated properly.

Of course, there were many challenges, but also in terms of margin expansion, optimizing for greater growth or cross -selling, upselling opportunities, the technology stack efficiencies . I wouldn't change too much in terms of what we are looking out as outcomes.

But going forward, there are some new opportunities of greater scalability and better efficiencies . We are still work in progress on that as an organization. We will keep tapping into that and hopefully deliver better results as we go along.

Arun Prasath: Just that in terms of profitability gap, do you think still you can close the gap? Or this is the kind of a steady -state level for those acquired platforms like Jampp and YouAppi?

Anuj Khanna Sohum: The integration is complete. Now, I would no longer go and look at it on a piecemeal basis that, okay, let's optimize this or that . Because once you integrate everything over a period of 3 to 5 years, it becomes harder to separate it out and measure it or optimize it like that.

But as a holistic, one whole cash flow generating unit, there are efficiencies to be extracted, and that has to do with various things that I already talked about in my comments that we are working on and optimizing & making sure that we can be even more efficient than we have been. There are certain initiatives that are still underway that will extract better efficiencies going forward.

Arun Prasath: Understood. Finally, if I can squeeze in one bookkeeping question for Kapil. Kapil, can you share what is the proportion of our revenue which is fully invoiced , billed and received in U.S. dollars or the currencies which catered to the U.S. dollars ?

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Kapil Bhutani: The international market business that is our non -India business is predominantly in USD.

Arun Prasath: Including in emerging markets, we bill it in USD?

Kapil Bhutani: Yes. Most of our entities , except in India, work on USD as our functional currency.

Arun Prasath: So, roughly 2/3 of our revenue is billed in U.S. dollars?

Kapil Bhutani: Yes approximately . You can say that approximate ly 2/3 of that can be in U.S. dollars . However, as our cost of operations are also in USD, it's all naturally hedged.

Arun Prasath: So, our costs and revenue are both in USDs at a margin level . With rupee depreciation , should that help us at the margin level ?

Kapil Bhutani: As I mentioned while answering your first question, our cost of inventory and data costs are also in USD predominantly. So if my revenues are 60% in USD, then 70% of my cost is in USD. That's naturally hedged for us . There are no major exchange gains or losses, which we confront.

Moderator: The next question comes from the line of Deepak from Sundaram Mutual Fund.

Deepak : Congratulations on good result and crossing 100 million converted users. If I look at your CPCU rate, now this is the highest CPCU rate we have delivered in this quarter. You have indicated that in the past also that as we go more premium, this is likely to inch up further, which is showing in the numbers . But those premium inventory come at the premium cost as well. But if I look at your inventory cost per converted user, it has largely remained flattish Q2 to Q3. We have managed it well. I wanted to understand how did we do that? Is it because we are doing more OEM -level partnerships where we are able to negotiate better ad placements? Or is it less to do with experimenting with marketing campaigns? What is that which is helping us maintain our inventory cost lower, but our CPCU rate going higher?

Anuj Khanna Sohum: I would attribute that completely to the strength of our platform and algorithm and not to some one -off here or there partnership or cases or a particular category of execution. End of the day when our platform operates, it looks at consumer conversions wi thout being biased by a particular category of inventory. We are talking about billions and trillions of data

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points being processed and decisions being made on the fly . The only reason for us to do that efficiently is by not just targeting premium consumers, but also know ing that premium consumers means that you can't bombard them with ads.

You just want to make sure that you show the minimum number of ads to get the maximum number of conversion s and that's the job of algorithm , and we are doing it well.

Deepak : Okay. Second question is to Kapil . What I could see is that whatever cost we are saving on the inventory front, we are investing back into the business.

That is why our other expenses is kind of elevated. It was 20% Q -o-Q growth. I understand that because Q3 is a seasonally strong quarter for us. So going ahead, what could be the quarterly run rate of these Other expenses ? Will it come down because it was more to do with seasonality?

Kapil Bhutani: As mentioned in our previous calls, we have been focusing on attending a lot of events from last 5 quarters. You would have seen increase in this line item steadily. We expect that this line item to stabilize or grow a little as our focus to reach out to or convince the customers is going to be there for the next 4 quarters . We want the customers to get more understanding of how to get more RoAS or ROI from the campaigns they run with us and how to compare us with other clients .

Deepak : Okay. Then, sir, what would be our margin target, let's say, going forward in FY26?

Kapil Bhutani: We are expecting EBITDA to stabilize at around 23% in the medium -term, and PAT to be around 17% to 18% in the medium -term.

Anuj Khanna Sohum: Medium term doesn't mean the next year, it just means that over the course of the business growth plans of the company, we will obviously keep inching up as we go along.

Kapil Bhutani: Just one line, if you will see last 3 quarters of the previous year an

d these 3

quarters, this is where our emphasis is to reach out to and educate more clients on our business on how we are delivering better than the other competitors of ours.

Moderator: The next question comes from the line of Lokesh Manik from Vallum Capital.

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Lokesh Manik: Anuj, congratulations for being the appointed Chairperson for the next 10 years, along with continuing as the MD and CEO. We hope we will have the similar journey what we have seen in the last 6 years as well and maybe more. Anuj, my question was on the Facebook coming out with Advantage+. Now it seems that they are enabling their own users or their own advertisers to optimize their campaign. Does this become a competitive threat for us in the sense that they have been thrown to not share data, but through AI, they can solve that problem for advertisers? Do you see that as a threat in the long term with the walled gardens?

Anuj Khanna Sohum: Look, the fact that each of these platforms have to adapt to the needs of the advertisers seeking higher ROI and higher RoAS and to open up a bit more.

That is a good trend line and that's the trend line that will help us a lot more because still a lot of the advertisers have the inertia of spending for impressions and clicks versus going for deeper funnel conversions or paying for deeper funnel conversion.

This is a positive trend line. As far as the advertisers' budgets are concerned, at least in the last two decades, we have seen that the advertisers' budgets have been earmarked separately for some of the walled gardens and then a separate bucket for dealing with the non-walled gardens. We have seen that the spends on the non-walled garden side are growing. The thesis is clear that it should grow more because the advertisers are over-calibrated on how much they have been spending on Facebook or Google. So, going forward, I expect the balance of power to shift. As the advertisers become better aware of what's out there as well as with automation and AI, we would see a greater amount of budget spends moving out from the organizational inertia because the advertisers today have big teams just working on Google, big teams just working on Meta or Facebook.

So a lot of times, the budget allocation is because of the internal organization structure that we have these big teams, we have to give them that budget. I believe over the next few years, we will see a transformation, where budgets will balance out more in favour of the non-walled gardens platforms, and we think that we will be significant beneficiaries of that.

I don't see a threat with respect to what Meta is doing at the moment. What we see instead is an opportunity that we could go to the advertisers and educate them and say, "Hey, open it up. Open up the budget, and let's see,

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let the optimization algorithms dictate where the end goal will lead to better performance."

Now let me give you one insight. If you talk to the teenagers today, I believe most of them would tell you that they are not using Facebook as much. That's a challenge, at least in the markets where I have direct connect, or even in my own family, I see no young teenager using Facebook. Facebook has a very our generation kind of a usage pattern, but the youth is not on it. That's the problem, because the advertisers know that they will go after this particular segment.

If you look at emerging markets where there are new rural to urban users who are new smartphone users, who are emerging in India, Indonesia or Africa or Brazil and all of these markets, again, those guys are not having that affinity that, hey, I am going to go to social media and post something on Facebook. The trend lines are shifting and a lot of the government regulations clipping the power of some of these bigger platform

s for various

reasons, regulatory or otherwise, is actually working to our advantage. I am

not seeing it as a threat at the moment at all.

Lokesh Manik: Understood. But even from the point of view, these tools basically enable the internal team of advertisers to become more competitive versus you where you have that edge today to deliver better ROI based on your tech stack. From an enabler point of view, for these walled gardens to enable the internal team, does this increase the competition for you between the advertisers' internal team and you to allocate budgets?

Anuj Khanna Sohum: Not exactly. We also give our platforms and tools to those advertisers and the teams, and we are also educating them that it's competitive bidding. For example, Advertiser A is competing with Advertiser B to drive conversions on Affle's platform. Those teams have the tools and the ability to say, "I want to bid higher because I want higher volume." Otherwise, they are not getting enough conversions from Affle's platform if they don't bid high enough. That is how we are able to maintain our premium pricing. We have around 1,000 advertisers campaigns live at any given time, and we have to show one ad. For a platform like ours, we also empower the advertisers and we believe that this is not a scenario where the internal teams should not be empowered.

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We have to bid and optimize for how much conversions they are looking for, and it's competitive bidding. If they price themselves for conversions too low, Affle platform and algorithm will not serve out their ad campaign because the other advertisers are willing to bid higher and get it. It is very competitive and we as a company, have always gone out and empowered our customers. About 75% of our revenue is direct with customers and about 25% of it through agency platforms. We are very much advocating to the agencies as well as the advertisers, that their teams need to be empowered, educated, given the tools to see in real-time what is happening in their campaigns with full transparency.

In terms of the model, if they want higher volume, they have to pay more, and that is how we are keeping it aligned. I don't see that as a threat. The kind of users that Facebook can convert for these advertisers versus the kind of users that we can convert for these advertisers might be very different.

There is no apple-to-apple comparison.

Moderator: The next question comes from the line of Ashwin Mehta from Ambit Capital Private Limited.

Ashwin Mehta: Anuj, congrats on a good set of numbers. One slightly futuristic question in terms of - we were in an era where we used to separate out non-genuine machine traffic and focus on human conversion, but with Authentic AI, you will have machines driving conversions. How are we preparing for that? How soon can this emerge as one more mode of conversion?

Anuj Khanna Sohum: Thanks for asking that question. For benefit of everybody else, let me be a bit more descriptive. What is being asked here is that when we talk about fraudulent entities, we fundamentally, in the past, could simplify it and say that these are non-human entities or fraudulent bots. Going forward, there will be a new entity, which is, let's say, authenticated bots or agents acting on behalf of entities which could be organizations, could be individuals. Some of those entities might also do some conversions online.

For example, your refrigerator might be empowered to place an order for certain groceries up to a certain price limit based on a refrigerator home agent, which is acting on a delegated behalf, where it says, okay, it's INR 1,000 every week you can spend on buying groceries. Now, how do you sort of see whether that is an authentic agent or is it a non-human interaction.

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The wild visualization of t

he future all of us can do, but in terms of adoption curve, the adoption of AI and the adoption of such intelligent agents is today faster than the adoption that we saw of Internet and the adoption that we

saw of PCs prior to that .

If you look at the technology innovation landscape, and in that, you see how quickly personal computers were adopted. How quickly in an organization everybody must have a personal computer . How quickly everybody must have a smartphone to how everybody should be connected to Internet. Now the adoption curve of AI or GenAI by end consumers is clearly faster than all of what we have seen in the technology world. These possibilities are real, and they will certainly happen. If you look at our patent portfolio, how we are talking about verticalized, specialized agents, conversational agents, switching of context from one to the other, how do we take care of fraud in these kind of context where there could be impersonalization, where somebody is acting, or you have an authenticated agent and where other agent is acting as if it's your agent - all these complexities will certainly come in.

We have to the largest extent built that into our road map and it's already indicated in the IP portfolio. Some of the patents are already granted, as I talked about earlier, but we are clearly on that path and keeping ourselves future proof and future ready.

Ashwin Mehta: Okay. Sure. Just one bookkeeping question for Kapil. What was the intangible's capitalization for the nine month period?

Kapil Bhutani: It's about USD 12 million for the nine months. We are broadly in line for the last 3 quarters.

Moderator: The next question comes from the line of Chirag Kachhadiya from Ashika Institutional Equities.

Chirag Kachhadiya: I just have one question. The pace of development and innovation in AI is moving at rapid scale. Do you think any way it will impact our business model going forward ? The way cost curve is falling in developing LLM and AI that we have witnessed in past 1 month. Your thought on the same thing?

Anuj Khanna Sohum: There are two three sort of aspects to looking at, when you look at technology progression. There is technology progression at fundamental scientific level, where people are still building the underlying layers of science to power AI. Initially, the cost of doing that is very high. Then with

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every incremental change, the cost becomes lesser and lesser . What we have seen with computing earlier, those computers were quite expensive to make and then became cheaper and cheaper , more power inside the hands of the consumer at a much more affordable cost .

From core scientific progression to what we call applied science, once it goes into an application level, and you start seeing more applications coming, so those become more bite -size, more usable and even a layman can start sort of using that. That's sort of one dimension of the technology curve that we are talking about, and that's linked to the earlier question from Ashwin as well.

The second part of it is in terms of business model. The business model that we are offering is a fundamental business model. The fundamental business model, meaning that we are taking the risk off the table from our advertisers while giving them full power, transparency, trackability as well as their ability to decide their budget and pricing . But we are taking the risk factors out of them in the sense that once they get a conversion, that's when they pay.

For example, when Ashwin asked, what if there is a fraudulent conversion ? So when there's a fraudulent conversion that the chances of a non -authentic bot paying on behalf of you to deliver something to you is highly unlikely. But if it does happen, as far as our advertiser is concerned, they would only pay when they receive the ROI.

The point that I am making is

that we are taking the risk off the table from our advertiser side and therefore, ability to command premium pricing, conversion -led pricing, taking the onus of technology innovation and dealing with that in comprehensive ways is a defensible and long -term business model . When you do outcome -led pricing, that is actually the holy grail of business , where you are telling somebody I am going to deliver you X value

and when you get that X value, then you pay me a proportionate justifiable appropriate value from it. That is a strong business model.

The business model will hold good going forward, especially when the complexities and technology go up, the need for a tech platform like ours, in between to bridge that, to simplify that and to unify that for the advertisers, while keeping them derisked and saying you pay when you make money, is, I believe, defensible, but I will still watch it closely.

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If along the way we see that any fine -tuning is required to the business model, then we will keep the market and the stakeholders proactively informed. But at the moment, our business model is robust and defensible. It is based on financial fundamentals that shouldn't change.

The need for our tech stack and platform and to de -risk the advertisers is only going to increase . The complexities are going to increase. There is a need for a tech platform like ours and therefore, the dependence of advertisers on a platform like ours and willingness to pay for it, should only become better going forward in my opinion. But let's wait and see how the world unfolds .

Moderator: The next question comes from the line of Rucheeta Kadge from I -WEALTH.

Rucheeta Kadge: Sir, most of my questions are answered. My only question is on the taxation rate. Going forward, what should we assume?

Kapil Bhutani: Our long -term tax rates will be in the range of 19% , plus / minus a few basis points on a long -term basis.

Moderator: The next question comes from the line of Onkar Ghugardare from Shree Investments .

Onkar Ghugardare : My question was actually a follow -up to the earlier questions asked about tapering of growth. If you see the percentage growth, it has been coming off, even though you mentioned that you are choosing the growth which is favouring operational efficiency. So just wanted a thought on that because earlier, it was around, say, 28% -30%. Last quarter, it was around 24% -25%. This quarter is closer to 20%. Just wanted a thought on that and your guidance on that.

Anuj Khanna Sohum: I am very satisfied with the kind of growth that we have seen. It is exceeding the growth guidance or targets that we have defined for ourselves, whether it is our internal business plans, which are approved by the Board or whether it is the commentary that we have shared with our investors and stakeholders.

That clearly shows that we are in control of what's happening. We are able to realistically predict the trajectory and to deliver on that. The fact that we have exceeded on all those expectations, whether it's on revenue growth or on profitability growth or on cash flows , it's a clear trend towards

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sustainable long -term growth. So our base of business has grown, but we are still in a large addressable market.

For many years ahead, we can see this kind of a broad -based, all -round, sensible, sustainable, profitable cash flow positive growth for our company. If you are feeling that it is tapering off and you are feeling that it's not sufficient, I would request you to recalibrate that based on what you have heard today.

Onkar Ghugardare : Okay. You maintained the upwards of 20% kind of growth with expanding margin on a medium -term basis?

Anuj Khanna Sohum: Yes, absolutely. That's how we should be modelled . If you are modelling us on a long-term basis, model

us towards the direction of 10x growth for the company and consistent long -term sensible execution, balanced execution in terms of revenue growth and defending margins, improving operating efficiencies and delivering better than revenue growth on bottom line growth . That's who we are and that's what we will deliver.

Moderator: Ladies and gentlemen, that was the last question for today. I would now like to hand the conference over to the management for the closing comments.

Anuj Khanna Sohum: Thank you everyone for joining the call today, and I hope this conversation continues. I look forward to our next quarter call which will mark the end of this financial year. We hope that the emerging technology trends as well as the commentary and the case studies that we are providing are helping you build a deeper understanding and appreciation for the fundamental moat and the business model that we have. This has been a good discussion. I wish all of you well and I look forward to the next opportunity to present to you.

Thank you.

Moderator: Ladies and gentlemen, on behalf of Dolat Capital Markets Private Limited, that concludes this conference. You may now disconnect your lines.

*** end ***

Call: May 2025

Affle 3i Limited

(Formerly known as Affle (India) Limited)

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Affle/SE/ECT/Q4/2024-25 May 19, 2025

To

BSE Limited

Phiroze Jeejeebhoy Towers,

Dalal Street, Mumbai 400 001

Scrip Code: 542752 National Stock Exchange of India Ltd

Exchange Plaza, 5th Floor, Plot No. C-I, G

Block, Bandra Kurla Complex, Bandra (East),

Mumbai - 400 051

Symbol: AFFLE

Sub: Transcript of the Earnings Conference Call for the fourth quarter and financial year ended

March 31, 2025 conducted on May 12, 2025 at 10:00 AM IST

Dear Sir/ Madam,

Please find enclosed the detailed transcript of the Earnings Conference Call conducted on Monday, May 12, 2025 at 10:00 AM IST to discuss the results and developments for the fourth quarter and financial year ended March 31, 2025.

The same is also available on the Company's website at <https://affle.com/investor-relations> .

Please note that the audio recording of the Earnings Conference Call was submitted vide our letter

Affle/EC/2024-25/Q4 dated May 12, 2025.

Submitted for your information and records.

Thanking you,

Yours Faithfully,

For Affle 3i Limited

(Formerly known as Affle (India) Limited)

Parmita Choudhury

Company Secretary & Compliance officer

This transcript has been edited to improve the readability

Affle 3i Limited

Q4 & 12M FY2025 Earnings Conference Call

May 12, 2025

Management: 1) Mr. Anuj Khanna Sohum – Chairperson, Managing Director & Chief Executive Officer of Affle 3i Limited
2) Mr. Kapil Bhutani – Chief Financial & Operations Officer of Affle 3i Limited

Analyst: Mr. Anmol Garg – DAM Capital

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Moderator: Ladies and gentlemen, good day and welcome to the Affle 3i Limited Q4 & 12M FY2025 Earnings Conference Call, hosted by DAM Capital. As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing '*', then '0' on your touchtone phone. Please note this conference is being recorded.

I now hand the conference over to Mr. Anmol Garg from DAM Capital. Thank you, and over to you, sir.

Anmol Garg: Thank you Manav. Good morning everyone. On behalf of DAM Capital, we welcome you all to Q4 & 12M FY2025 Conference Call of Affle 3i Limited. I take this opportunity to welcome the management of Affle 3i Limited, represented by Mr. Anuj Khanna Sohum who is the Chairperson, MD and CEO of the Company; and Mr. Kapil Bhutani who is Chief Financial and Operations Officer of the Company.

Before we begin the discussion, I would like to remind you that some of the statements made in today's conference call may be forward-looking in nature and may involve some risks and uncertainties. Kindly refer to the Slide 26 of the company's earnings presentation for a detailed disclaimer.

I'll now hand over the call to Mr. Anuj Khanna Sohum for his opening remarks.

Thank you and over to you, Anuj.

Anuj Khanna Sohum: Good morning everyone and thank you for joining the call today. I trust all of you are keeping in good health.

It is with immense pride that on April 5, 2025, Affle stepped into its third decade of transformational growth as Affle 3i Limited. This represents our forward-looking vision anchored on three core pillars of Innovation, Impact and Intelligence.

Our Affle 3i strategy is powered by the third i - the Augmented, Authentic and Actionable Affle intelligence embedded across our Affle 3i consumer platform stack. We envision to scale our impact exponentially, unlocking intelligent use cases for advertisers and expand our addressable market multiple times while achieving hyper contextual personalization for consumers and enhanced productivity for our teams.

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Over the last 7 years since we filed our DRHP in 2018, we have achieved over 13x growth in both topline & profitability and delivered remarkable value creation for all our stakeholders. In FY2025, we achieved revenue growth of 23.0% y-o-y, PAT growth of 28.5% y-o-y and our CPCU revenue increased by 28.3% y-o-y.

As global digital spend continues to rise, the shift towards performance-centric advertising is becoming even more pronounced unlocking robust growth opportunities across our key verticals and markets. With a solid foundation of two decades behind us, we are aiming for 20%+ growth in FY2026, as we pursue a mid-term 10X growth target.

In Q4 FY2025, we exceeded our performance targets and achieved our highest quarterly revenue run-rate, highest EBITDA, PAT and CPCU conversions till date. We delivered revenue of Rs. 6,023 million, a growth of 19.0% y-o-y.

Our focused execution on higher productivity and continuous innovation enabled us to achieve highest-ever EBITDA of Rs. 1,340 million and a record

289 basis points EBITDA margin expansion on a y-o-y basis. We also achieved highest-ever PAT of Rs. 1,031 million, a growth of 17.8% y-o-y. Our CPCU business delivered 104 million conversions at a CPCU rate of Rs. 57.8 and we earned CPCU revenue of Rs. 6,007 million, an increase of 19.2% y-o-y. It must be noted that Q3 is generally the highest quarter for advertising budgets and Q4 typically sees a sequential seasonal dip between 5-10% after the peak of the festive quarter. However, Q4 FY2024 was atypical and we beat the seasonality trend for the first time last year. Viewed in this context of seasonality

and atypical Q4 FY2024, India and Global Emerging markets were resilient in Q4 FY2025 and on an adjusted basis contributed 71.1% of our revenue in Q4 FY2025, representing 15.9% y-o-y growth vs the atypical Q4 of FY2024. Our adjusted performance trend is along the sustainable 20% y-o-y growth trajectory across India and Global Emerging Markets.

In Q4 FY2025, we once again managed to beat the seasonality trend overall as we outperformed in Developed Markets. On an adjusted basis, Developed markets outperformed and achieved 9.7% sequential growth in Q4 and contributed 28.9% of our revenues in Q4 FY2025, representing 27.3% y-o-y growth.

Our overall growth is accelerated, particularly through our aggressive sales efforts across all regions resulting in consistent addition of new account logos. Our consistent trajectory highlights the strength of our business model

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and the expanding relevance of our platforms as we penetrate deeper across high-growth verticals. We are unlocking new avenues for expansion across all markets and strengthening our position as a trusted results-driven partner, operating locally across all key regions and closely aligned with the evolving needs of digital advertisers.

We remain committed to investing in next-gen technologies that enhance the efficacy of conversion-driven marketing while fortifying our AI-powered consumer platform stack. We are proud to have recently received a new patent grant in both US & India, marking our 13th Patent grant to date, further enhancing our comprehensive tech IP portfolio. The patent titled "Method and system for application installation and detection of fraud in advertisement", augments our fraud detection capabilities and underscores our dedication to delivering transparent, high-impact user conversions for advertisers globally. Additionally, we received another patent grant in India which was already granted to us in the US for "Method and system for application installation and interaction during a podcast".

This quarter, we have included 3 customer approved case studies in our presentation. The first case study highlights our unique AI-powered capabilities in scaling the acquisition of high LTV premium iOS users. The second case study highlights our success in making urban mobility more efficient in developed markets with use of hyper-relevant automated creatives strategy to achieve high ROIs and the third focuses on the e-commerce & shopping vertical enabling deep funnel conversions focused on repeat purchases in global emerging markets.

Affle continues to be recognised as a tech thought leader in the industry and we became the first company to present 100 live AI agents at the Bombay Stock Exchange on 8th April 2025. We registered the adjudicated records from both the Asia and the India Book of Records. Further, our Platform was recognized as a top growth partner for both android & iOS across 10 categories and a top ROI-driving partner in Singular's ROI Index 2025, as well as we won multiple other awards at E4M Martech and at ET Brandequity DigiPlus Awards.

Lastly, as also discussed in the previous quarter, to strengthen our governance, we have been onboarding new independent directors progressively since last year as part of planned transition plan for the directors completing their term in 2025. This process continued in the current Board meeting with an approval to appoint two new independent directors.

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We remain steadfast in our commitment to upholding best -in-class governance practices and ensuring a strong, diverse and independent Board to guide our continued growth and Affle 3i vision.

With that, I now hand over the discussion to our CFO - Kapil Bhutani, to discuss the financials. Thanks and over to you Kapil.

Kapil Bhutani: Thank you Anuj. Good morning and hope all of you are

keeping safe and well.

We concluded FY2025 on a strong note, delivering an all -around performance with a robust growth in all four quarters. For the full year on a consolidated basis, we achieved revenue of Rs. 22,663 million, representing an increase of 23.0% y-o-y. This was driven by broad -based momentum across key industry verticals across both India and international markets.

In FY2025, our EBITDA stood at Rs. 4,832 million, registering a growth of 34.2% y-o-y at a margin of 21.3%. It demonstrated our continued focus on profitable and efficient growth.

We achieved operating cash flow of Rs. 4,260 million, registering a strong growth of 62.4% y-o-y. This significant increase reflects our strong operational execution and sustained focus on cash generation.

We recorded FY2025 PAT at Rs. 3,819 million, an increase of 28.5% on a y-o-y basis despite an increase in our Effective Tax Rate .

Speaking of Q4 quarter , our consolidated revenue stood at Rs. 6,023 million to register a robust growth of 19 .0% y-o-y. This quarter while we witnessed usual seasonality in India and emerging market combined, we maintained our India revenue run-rate broadly at par with what we achieved in Q3 on both standalone basis and adjusted basis.

We recorded EBITDA of Rs. 1,340 million, increasing by a robust 36.7% y-o-y and 2 .0% q-o-q. Our EBITDA margin improved to 22.2% of the revenues, up from 19.4% margin in Q4 last year.

Coming to Opex , our inventory and data cost was 60.6%, showing a marginal improvement over Q4 last year, driven by operational efficiencies. Our employee cost increased by 1.3% sequentially, but declined 2.9% y-o-y. This was primarily driven by past investments in integrated team strategies as well as adoption of intelligent automation and AI -supported workflows. These

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measures have contributed to more scalable operations and helped normalize our human resource costs.

Our expenses stood at 7.5% of our revenues and declined by Rs. 44.7 million on a q-o-q basis. This was primarily driven by higher business promotion activities in Q3, which saw a natural tapering in this quarter.

We achieved profit before tax of Rs. 1,239 million during the quarter, an increase of 23.7% y-o-y. Our profit after tax stood at Rs. 1,031 million, marking an increase of 17.8% y-o-y and 2.8% q-o-q. Our PAT margin improved to 16.6% of the total revenue , up from 16.4% in Q4 last year.

We continue to prioritize efficient working capital management and as such, there was no material change in our collection risk.

Building on our proven track record of innovation and impactful execution, strengthened by our strategic initiatives and robust financial position, we remain confident in our ability to capitalize on the emerging market opportunities. We are well-positioned to sustain our strong business momentum through FY 2026 and beyond.

With this, I will end the presentation. Let's open the floor for questions.

Moderator: Thank you very much, sir. We will now begin the Q&A session. We have our first question from the line of Anmol Garg from DAM Capital. Please go ahead.

Anmol Garg: A couple of questions. Firstly, it's impressive to see that in a seasonally weak quarter, we have maintained similar revenue run-rate as the last quarter. I wanted to understand what has led to the strong growth in the developed markets during the quarter ? Secondly, you said that we can do 20% + growth in FY 2026 as well. Would this be again more accelerated by developed markets or do you think that both India and developed markets will grow in

line?

Anuj Khanna Sohum: Thanks Anmol for your question. I did highlight in my commentary that it's atypical for a company focused on advertising to do at par or better in Q4 versus Q3. Now we believe that our performance across India & global emerging markets have been in line with the expectations.

ns. There is some seasonality effect for sure. Diwali, New Year, Christmas, all such festivals in October, November, December, definitely gives a boost to the consumer sentiment spending.

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Therefore the advertisers target a lot more budgets in Q3. So, as an aggressive company, we are always trying to beat that trend. Now in a 20-year history, the only time we managed to beat that was in FY 2024. This year, we were actually not expecting to beat it, but we were seeing positive trends of the momentum that we had built last year in terms of pushing for greater sales and greater opportunities in the North America region and developed markets in general.

We saw that momentum carry us through, not only with existing customers, but also in terms of winning new customers and continuing the growth momentum. Of course, the base in developed markets is relatively smaller for us. Hence, it was easier to tide over the pullback effect of the seasonality.

Now this is just one quarter. When we look at it on an adjusted basis - in India, global emerging markets or developed markets and try to understand our trend, normalizing it for any anomalies or atypical behavior in the last year, we see that there is a consistent pattern and we can sustainably aim for around 20% growth in FY 2026. We are not calibrating this growth one way or the other, whether in favor of developed markets or India & emerging markets. We believe that in all our regions and verticals, we will be pushing for this kind of balanced growth across the organization. Our plans and budgets for FY 2026 are made with that thesis in mind. I don't want to pivot in favor of one or the other. We want to see broad-based growth and we are working hard towards that. We believe we can achieve it.

Anmol Garg: Understood. Just to clarify, is this 20% growth organic?

Anuj Khanna Sohum: Yes. I believe we may consider selective and carefully picked acquisition targets through this year, but what we are talking right now is organic growth.

Anmol Garg: Understood. My second question is for Kapil. I wanted to understand that for FY2025, we have seen a lot of rationalization in our employee expenses. Now going ahead, do you think that we still have the tailwind from employee expenses or can we get some leverage from the data and inventory cost as well?

Kapil Bhutani: As mentioned in the previous calls, our expenses in FY 2024 were higher because of the investment in the human resource cost and we have drawn efficiencies from that in the current year. Having said that, we are also

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maintaining our stance that increase in human cost would be like a step-up ladder, where we will be investing for some period and then leveraging the efficiencies later over the following period of couple of quarters. In FY2026, we don't expect there to be a steep increase in our human resource cost. We'll broadly maintain the current level of expenses.

Anmol Garg: Would that mean that margins should be flattish for the year?

Kapil Bhutani: We will be pushing for a gradual EBITDA margin expansion by a few basis points each year.

Anmol Garg: Understood. I will get back in the queue.

Moderator: Thank you. We have our next question from the line of Deep Shah from B&K Securities. Please go ahead.

Deep Shah: Hi, sir. Good morning. Thanks for the opportunity. The patents that we've

announced, if you could just help us explain a bit better . Given we already have an mFaaS platform and this one is also to do with some of the audit checks or the fraud checks , thus if you can help me understand better what is this and how is it different ? How does it help us ?

Anuj Khanna Sohum: Sure. Well, that's a great question. When we build our technology roadmaps, we always ring fence it with patents and protection of our IP. You right

tly

pointed out that we have the mFaaS platform, which is our tool that is doing predictive analytics to catch any fraudulent behavior in the entire adtech ecosystem. We have intended to do that rather diligently throughout our history. We have been always working on that dimension.

Now this is an important aspect of technology. Therefore, many years ago, we had filed the patents to protect our IP in this area. Typically, the patent process, the granting of the patents from filing to all the checks and balances that it goes through, it takes several years for a patent to be granted, especially in the U.S. patent office and also in the India patent office .

Having won these patents now is a validation of the fact that we have a strong competitive moat and differentiated technology. We were early movers and were the first ones to conceptualize these aspects of tech innovation.

Therefore, winning the patent in the U.S. and the India market , two very important markets strategically for us is an important validation and also strengthens our intellectual property portfolio .

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Does it mean that we will suddenly start making more revenues or whether we'll now start hiring lawyers and start charging all the ecosystem to say, hey, we had this patent and you start giving us royalties. I believe it is premature to take that dimension at the moment. But it is important to note that we have a robust patent portfolio, about 36 unique patents, which hopefully will give us protection across various jurisdictions, and close to 45 + patents across different jurisdictions.

But in terms of the unique patents, we have got 13 granted already, 36 in total filed . It should build confidence of our investors that these are all real innovations, which are creating real intellectual property moat for the company. I hope that answers the question and it is just the timing of it.

When the conceptualization of the roadmap happens, there are a few dimensions to look at. There is product development as well as intellectual property moat development with patents being an important tool in that.

Deep Shah: So, generally in your experience, what has been the duration between, let's say, conceptualizing something to a patent being granted to be able to monetize it in a way that puts us in a much superior position . If you could quantify this, if it's possible?

Anuj Khanna Sohum: It is not something to be quantified. It is actually all working in tandem at all points in time. While the product is there and the innovation is there , the market and the customers will recognize that, because they see that no other competitor is supposedly bringing these kind of tools , capabilities and demonstrating it to the ir clients . You start winning business and monetization advantage straight away. You start building a reputation for yourself straight away.

Now filing a patent doesn't necessarily mean that you will get it . So, to get it eventually validates it and strengthens the market thought leadership position for the company . That also wins confidence of customers and their ability to trust us with their data, with their business, knowing that this is an honorable stakeholder in this ecosystem. To the extent that this ecosystem has areas that need to be cleaned up, Affle and its technology as a responsible citizen in this ecosystem is bringing honor and appropriateness to how we conduct ourselves.

This will also help us as we go along in areas of data privacy or in AI. Building trust over two decades and building thought leadership with intellectual property and consistent innovation is what we are demonstrating. How do I

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quantify that? A lot of our revenues here is because customers trust our company. Why do they trust our company is because of all of these credentials. Therefore, it's all in tandem and

it is always adding to the strength of the company.

Deep Shah: Right . This is very useful. Thank you so much.

Moderator: Thank you. We have our next question from the line of Lokesh Manik from Vallum Capital. Please go ahead.

Lokesh Manik: Good morning to the team. Just a couple of clarifications. One is on the employee expense front, although Kapil did mention it, the efficiencies are coming from the previous year investments. Just wanted to understand that, is it part of the QIP and the preferential issue in the sense that had we not had this money raised, we would have expensed through the P&L rather than creating intangible assets? So, the cost efficiencies that we are seeing of about 200 bps would not be maintained. This is just from a view to understand whether this is structural in nature and can we assume employee cost at maybe 10% of sales going forward ?

Secondly, we have observed that revenues from the core verticals like EFGH, have gone up now from 90% to 100% this time . At the same time, there's been a fall in the non -CPCU revenue. So is there any correlation there? Are they connected?

Anuj Khanna Sohum: Thanks Lokesh for your questions. Allow me to take them. Regarding employee expense, while Kapil did provide the insight that FY 2024 was higher due to the investments being made and the acquisitions being done. In FY2025, we had already given guidance that we will create strategic integrations and efficiencies across all our business units and making sure that we achieve that outcome.

What you're seeing now, FY 2024 versus FY2025 is an expected part. It has nothing to do with the QIP or preference issue or going through P&L or anything else. It was supposed to happen . It would have happened independent of any QIP or anything like that. I would also like to mention that we are an organization that is an asset -light tech platform, scalable system organization.

In terms of using technology and technology automation for all our operations around the world , it is an absolutely important criteria for all the management of the organization. Using augmented, authentic, actionable

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intelligence & automation and embedding it across every role & function of the company is something that we do with a lot of energy and focus, which will continue to see this kind of efficiencies unfolding.

We are talking about 20% growth in terms of our business, our revenues and so on . We are also saying that our costs will not increase in the same proportion as the revenue growth , because we don't need to have 20% more workforce in order to make 20% more revenue. It's a tech platform -based organization with a lot of automation backing it up. This will continue to yield greater efficiencies at the bottom line as we go along.

Regarding your question on EFGH and the non -CPCU business, since many years ago, even pre -IPO roadshows, I have always maintained that the non -CPCU business is waiting to become CPCU business. The non -CPCU business is now increasingly becoming CPCU business because those customers that were working with us on non -CPCU basis, we've gone back to them and said, look, this is our main line of business and we want you here. If somebody is doing branding campaigns, we are still going to them and saying, let's make it more ROI -oriented, more performance -oriented and measurable. We have been one of the first companies in the market, especially in the U.S. and also in India and other emerging markets, to bring performance -linked, ROI -linked CTV advertising and connecting it to households, looking at connected devices with a unique perspective .

The emphasis here is strategic in nature and having one clear CPCU business, which is a consistent business. Any acquisitions that we are doing, anything

that we are doing in our business, we are doubling down, tripling down on this

is business. We see a long runway for consistent growth here and a large addressable market for many years to come.

We are not trying to diversify or we are not trying to find another segment. We are already diversified in the sense that the CPCU business is present across industry verticals and across geographies. We are delivering broad-based growth and possibilities but the CPCU business is where we are anchored.

Lokesh Manik: Just last question. Netflix is talking about opening up their platform for performance advertising or platform advertising in general. We've done something similar with Amazon India. Are you targeting that account actively or will this be a competitive segment?

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Anuj Khanna Sohum: This is a strong indicator of confidence that established businesses & content platforms like Netflix, where they have paying subscribers; After they have achieved a certain level of growth, they realize that the only way to get long-term consistent growth on their user numbers and revenues is to unlock the advertising-based business model. Which essentially means that instead of the paying user, let the user enjoy some content but instead get an ad-funded model.

This is, again, proving the robustness and the long-term resilience of our business model. Netflix to us in this scenario would be a publisher. It would be a partner and we'll be able to work with to say that, hey, we have a lot of advertisers, about 75% of our revenue is directly from advertisers. For those advertisers, maybe our platform could be buying certain impressions or clicks on Netflix by showing ads of our advertisers to the users of Netflix. Netflix would become a form of a publisher or an inventory source, which we can work with either directly by partnering with them or through other intermediaries in the ecosystem. We see this as a positive dimension where we are going to see more unique inventory coming into the market and more possibilities to do consumer engagement to drive conversions. This is actually all rather positive and we will cross the bridge one step at a time.

Lokesh Manik: Understood. But are we in any discussions with them?

Anuj Khanna Sohum: It's too early to comment. It would be fair to say that it will be a natural course of business, either they will reach out to us or we are already in discussions. As long as they're doing any meaningful activity in the markets where we are present, I'm absolutely sure there will be some form of business.

Moderator: Thank you. We have our next question from the line of Vijit Jain from Citi. Please go ahead.

Vijit Jain: My first question is on the developments around anti-trust ruling on Google. From a broader market perspective, I would really appreciate your thoughts on how do you think this could change the ad industry in general, if something comes out of it? That's my first question.

Also related to the developed markets, I know you have a relatively small base in U.S. and it's also domain-specific, slightly more gaming-centric than other industries in general. How do you think a mild recession scenario in

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U.S. plays out for you given your exposure to that market? Then I'll just follow up with a quick question with Kapil?

Anuj Khanna Sohum: From a regulatory standpoint, anti-trust ruling is just one dimension of the kind of rulings that these large walled gardens are needing to deal with. You will see all kinds of clipping of wings from the regulators to keep a check and balance on some of these large industry players who are dealing with a lot of data. They're dealing with a lot of market share and their practices with respect to competition.

I've always maintained that the Adtech industry has over-calibrated on the

level of spending that the advertisers are doing on the walled gardens . I expect that t

o become more broad -based in favor of the non -Google, non -Meta and non -walled garden platforms as we go along and as some of their competitive practices come under check through such rulings and regulations. I would just keep it to that and I would let time unfold and tell further . But on a broad basis we are watching what's happening. I believe this is all working towards a fair outcome in the longer term for every player in the ecosystem, and eventually beneficiaries would be the consumers and the advertisers.

With respect to your question on developed markets, I would like to address it by first and foremost clarifying that Affle is a unique company and different from most other listed Adtech companies. Why? Because they are deeply and heavily calibrated on the U.S. market and they are deeply calibrated on the gaming vertical. If you look at any of the Adtech companies historically, even any Indian ones that may have focused on North America as a big market, they become one dimensional: North America, gaming . All their talent is focused on that. Affle is unique.

Affle is deeply focused on global emerging markets, of course, anchored out of the advantages we have derived from India . Therefore, taking those advantages to other emerging markets, be it in Southeast Asia, Latin American markets , Africa, Middle East and all of these regions, we are taking that advantage and growing. Those advantages come in competitively handy for us as we entered into developed markets. We are broad -based in terms of vertical s. We are not as heavily calibrated on gaming as the other competitors are , who are approx. 80% to 90% gaming companies and now starting to think how they should do e-commerce or non -gaming verticals, whereas Affle has fundamentally been broad -based focused on verticalization across EFGH categories.

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Even in the U.S. right now, we are focused on gaming as well as non -gaming verticals for our customers and Fintech, e -commerce, and some of the case studies that we keep sharing consistently in our earnings reports are already indicative of that. We are fairly broad - based.

Now U.S. as you know is a large addressable market, and we are relatively small . We are differentiated with our CPCU business model and bringing in certain unique experiences and capabilities from emerging markets. I believe it makes us competitive in that market. Given our base is small and the addressable market is large, I don't think a recession in the U.S., which is again speculative , will have major implications . As and when it will happen, we'll navigate it.

But when it happens, I believe the advertisers would be wanting to put their budgets to a CPCU performance ROI -linked business model. Affle with our smaller base, will go and fight out aggressively selling hard to make sure that we continue to grow even in a scenario where it leads to some kind of a recession. I'm fairly optimistic and I feel that we are in a highly privileged position given the way we have balanced our business across verticals and across geographies.

Vijit Jain: Got it. Just a follow -up on the India business. So if I look at the seasonality comment and I can see that in the numbers as well on a q-o-q basis. But if I look at the India and E merging Markets business on a y-o-y basis, in the last three quarters, growth has somewhat slowed on a y-o-y basis from 25% to 22%, and now 16%. So any comments on that? I know you've already guided to 20% plus broad -based growth for FY 2026. But what is driving this deceleration in the last two -three quarters?

Anuj Khanna Sohumi: I wouldn't see it as a deceleration, frankly. I'm fairly comfortable with the way our team is executing and the way the market is responding to us across India and emerging markets. Regarding 20%, it's always been consistent in the last few years in terms of our gu

idance.

Even in this quarter, 16%, I've already explained that Q4 last year was higher

and it was atypical for it to be like that. So when we normalize it and adjust the base quarter and see what is happening in the market, we actually find that our growth trends are sustainable at around 20%+ and we should be anchored on that. That's why I've given you all of that clarification.

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Where is it coming from? It's coming from existing customers. We have good coverage of existing customers. There is also active and aggressive selling happening to new customers, opening and unlocking new use cases and innovations that we consistently bring to the market. Therefore, getting to 20%, I believe, is a reasonable and real expectation.

Vijit Jain: My last question, just on the other expenses to Kapil. Last quarter, I think you did call out that Q3 has seasonal business promotion spending and some of that came off in 4Q. But broadly speaking, if you could talk about what the steady state for business promotion is for you as you look ahead? And what that number was for FY 2025 because we obviously don't have the annual report yet, if you can share that?

Kapil Bhutani: You can take the current year expense & other income as normal for us on a yearly basis, but avoid considering the quarterly run-rate because of seasonality and spending on the events happens at different times. The events & marketing do not happen consistently on a quarterly basis at the same pace. They are spread out unevenly across different quarters. Generally in Q3, the marketing spends are higher. Yes, this was called out in the previous call also. Going forward as well, we'll be looking at increasing the marketing spends, but not to the tune of the increase in the revenue. You should look at the expense items on a full-year basis because the businesses have a seasonality in the spending also.

Vijit Jain: Right. So, Kapil, when I see the FY2024 numbers, I think business promotions was about 2.8% of revenue for FY2024. Could you share the number for FY2025, what this number was? That will give me a sense of how to think about that part?

Kapil Bhutani: Basically, our target is to spend about 3% -3.5% on the upper side and about 2% on the lower side for the marketing and promotion expenses, in a broad range of how we plan for it.

Vijit Jain: Understood. Thank you.

Moderator: Thank you. We have our next question from the line of Arun Prasath from Avendus Spark. Please go ahead.

Arun Prasath: Good morning everyone. Thanks for the opportunity. Anuj, my question continues on the gaming vertical. Ever since we acquired YouAppi, the growth delivered by the Developed markets is higher than the Emerging

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Markets. So this kind of gives us a sense that gaming has played a huge role, which is what you have also acknowledged?

But does it also mean that in the emerging markets, the gaming is either not such a big vertical or we are yet to use the full might of the YouAppi platform in the emerging markets, and that gives us some kind of a growth potential going forward? Is it the right way to think about it?

Anuj Khanna Sohum: Yes, it is the right way to think about it as in developed markets, the gaming is a much bigger vertical versus in the emerging markets. Having said that, in the developed markets, the non-gaming verticals are also large addressable markets, and they are underserved because most of the incumbent players have gravitated to gaming because that is such a big vertical there that everybody starts fighting that battle and starts wanting to play that tournament with their best talent and capabilities.

I would say that the non-gaming verticals are underserved and a bit neglected by the incumbent competitors in the developed markets. So when Affle goes into developed markets

, we are seeing a better competitive advantage for us when we go into non-gaming verticals. Of course, with the acquisition of

YouAppi, we've got some more strength in gaming with them, and we have integrated that into our core propositions. We are taking that to market rather aggressively in India, other global emerging markets as well as in developed markets as one sort of integrated proposition focused on gaming. I would leave it to the market forces to define, but what I want you and our investors to focus on is that Affle as a platform is verticalized into many verticals, classified in EFGH category.

Gaming is one of our verticals. It is a n important vertical and it is the most competitively fought for vertical as far as developed markets are concerned and the incumbent players are concerned there . Such players are now starting to see how can they go beyond gaming and are starting to calibrate their tech stack and algorithms towards non-gaming, which I think is an advantage for us because we are naturally addressing it already .

Arun Prasa th: Ballpark, what is our exposure to the gaming vertical overall at this point of time?

Anuj Khanna Sohumi: We do not break the contribution of the categories of EFGH, but I would say it is fairly balanced. Categories E, F and G are all reasonably balanced , and in category H, which is healthcare, hospitality, we are seeing it's catching up

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as well. But overall, I would say category E, F and G are all strong and robust sort of categories or verticals for us.

Arun Prasa th: Am I safe to assume gaming will be our largest vertical?

Anuj Khanna Sohumi: I believe it would be almost at par with category E, which is e-commerce, entertainment and education. Category G would be almost at par with that.

In some quarters, one would be more than the other, but it is all fairly broad-based and balanced -out. We are not over-calibrating one way or the other, but we are definitely pushing hard. Now things could change as we push harder in developed markets and we could win some really large customers in gaming and numbers could change. Developed markets can create that kind of imbalance potentially. At the moment the way we execute, we are having sales teams, which are focused on different customer accounts and verticals. We do see a broad-based growth coming along, but it is possible. We may going forward, see some really massive wins and sudden upside, but we will talk about it if and when that happens.

Arun Prasa th: Secondly, on the business development expense once again. I'm sure that we are attending all the events globally and there are only finite number of events. So I'm just curious why our B usiness Development expense continues to be pegged to the revenue? I would assume at some point of time it will flatten out. Just help us understand how to think about it.

Anuj Khanna Sohumi: Sure. There are many ways in which business development happens. Events are not only industry events that we attend but also create industry events of our own in key markets where we work with partners and call certain customers and so on. The format of business development has evolved from doing 1:1 selling and knocking at people's offices and doing meetings . That also happens. But the industry has evolved over time to curate events where there are multiple speakers and customers , and there's a forum so that people are looking for either traveling into for that event for a day or two and so on . So, industry events is one, doing our own events is another dimension, doing events for a select group of customers, and not everything become s public.

There are private events , then there are industry events which everybody knows about and then there are smaller forum private events which we do . It is something that we would like to peg closer to the revenue because this is a tool t

hat we give to all our regions , sales heads and the general managers for each of the markets to achieve the revenue.

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We are pushing them to go and sell more to get existing customers as well as

new customers into these events and create the right forums to not just winning of business but also establishing thought leadership of what we are doing going forward.

Arun Prasath : Okay. Understood. One bookkeeping question . Kapil, if you see our net working capital in FY 2025 has largely remained flat as compared to FY2024 despite revenue growing by 23%. Can we safely assume that this is a way forward where our working capital requirements will continue to decrease on a days ' basis?

Kapil Bhutani: I still hold our old position that we require 30+ days of working capital, though we are working at about 10 days working capital at the moment. But yes, our business modeling is at 30 days model . We continue to exceed our performance on the cash management and client management and we hope to do so going forward too.

Arun Prasath: So what happened in FY2025, where we had some exceptional performance on the working capital side?

Kapil Bhutani: The debtor (receivable) days have reduced on certain clients and we have been able to negotiate better terms with the paying side.

Moderator: Thank you very much. We have our next question from the line of Rahul Jain from Dolat Capital. Please go ahead.

Rahul Jain: Thanks for the opportunity. My first question is related to web traffic moving away to AI tools instead of mobile desktop browser. Will that impact us in some manner in the near term?

Anuj Khanna Sohum: At the moment if you look at the overall ecosystem, there's a tremendous amount of increase expected in connected devices globally. Today, Affle's reach is over 3 .6 billion connected devices. We are realistically looking at how that could reach to about 10 billion connected devices over the course of this decade. We see that there's a huge amount of human traffic increase in terms of amount of time that is being spent online. The time spent went from the browser and search to app stores , and from apps to now another dimension of AI tools -related traffic.

We already have quite a number of patents as well as innovative use cases . Not only using AI tools to serve our business more efficiently and better , but also to see how we are integrating the experience where you're dealing with Affle 3i Limited

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a consumer directly or you're dealing with an AI agent of the consumer. For example, I believe that going forward, just like you have a personal e -mail ID, you have a professional e -mail ID, similarly you'll have a personal AI agent and you'll have a professional AI agent, which is work related.

We will be dealing with all of these kinds of interfaces . One is direct to the consumer, another is dealing with the AI agent of the consumer and making sure that these engagements lead to monetizable conversions eventually . But there is going to be another authenticated AI agent of the consumer who will be making certain decisions. For example, in your household, your fridge might decide to buy groceries based on a certain pattern that you may assign to it. We are building certain use cases towards that. It's not necessarily an issue of supply or inventory. I think it is an issue of how we attribute conversions, which may happen from authenticated AI agents acting on behalf of the consumer.

When that is established, I believe that the use cases that we're already envisioning, trying and building in our products will keep us in good stead. But the ecosystem is evolving. If you are just looking at modeling our business, the first thing to model is how many connected devices will increase in the ecosystem . Will that lead to more volume and more value of conversions happening online on m

obile ? If the answer to all of that is yes, we believe that we will have an increasing growth rate with advertisers' spends for conversion growing on our platform. We will be finding a way to make sure that we navigate not only direct -to-consumer conversions but also driving conversions through their AI agents.

Going back to the earlier conversation about the fraud detection - identity detection - it is going to be very important because we will also have a lot of fraudulent AI agents and tools out there. All the IP that we have built around

fraud detection and management will become even more relevant.

So the need for Affle 3i consumer platform tech stack will only increase for the ecosystem because the ecosystem will have more complexities to deal with, both on the good use cases where you have not only the human traffic, but authenticated, credible human -assigned agents acting on their behalf kind of traffic . Then, you will also have a lot of fraudulent AI kind of traffic as well and therefore a tool and a platform, which is automated to deal with all of these complex scenarios, is going to become even more essential for the advertisers than it is today. I'm feeling pretty safe about the moat and

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the relevance of what we are building going forward, and we'll deal with these use cases competently.

Rahul Jain: Right. I understand the potential and all that. Basically, just to slightly clarify and if the answer changes accordingly , was that as the traffic moved from browser to mobility, similarly, when it moves from within mobility to AI, does the ecosystem on the ad exchange or back end could change? If that does not change, then I can understand your situation.

Secondly on the Optic ks AI, as you explained in your event, how much savings is it bringing on the content creation side? That would be helpful .

Anuj Khanna Sohum: Thank you very much for asking those questions again. We believe that most of the AI traffic will happen on mobile at the moment. The other devices, other connected devices, wearables or other embedded chips and so on, I believe it will still take 5 years to become mainstream. For now, a lot of the AI traffic would still be on mobile and therefore, the fundamentals of that engagement should be seen as an authenticated AI traffic on behalf of the consumer and should be treated as no different from the consumer itself. That's how we see it at the moment. I see no major disruption on how we will measure conversions attributed back to that consumer whether it is through their AI agent or directly by them. I believe that conversion attribution will eventually go back to the consumer. I don't see any fundamental change there.

With respect to Optic ks AI, we as a company , have always been receiving creatives from the advertisers. So we don't go and start making video ads or we don't start making banner ads. We receive creatives based on the brand assets of the advertisers. What we do to them is to enhance them, augment them, authenticate them ensuring that those creatives are working and are being targeted to the right users at the right time.

If we find that some of the creatives are working well in one consumer segment context but it's not working well in another, then we would work with the advertisers in the past. The cycle of going back to them, giving them feedback that your creative is not okay, can we have better creative or can be more creative. That has now become automated with Optic ks AI. The brand has to give us very little. With that, little information that the brand tells us and with some of the creatives that they give us, with Optic ks AI, we can create many more creatives that are contextually hyper -personalized to

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the consumer segments that we are reaching out to . Whether it is vernacular personalization or it is ot

her forms of cultural contextual personalization, that is what Optic ks AI is doing. There was no cost to us at the beginning. Now when we run Optics AI, it is a fairly scaled tech platform and the incremental cost to our tech infrastructure is not dramatic. We are doing it efficiently and it is part of doing the business . The ROI on how we run the conversion linked campaigns justify running it as part of our data and inventory cost. It is not going to change the dynamics dramatically. Rather, it will help to improve the performance and the value perception of our platform to the advertisers as well as the hyper - contextual personalization to consumers will make advertising appear more like engaging content and

recommendations to the consumers versus annoying ads.

Rahul Jain: Got it. Thank you so much.

Moderator: Thank you. We have our next participant from the line of Samarth Patel from Equir us Securities. Please go ahead.

Samarth Patel: Thanks for providing me the opportunity. My first question is how the mix between new user acquisition versus retargeting has evolved, in India, emerging market and developed market this financial year?

Anuj Khanna Sohum: Thanks for that question. When we run our business as a consumer platform for driving conversions, we look at each conversion and the value of that conversion. Our goal is to make sure that our advertisers are appreciating the value of the conversion and therefore, paying us. Of course, the user might do a first conversion with an advertiser. But essentially, if you look at the case study that we shared, we emphasized today in one of the case studies that we're looking for high lifetime value consumers conversions for the advertiser.

What does that mean? When we get a conversion for an advertiser, they would not only say what was the value of the transaction that happened and what was the conversion. They're seeing what kind of a user, what kind of a consumer has Affle brought to them. If it is an iPhone user, which has a higher lifetime value, the willingness to pay goes up. If it is a higher -value iPhone user, they're also looking at how many repeat transactions can they get from that user to quantify that lifetime value.

Now, how does Affle earn its money? We are charging per conversion, right?

Whether it's the first conversion or the repeat conversion, we are charging

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for each conversion along the way. We are going to the advertiser and justifying that we brought you this consumer , if it is a first -time conversion, we work out the story in a certain way. If it is a repeat conversion, we are defending because there's such a competitive market and whether it's e -commerce or entertainment , all the consumers are not loyal to just one advertiser app that they work with. They usually engage with two or three similar sort of apps . I believe that on your device, you might have most of the e -commerce apps and the entertainment apps. Even though you are an existing customer to that advertiser, they are constantly conscious that they may lose you to a competitor.

You can buy from an e -commerce app A or a B. Therefore , we don't create a massive distinction here with respect to balancing it out. In our case, we have driven close to 400 million conversions in this financial year. Now I would say it's a fair balance of about 50 %-50% when I see it from the advertisers' lens where how many are new conversions versus how many are repeat conversions.

But as far as we are concerned as a platform, all of those 400 million conversions, chances are that we have already done some conversion with those users in the previous year or during the course of the year for either an advertiser A or B. A lot of it is repeat conversions as far as our platform is concerned, whether it is from one advertiser to another.

I hope I have not given you an overly compl

ex answer. But from an

advertiser's lens, I would say that in emerging markets, they are more pushing for new user acquisition. While in developed markets, the balance is a lot of times in favor of repeat engagements of the existing customers. It depends on the maturity level of the advertiser and how much they are spending for new market share versus defending their existing base of customers.

Samarth Patel: That is really helpful. My second question is if you can help contextualize the Q4 growth across India, emerging market ex -of India and developed markets.

And what would you attribute as the biggest driver in each of this region?

Anuj Khanna Sohum: In Q4, I would say, in developed markets, we saw broad -based growth coming from existing customers, new customers new user acquisition, repeat customers . Across the board, it was a good execution and momentum. We're carrying through the momentum of what we had done throughout for the last 1.5-to-2 years.

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In emerging markets , we saw the seasonality trend, where the budgets have been massive. Specially in LATAM, for example in Brazil the budgets are massive across all businesses, during the months of October, November and December . Then January, February and March period is generally the lowest quarter for the whole year . This is quite consistent across Latin America.

In Southeast Asia and in India, we found it more resilient. There were seasonality trends but because we're also selling to new customers , we are finding more growth . We're not just dependent upon the customers that we had in October, November, December. So yes, existing customers would have seen seasonality, but we are pushing for new customer sales and therefore, getting more business . In India, we were able to neutralize the impact. In other emerging markets, we saw that even selling to new customers in Jan, Feb, March was harder because they were somehow all exhausted by having done a lot in October, November, December or it's just maybe a cultural thing.

In developed markets, we saw consistent momentum leading to great growth, beating the seasonality trends. That's how the results came. Overall, we are happy that we had second consecutive year where Q4 is at least at par with Q3. As the CEO of the company and as an industry experienced entrepreneur, I can say this is not normal. This is actually very good, but I'm sensitizing you for your modeling going forward. Please always keep the seasonality impact from Q3 to Q4. That is prudent. That's the right thing to do and that's how we do our business planning. If we beat it, that's great, but we don't expect to beat it generally.

Samarth Patel: That is really helpful Anuj. Thanks for taking up my questions.

Moderator: Thank you. We have a last question for today from the line of Deepak from Sundaram Mutual Fund . Please go ahead.

Deepak: I just had one question. Since Affle is a cash -generating company and right now, we have more than Rs. 1,300 crores of cash on our balance sheet, I just wanted to understand that how do we plan to utilize this in the next year or over the next 1 to 2 years? Do we expect any kind of buy -backs or would it be more linked /consumed during any acquisitive opportunity ? Just some flavor on the capital deployment.

Anuj Khanna Sohum: Thanks Deepak for that question. We are an aggressive growth -oriented company which is looking for sensible consistent long -term growth . Every

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asset of the company, whether it's an intellectual asset or a financial asset, will be deployed to its fullest capacity to maximize sensible, long -term, profitable cash flow positive growth.

I'm super proud of our company . In my commentary, I only commented on the P&L metrics, but I think my CFO commented also on the cash flow metrics and seeing over 60% growth in

cash flow from operations versus previous year is something to be deeply proud of. I really believe that our company is doing exceptionally well, not only with deploying the cash towards greater growth in the business, but also through the business that we are doing . We are a disciplined unit about how we generate cash.

It's beyond any accounting standards, like cash is cash . I mean there's only one way to report it because it exists. I believe that is super important to drive home. Your question is valid. At the moment, we are looking to deploy every single asset of the company, cash included, towards delivering greater growth because we are on a 10x growth plan in the medium term. We would be working really hard and making every asset of ours work really hard to achieve that.

Deepak: Okay. Thank you.

Moderator: Thank you. As there are no further questions from the participants, I now hand the conference over to the management for closing comments. Over to you, sir.

Anuj Khanna Sohum: Thank you everyone . This is a meaningful year for us because it's our first year of the third decade and the last month was very special. It was the first month of our third decade. I want to assure you that we have put in a tremendous amount of energy to propel ourselves towards the 10x growth that we are eyeing for in the medium term. We are strengthening the foundation of the company like never before. We are building greater sense of pride & purpose and ensuring that the entire organization is aligned towards this goal . So with that, stay tuned and we look forward to your continued support and to our next earnings call. Thank you.

Moderator: On behalf of DAM Capital that concludes this conference. Thank you for joining us and you may now disconnect your lines.

*** end ***

Call: Aug 2025

Affle 3i Limited

(Formerly known as Affle (India) Limited)

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AFFLE /SE/ECT/Q1/2025-26 August 04, 2025

To

BSE Limited

Phiroze J eejeebhoy Tower s,

Dalal Street, Mumbai 400 001

Scrip Code: 542752 National Stock Exchange of India Ltd

Exchange Plaza, 5th Floor, Plot No. C -I, G Block,

Bandra Kurla Complex, Bandra (East), Mumbai

- 400 051

Symbol: AFFLE

Sub: Transcript of the Earnings Conference Call for the first quarter ended June 30, 2025
conducted on July 28, 2025 at 10:00 AM (IST)

Dear Sir/ Madam,

Please find enclosed the detailed transcript of the Earnings Conference Call conducted on Monday, July 28, 2025 at 10:00 AM (IST) to discuss the results and developments for the first quarter ended June 30, 2025.

The same is also available on the Company's website at <https://affle.com/investor-relations>.

Please note that the audio recording of the Earnings Conference Call was submitted vide our letter Affle/EC/2025 -26/Q1 dated July 28, 2025.

Submitted for your information and records.

Thanking you,

Yours Faithfully,

For Affle 3i Limited

(Formerly known as Affle (India) Limited)

Parmita Choudhury

Company Secretary & Compliance Officer

This transcript has been edited to improve the readability

Affle 3i Limited

Q1 FY2026 Earnings Conference Call

July 28 , 2025

Management: 1) Mr. Anuj Khanna Sohum – Chairperson, Managing Director & Chief Executive Officer of Affle 3i Limited
2) Mr. Kapil Bhutani – Chief Financial & Operations Officer of Affle 3i Limited

Analyst: Mr. Karan Taurani – Elara Securities India Private Limited

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Moderator: Ladies and gentlemen, good day and welcome to the Affle 3i Limited Q 1 FY2026 Earnings Conference Call, hosted by Elara Securities India Private Limited. As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing '**', then '0' on your touchtone phone. Please note this conference is being recorded.

I now hand the conference over to Mr. Karan Taurani. Thank you and over to you, sir.

Karan Taurani : Good morning, everyone. On behalf of Elara Securities, we welcome you all to Q1 FY 2026 Conference Call of Affle 3i Limited. I take this opportunity to welcome the management of Affle 3i Limited represented by Mr. Anuj Khanna Sohum, who is the Chairperson, MD and CEO of the company. We also have Mr. Kapil Bhutani, who is the Chief Financial and Operations Officer of the company.

Before we begin with the discussion, I would like to remind you that some of the statements made in today's conference call may be forward -looking in nature and may involve some risks and uncertainties. Kindly refer to Slide 23 of the company's earnings presentation for a detailed disclaimer.

I'll now hand over the call to Mr. Anuj Khanna Sohum for his opening remarks. Thanks and over to you, Anuj.

Anuj Khanna Sohum: Good morning everyone and thank you for joining the call today. I trust all of you are keeping in good health.

We started this financial year with the significant launch of our Affle 3i vision and our strategic action plan with the goal to deliver 10X decadal growth . In Q1 FY 2026, we exceeded all our performance benchmarks to record our highest -ever quarterly Revenue, EBITDA, PAT and consumer conversions. We delivered revenue of INR 6,207 million, a growth of 19.5% y -o-y. Our focused execution on higher productivity and continuous innovation enabled us to achieve highest -ever EBITDA of INR 1,397 million and a 239 basis points EBITDA margin expansion on a y -o-y basis and 33.7% y -o-y growth in our EBITDA. Notably, it marked our 5th consecutive quarter of sequential margin expansion and it resulted in 37.6% y -o-y growth in our PBT from Operations Affle 3i Limited

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(excluding Other Income). We achieved the highest -ever PAT of INR 1,055 million, a growth of 21.8% y -o-y. Our CPCU business drove 107 million conversions at a CPCU rate of INR 58.0 and we earned CPCU revenue of INR 6,200 million, an increase of 19.8% y -o-y.

This performance stems from our strategic investments in intelligent platform solutions and our ongoing efforts to integrate AI deeply across our operations, augmenting the authentic intelligence of our teams & systems to

drive greater outcomes.

We continue to demonstrate strength across our markets. India & Global Emerging Markets together contributed 72.3% to our revenue and grew by 18.1% y-o-y. The market tailwinds remain intact affirming our positive outlook for continued growth momentum.

Developed Markets registered 23.3% y-o-y growth and contributed 27.7% to our revenues. This growth is driven by our deeper customer engagements and local direct sales, resulting in the continued addition of new account logos and a sustained growth trajectory. Our localized operating structure across all regions will keep us insulated from direct exposure to ongoing tariff developments or broader macroeconomic uncertainties.

Further with our diversified footprint across markets, verticals and use cases, we remain naturally hedged. Our overall growth momentum remains strong!

We have enhanced our platform capabilities with integration of Opticks AI into Affle's unified Consumer Platform Stack - a capability we showcased during our Investors Day in April 2025 and we have begun rolli

ng it out to our

premium clients. Opticks AI is our advanced gen -AI-powered creative engine that generates hyper -personalized, performance -focused ads, generating contextual experiences in real -time. We also achieved a significant milestone by becoming an Apple -certified partner, reinforcing our creden tials in delivering privacy -first, ROI -driven growth advertising on iOS.

We received a new patent grant in India, marking our 14th Patent grant to date, further enhancing our comprehensive tech IP portfolio. The patent titled "Method and system to detect advertisement fraud", augments our fraud detection capabilities across a p lurality of connected devices and reinforces our focus on delivering quality user conversions for advertisers globally.

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This quarter, we have featured 3 customer approved case studies in our presentation. The first case study highlights our Opticks AI powered hyper -contextual strategy to maximise conversions for quick commerce in India. The second highlights our privacy -first performance in scaling device ID -less acquisition of iOS users, accelerating financial inclusion across LATAM. The third focuses on our Gen AI -led vernacular strategy that strengthened brand leadership and significantly boosted first -time purchases for a large omnichannel retail brand in Africa.

Affle continues to be recognized as a tech thought leader in the industry. We were ranked among the Top 5 Tech Platforms in the MMA Smarties Business Impact Index across India & Indonesia, as well as we won top honors including 16 awards across various pro grammatic CTV categories at the CTV Asia Symposium.

With conversions -driven solution s, we are shaping the connected digital ecosystem with precision, scale and intelligence. Our differentiated CPCU model, strong strategic moat and focused localized execution positions us well to exceed the growth expectations in FY2026.

With that, I now hand over the discussion to our CFO - Kapil Bhutani, to discuss the financials. Thanks and over to you Kapil.

Kapil Bhutani: Thank you Anuj. Wishing everyone a good day and hope all of you are keeping safe and well.

We have commenced FY2026 on a strong note, continuing our growth trajectory from previous years.

I would , at the outset, like to take you through our key performance metrics on a consolidated basis. We delivered y-o-y growth of 19.5% in our Revenue from operations, 33.7% growth in our EBITDA and 37.6% growth in our PBT from Operations , i.e., excluding the Other Income. This was driven by broad -based momentum across industry verticals in both India and international markets.

We concluded Q1 FY2026 at a consolidated revenue of INR 6,207 million, surpassing our robust Q4 topline by 3.1% sequentially.

On a standalone basis, India revenue grew by 21.9% y-o-y and 6.1% q-o-q, while on an adjusted basis, our India revenue increased by 18.6% y-o-y and

7.2% q-o-q. This performance reaffirms the sustained demand of our platform
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offerings and our ability to deliver at scale, while maintaining a prudent operational discipline.

India & Emerging Markets together contributed 72.3% while Developed Markets contributed 27.7% of our revenues during the quarter.

We continue to enhance productivity by scaling our platform operations and strengthening our intelligent automation capabilities. These initiatives, combined with sustainable revenue growth, have significantly strengthened our operating fundamentals.

As a result, we posted EBITDA of INR 1,397 million, an increase of 33.7% y-o-y and 4.3% growth sequentially. We achieved an EBITDA margin of 22.5%, representing a strong 239 basis point expansion over Q1 last year.

Coming to Opex, our Inventory and Data Cost stood at 60.9% of Revenue from operations. This was broadly in line with our previous quarters, while we continued our plat

form calibrations on premium inventories and deeper ecosystem -level partnerships.

Our employee costs increased by 4.4% sequentially on account of annual release of appraisals and bonuses in few geographies, while y-o-y growth was marginal at 3.8%, driven by our efficient integrated team strategies and adoption of AI -supported workflows.

Other expenses stood at 6.8% of our revenues, declining by INR 31 million on a sequential basis. Even with increase in marketing and trade promotion expenses as per plan to support our continued growth initiatives, the decline in Other Expenses is attributed to the broad -based efficiencies across other miscellaneous expense categories, including the benefit of the Equalization Levy.

We achieved a Profit Before Tax (PBT) of INR 1,292 million, reflecting a growth of 21.2% y-o-y and 4.3% q-o-q. Notably, if we exclude other income and solely analyse our core operating performance, the underlying growth is even more pronounced.

Our Profit After Tax stood at INR 1,055 million, an increase of 21.8% y-o-y and 2.4% q-o-q. Our PAT margin improved to 16.5% of the Total revenue, up from 15.9% in Q1 last year. On a sequential basis, we maintained our PAT margin despite a higher Effective Tax Rate (ETR) of 18.3%, compared to 16.8%

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in Q4. The lower ETR in Q4 was due to the recognition of deferred tax in that quarter.

We continue to prioritize efficient working capital management and as such there were no material changes in the collection risk.

Grounded in disciplined financial and risk management, along with efficient execution, we are well -positioned to capitalize on the market opportunities to deliver sustainable growth through FY2026 and beyond.

With this, I end our presentation. Let us please open the floor for Questions.

Moderator: Thank you very much. We will now begin the question -and-answer session.

We take the first question from the line of Karan Taurani from Elara Capital .

Karan Taurani : Firstly, congratulations to the management for a great set of results. My question was particularly in terms of EBITDA margins. In the last 8 quarters, we have seen a consistent improvement in EBITDA margins and that's not been on the back of gross margins . They've held on, but it's been more in terms of the efficiencies around the cost side.

I am trying to get some color here in terms of outlook , where are we in terms of operating efficiencies? What is the headroom here for margin improvement from a medium -term perspective? What is the management aspiring as a band for EBITDA margins? What will actually drive this? Is it AI initiatives , cost containment or growth?

Anuj Khanna Sohumi: We have already provided the medium -term goal of achieving around 23%

EBITDA margin and we are clearly inching towards that on a q-o-q basis. As you already mentioned, over the last several quarters, we have seen margin expansion.

It is an overall efficiency that we are seeing in the organization across different markets and geographies. As I mentioned, our structure is localized on how we are executing in different markets. There is a clear mandate that every single employee in the company has to be upgraded in terms of the authentic intelligence, where there has to be a day-in & day-out adoption of AI across all functions and roles in the organization. Starting from me to the top management, everybody is leading here by example.

We are absolutely driving greater productivity. For those of you who have attended our Investor Day in early April, we showcased some of those

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capabilities, not just how we are impacting consumer experiences with AI, but also how we are looking at driving greater efficiencies for the advertisers and how we are driving efficiencies internally for all employees in the company using AI across the board.

You would see margin expansion

happening on all of those accounts across

the key stakeholders where we are making AI an effective tool for us. Also, expanding the strategic moat of the organization in terms of how we are keeping ourselves future ready with our product innovations is an area which is adding to our competitive moat. You will see that trickling down to the margins consistently going forward.

Moderator: The next question is from the line of Anmol Garg from DAM Capital.

Anmol Garg: Congratulation on a good set of numbers. A couple of questions. Firstly, I wanted to understand if currently we are charging for OpticksAI or it will act as a complementary product to bring more volumes from new and the existing customers?

Anuj Khanna Sohumi: We have an integrated consumer platform stack as we go into the market, called the unified consumer platform stack. OpticksAI has an advanced Gen AI-powered creative engine which is already deeply integrated within our stack. Now, how we charge our customers? It is for conversions. We are driving conversions for them and I believe the business model of CPCU conversion-led business model is staying intact.

These capabilities are essentially enhancing Affle's platform's ability to deliver hyper-personal, hyper-contextual experiences to the consumers, thus driving better conversions for the advertisers. Whether in terms of volumes or in commanding better pricing or getting higher lifetime value users to get converted; and effectively achieving both in terms of higher volumes of conversions as well as incremental pricing.

As you would see, the CPCU pricing has been consistently inching up. Now we had the aggregate price of INR 58 for the 107 million conversions that we achieved in the last quarter. All of this is part of keeping our platforms future-ready and enhancing our competitive moats in the market. As our volume of business is growing, our pricing is also inching upwards. I believe this is a sign of a quality platform, defining and shaping the digital ecosystem.

Anmol Garg: Understood. Secondly, I wanted to understand that how should we think about the margins currently in both India and Developed markets? It would

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be great if you can give a breakup of that? Also, what is the percentage of R&D expenses within our cost in the P&L right now?

Kapil Bhutani: We don't break down the margins on geographies as a target. We have a broad-based target guidelines for our Business Unit heads to attain a certain margin profile. Our sustained margin is coming from all geographies.

Coming on to the question of R&D, we don't call it R&D expense, but rather we call it development expense. It is in line with the previous quarter. It's hovering around INR 4 million for this quarter also, and there is no significant

increase expected.

Anmol Garg: Right . Kapil, just wanted to understand that how should we think about the levers going ahead on the margins - whether the margin expansion going ahead would come from India or Developed markets? Or would it be more of the operating leverage in the overall business?

Kapil Bhutani: As mentioned in my previous answer, we are looking for broad -based margin expansions across all business units. All business units have their own EBITDA targets. There's no particular preference that we should aim for margin expansion from any particular geography. As an organization, we are wired to get operational efficiencies from each business units, whether it is in India or whether it is developed markets or whether it is Platform A or Platform B. Our focus is broad -based margin expansion, not from any particular geography , vertical or platform.

Anmol Garg: Understood. Anuj, one last question , for this FY 2026 should we expect growth to be above 20% like we have guided earlier?

Anuj Khanna Sohumi: Thanks for that question. Look, we a

re deeply growth -oriented and a bottom -line sensible organization. We are looking at an organic , sustainable , consistent growth pattern of about 20% on the revenues. Our goal in the medium term is to achieve about 23% EBITDA margin as we continue our margin expansion goals. Given how FY2026 has started in Q1 and also how the trends are shaping up so far at the end of July in Q2, I believe we are on a good track right now.

The overall confidence that we are deriving from this when we started this quarter of this financial year, none of us would have predicted that there would be a war situation in India or the escalations in the Middle East . Some of us could have predicted some tariff -related concerns at macroeconomic level. But all of this, the way it panned out or even the airlines -related

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concerns, a lot of these things can impact sentiment, it can impact advertisers' thinking in a particular short -term period.

Even with these events we certainly did not factor in when we started this financial year or this quarter, we have still delivered the quarterly results that we are presenting to you today. It shows that we are extremely resilient . I am proud of the way our team is executing and the competitive moat and the resilience of our platforms . The CPCU business model even in tougher geopolitical macroeconomic situations continues to show resilience.

With the first 3 months already reported today for this financial year, for July, we can already see that we have a pretty consistent growth momentum at this moment, which should yield us a good outcome for FY 2026. That's why our commentary is that this is sustainable and we are confident about beating expectations.

Moderator: The next question is from the line of Arun Prasath from Avendus Spark.

Arun Prasath: Can you give a broad -based commentary on what industry categories which are doing very well? I know most of your categories are probably doing very well, but any category you would like to specifically call out, which is showing some signs of slowdown or some kind of macro headwinds ? And which other categories are turning around and may offset the sectors slowing down?

Anuj Khanna Sohumi: The way we categorize our businesses is category E, F, G and H. We are seeing strong momentum in category E as well as in category G. We have not seen any pullback or slowdown possibly with some of the global factors that I mentioned in response to the earlier question. Had those not been there, we could have done more. We take the current results in line with our expectations & plans and in fact exceeding that. Categories E and G were obviously continuing on a good growth momentum.

We are also resilient in category F and H . There could be cases where some customers, due to their own internal factors or due to macroeconomic factors may shift budgets from 1 quarter to another and so on. But in terms of the medium -term and long -term trends across categories E, F, G, H , we see broad -based growth and momentum across all the geographies and we are pushing with direct sales and deeper customer engagements in each of these markets locally.

We are only increasing our efforts in these areas. I would expect the trends to continue, given that this last quarter was a challenging time from an Affle 3i Limited
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overall macroeconomic or geopolitical position and the results are quite strong and the momentum continues to be strong.

So, in categories, E and G, we see strong growth momentums. In category F and H, we see still good resilience coming from our base of customers and we are only increasing that.

Arun Prasath: Just a follow -up Anuj . Within category F and H, there are so many subcategories for an outsider like us to track. It would be helpful if , within the subcategories, you can call out for us to be able to track it

from our side.

Anuj Khanna Sohum: Fair enough. When I talk about category F, in terms of resilience, in fintech, for example, it's a sensitive category where people will delay decisions to maybe do some investments or delay some decisions to take some loans . I believe fintech is a category where we were positive about the resilience even against the headwinds .

Similarly, in health care, hospitality , travel and transport. In all of these situations when there is war, airports are shut, travel and airlines ' plans are changing . Even with all of that, we have seen good resilience because we are naturally hedged in terms of covering ourselves across different geographies or different use cases.

We are able to make sure that whatever budgets are available in fintech, hospitality, they should prioritize going to us because we are a conversion - led platform. We are resilient in these categories which one could have said were more vulnerable in these times. But even in this quarter, we were resilient in them.

Arun Prasath: Understood. My second question is on the margins. I think we heard you and Kapil articulating about the margins. Just if I have to zoom out and think ahead a little bit, at some point of time , the operating leverage that you're seeing, probably your competition will also catch up. Do you see any risk to the gross margin itself , because this operating leverage with higher margins, if taken at overall Industry level, could be reflected in the higher CPI/CPM bid rates , in the future . So should we trade with caution that probably the gross margin can contract, which will offset the operating leverage at the EBITDA margin level? Is it the right way to think from say, fairly 3 to 4 years period of time?

Anuj Khanna Sohum: Not a right way to think. Maybe since you talked about zooming out, let me help you have a visualization of how zooming out would look in our case and Affle 3i Limited
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in our industry. On one side of ecosystem are the advertisers and on the other side of the ecosystem are the consumers. Now let's look at the consumers. All of us are spending increasingly more time on our devices and specially with AI / Gen AI, the dependency on our digital devices and usage for all kinds of things is only increasing.

Therefore the time spent on the devices and the screen time is increasing disproportionately. Consumers across the world are becoming increasingly comfortable transacting online and the average value of those transactions is also going up. Consequently, the advertisers, who are spending their money specifically on our kind of business model, which is a conversion -led business model , they are seeing that the average lifetime value of a digital consumer is actually going up because there is more volume of conversions . The average value of those conversions is also going up because digital consumption and transactions are actually increasing and the comfort is increasing with the consumers.

When we look at emerging markets like India , Latin America or even Middle East, Africa or Southeast Asian Emerging markets , we are seeing a lot more consumers still coming online . There are still millions or hundreds of millions

of more people coming online. The ones that are already online, they actually are spending well. Their comfort is increasing and they're also going for higher-value transactions online.

Hence, the advertiser is seeing a higher value user coming to them.

Consequently, the willingness to pay at a CPCU price rate is already seen in our trend lines. The CPCU price is going up. When you zoom out and you want to look at it this way, then see, will people do more conversions online? The answer is yes.

Will the average value of those consumer transactions also go up? The answer is yes. Therefore, our ability to price it effectively with the advertiser also goes up and we

should be able to defend that for many years going forward.

Arun Prasath: Okay. I largely understood. But just one follow-up on this topic. Now with the operating leverage playing out, is there any sensitivity to the growth?

Now can you sacrifice some margins and deliver higher growth? Or is it decoupled at this point of time?

Anuj Khanna Sohum: Well, if we decide to compromise on pricing or margins and go for higher revenue growth, we can certainly do that. We could have done it all along in

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the last 5 to 10 years. What is stopping that? It is the DNA of our organization. Our organization, across a decade plus more since inception until now, is wired across the board for bottom-line sensible, quality revenue-based growth and expansion.

There are so many scenarios where we reject customers' revenue. A sales team would go out and say we have this campaign, can we run it? Our team would look at it and say that this is not likely to deliver or will not have the right kind of margin performance. It's not the right quality of revenue.

Investing time or our algorithms in learning and optimizing those campaigns may not be worth it.

Therefore, we do say no to revenue if we don't see it as a high-quality revenue and if we don't see it as contributing margins. Now will this philosophy change in the organization? I doubt very much, and why should we change it? There is enough quality revenue to pick, which is going to help us get to about 23% EBITDA while delivering 20% organic growth overall.

There is no reason for us to compromise our pricing or to dilute the strength of our DNA. It is rare to find in digital businesses that a company is bottom-line sensible and conservative on its balance sheet as well. We will continue to be like that.

Moderator: The next question is from the line of Vijit Jain from Citi.

Vijit Jain: Congratulations on a good set of numbers. You mentioned you became Apple-certified partner this quarter. If you can talk about how that exactly impacts your ability to win new business? Are there particular categories within E, F, G, H where it is especially useful? If you could elaborate on that? That's my first question.

Anuj Khanna Sohum: Affle's track record as a company is stellar as we have been in this business for over 20 years now and constantly bringing future-ready innovations. We are 1 of the 4 certified partners globally listed on Apple's website, and we all know that Apple is very careful on who they partner with, who they promote, who they kind of see as their partner. It enhances the trust and the credibility quotient for our advertisers globally. It enhances the pride and spirit of the employees saying that this is a great organization.

We are already fundamentally great. It's not that the certification is changing us. The certificate is just another credential that is validating who we already are. Then when we go out, win awards and industry thought leadership

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positions across the markets, whether it's on a particular use case or another, it enhances our ability and strategic moat to grow not just revenues, but also respect with our customers.

Our ability to charge better, our ability to retain customers and grow customers better increases. We are basically winning trust and credibility and thought leadership through such credentials.

Vijit Jain: Got it. Anuj, my second question is, if I look at both Google and Facebook, they are massively investing in their Gen -AI infrastructure. If I see Google's results and with them moving on to ad AI mode, it looks like ad loads are going to be fewer and they'll probably deliver higher conversions. So my question is, for you, will ads served by you on Google and Facebook going to generally rise, given these companies clearly have a leadership in Gen AI on a global scale?

Anuj Khanna Sohum: An advertiser spends their budget, just like when your investment fund looks at investing. For all the last 20 years since I've been leading Affle, I've seen that the advertisers would say that they park aside a certain budget that they spend on these large walled gardens like Google or Meta. Then they have a separate budget that they are spending on non -Google and non-Meta platforms.

So far, I have not been asked the question that why should I run the campaign on Affle when I can maybe run it on Google or Meta? That's not a question the advertisers ask to us. As far as our continued growth trajectory is concerned, think of it as a parallel growth trajectory. The non -Google and the non -Meta advertising budgets are increasing at least at par, if not faster than the Google, Facebook part of the ecosystem.

Then, ours is a consumer platform and we have a deep integration with Google and Facebook as well. We are fully capable of taking our advertisers' budgets and telling them instead of spending on Google and Meta directly, you can go through our platform. These are the consumers who you want to target and drive conversions from. Let Affle optimize the campaign to get this consumer conversion for you, irrespective of whether the consumer is showed an ad on Google or Meta or in a longtail chess app that this user plays. For an advertiser, it makes a lot of sense to consider that. Increasingly, we are seeing scenarios where we are able to win some of those budgets. Google Affle 3i Limited

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and Meta don't mind that because we are essentially channelling it on their platform. So, they are seeing it as an integrated partner with them. However, this is a very small part of our business today. We see this as an area of growth, not an area which is on a competitive lens causing any issues to the non -Google, non-Facebook part of our business because those budgets are earmarked separately. The industry, for the last 20 years, has operated in the same manner.

Vijit Jain: Got it. My last question. On the Developed market outlook, with all the trade deals happening at the start of the quarter, there would have been a lot of uncertainty. You've talked about India business also having a lot of headwinds in the quarter in general?

But with that, India and Emerging markets have actually accelerated in growth in the quarter versus the last few quarters when it had decelerated to about 16%. You have 18% + now. In general, would you say both these engines, the Developed Market as a separate engine and Emerging markets & India market as a separate engine are looking up from here?

Anuj Khanna Sohum: Yes. At the moment, I would say our confidence has obviously grown because even with all the geopolitical macroeconomic headwinds, we achieved what we achieved in this quarter. At the start of the quarter, one could not have predicted all these headwinds and the way they shaped up. So, we are very confident.

Other than the results, I believe it's the ongoing momentum that we see and the spirit within the team and the pipeline, all of those indicators continue to be strong and resilient across all markets.

Moderator: The next question is from the line of Rahul Jain from Dolat Capital.

Rahul Jain: Most of it has been answered. Anuj, if you could share some color on the Developed Markets. You highlighted some of the uncertainty part, but how we need to see this annual growth? Will it be more skewed toward Emerging markets versus the way it was in the previous year where it was Developed

markets -led?

Anuj Khanna Sohum: The 20% organic growth on revenue with a bout 23% EBITDA margin mid -term goal is a realistic achievable position from where we see and assess the market situation and the momentum at this moment. In terms of developed

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markets, again, we

are covering multiple verticals and many advertisers in those verticals. Our base is still small while the addressable market is large. We are able to achieve our goals, whether from new budgets , new customers , new budgets from existing customers or taking competitive budgets from existing competitors to our advantage. All of these levers are at play. We are competitive in terms of winning the business that we need to win. Given that the base is small, our competitive moat and differentiation in what we bring to the market is quite evident.

The credentials that we carry, we believe that we will be able to achieve our goals . In Developed markets as well as in Emerging markets, we are continuing to see positive momentum. Therefore, getting to 20% overall is defensible for this financial year.

Rahul Jain: Lastly, for Kapil. There were some savings that we have drawn on the Other Expenses side. Can you share if these things are sustainable? Or there was some element of savings specific to this quarter?

Kapil Bhutani: Some part of the savings is long-term due to benefit of Equalization Levy while certain discretionary expenses or savings might go up and down. But largely, we will be in line with what we have done in this quarter. One part of the savings is sustainable because of the Equalization Levy.

Rahul Jain: Any increase in annual investment on platforms that we might see in FY 2026 and the expected run-rate?

Kapil Bhutani: We mentioned in our last call that we'll be not increasing our capital outlay on the platform development expenses until we have any inorganic acquisition. But for organic platforms , we don't expect additional outlay of budget as compared to last year.

Moderator: The next question is from the line of Swapnil Potdukhe from JM Financial.

Swapnil Potdukhe: I had a couple of questions. The first question is on the market environment in India. It seems that Trade Desk has become quite active of late. What I hear is like they've hired few senior management people. They also seem to have onboarded one of the leading quick commerce player as their client. The same quick commerce player was earlier working with us. So from that perspective, I just wanted to understand how things are for you in India currently?

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Anuj Khanna Sohum: Thanks for that question. Look, when the market is attractive and India is a big attractive market and the fact that we are doing well here, it will certainly attract some of the global competitors here as well.

Having said that, I think our competitive moat in India is coming from multiple dimensions. One, we are present across verticals. Two, our engagement is deeper with our customers. We have direct customers and you would have noted that we give this stat istic that about 75% of our overall revenues is from direct customers. If you look at the Trade Desk reports, not just perhaps in India, but globally, their business is very agency led. I think about 80% of their business or more comes from ad agencies . So there is a difference there. The third being on the CPCU model, we have deeper integrations with our customers and deeper data integrations, first -party data integrations with our customers.

All of these insights for the India market have been honed and built into our platform over many years. Then, our best people are fronting the business functions in India, whereas for somebody like a Trade Desk, clearly, their R&D and data science teams or the AI teams are not building models or shifting models for India or Emerging markets. India is very small part of their

business.

Comparing their tech moat versus ours, I would believe it will be weaker for them. Obviously, they're not putting their best people to come and fight against our people in India in a competitive sense. They have hired some people, but I would think that it's just something

that they need to do to tell

their public market investors in the U.S. that they are expanding in India.

But really in terms of competitive moat, I feel confident that if we have to go and compete with Trade Desk in any direct customer engagement, chances are that we will be successful in more cases than not. There could be cases where they would win, but the market is large enough for us to compete well and to achieve our goals.

Finally, I believe the unit economics of working in India are harsh. For Trade Desk to make this into a profitable market, I would be happy to challenge them on that. They are putting a tick box at the moment that they are doing something in India, but I don't believe that they are on a strong footing for us to be worried or challenged by them at the moment.

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Swapnil Potdukhe: Got it. The second question is on your medium -term revenue growth forecasting. You did mention 20% revenue growth is possible in FY 2026. But if I were to just take a medium -term perspective of next 3 to 4 years and especially given that E merging markets & India have been growing less than 20% for a decent period of time now. So , how do we see the revenue growth trending post FY 2026? Because at some point of time, your D eveloped market growth could see some moderation . The base effect that you called out will catch up at some point of time and possibly your growth will narrow down to the broader market growth there. If taking a medium -term view, is that 20% growth sustainable, especially given E merging markets and India are consistently growing less than 20% right now?

Anuj Khanna Sohum: I believe it is sustainable because the base is still small and the addressable market is very large. We are seeing new dimensions of addressable market as we're expecting that in Emerging markets , we will also see gaming as a vertical becoming stronger over a period of time, which it is not at the moment . When we look at Developed markets , gaming is a stronger vertical there.

We are going to see some high volume and value verticals growing and becoming important in these markets, which have not been factored in your analysis . We are going to see market expansion and more growth coming in certain verticals than what is factored in at the moment. I'm pretty confident that achieving overall 20% growth is the minimum that I would model the company at for the next 3 to 4 years or even longer.

We have already sta ted in our commentary , and started this financial year or rather our third decade by clearly stating our strategic action plans to achieve a 10x growth . To mathematically get to 10x growth, even if we take the whole of 10 years for that would at least require 20% organic growth and then augment that with inorganic growth, which we have the muscle power to execute on and the patience to wait for the right deal to execute on that. A combination of organic growth at 20%, defended by the fact that the addressable market is very large, there are many levers of growth yet to be tapped into for the future. The fact that we will also be looking at inorganic selectively but surely , will certainly give us the kind of growth momentum we're looking for. Your question was only for the medium term, 3 to 4 years, but we are taking a decade -long view to this, and we are pretty confident that we should find that kind of growth along the way .

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Moderator: The next question is from the line of Deepak from Sundaram Mutual Fund.

Deepak: My first question is slightly long -term in nature. You must be aware that GroupM recently stated that they are going under a major organizational

restructuring exercise . The remarks made by the CEO was that it will likely impact about 45% of its U.S. workforce. Now partly we believe why this is happening is because of how AI is disrupti

ng the agency model in terms of creative work as well as ad campaign execution .

Keeping this context in mind and since about 25% of our revenue comes from ad agencies, do we see any impact for us in terms of growth trajectory? Or is it that I should read this that our share of campaign budgets, which we get through ad agencies of advertiser space in that and in future that our direct - to-customer revenue mix will likely go up with increasing wallet share from their budget to us because of all the disruption, which is happening in this agency model?

Anuj Khanna Sohum: Right . First of all, whether it is an advertiser that comes and contracts directly with us or whether it is an advertiser who comes and contracts with us through their agency, for example, it could be any of the big agency groups or otherwise, we always ensure that we have direct deep relationships with the end advertiser . Our teams, our engagement or the tech integrations that we do for getting the conversion data points with the advertisers has to be directly with them. The endpoint tech integration will always be with the end advertiser .

We see the agency groups as an important partner because they play in the same ecosystem. So having them as a partner, as a friend, is important. We are never going to influence an advertiser and say don't go to that agency and come to us directly .

But every channel by itself is rightsizing, restructuring or having any relevance issue with a particular customer, that customer will not stop spending on digital advertising. Hopefully, if they were to say that they don't want to work with an agency or they want to go direct and they approach us or also conversation leads to that, we would see a shift from the proportion of revenue that's coming from agencies to where it is coming today.

The fundamental question should be that, are the advertisers going to keep spending on digital, whether through agency or directly? I believe the answer

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is more in our favour today that we're already doing about 75%+ of our revenues directly with our advertisers.

We should be less impacted versus if I linked it to the earlier question from the analyst at JM Financial . Somebody like a Trade Desk where about 80% of their revenue is through agencies because the whole team, the sales organization, the DNA of the organization is to deal with and through an agency with their advertisers, they will see a much bigger challenge in this kind of transition.

In fact, in none of our management meetings, this is a point of discussion that the big agencies are restructuring, what should we do? Our natural orientation in the market, our internal organization is naturally ready to serve our advertisers as the endpoint. We will be sensitive to the agencies who are going through a tough patch to see how we can still be their friend in this time as far as possible, but that doesn't impact our ability to earn revenues from the end advertisers.

Moderator: The next question is from the line of Ashwin Mehta from Ambit Capital Private Limited.

Ashwin Mehta: Congrats on good numbers. Anuj, any early sense in terms of how advertising spend s in India are shaping up ahead of the holiday season that we see in the second half?

Anuj Khanna Sohum: In terms of the holiday season, let's just say with Raksha Bandhan around the corner, we're already seeing some positive tailwinds from the advertisers in India. We are confident that the trend lines for the festive season would be in line with the seasonality trend where the quarter 3 will certainly be higher than quarter 1 and 2 and should be higher in similar sort of sequential percentage range that we are used to seeing.

It's still early to be start talking about October, November, December quarter. But I believe there's nothing which should dampen that or should suddenly make it an even more exc

optional sort of seasonality spend. It should be in line with the natural course of business that we have seen. But yes, seasonality does affect advertising in a positive way. Festive seasons or big events where audience engagement is high or the audience spending is high, the advertising tends to go up. Raksha Bandhan is already a positive for this quarter. In Q3, we expect things to be like we have always seen, where Q3 should be the highest.

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Ashwin Mehta: My second question is in terms of any updates on acquisition plans? Are we near to consummating something? What are the areas that we are looking at?

Anuj Khanna Sohumi: You've seen our track record over the many years since we became a listed company . We have done acquisitions and integrated them successfully. The last acquisition we did was over 2 years ago and clearly, the integrations have all been successful, therefore leading to almost 1.5 years now since the acquisitions plus organic growth of around 20%.

The confidence in the team is high. We have been evaluating, but we are waiting for the right time , right pricing and the right candidate. In fact, there are two sides to this macroeconomic situation . On one side, every one was worried , what's going to happen with the war happening, with the trade - tariff wars and other wars happening. But at the same time, we are mindful that when things get tough, we may find more attractive pricing for acquisitions .

We are sitting and working appropriately . At any given time, we are evaluating anywhere between 5 to 10 companies which we watch for many years. We will still wait for the right time. We are not going to make an expensive acquisition. Our acquisition strategy, as you have noted in the last five transactions that we would have done, is always very consistent, and that hasn't changed.

There is no pressure that let's just go and acquire something even if there is a higher price to be paid. We can wait. And it's not like we are waiting. We have the ability to build in -house . We are a strong tech organization. We can build for our future, for sure. If we find the right thing to buy versus building, we will at the right price at the right time. We are actively evaluating, but I will not give you any short -term or medium -term guidance on it. When it happens, we will certainly report to the markets.

Ashwin Mehta: Thanks for the details. Just one clarification from Kapil. So Kapil, what is the reason for the Other Income falling over the last 3 to 4 quarter and the fact our cash has been rising?

Kapil Bhutani: We had certain write -offs of liabilities on the acquisition side in Q1 last year. There is a dip from there, but income from investments or placements of idle funds is almost similar to Q4 sequentially . The slight dip in Other Income from Q4 is on account of exchange adjustments of various assets.

Moderator: The next question is from the line of Samarth Patel from Equirus Securities.

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Samarth Patel: Congratulations on a good set of numbers. I think you touched upon the Equalization Levy and savings because of that. But on the revenue side, by removal of the Equalization Levy, I think advertisement cost on global platforms for Indian businesses have declined and which should have freed up some sort of digital marketing budgets . Do you expect this shift to benefit us? How should the dynamics play out here? If you can just double click into that, that would be really helpful.

Kapil Bhutani: This equalization change is universal for all players in the market, whether they are on performance marketing or non -performance marketing. It doesn't create any additional leverage. It's equalized for every participant in the market . But yes, this gives us a certain amount of savings to deploy in our growth activities.

Moderator: The next question is from

the line of Lokesh Manik from Vallum Capital.

Lokesh Manik: My question is on OpticksAI. If you can give a sense of more on the qualitative

side rather than quantitative, what would be the penetration of this new technology in our current campaigns in this quarter, just to gauge how the new products or technologies that we are introducing and how they are scaling?

Also just a suggestion, if you could include that in the forthcoming presentations as well. I understand for competitive reasons, you can't quantify it, but just to gauge maybe on a percentage term, 5%, 10%, what is the integration with the current campaigns?

Anuj Khanna Sohum: Thanks for that question. In my discourse earlier, I did mention that we have already integrated OpticksAI as part of our consumer platform stack and that we have already rolled it out to some premium customers. We also have shared a case study of one of our customers. Out of the 3 case studies, one of them is an OpticksAI-focused where we are showcasing how we're able to create ad assets on the fly based on the different deals with different offers or different products & pricing that the customers are offering on the fly, creating those digital assets.

We also have another case study where we're talking about the vernacular impact where we are able to create dynamic vernacular content, keywords and more around it. OpticksAI is fully integrated from a tech stack perspective. Of course, it is going to go through ongoing enhancements and capabilities, etc. But as it stands today, it is fully integrated in our core

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platform. Depending upon campaigns and customers, it will be deployed and used through our platform in most cases automatically and in some cases, selectively.

I think it's one step at a time. It's a matter of rolling it out globally within our teams, making customers more aware. It's already been used in many campaigns, but it's not been surfaced. It's already part of the core engine and the core platform. I would say it's almost 100% integrated. In terms of rollout to customers, I think we are seeing impact of it already on a qualitative basis, and we have shared the case studies.

Should we quantify what percentage has been rolled out? I think this is not something that we are pushing or tracking, but we would expect it to be 100% adopted across all campaigns within the course of this year or beyond. I don't think that it needs a specific tracker. We should be confident that it is necessary in every campaign.

In every campaign, you want to achieve hyper contextual experiences for the consumers. If we can achieve it through our technology, there is no reason to limit it. The advertiser in this case is not going to have a discretion to say whether I want OpticksAI or not. It is an Affle inherent, internal, deeply integrated platform capability that must be part of our conversion-driven platform.

It's not something that you should be concerned about in terms of adoption tracking. It's not a case of whether the customers will accept the upsell or not. It is going to be part of everything that we do and it will enhance our capabilities, and for the consumer, giving better experiences, driving higher conversions and hopefully enhancing our competitive moat. It started to happen in the first quarter itself.

Lokesh Manik: Great. That was very detailed. My second question was just a clarification.

This creatives that you create with OpticksAI or the content that you create, the IP remains for the content with Affle or is it with the advertiser?

Anuj Khanna Sohum: We are fundamentally enhancing the content and the creatives. Now of course, we don't pass those ad units or creatives back to the advertiser to say to go and run it anywhere else. But the content and the creative is specific to an advertiser to be running on our platform. It's not like they

will

say that I have made this ad unit or this asset that has been made by Affle for their campaign conversions.

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Now they might say, give me that asset I will go and run it on somewhere else as well. One could get into that. But at the moment, this is not how it works. Is it going to be called that this is IP belonging to us? Obviously, not. The tech stack, the tech IP belongs to us but the creative asset is the product of the advertiser that we are enhancing through our tech .

It is a shared commercial understanding that we have made this for driving conversions on our platform. Therefore, to that extent, it should be used only on our platform. It does enhance our competitive moat, but I wouldn't go to the extent of saying that it's become our IP on the content and the creative side.

Moderator: The next question is from the line of Onkar from Shree Investments.

Onkar: As you have already alluded to your acquisition strategy that there is no hurry, but one thing is for sure that your return on equity is taking a hit because of all this? I mean, what do you have to say on that?

Anuj Khanna Sohum: Well, my short-term answer is that we should do the right thing at the right time at the right price and we should not take any pressure. If some metric is getting impacted for a short period of time, we would be sensitive to it, but still do the right thing at the right time. We are alert to it and are always actively working on that.

Onkar: Just a follow-up on that. As you have said that for this decade, you are targeting around 10x growth. Organically, it is possible to grow 20% for next 4-5 years. On top of that, you add about 5% to 6% kind of inorganic growth to the overall thing. So, in order to go 10x in 10 years, you need to do about 25%-26% overall growth.

But in the long term, that means in 10 years, is it possible to do organic growth of 20% and on top of that, the inorganic growth you are mentioning, so collectively, around 25% growth for 10 years?

Anuj Khanna Sohum: We have shown that in our track record over the last many years that we do acquisitions well. We are actively working, actively doing due diligence on many opportunities. Essentially, I'm telling you also about the timing of when to do it. We wait for the right moment to do the acquisition.

What are the criteria for the acquisition? One, the company that we acquire should be able to keep pace out. We will only acquire a company that we believe will be able to get to around 20% EBITDA, and we can grow it about

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20% y-o-y on the top line. This 20/20 rule has to be absolutely sacrosanct. Therefore, the acquisition strategy then modelled together with our organic growth of around 20%, I believe would sustain beyond the 3 to 5 years that most of us are talking about.

The math of it is that in the next 5 to 10 years, how many acquisitions would we do? Let's say, at least 1 every 2 years. If we do 1 acquisition every 2 years based on this criteria and modelling, I believe that the 10x growth would happen faster. If you look at the last 5 years track record of the company, we did achieve 10x growth.

I am now saying that let's put a 10-year plan for 10x growth and let's be a bit more conservative, given we are bigger versus who we were before. But even relative to the market size, we're still quite small. I am pretty confident about our 10x growth plan, and it is anchored on organic growth of 20% being sustained. Then there are incremental inorganic additions, which will add step changes to where we are, but those step changes should also sustain at 20% continuous growth.

Therefore, we need to be selective about what we buy. The last thing you want us to buy is something that adds some inorganic number to us, but it doesn't deliver the long-term growth going forward. It's super impo

rtant that

we do the right inorganic acquisition and not be under undue pressure for ROE and metrics at this moment. I believe what's right for the business needs to be done.

You need to be taking comfort in the fact that we are actively working on that. It's not like we are sitting comfortably and saying, okay, the cash is in the bank, and we are anyways growing at about 20%, so what's the rush. That

is not our DNA. We are aggressive in the market. Also, if you look at ad tech, overall, globally, who is today a qualified buyer in ad tech to buy any other competitor.

I think Affle is one of the only ones, which has very little debt, a significant amount of cash, a track record of doing acquisitions and is openly stating that I will do acquisitions. Our criteria of acquisitions is also clearly stated. Anybody who wants to sell their company in ad tech today knows that they have to knock at Affle's door, whether it's an investment banker in Japan or in US or whatever. Any company that is appointing anybody to say I'm selling, we're all knocking at Affle's door.

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We have a strong case to have the first right to pick what we want to acquire.

We are watching carefully and we will do the right thing at the right time. I

want to give you that confidence as well as assurance.

Onkar: Just one clarification I needed. How much is the cash on the book currently?

Kapil Bhutani: Please refer to the earnings presentation. It's mentioned there.

Moderator: The next question is from the line of Sanjay Ladha from Bastion Research.

Sanjay Ladha: Congratulations on a good set of numbers. My question is, are we moving ahead from mobile to other digital platforms or we want to remain as a mobile advertisement company? The other platform would be TV, desktop or any other platform? Are we moving to this direction?

Anuj Khanna Sohum: We are calling ourselves consistently as a consumer platform and the label of ad tech or digital or mobile comes with it.

Now, why is mobile such a dominant part of our discourse? It is because the consumer platform that we have and the consumers, people like you and me, are so disproportionately on our mobile phone. You would be surprised to know that about 90% of my time on digital device is on the mobile phone, and maybe 10% to 20% time on connected TV. But this will change and the dynamics might change.

Now wherever the consumers' attention and eyeball is, Affle as a consumer platform stack will necessarily incorporate that. If you look at our discourse, as we are a connected devices platform including CTV, wearable devices, as everybody ends up having smart watches or other wearables or even embedded technologies on our consumers, Affle would address all of those. We are a connected devices platform and in that sense, digital. But we are mobile-first and anchored on the mobile device because the consumers are anchored on that.

If tomorrow, all of us decide that we won't use mobile devices, we'll use something else, Affle will absolutely, as a consumer platform, focus on those devices or those kinds of experiences. We will follow the consumer trends.

For the last two decades, the single most important device has been Mobile and I would say for the next 5 years, it will continue to be that way.

Connected TV is becoming an important device. The wearable devices trend is also on the uptick. We are a connected devices platform, deeply anchored

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on mobile and connected TV at this moment and future-ready, future-proof, with all our innovations, taking a broader sense for what other devices might come going forward.

Moderator: Thank you. Due to time constraint, we take that as the last question. Now, I would like to hand the conference over to the management for closing comments.

Anuj Khanna Sohum: Thank you for a highly engaging discuss

ion on our earnings call today and for

your belief and continued support to Affle 3i. We have completed 6 years of being a listed company and with that, we have reported to you 24 quarters of public listed company results and consistently showed the track record of sustained momentum towards growth; not just in numbers, but also in terms of intellectual property capabilities and future readiness of our platforms.

We remain resilient and exceptionally hard -working to deal with any scenarios going forward. We are looking forward to achieving 10x growth in this decade . Please stay tuned and we look forward to having you all at the next earnings call as well. Thank you !

Moderator: On behalf of Elara Securities India Private Limited, that concludes this conference. Thank you for joining us and you may now disconnect your lines.

*** end ***

Call: Nov 2025

Affle 3i Limited

(Formerly known as Affle (India) Limited)

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AFFLE/SE/ECT/Q2/2025-26 November 07, 2025

To

BSE Limited

Phiroze Jeejeebhoy Towers,

Dalal Street, Mumbai 400 001

Scrip Code: 542752 National Stock Exchange of India Ltd

Exchange Plaza, 5th Floor, Plot No. C-I, G Block,

Bandra Kurla Complex, Bandra (East), Mumbai

- 400 051

Symbol: AFFLE

Sub: Transcript of the Earnings Conference Call for the second quarter and half year ended September 30, 2025 conducted on November 03, 2025 at 10:00 AM (IST)

Dear Sir/ Madam,

Please find enclosed the detailed transcript of the Earnings Conference Call conducted on Monday, November 03, 2025 at 10:00 AM (IST) to discuss the results and developments for the second quarter and half year ended September 30, 2025.

The same is also available on the Company's website at <https://affle.com/investor-relations> .

Please note that the audio recording of the Earnings Conference Call was submitted vide our letter Affle/EC/2025-26/Q2 dated November 03, 2025.

Submitted for your information and records.

Thanking you,

Yours Faithfully,

For Affle 3i Limited

(Formerly known as Affle (India) Limited)

Parmita Choudhury

Company Secretary & Compliance Officer

This transcript has been edited to improve the readability

Affle 3i Limited

Q2 & H1 FY2026 Earnings Conference Call

November 03 , 2025

Management: 1) Mr. Anuj Khanna Sohum – Chairperson, Managing Director & Chief Executive Officer of Affle 3i Limited
2) Mr. Kapil Bhutani – Chief Financial & Operations Officer of Affle 3i Limited

Analyst: Mr. Ashwin Mehta – Ambit Capital

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Moderator: Ladies and gentlemen, good day and welcome to the Affle 3i Limited Q2 & H1 FY2026 Earnings Conference Call, hosted by Ambit Capital. As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal the operator by pressing “*” then “0” on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Ashwin Mehta from Ambit Capital.

Thank you and over to you Sir!

Ashwin Mehta : Thank you, Danish. Good morning, everyone. On behalf of Ambit Capital, we welcome you all to Q2 and H1 FY2026 Conference Call of Affle 3i Limited. I take this opportunity to welcome the management of Affle 3i Limited, represented by Mr. Anuj Khanna Sohum, who is the Chairperson, MD and CEO of the company; and Mr. Kapil Bhutani, who is the Chief Financial and Operations Officer of the company.

Before we begin with the discussion, I would like to remind you that some of the statements made in today's conference call may be forward -looking in nature and may involve some risks and uncertainties. Kindly refer to Slide 25 of the company's earnings presentation for a detailed disclaimer.

I will hand it over to Mr. Anuj Khanna Sohum for his opening remarks. Thanks, and over to you, Anuj.

Anuj Khanna Sohum : Thank you, Ashwin. Good morning everyone and thank you for joining the call today. I trust all of you are keeping in good health.

H1 FY2026 was a transformational period for us as we continued to progress on our Affle 3i vision with the goal to deliver 10X decadal growth. We outperformed both H1 as well as H2 of the previous year and are continuing to build on this momentum in FY2026.

In Q2 FY 2026, we exceeded all our performance benchmarks to record our highest -ever quarterly Revenue, EBITDA, PAT and conversions. We delivered revenue of INR 6,467 million, a growth of 19.1% y -o-y. Our focused execution on higher productivity and continuous innovations enabled us to achieve EBITDA of INR 1,461 million, a growth of 28.9% y -o-y and 172 basis points EBITDA margin expansion on a y -o-y basis. Notably, it marked our 6th consecutive quarter of sequential margin expansion and it resulted in 33.5% Affle 3i Limited

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y-o-y growth in our PBT from Operations (excluding the Other Income). We achieved highest -ever PAT of INR 1,105 million, a growth of 20.1% y -o-y. In terms of our CPCU business, we continue to operate from a position of strength both strategically and operationally. Our CPCU business drove 109 million conversions at a CPCU rate of INR 58.0 and we earned CPCU revenue of INR 6,319 million.

Beyond the numbers, we are inspired by the way we are achieving this growth, powered by innovation, intelligence and measurable impact for the

advertisers globally. Over the last few quarters, we have deepened the role of AI across our systems and operations. Our investments in intelligent technologies are scaling well with the recent launch and integration of Niko into our unified Consumer Platform Stack.

Niko is our specialized AI agentic capability designed to automate and drive ROI-driven growth advertising for marketers across the iOS ecosystem. Together with OpticksAI, our GenAI -powered creative engine, Niko adds a new dimension to how we advance AI automation and enhance efficiency of the mobile marketing ecosystem.

We continue to demonstrate strength across our markets. India and Global Emerging Markets together contributed 73.9% to our revenue and grew by 20.0% y-o-y. This growth was broad-based across our industry verticals, supported by strong pickup in digital ad spends due to the early festive season in India. The market tailwinds remain intact, reaffirming our positive outlook

for

for sustained growth momentum.

Our Developed Markets also delivered a resilient performance, growing 16.8% y-o-y and contributing 26.1% to our revenue. The growth was driven by deeper customer engagements and a steady expansion in new account additions, reflecting the effectiveness of our localised sales execution. While the overall trajectory remains positive, we saw a risk managed rollover of budgets from Q2 to the festive Q3 from a few customers in the US. We have a robust engagement pipeline for Q3 and we continue to unlock new avenues for expansion to strengthen our position as a privacy compliant, trusted and results-driven platform.

We were granted two new patents in US expanding our IP portfolio to 16 granted patents till date. The first patent titled "Method and system to encode user visibility count", leverages probabilistic encoding and

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algorithmic functions to estimate Ads exposure frequency, thus optimising computing requirements and improving user engagement rates. The second patent titled "Method and System for Hardware and Software Based User Identification for Advertisement Fraud Detection", enhances our fraud detection capabilities by analyzing plurality of hardware and software-level data in real time across connected devices. Together, these patents and our tech innovations continue to enhance our competitive moat and ability to deliver quality user conversions and measurable value for advertisers globally.

This quarter, we featured 3 customer approved case studies in our earnings presentation. The first case study highlights our full-funnel user engagement strategy for High-LTV new and existing user conversions for Fintech in India. The second highlights our capabilities in scaling the impact of CTV ads with mobile engagement and drive ROAS via cross-screen conversions for ecommerce in US. The third focuses on our multi-placement strategy with dynamic optimisations that significantly boosted purchases for a large omnichannel retail brand in Latam.

Affle continues to be recognized as a technology thought leader in the industry. Our platform was ranked as the fastest-growing and the second highest gainer in overall market share, ahead of several large global tech companies, in Singular's Q3 2025 trend report. We also received multiple accolades for our advancements in AI-driven marketing, automation and hyper-contextual creative intelligence at ET DigiPlus awards 2025.

Additionally, we were honoured with the 'Most effective use of AI & ML' and 'Proximity campaign of the year' awards at e4m IDMA 2025, along with many other recognitions across leading industry forums.

With that, I now hand over the discussion to our CFO - Kapil Bhutani, to discuss the financials. Thanks and over to you Kapil.

Kapil Bhutani: Thank you Anuj. Wishing everyone a good day and hope all of you are keeping safe and well.

We continued our positive growth trajectory of the previous quarters, as it marked our 10th consecutive quarter of sequential topline & EBITDA growth and 6th consecutive quarter of EBITDA margin expansion.

Beginning with highlights of our key performance metrics on a consolidated basis — We delivered y-o-y growth of 19.1% in our Revenue from operations, Affle 3i Limited
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28.9% growth in EBITDA, 33.5% growth in PBT from Operations (excluding the Other Income), and 20.1% growth in PAT. This was driven by broad -based momentum across industry verticals and markets, further supported by early onset of the festive season in India.

We concluded Q2 FY2026 at a consolidated revenue of INR 6,467 million , delivering a sequential growth of 4.2%. In H1 FY2026, we recorded revenue of INR 12,675 million and it was a balanced performance across the two quarters.

On a standalone basis, India revenue grew by 24.8% y-o-y and 10.5% q-o-q, while on an adjusted basis

, the growth stood at 26.3% y-o-y marked by allocation of budgets in Q2 for the festive season this year.

We continue to enhance productivity by scaling our platform operations and strengthening Affle AI capabilities. These initiatives, combined with sustainable revenue growth, have significantly strengthened our operating fundamentals.

As a result, EBITDA for the quarter stood at INR 1,461 million , an increase of 4.6% sequentially. We achieved an EBITDA margin of 22.6% . In H1 FY2026, our EBITDA increased by 31.2% y-o-y, as we achieved INR 2,858 million . EBITDA margin stood at 22.6% .

On Opex, our Inventory and Data Cost stood at 61.2% of revenue from operations and it was broadly in line with our past quarterly trends.

Employee costs increased by 3.7% sequentially, which was lower than our topline growth, as we continued to invest in intelligent automation aimed at enhancing overall productivity.

Other expenses stood at 6.4% of our revenues, declining by INR 7.4 million on a sequential basis and almost same on a y-o-y basis. Even with the increase in additional provisions for trade receivables from Real Money Gaming (RMG) clients in India, the normalization in other expenses is attributed to the other discretionary and miscellaneous expense categories, including that of marketing & business promotion activities.

We achieved a Profit Before Tax (PBT) of INR 1,353 million , reflecting a growth of 19.2% y-o-y and 4.8% q-o-q. Our underlying growth for both Q1 and Q2 is even stronger, if you exclude the other income and evaluate our core operating performance.

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Our Profit After Tax for the quarter was INR 1,105 million , marking an increase of 20.1% y-o-y and 4.8% q-o-q. Our PAT margin improved to 16.5% of the Total revenue, up from 16.1% in Q2 last year. Our PAT increased by 21.0% in H1 FY2026 with a margin expansion of 53 basis points.

We continue to prioritize efficient working capital management and as such there were no material changes in the collection risk for all other verticals excepting the RMG vertical in India.

Our disciplined financial management, supported by a healthy balance sheet and robust operating cash flows, provides a strong foundation for capturing emerging opportunities and driving sustainable growth through FY2026 and beyond.

With this, I end our presentation. Let us please open the floor for Questions.

Moderator: Thank you, sir. We will now begin with the question and answer session.

Ashwin Mehta: Anuj congrats on a steady performance. Despite the fact that we had the Real Money Gaming (RMG) issues this quarter, we saw almost 25% growth in India. I wanted to get a sense in terms of what was the impact of the RMG issue? Are there any residual impacts left? What was the offset in terms of driving such a strong growth? Secondly, given that this time Diwali was a little earlier, so any early signs in terms of how the festive demand is shaping up?

Anuj Khanna Sohum : The RMG issue did impact in this quarter, but that was offset by better and early demand because of Diwali being early this time. We saw a lot of the advertisers increasing their campaign budget spending earlier in the month of September. We saw a benefit from that and it neutralized the impact of the RMG issue for the last quarter.

Of course, there will be some carry -forward effect because the RMG issue continues now into this quarter as well. Having said that, given the fact that the festive budgets came in a bit earlier, we saw a more resilient growth performance in line with our expectations for the Indian market. Overall, we had a steady outcome.

We are fairly confident that we should have a reasonably good quarter in Q3, given the fact that we already have in hand all the pipeline of the budgets for the festive quarter.

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We are keeping a clean and carefully calibr

ated check on any impact of RMG,

which was already known through the last quarter. We have upped our sales efforts and pipelines in other verticals. Hence, we should be all right. But yes, there is some impact of the RMG issue, which is known to all of us.

Ashwin Mehta: Sure, Anuj. One question on the developed market side, you did talk about some rollover of the budgets from Q2 to Q3. What exactly are we seeing there? Any impact of the tariff or the uncertainty that's been there around the Trump tariffs, their policies or demand in the developed market? How are we seeing that shape up?

Anuj Khanna Sohum : For us, we haven't seen any reduction in budgets due to any tariff issues at the moment. What we have seen though, is that some of the advertisers were more careful and they wanted to increase their budgets in Q3, which is a festive quarter versus spending more during the previous quarter (Q2) because of the uncertainty around tariffs. They didn't reduce the budgets, but they did typical optimization. Instead of spending it in September quarter , they are looking to spend a bit more in December quarter .

In Q3, our pipeline for developed markets is resilient and stronger versus the last quarter . The festive quarter in developed markets should be stronger than what we have seen in Q2 . We are seeing some of the budgets moving there, but that's more of risk-managed calibration of some of the marketing budgets being planned by the advertising teams of our customers.

Moderator: Our next question comes from the line of Deep Shah from B&K Securities.

Deep Shah: The first question is on the revenue split. After, I think, about 7 quarters, we have seen non -CPCU revenue again at roughly INR 15 crores. Is this a one - time project or did a client want something non -CPCU? Because directionally, we have been focusing only on the CPCU side. Some clarity here could be useful.

Anuj Khanna Sohum : That's correct. CPCU is the anchoring segment that we are pushing for and non-CPCU is anything that is outside a conversion -driven campaign. There could be instances where we would do certain licensing deals with certain customers. There would be cases where we are doing a branding campaign where the customer is not necessarily yet graduated to sharing deeper conversion funnel details. There could also be instances where we onboard a customer, an agency or a partner to come on to our platforms, using licensing

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or brand ing campaign methodologies. Even there, our goal is clearly to transform them going forward into CPCU business.

You can think of it as a feeding mechanism. Some of the customers would come in, in a certain form, in a non -CPCU format. But we are always graduating them upwards, doing deeper tech integrations with them to get them to the CPCU format . As you would note in the CTV case studies , even if it is a branding campaign where we are showing ads on a larger screen , we are able to link it back to mobile and drive conversions from it. We have the

capability today to go to our customers and get branding budgets for them, but then transform that into a performance CPCU kind of metrics.

In certain instances, it would be a scenario where for certain customers, it may take a bit longer and therefore, it starts as a non -CPCU and then hopefully graduates into a CPCU format as we do deeper integrations and make them more comfortable with that.

Deep Shah: Perfect. This is useful. The second question is for Kapil. We have seen now 6-7 quarters of margin improvements. This time also, we have seen some improvement despite some provisions that we would had to take. So , 2 sub - parts here. First, if you could quantify if that's material enough or if you could quantify the provisioning?

Second ly, what part of it do you think is actually due to operating leverage, because we also saw some cost rati

onalization that you spoke about in the

opening remarks? Is all of that sustainable? Is it all operationally driven? If you could give some idea around this, it will be helpful.

Kapil Bhutani: The additional provisioning effect can be quantified as close to about 0.5% of our Revenue from operations (this statement has been corrected to address an inadvertent error made during the earnings call), which is an additional provision for the RMG collections and has been reviewed by our statutory auditors. Based on the current assessment, it will be an ongoing assessment in the next quarter as well. With regards to the operational efficiencies , we have been spending on marketing efforts for the last 4 quarters on a regular basis and we have taken a certain pause on our marketing and activities for this quarter.

With regards to other efficiencies, we have not increased the number of employees. But certain employees this quarter have earned their variables this quarter , so you saw an increase. But otherwise, we are not increasing

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our Opex and the margin at these levels should be sustainable for the medium term.

Moderator: Our next question comes from the line of Arun Prasath from Avendus Spark.

Arun Prasath: I think we have now been fairly delivering consistent growth of roughly 20%, which is aligned with our long -term projections. Is there still a case for going after some of the other businesses, which may not be as profitable as at the current margins, but maybe by diluting some margins, we can deliver better growth? Thereby, the margins might be lower, but overall, that will deliver better value to the shareholders. Is t here any case for us to go for this?

Anuj Khanna Sohum : Arun, thanks for your question. It is definitely a resilient performance, giving approximately 20% growth on a y-o-y basis consistently. It is not just a growth in terms of the revenue numbers and we have always mentioned that we are a margin -sensitive, bottom -line aggressive company.

Even the targets for the sales teams or the business heads across all markets carry two functions: revenue growth, which is sales, as well as margin expansion . The whole organization is run in a certain fashion. To deviate from that to incentivize the team to go for slightly lower margin businesses or just get the numbers in, would be an unnecessary step to undertake at this moment.

We are seeing a sensible amount of growth coming from the higher profit pool, positioning ourselves as a premium platform, getting high lifetime value users, both new and existing user conversions for our customers. I believe that positioning is way more premium positioning and being able to say no to certain revenues, which are of a lower margin or a lower profile, augurs well with our competitive moat.

Are we leaving something behind on the table for other competitors to take up that business and challenge us in the future? We don't think so. On the contrary, when these advertisers graduate to say that, okay, we have got a certain base of users, now please help us to get to more premium or higher - value users, then they would necessarily come to us.

The positioning of our platform and our company as a premium platform for our advertisers is a n important external message to our customers and profiling of our compan y. Internally as well , it builds organizational pride and

alignment , that let's not just chase revenue growth, let's go very clear. We have to get revenue growth aggressively , but as long as we are getting about Affle 3i Limited
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20% y-o-y growth and we are able to then expand our margins, that is the right way to grow and the right way to build the company . We don't want to tamper with the organizational DNA at this moment. For the near term, you would see our focus would continue to be at this level of growth while

doing

consistent, sensible margin expansion.

Arun Prasath: Right , clear. Secondly, on the available cash, we spoke about inorganic or strategic acquisition and you also indicated that, as and when the time is right and the price is right, you will go for it. Do you feel that we still have a lot of opportunity on the table to utilize this cash and deploy , and take our business to the next level? Or do you feel that currently, you still want to wait and watch and the valuation is a bigger concern hence, you will wait for an opportune time? How should we look at your inorganic growth ambitions?

Anuj Khanna Sohumi : We have maintained all along that we are a single cash -generating business unit, really focused on the consumer platform business. Even our acquisition approach has been largely expanding that particular business case rather than hedging or shifting into any other adjacencies. We have looked at both horizontal and vertical integration within the consumer platform ecosystem. We have a pipeline or evaluation list of around 10 companies that we are actively evaluating at the investment committee level. We would necessarily look at the right timing, not only in the sense of valuation, but also in terms of where those target companies are in their journey. There are times when they are in the right mindset to become part of another company, and there are times when they are not .

We are assessing all of that for those 10 companies that are on our active evaluation list. That should tell you that there are sufficient M&A opportunities on an immediate basis into the mid -term future. We will be extremely selective and careful .

We did our last M&A about 2 years ago , so I think it's about time that we would be considering actively what we can pursue with the right valuation and the right kind of DNA match with our company in the next coming quarters. We will also be evaluating these opportunities over a mid -term basis because we see ourselves doing an acquisition maybe one a year or one every 2 years over a period of time . That's the kind of modus operandi for our company.

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You can see the track record of how we have done M&As responsibly with a clear transformational thesis that if we are acquiring something, how will we transform it to a higher calibration of growth or higher margin profile. Those are the kind of elements that we are building our own conviction around.

Once we are convinced that we have the right valuation for a target company and that we can take over their operations sensibly, then we have a clear time-bound thesis on how we will transform that company into a more profitable or more valuable company than what we will acquire it for.

We are building that conviction around a few and we are actively assessing these opportunities. If anything matures and a deal were to happen, we will do the appropriate disclosures.

Arun Prasath: Just to be clear, all these 10 names that you have in the pipeline, which matches our DNA, which we like, probably valuation is what we are trying to fine-tune. Is it the right understanding?

Anuj Khanna Sohumi : The right way to say it is that for these 10 potential targets, early evaluation is ongoing before we get into deeper details of what's happening internally in their business and what's the strength of their tech and so on. We are at an early level of diligence, and we can say that these target companies are in the courtship period .

The courtship period is where you are actively engaging with these candidates and evaluating them for a long period of time. It's not going to be the case where we met a company and we will do a transaction immediately. It's a prolonged process.

If you look at our past disclosures for any acquisition that we have done, we have always highlighted that we were engaging with all those companies

for

many years before reaching the term sheet or the conclusion of a transaction.

Hence this is a long-drawn process. It is not a speed dating process that where you met someone and you quickly thought, let's just do a deal.

We try to get to know the companies rather deeply over a long, prolonged period of time. If we find the right valuation and timing, we will do the transaction. I wouldn't just say that it's pegged on valuation negotiation.

There are many different aspects of evaluation.

Moderator: Our next question comes from the line of Swapnil Potdukhe from JM Financial Services Limited.

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Swapnil Potdukhe: I have a couple of questions. The first one is on your depreciation and amortization. It seems that there was a sharp quarterly increase in your D&A.

Can you help us understand why such a big increase was there this quarter?

What is your accounting policy when it comes to capitalization of certain costs related to R&D?

Kapil Bhutani: If you see our Q2 results every year, you would see this historical trend. It's because certain portions of the newer tech get capitalized and put to use during the Q2 period. There is an incremental shift of work-in-progress to the actual capitalization. Thus, this quarter has a higher depreciation every year. It is in line with the trend.

With regards to our amortization policy, we have a 4-year amortization policy for the tech that has been capitalized. It is consistent. The capitalization is done by separate teams and identified in accordance with the accounting standards. Basically, the development efforts for developing the newer modules is capitalized. The research phase is not capitalized, nor are any technical feasibility efforts.

Swapnil Potdukhe: Got it. The second question is with respect to your growth guidance.

Historically, we have been talking about 20% plus revenue growth. Now we have been slightly off for the last 3 quarters on that side.

I understand that there are going to be some one-offs here and there, so a slight bit of your number is okay. What I am trying to understand here is during the last 3-4 quarters, our growth was primarily led by developed markets, which in this quarter, was by Indian markets, possibly because of the early festivities this time around?

How confident are we of delivering 20% growth this year and possibly next year as well, given that the mix suggests that we are slightly moving towards a high-teens kind of growth rate gradually?

Kapil Bhutani: This year has been marked by 2 large events - one in India, of the RMG ban and the second is the US tariff uncertainty. Despite that, we have navigated well. Our 19% growth is close to our stated estimates.

We are confident that barring 1 or 2 quarters, we will be able to deliver the stated growth potential, which we have been consistently maintaining. With regards to move on the spending side, given the inflation risk in the developed markets currently, the budget allocation comes a little tighter based on uncertainties. However, there was a direct impact of the sudden

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ban on RMG in India and that would take about a quarter or two to recover that loss of about 2.5% of our top line on a consolidated basis.

Swapnil Potdukhe: Does that mean that we are still maintaining that 20% guidance for FY2026?

We are confident of delivering on it.

Kapil Bhutani: Our guidance has not been year to year. Our guidance has always been

medium term.

Moderator: Our next question comes from the line of Rahul Jain from Dolat Capital.

Rahul Jain: I have 2 questions. Firstly, Anuj, we have seen some large DSP reporting lower CPMs. Are we seeing such a trend in our procurement? What is the potential leverage we might see in our inventory and data cost in the short to medium term?

Anuj Khanna Sohum : The way we

look at our business is that we have the CPCU performance - driven value -based pricing business model versus the larger DSP that you are talking about, which is largely perhaps in the business of selling CPMs and taking some take -rate on top of that. Their business is to sell impressions and our business on the other hand, is to buy impressions in the market and sell conversions .

I have maintained all along that there's a significantly larger number of consumers on connected devices and the amount of time people are spending on connected devices leads to a huge volume of supply of impressions. Consequently, it is not a surprise that supply is increasing on digital and people's time on the devices are increasing so much that it is outpacing the growth in the advertising spend .

One could therefore see that the commodity or the raw material of our industry, the impressions , will become cheaper. But then, within those impressions, there will be more premium users , more premium devices, more premium placements. If you focus a lot more on iOS, higher -end touch points or higher -value consumers, then one would still be willing to pay a more premium CPM for that.

We are seeing consistent improvement in our ability to charge advertisers. If you see our trend, CPCU pricing has been increasing consistently ever since we have been reporting it as a public company.

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I don't remember any quarter where our CPCU pricing would have seen any kind of a dip. It's a consistent movement upwards. Our volume of business is increasing with the advertisers. Our unit economics, or what we are charging per conversion , is also increasing consistently because we are able to demonstrate to our advertisers that in this ecosystem, we are delivering higher value users and higher value conversions to them and that we are a more premium platform.

In terms of our own margin profile and margin expansion , there are certain factors to it. One is in data and inventory cost, what efficiencies we can drive with our algorithms. Second is in terms of the overall scale -up opportunities where margin expansion would necessarily happen because we are a tech platform company and our Opex doesn't increase as much as our growth in the revenues. We don't necessarily have to add more people to support a greater volume of revenue. We are focused on enhanced AI -based productivity and a lot more automation.

Our goal is to continue to improve our pricing for our customers and give them higher value. In the process, if we pass some of that back on to the supply side by going more premium, that is helping us increase our competitive moat.

Rahul Jain: That's pretty helpful. Just one bit for Kapil. I think you mentioned that there was some moderation in business promotion expense. What was the quantum, if you could share? What's your annual plan on the same?

Kapil Bhutani: You can say that there was moderation of about USD 0.5 million on the business promotion expenses this quarter . (this statement has been corrected to address an inadvertent error made during the earnings call) .

Rahul Jain: For the full year, what is the budget that we have for this segment?

Kapil Bhutani: On a full -year basis, the budget remains intact. This is the time period where you decide which events you are going to, which events you are sponsoring.

At the moment, we believe that we had to take a pause for this quarter and put in the best foot forward for the next quarter, which is the festive season in the international market.

Moderator: Our next question comes from the line of Nishita Shanklesha from Sapphire Capital.

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Nishita Shanklesha: I am analysing the company for the first time so I wanted to have a better understanding of the CPCU business model that you have. If you can explain it to me?

Anuj Khanna S

ohum : If you look at the earnings presentation, you will find certain information points that will help you grasp that the CPCU business model . You would see that the math of our revenue is basically the number of conversions in millions times the average cost per converted user. CPCU is the cost per converted user. The 2 drivers of our CPCU business model are number of conversions and the average CPCU rate we can charge to an advertiser. In terms of number of conversions, as a consumer platform company, we are looking at how many users are actually transacting users through their connected devices with the advertisers . In that universe of conversions, there will be new user conversions, existing user conversions, conversions where you show an ad to a user either on a CTV and drive a conversion on mobile or you show an ad on a mobile but drive a conversion event even in a physical offline location based on proximity campaigns. There could be 3 types of conversions. Those use cases are also defined in one of the earnings presentation slides. If you were to refer to that, it talks about new user conversions, repeat user conversions as well as online to offline conversions. What is happening from a broad -based trend line, Nishita, for you to model this, is that the number of people who are now online is increasing. The number of connected devices is increasing. The average time spent on digital and online is increasing. The volume of transactions that consumers are doing online is increasing and the average price of those transactions is also increasing.

Consequently, in Q2 , we delivered approximately 109 million conversions. Affle is able to command an average CPCU rate of about INR 58 per conversion across the board.

Our goal is to then tell the advertisers that these conversions are actually worth that much or even worth a lot more for the advertiser. Advertisers can derive value from that conversion over the lifetime of these users, and therefore, they are willing to pay us this amount and seeing a good value creation for them.

The CPCU business model is basically the highest level in terms of where you go to an advertiser and say that, hey, Mr. Advertiser, you don't have to pay

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for showing your ads or the clicks on those ads, but you only pay us once we drive a deeper funnel conversion from this consumer on your own app or your own stores . We are helping the advertiser to see a lot more clarity in terms of return on investment. Hence they are investing an x amount with us. In a way, Affle is stepping into a business model where, instead of cost plus pricing, we are charging on a per conversion basis / on completion of certain pre-defined milestones .

The question from Rahul was about a larger DSP selling at lower CPMs because their business is to bring advertisers on to their platform and make them buy impressions and pay for that . Our approach is different.

We are going to the advertiser and asking what is your KPI for conversions. We will work on the campaign on that basis. If we hit your KPI, you pay us. If we don't hit your KPI, you don't pay us. Affle is taking the risk of buying the impressions, running the campaigns, processing all the algorithms and data. If we don't deliver on the KPI, we don't get paid. But if we deliver on the KPI, we get paid on a CPCU basis, which is a value -based pricing versus a cost plus pricing. So , in a short way, I have tried to explain to you and I have given you some references to our earnings presentation, if you can see those, and that will help you to tie this up.

Kapil Bhutani: Also, you may get in touch with our IR team for a short session.

Nishita Shanklesha: I had a follow-up question. In the existing user repeat conversion in the slide, that's the second way that you can generate revenue. Every time a user transacts, every time you

you get the CPM or every time that conversion rate is counted?

Anuj Khanna Sohum : How it works is that a campaign can be run for getting new users, which is market share expansion for an advertiser. There could also be scenarios where the advertiser has already converted the user through our platform for them, but the user may not be transacting enough with that advertiser. Let's take an example, you have downloaded an app, you have registered and you have done your first purchase on that app. But then, somewhere along the way, you are doing many other things and you don't go back to that app as much. The advertiser knows you as an existing user but is not yet satisfied with the frequency or the average value of transactions that you are doing with them. They may come back with a campaign to our platform, saying

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that, hey, could you get some repeat conversions from these existing users that you have already got for us?

Our company would then run the campaign and make sure that we drive some incremental conversions or repeat conversions. As we drive those conversions, we can earn revenue against that. That's how this approach works.

It goes through the full funnel, from a new user coming into the advertisers ecosystem to driving repeat conversions from those users to then not just driving conversions online, but getting users to also engage with the off line storefronts of these advertisers because in marketing, the most valuable user for an advertiser is one that buys from them not just once, but many times and also through many touch points.

The user who buys from an advertiser's own app is a valuable user. The same user, if they also buy the same advertiser's product from a marketplace like an e-commerce marketplace and that same user also goes into a physical mall and walks into the store of that advertiser and buys in a physical engagement, that kind of user is seen as the most loyal user for the advertiser to maximize the lifetime value. If we get this kind of users for the advertisers, we can command a much higher pricing.

Moderator: Our next question comes from the line of Lokesh Manik from Vallum Capital.

Lokesh Manik: Anuj, my question was on Niko acquisition and integration. You spoke about it briefly in your remarks. If you can please share little more details from perspective of whether it helps us in the back end in terms of optimization of cost and placements, or on the front end on the conversion side or from a perspective of geography, whether it helps us better in developed markets versus emerging markets. Also, is it capable of transitioning from iOS to Android? Is it possible that we do something on Android in the future? Please provide a little more detail on that since it was very brief.

Anuj Khanna Sohum : Sure. Niko is not an acquisition, it's an organically developed capability, which is our AI agentic capability. You would note that our company has, for many years, been filing and being awarded patents in the areas of AI. We have also been filing patents in the areas of agentic AI capabilities in the context of ad tech for many years. We are forward ready and forward-looking.

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In terms of our IP strategy and product strategy, we are clearly covering the ground well and executing & demonstrating not just intellectual property, but also demonstrating impact of that in the form of products consistently being rolled out, whether it was OpticksAI earlier this year or now it is Niko being rolled out, fully integrated as part of a unified consumer platform stack.

We have started rolling it out as an ROI-driven growth engine for the iOS

ecosystem. Together with OpticksAI, it makes perfect sense to do that, and it's being rolled out not only in developed markets, but also in emerging markets. In terms of capability, Niko eng

ages with our customers as an agentic AI capability and also runs internal campaign automation and optimization in tandem with how our teams would be doing it . Niko is enhancing the human intelligence of our teams to deliver an overall much greater impact .

If we take on a campaign and we optimize for greater ROI or lifetime value users, the algorithms are moving faster and are delivering much greater ROI impact for the advertisers in a shorter time, with the productivity of our own workforce getting significantly enhanced. Now we can handle hundreds of more customers and campaigns and deliver ROI in a much shorter time because of these capabilities and automation layers being added into our platform.

Further, in terms of expanding that to beyond iOS to Android and other devices, it's certainly a work in progress and we are actively pursuing that agenda. We may not necessarily call it Niko, but there are several other agentic AI capabilities that are already transforming the initiatives. We just decided to unveil and talk about Niko and OpticksAI is another example of it . We have already mentioned that we are powering a lot of efforts across the board in our organization to enhance the productivity of what we are doing, as well as the higher ROI for the advertisers based on what we are doing, using intelligent technologies across the board.

Lokesh Manik: Great. My second question, Anuj, is to understand the penetration of these capabilities, Opticks AI and Niko. Today, from a rough ballpark percentage perspective, out of 100 campaigns, in how many campaigns would these be penetrated? Secondly, you mentioned that the ad budgets of advertisers are not growing as fast as the supply side is growing. From that perspective, is Affle 3i Limited

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there a ceiling with these new capabilities, at least with the existing customers?

I am sure you can use this to acquire new campaigns and new customers, but in terms of increasing wallet share with the existing customers, the ad budgets have to increase significantly. Is there some headwind you see on that side?

Anuj Khanna Sohum : I will take the second question first. This is not a case of headwind. This is a simple economic problem . If the supply is increasing and we are selling raw material of that supply , the price would go down. But if the supply is increasing, that makes the job of finding conversions within that increased base of users even harder .

For example, in India you have close to 1 billion connected devices now. Out of those nearly a billion connected devices, high-lifetime -value transacting consumers are only about 100 million, versus those 100 million were already online earlier when there were 600 million devices as well. The number of devices has now increased. It is going to be harder to go and filter out through that larger ocean of traffic to go deep down and find those conversions. Essentially, what we are saying is that for premium conversions, the CPCU or conversion -led business model, we have the ability to charge higher because of the simple economics of it . At the same time, we have the ability to run our algorithms more efficiently and take supply for the same amount of money that we spend on data and inventory costs . We can consume a lot more supply and process that efficiently and deepen our intelligence about the overall market base of consumers.

What I was explaining to you was actually better tailwind for our business because supply is getting cheaper and therefore there is a case for an internal bigger tech stack platform like Affle, which is processing this larger supply more efficiently to find the conversions, which has now become a harder problem because you have to find those conversions with a larger pool of devices , with a lot more supply to be processed and dealt with.

If our tech stack is run efficiently and sensibly,

we should be able to consume the same amount of data and inventory costs, a lot more supply process, a lot more device intelligence, and be able to charge the advertisers per conversion a slightly higher price for CPCU. It's not a case of a headwind.

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It's a clear case of tailwinds & support and it's a simple case of an economic problem where the demand is getting harder to execute on and the supply is increasing and therefore you have supply available at a cheaper price. But to find those conversions, you have to do a lot more efficient work with the technology because you are processing a lot more data and a lot more impressions to deal with that.

In terms of penetration, I can say that AI automation, not limited to the examples of Niko or OpticksAI , has penetrated 80% plus of our activity across the company . I am not just talking about campaigns , I am talking about 80% of all activity across the board in the organization is being powered, enhanced and augmented by intelligent AI agents being deployed across the board, across all functions in the organization and certainly with respect to the advertiser campaigns.

Moderator: Our next question comes from the line of Samarth Patel from Equirus Securities.

Samarth Patel: I have a couple of questions. First question is, what is the current margin mix between India and emerging markets and developed markets? Where do you see more room for structural improvement? Any flavour on that would be really helpful.

Anuj Khanna Sohum : We report India on a stand -alone basis as well, so you can derive it from there. What's important is to see that India is our most significant and largest important market. It is home ground. This is where we are listed , this is where we have the highest number of employees and this is absolutely the anchor market for us. Therefore, doing well in India is a strategic number one priority.

In terms of other emerging markets around the world, they behave in a similar fashion to how India does in terms of the demographic profile of consumers. Lots of consumers in Indonesia, Southeast Asian emerging markets, Latin American markets and even Middle East and Africa markets, you see a huge number of users and devices but a very small percentage of them being high -value, high -lifetime -value users for the advertisers. Therefore , there is a need for a strong tech platform that can efficiently deal with this humongous number of users - over 3.8 billion connected devices globally , is what we are reach out to as reported in our earnings presentation.

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Then going through that on a recurrent basis, efficiently processing all of that data with tens and thousands of servers in the cloud and yet delivering the kind of conversion volumes that we are delivering, charging appropriately for it with the advertisers and extracting around 22.6% EBITDA that you saw in the last quarter. This is a phenomenal execution efficiency that is being demonstrated with over 73% being anchored in India and emerging markets. Most of us would understand that emerging markets compared to developed markets, have different unit economics. With the amount of data that we are processing , we are doing a lot of heavy lifting in emerging markets and getting paid at a very tough unit economic s calibration of the advertisers. Thus, about 73% business being in emerging markets is a competitive moat, which I think only a few companies in the world in ad tech can match against. If you look at any other ad tech company in the world, which has either been publicly listed anywhere in the world or has access to significant private capital in its journey, all of them would be over 80% calibrated on developed markets. Even within those developed markets, 90% odd business that they get, would be from the gaming vertica

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Whereas Affle is anchored in India on a very broad base of verticals across

categories EFGH. Then we have taken our moat that we have learned with our technology efficiencies in India , to expand into all other global emerging markets, together contributing about 73% of our revenue.

We have taken that moat to developed markets and that's contributing about 26%-27% of our revenue on average on the trend lines that you see in the recent quarters. Essentially, we have owned our tech competencies and competitive moat out of India and other emerging markets and now we are demonstrating that execution in developed markets as well.

Samarth Patel: My second question is, with 25% of our revenue coming via agencies and the broader AI -led disruption of the agency model, how should we think about our direct client and agency mix and ultimately, the wallet share outlook there?

Anuj Khanna Sohum : Working with the advertiser or an agency appointed by an advertiser, we see it as an advertiser's decision. As far as we are concerned, we are seeing the agencies the same as we see the direct advertisers. They are being served with the highest level of regard and loyalty. We are not influencing anything with respect to whether we go through an agency or direct .

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The advertisers who have their in -house teams are happy to work with our platform directly. There are also certain advertisers who have in -house teams, but due to global mandates or otherwise, have decided that they must work through an agency. We respect that decision, and we work through those agencies with them.

But at all points in time, our systems are deeply integrated to do the data exchange directly with the advertisers end systems . Because when we drive a conversion for an advertiser, we must get the appropriate data confirmations and integrations with them directly. Even in the scenario where we are working with the agencies for about 25% of our revenues, we are very much in a technology integration contract with the end advertiser as well.

We are ready to deal with all scenarios of how the world will evolve. I believe the agencies will continue to command at least 25% of the spend. I am not talking about 25% of our revenue , but generally, if there's a total ad spend in the market, you would see that the agencies will still play a meaningful role for many years to come. Their role is becoming less important and is being questioned, but I think they have a role to play for many years to come.

Moderator: Our next question comes from Mr. Sanjay Ladha from Bastion Research. Mr.

Sanjay, may you please proceed with the question, and we will be taking only one question in the interest of time. Thank you so much.

Sanjay Ladha: Congratulations on the consistent q-o-q performance . I wanted to know what our repeat customer rate is. As for the advertisers, what are the converted users. My sense is that every year, or from their advertisement budget, we should gain the wallet share. If you can highlight or talk about it with an example. I know it's happening over time. Therefore, we see 20% plus kind of growth. But if you can quantify in the numbers as well.

Anuj Khanna Sohum : Well, thanks for your question, Sanjay. Our growth comes from 3 broad dimensions, and that is existing customers spending more, new customers coming in and spending with us and then there is also a dimension of us going into new markets because we are a global platform and a global company. To do such business in a new country, we don't necessarily need to go and register an entity or hire a team and then get revenues from there.

We have the capability today to remotely serve countries where we are not even present and our platform would work wonderfully. Thus, there are 3

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dimensions of growth: existing customers spending more; new cu

stomers

coming in – in the existing markets; new customers coming in - in new markets.

I think this provides a broad basis of growth across verticals. You would find that in all our disclosures, we take a lot of pride in saying that we are a broad-based growth company and broad-based across verticals, across geographies.

That gives us a rich mix as well as makes us a naturally hedged organization. If suddenly fintech has an issue in some market, or education tech has some issue in some market, or gaming has some issue in some market, there are natural balances to this kind of particular vertical or a particular market-related turbulence in our businesses.

Would I be able to slice and dice for you more and say how much of the growth is coming from existing customers, in which markets, versus new customers, in which markets or new markets? I think for competitive reasons, our Board would want to remain a bit more broad-based in our discourse. But you should be looking at it in a way that our company has shown a lot of strength in terms of negotiating power with our customers.

As the volume of business is growing, we are not letting that impact our price. Now in most business models, if a customer is spending a lot more with you, they would ask for a discount or reduced pricing. We have the leverage because we are saying that we are not going to compromise on pricing. If you don't want to spend double, spend less. I have many more customers who are willing to put in the budgets to take conversions in your vertical.

We have the ability to ensure that we are growing without taking any subsidy effect on our pricing or taking any impact on our margins. We are expanding margins and growing and that's showing a strong competitive advantage as well as negotiating power in the ecosystem.

Ashwin Mehta: Ladies and gentlemen, due to time constraints, that was the last question for today. I now hand the conference over to the management for the closing comments.

Anuj Khanna Sohum : Thank you very much for all your questions. They were insightful and I hope that the responses were satisfactory.

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We continue to be aggressive about our growth and about our margin expansion, independent of any quarter-on-quarter fluctuations with respect to an early festive season, the RMG issue in India or any budgets moving from Q2 to Q3 in developed markets.

These are market realities and we will navigate them as we go along, but with a broad-based growth, being naturally hedged and long-term growth minded. With that, thank you for being here today, and we look forward to our next interaction. Thank you.

Moderator: Thank you, sir. On behalf of Affle 3i Limited, that concludes this conference.

Thank you for joining us and you may now disconnect your lines.

*** end ***

Call: Nov 2025

Affle (India) Limited

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AIL/SE/ ECT/Q2/2024-25 November 18, 2024

To

BSE Limited

Phiroze J eejeebhoy Tower s,

Dalal Street, Mumbai 400 001

Scrip Code: 542752 National Stock Exchange of India Ltd

Exchange Plaza, 5th Floor, Plot No. C -I, G Block,

Bandra Kurla Complex, Bandra (East), Mumbai

- 400 051

Symbol: AFFLE

Sub: Transcript of the Earnings Conference Call for the second quarter and half year ended

September 30, 2024 conducted on November 11, 2024 at 10:00AM IST

Dear Sir/ Madam,

Please find enclosed the detailed transcript of the Earnings Conference Call conducted on Monday, November 11, 2024 at 10:00AM IST to discuss the results and developments for the second quarter and half year ended September 30, 2024.

The same is also available on the Company's website at <https://affle.com/investor-relations>.

Please note that the audio recording of the Earnings Conference Call was submitted vide our letter

AIL/EC/2024-25/Q2 dated November 11, 2024.

Submitted for your information and records.

Thanking you,

Yours Faithfully,

For Affle (India) Limited

Parmita Choudhury

Company Secretary & Compliance Officer

This transcript has been edited to improve the readability

Affle (India) Limited

Q2 & H1 FY2025 Earnings Conference Call

November 11, 2024 at 10:00AM IST

Management: 1) Mr. Anuj Khanna Sohum – Managing Director & Chief Executive Officer of Affle (India) Limited
2) Mr. Kapil Bhutani – Chief Financial & Operations Officer of Affle (India) Limited

Analyst: Mr. Ashwin Mehta – Ambit Capital

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Moderator: Ladies and gentlemen, good day, and welcome to the Affle (India) Limited Q2 and H1 FY2025 Earnings Conference Call hosted by Ambit Capital. As a reminder, all participants' lines will be in the listen only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing '*', then '0' on your touchtone phone. Please note that this conference is being recorded. I now hand the conference over to Mr. Ashwin Mehta from Ambit Capital. Thank you, and over to you, sir.

Ashwin Mehta: Thank you, Neha. Good morning, everyone. On behalf of Ambit Capital, we welcome you all to the Q2 and H1 FY2025 conference call of Affle (India) Limited. I take this opportunity to welcome the management of Affle (India) Limited, represented by Mr. Anuj Khanna Sohum, who is the Managing Director and Chief Executive Officer of the company; and Mr. Kapil Bhutani, who is the Chief Financial and Operational Officer of the company.

Before we begin with the discussion, I would like to remind you that some of the statements made in today's conference call may be forward-looking and may involve some risks and uncertainties. Kindly refer to Slide 25 of company's earnings presentation for a detailed disclaimer.

I will hand it over to Anuj Khanna Sohum: for his opening remarks. Thanks, and over to you, Anuj.

Anuj Khanna Sohum: Thanks Ashwin. Good morning everyone and thank you for joining the call today. I trust all of you are keeping in good health.

In H1 FY2025, we delivered a landmark performance on all fronts. We outperformed H1 as well as H2 of FY 2024 and we are confidently on track to deliver 20%+ revenue growth in FY 2025 and even higher growth in terms of EBITDA and PAT this year.

In Q2 FY2025, we attained our highest quarterly revenue run rate, highest EBITDA, highest PAT and highest CPCU conversions. We continued to enhance our consumer-centric platform offerings to leverage synergies towards overall operating margin expansion. We delivered stronger than ever quarterly EBITDA of Rs. 1,133 million, a growth of 29.9% y-o-y with robust margin expansion.

We delivered a revenue growth of 25.9% y-o-y and a PAT growth of 37.7% y-o-y in Q2 FY25. Our CPCU business delivered about 95 million conversions during the Affle (India) Limited
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quarter, at a CPCU rate of Rs. 57.1 that helped us achieve a CPCU revenue of Rs. 5,416 million, an increase of 35.2% y-o-y and 4.6% q-o-q.

In terms of H1 FY2025, we achieved revenue growth of 26.8% y-o-y and PAT growth of 34.3% y-o-y. Overall for H1 our CPCU revenue increased by 36.1% y-o-y.

Our CPCU business continues to demonstrate strong growth underscoring the strength of our unified Affle2.0 Consumer Platform Stack fully powered by our ConvergeAI Supply Cloud. Together, it enables robust cross-platform efficiencies and elevates our ROI-driven CPCU use cases with strong competitive advantages.

With global digital spending continuously on the rise, we see significant opportunities across all our top verticals and key markets, driven by advertisers' increasing commitment to digital channels. India and Global Emerging Markets,

together contributed 73.4% to our revenue in Q2 FY2025, and grew by 25.3% y-o-y. Developed markets are also experiencing sustained growth momentum. In Q2 FY2025, we saw a robust growth of 27.5% y-o-y in Developed Markets, which contributed 26.6% to our quarterly revenues, affirming the impact of our strategic realignment and platform consolidation efforts achieved over the last few quarters. Our continued investments in technology and new product use cases are yielding positive results. As we expand our suite of Gen AI -powered capabilities, we are also strengthening our competitive moat through our com

prehensive patent portfolio.

During the quarter, we were granted two additional patents in the US related to 1) Enabling user interactions with live streams such as a podcast via machine learning; and 2) Optimizing user identification through IDs, thus enabling high -quality consumer engagements.

In line with our commitment to best -in-class ESG practices, Affle's subsidiaries have achieved ISO 27001:2022 certification underpinning our proactive implementation of robust data security controls and excellence in our Information Security Management System. We have also appointed one new Independent Director to the Company's Board in India. With 3 of our 5 Independent Directors completing their tenure next year, we have ensured a phased transition plan to further strengthen our governance.

We continue to innovate and expand our tech offerings & use cases, consistently unlocking new client success stories. This time, we have included five case studies in our presentation. 3 of our case studies cover India, Brazil and Indonesia regions, highlighting our unique capabilities in scaling Fintech services across emerging

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markets. The other case studies highlight our success in driving increased e-commerce usage in the US through iOS SKAN -based optimizations and our global success in geo -targeting high -value gamers to drive conversions for gaming advertisers.

Our Affle2.0 Consumer Platform Stack continues to be recognized as the top performer and we recently won the Gold award across 'Mobile Marketing Platform' and 'E-commerce & Q-commerce' categories at the ET Brand Equity's Martech+ Awards 2024.

With that, I now hand over the discussion to our CFO - Kapil Bhutani, to discuss the financials. Thanks and over to you Kapil.

Kapil Bhutani: Thank you, Anuj. Season greetings to all. I hope all of you are keeping safe and well.

Continuing our strong business momentum, in Q2 FY2025, we delivered consolidated revenue of Rs. 5,429 million, a robust growth of 25.9% y-o-y and 4.5% q-o-q. It was a broad-based growth across industry verticals and across our markets. On a standalone basis, India grew by 31.6% y-o-y while on an adjusted basis, India growth was about 19% y-o-y.

EBITDA for the quarter stood at Rs. 1,133 million, an increase of 29.9% y-o-y. Our EBITDA margin was 20.9%, with an expansion of 65 basis points y-o-y and 76 basis points on a sequential basis. In H1 FY2025, our EBITDA increased by 31.8% y-o-y to Rs. 2,178 million with an EBITDA Margin of 20.5%.

In terms of Opex, our Inventory and Data Cost stood at 61.1% of the revenue from operations in this quarter, with a sequential reduction of 53 basis points while a marginal increase y-o-y, as we continue to calibrate our platform offerings on to premium inventories, touchpoints and deeper ecosystem -level partnerships in line with our discussion during previous earnings calls.

Our Employee cost declined by 3.3% q-o-q as our past investments in human resources coupled with integrated team strategies have continued to provide us efficiencies over the last three quarters, thus normalizing our human resource cost. Our Other Expenses stood at 7.6% of revenue versus 7.0% in Q1 last year, increasing primarily on account of our ongoing investments in business promotion activities & trade events participation, particularly required as we expand our product propositions as well as expand our footprint in newer geographies.

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We achieved a Profit Before Tax of Rs. 1,135 million in this quarter, an increase of 55.1% y-o-y and 6.5% sequentially.

Our Profit After Tax (PAT) for the quarter was at Rs. 920 million, marking an increase of 37.7% y-o-y and 6.2% sequentially.

Our Effective Tax Rate stood at 18.9% during this quarter which was in line sequentially. As guided in Q1 FY2025, we see this effective t

ax rate to be the

normalized tax rate for us.

Our Operating cashflows for H1 was Rs. 1,459 million, with an OCF -to-PAT ratio of 81.7%.

We continue to prioritize efficient working capital management and as such there were no material changes in the collection risk.

Our strategic investments in platforms, people and a healthy balance sheet have reinforced our competitive position, supported by strong cash flow generation and robust financial performance. As global digitalization accelerates, we are well - positioned to be sustaining our momentum through FY2025 and beyond.

With this, I end our presentation. Let us please open the floor for Questions.

Moderator: Thank you very much. We will now begin the question -and-answer session. The first question is from the line of Ashwin Mehta from Ambit Capital. Please go ahead.

Ashwin Mehta: Congrats for a good set of numbers. My first question is that we have seen equalization of growth in India , Emerging Markets along with the Developed Markets , which is positive. So qualitatively, if you could give us a sense of trends for India versus Emerging Markets ? Also, how are you seeing the holiday season panning out in H2 across geographies? Do you expect a similar seasonality in Q4 as we have historically seen or the pace of customer addition is strong enough for the seasonality to not necessarily be there?

Anuj Khanna Sohum: Thank you Ashwin. We have delivered all round performance in Q2 FY2025 , be it in India & Emerging Markets overall, as well as in Developed Markets . We remain confident over the long term in terms of sustainable growth momentum across all of our key regions. Especially for this financial year, I have in my commentary clearly mentioned that we expect strong profitable growth for the company, that is stronger than the revenue growth with margin expansion. Even on revenue side, over 20% growth for this whole financial year is where we are headed confidently and convincingly.

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With respect to the ongoing festive quarter, the month of October has already gone by where we saw a strong momentum . October, November, December is typically the best quarter of the financial year for us. Last year, we were able to beat our Q3 performance in Q4 and this year again, we are keeping similar outlook that we will have a strong Q3 as well as a robust Q4.

Hence , we are comfortable across all our key regions key verticals . It is a privileged position to be in, that we are a well hedged company with broad -based presence across global markets as well as within those markets , we have good number of verticals that we are addressing.

Ashwin Mehta: That is good to hear. My second question is broader in terms of the key GenAI trends that you see in advertising and how are we preparing for the same , because domains like personalization, content creation, data and insights, all have material implications from GenAI. It would be good to know of the steps that we are taking to be prepared for this ?

Anuj Khanna Sohum: Today, a lot of our product use cases have already incorporated GenAI capabilities , whether it is new gen use cases or creating vernacular content including vernacular ads, keyword recommendations, as well as helping the advertisers who may not have such vernacular capabilities to curate these assets , on the fly using GenAI . Our GenAI capabilities are already powering many of these use cases for the advertisers . We are also seeing a lot of GenAI implementation and optimization of our operating expense s as we don't have to increase our operating cost in line to the revenue growth . We will continue to have more productivity from our base of employees and that would lead to margin expansion as we go along. That is another area of positive impa

ct which we are seeing.

When we extrapolate this further into a longer -term vision of how in a GenAI world with all kinds of agents and bots , each one of us might have a personalized GenAI agent representing us as an authentic alter ego , helping us to do certain activities in the digital world on our behalf on an authentic delegation. We think that eventually household s will have their own agent, right from dealing with what the refrigerator might order for you or deal with other gadgets in the same household . Every corporation / individual will have a digital agent and a lot of these online interactions would happen between human to agents, agents to agents and so on. Now as far as one can intellectually map these possibilities, Affle within its context of digital advertising has deeply mapped these possibilities into the future. We have Affle (India) Limited
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built the road map of what we stand for and what we believe is the best way to curate this future . We have then distilled that into 15 unique intellectual property patent applications related to GenAI which we have already filed . We are clearly showing demonstrable steps to our shareholders that we are preparing forward, not only using GenAI today in our products, in use cases, bringing it to the advertisers, but also using it deeply in our operations and enhancing productivity of o ur teams . We are also providing a much longer term, like a 5 -year forward road map to what all could happen here . Are we prepared , are we thinking ahead ? The answer lies in our patent portfolio. Some of the clues you can find from there as tod what Affle is thinking and planning for. At the moment , as far as we could have prepared ourselves, we have done so and are future -ready.

Moderator: The next question is from the line Deep Shah from B&K Securities.

Deep Shah: Congrats on good set of numbers. The first question is around this antitrust legislation, which is going on in the United States. While it might be sub -judice, I don't expect a comment on the particular legislation per se, but if you could help us understand how does it impact our industry and in which condition we are better off, because the initial hypothesis suggest that should that condition or should that legislation go through, it would be p ositive for us because the strength of the leader comes down. But that is the initial hypothesis. Is that true? Your comments on that would be useful.

Second , when we say 20% growth, you mean for the medium term, right? Because given how well you performed in first half of this year , full year growth could be much higher. I understand that Jampp recovery happened in the third quarter last year, but then we also had the India GST impact on RMG, which shooed away those revenues. So , just a clarification on near term that when you say 20%, it is for the medium term? FY25 growth could actually be higher given how well the first half has been?

Anuj Khanna Sohum: Regarding the antitrust case, it is important to understand that we are navigating in an ecosystem where when we approach an advertiser, i.e. our customer, they are not asking us, "Hey, how do you compete with Google?" They have a separate budget for what they are spending on Google's platform. Typically, they have a separate budget for non -walled pie where we fit in .

The two team s at advertisers' end are different. The team that is looking at non - Google, non -Facebook, non -walled garden platforms, and those budgets, are different teams . So we, in many years, have not been asked this question, why Affle (India) Limited
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should we spend with you or why should we not spend with Google . Whereas , when analyst or investors like you would look at it, you would see it as one whole sort of a common space.

Having said that, the spaces are sort of interrelated. If an advertis

er is spending

less on the walled gardens, then consequently , chances are they would spend more on non-walled garden platform s.

Therefore, the thesis is clear that we are net -net seeing a more bullish outlook towards the non -walled gardens . It is not only the antitrust issue, which is challenging these larger players, but also the data privacy laws across jurisdictions. The data privacy laws are not as worried about Affle as they are perhaps worried

about what Meta, Twitter, Google and platforms like these are going to do in their respective countries.

A lot of these antitrust or data privacy related regulations are strengthening the non-walled garden s. Platforms like Affle would actually benefit much more. It is also evident in the performance of some of the other public listed companies in US and their trading multiples are an indicator of that . Because people are seeing that in the adtech space, all these macro trends are providing long -term tailwinds to platforms like Affle. Therefore, we are quite bullish and excited about the global possibilities , including developed market opportunity that lies ahead of us.

Regarding your second question, as a DNA of our company, we are a n aggressive growth -oriented company with strong focus to defend our bottom -line financial fundamentals. Having said that, we are a little conservative when giving forward growth outlook . So, 20%+ growth guidance on revenue for this financial year is an important message , and the plus (+) here is also very important . Not jus that, we are convincingly looking at providing greater growth percentage on EBITDA and PAT in this financial year.

In terms of long-term outlook , if you do a 5 -year modelling for our company and look at it on an annual compounding of top line at around 20% and bottom line at around 25%. This kind of an annual growth compounding is a sensible modelling to do for our company. Given what's happening in GenAI, with respect to antitrust, data privacy laws, all of that taken into account, I believe this is achievable , it is realistic and that is what is exciting about leading this business .

Moderator: The next question is from the line of Swapnil Potdukhe from JM Financial Limited.

Please go ahead.

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Swapnil Potdukhe: I had a question related to your cost. On a q-o-q basis, if you see last 2 quarters, we have seen some decline in your employee benefit expenses. I understand that you had taken some cost reduction effort decisions over there, so that is okay. What I am not able to understand is in the balance sheet, your other intangible assets seem to have increased meaningfully over the last couple of quarters? If you could just address that, that would be my first question.

Kapil Bhutani: I will take this question. When we added YouAppi in last year Q1, we had started integrating that tech stack and developing newer models on YouAppi for a greater integration platform. The investment in the YouAppi platform started in quarter 2 last year, hence you would have seen the spike there.

With regards to our preferential issue, which we raised last year, we had clearly mentioned that we will be putting additional effort on the GenAI side. We had marked about 50% of our capital raise in the preferential capital towards developing the GenAI technology over a period of time.

At the moment, we are not pushing larger budget on the AI side, but development of AI technology is taking shape, and we are gradually increasing our investment . You can say that there is an increase of over 10% on a y-o-y basis on the intangible assets .

Swapnil Potdukhe: Okay. Would you like to provide any forward guidance on the capital allocation

Kapil Bhutani: For the next 2 -3 quarters, this is the go -to trend. What you have seen in H1 is going to be a trend for next 2 -3 quarters.

Swapnil Potdukhe: Okay. Got it.

The second question is on your gross margins. How do you see your gross margins moving in the medium term? The Inventory & data cost has been around 61% for a decent period of time. If you can just guide us, will we see some improvement over there? Or we should build the current levels of gross margins?

Kapil Bhutani: You can build us on the same model as the current quarter as we have mentioned in the last few calls that we are integrating and going deeper with our premium placements across OEM inventories . Our efficiencies are coming in into the bottom line from other line items . We are happy with the current proportion of the medium margin and other margins we earn, as we are delivering the efficiencies on EBITDA and PAT .

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Also, we believe that in the next 2 -3 quarters onwards, you might see some efficiency in inventory & data cost also. At the moment, you can model us for medium term on the same basis.

Moderator: The next question is from the line of Vijit Jain from Citigroup. Please go ahead.

Vijit Jain: My first question is - In India, if I look at the e-commerce, fintech and possibly even the entertainment space now with Zomato probably launching District, we are starting to likely see a bigger uptick in push to acquire new customers or retarget dormant customers, etc., right? So, do you especially benefit from that also in Q3 ahead with q-commerce and foodtech space in general? My question is likely near term as well as more longer term because I can see e-commerce, fintech, entertainment, all these categories kind of heating up.

Anuj Khanna Sohumi: You may ask your second as well. I will answer both of them together.

Vijit Jain: Yes, sure. My second question is - In U.S., if I see some of the other digital advertising platforms like Applovin, they have seen some pretty solid growth in the current quarter, and the outlook that they have given is also positive. So, outside of the walled gardens in US and digital ad market, could you give a sense of where you are growing relative to the rest of the industry or what you would consider your comps in general? That is my second question.

I also had a last question, which I will just throw in here. In terms of strategic partnerships that you do, are there any OTT apps as such that you think you could do a strategic partnerships with and that would be beneficial from expanding your ability to serve ads in general? Those were my three questions.

Anuj Khanna Sohumi: Thank you for your questions. Regarding India, e-commerce, fintech, entertainment, gaming, all of these are important verticals that you have named, which cover our E, F&G categories or verticals, and even hospitality where travel finds its place there or even health care.

We are seeing that in most of the emerging markets, not just India, look at Indonesia, Brazil, Africa, etc. all of these emerging markets have similar trend lines in these verticals, and it is all about growth. Now, what is fuelling this growth? New smartphone users, existing smartphone users upgrading to higher income levels, higher quality of devices and so on, each consumer is doing more volume of conversion and they are also increasing the average value of these conversions. So the digital transaction space is growing and going up.

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The digital consumption, like the bread and butter consumption, has become a basic lifestyle, with e-commerce, fintech, entertainment, gaming, health care, education, etc. evolving as a fundamental consumption, which will be there on a broad basis over the long term.

Having transactions from digital platforms leading to user acquisition use cases, leading to retargeting such users for repeat conversions through the lifetime of their journey not just driving conversions through online devices, but also trying

to

drive footfalls of these important consumers to the physical stores or locations of these brands and advertisers, all of these 3 use cases will continue to thrive for the long term in the emerging markets, and we will continue to benefit from it.

Talking about US, and we talked about some macro trends earlier, which we are bullish about. We also asked about what the comparable companies are, who do we benchmark, who do we follow, track and see what's happening, certainly Applovin, certainly the Trade Desk. One is more focused on gaming, the other one is more focused on CTV. What is unique about Affle is that we are way more anchored on India and emerging markets at the moment, and we are entering into developed markets in a stronger way with more calibration on that dimension.

We have also strengthened our gaming credentials. You will see the case study that we have introduced in our earnings presentation. Several times, we have shown gaming case studies. If you look at Applovin, they are talking about their focus areas as gaming. They talk that they are a gaming company, and then they talk about adtech, and now they are starting to talk about e-commerce. Trade Desk, very focused on agencies and very focused on CTV.

Affle is quite unique. If you look at our direct-to-customers business, over 70% business is direct to the customers / advertisers. Agencies are important strategic partners & channels and we have a good balance overall. We are not over-anchored on one particular country or one particular vertical, whereas, of course, US is such

a large market. While I am saying it today, in the next 3 years, if our U S business continues to grow, it will have a dominating effect overall in the company. If you see Applovin or Trade Desk, the biggest part of their revenue is coming from U S and it is anchored on a few key verticals and that's it, whereas Affle is a much more broad-based de-risked organization today and fast growing as well.

Third question, strategic partnerships, I wouldn't say as much focus on the OTTs at the moment, but we are looking at CTV on a broad basis and seeing right from OEMs or other content partners. In CTV, we are looking at it in a much more holistic way

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from a consumer journey perspective and trying to do a strategic partnership where it is appropriate. But I wouldn't name or call out any specific OTT for strategic partnerships.

Moderator: The next question is from the line of Deepak from Sundaram Mutual Fund.

Deepak: My first question revolves on vertical. I just want to understand, is there any particular vertical that you may want to highlight, which you would hope the revenue growth in both Emerging Markets and Developed Markets? How are your conversations shaping up with the Fintech companies in US?

Anuj Khanna Sohum: We look at our categorization of verticals into categories E, F, G and H, and we enumerate that in our earnings presentations. We are seeing categories E, F and G are the stronger categories and H is still catching up. In categories E, we see e-commerce as the leading vertical; in category F, we see fintech; in category G, we see gaming. So these are the three verticals. Incidentally, the 3 case studies that we have also highlighted this time are covering these three; fintech, e-commerce and gaming across different geographies.

We see that these will continue to be strong resilient verticals, barring 1 quarter here or there, one country or the other. There could always be some hiccups along the way, but those are just hiccups and we see long-term sustainable growth in these verticals across geographies. In North America or in US, we see fintech as also an important vertical. We do have a few fintech customers where we are doing well for them, but we see a lot more emphasis on gaming as well as e-commerce because we are

strong in all the three verticals.

Therefore, we are keeping a balanced approach and going out there to win customers. But I remain positive about the outlook of not only these verticals, but the other verticals as well. We see broad-based consumption increasing on digital. Even in developed markets, we see a lot of scope for greater growth.

Deepak: Sir, my second question is relatively long term in nature. Now as we have done our platform integration and it is a consolidated platform, would M&A be still a priority for us? Or would M&A take a backseat since first we would want to reap the full benefit of this platform integration and then maybe focus on M&A? Would a subsequent acquisition, if at all it happens, its integration will be much quicker since now it is a full stack for us?

Anuj Khanna Sohum: For our integration, we have the ConvergeAI Supply Cloud which is the backbone of how we are consolidating, ensuring that we have consolidated our power of all the

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different platforms and integrations in a certain way and through a certain process. We have achieved that successfully so far. There is always something work in progress that we can improve and we are working on that.

But in the longer term, I would expect that any other acquisition that we will do, now we feel much more confident specially after having onboarded YouAppi and integrated it, as an organization and as a platform within the Affle group in less than a year. We feel confident that we can absolutely achieve full integration within 1st year of any acquisition, make sure that we bring the acquired business to similar levels of profitability of about 20% EBITDA or so within the first year.

We have actually shared that the last time when we did the YouAppi acquisition, we had indicated it, but with some caution because we were just coming at the back of the Jampp-related unique challenges. But we have been successful in demonstrating what we did in YouAppi.

Going forward also, we would be looking at acquisitions, certainly. I wouldn't say that we are done with it, neither am I saying that we are going to focus on just acquisitions. It is going to be a carefully calibrated approach. Acquisition is always and should always be carefully calibrated, and we have a very good track record on that. There is no reason to not keep pursuing it.

But at the same time, what has worked well for us will be what we will do even going forward. We will be careful, we will do the assessment and our guiding principle to all our investors and analysts who are tracking us is that the acquired business should not put a drag on our bottom line margins or performance.

We will make sure that during the first year of the acquisition, we bring it up to speed to about 20% EBITDA and so on. If we are not confident about delivering that, chances are we will not do the acquisition. We look at all aspects of it, strategic alignment as well as bottom line financial fundamentals and the ability for us to integrate it and bring it into our journey. All of this will be considered comprehensively, if and when we do another acquisition. I hope that answers.

Moderator: The next question is from the line of Anmol Garg from DAM Capital. Please go ahead.

Anmol Garg: Congrats on good set of numbers. Couple of questions. Firstly, I wanted to understand that in the last few quarters, we have seen a non-CPCU business reduced to now negligible levels. So has this business been classified to CPCU business or has there been any closures of contracting on the non-CPCU part?

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Anuj Khanna Sohumi: See, even when we had the non-CPCU business, I had always provided such guidance that we expect this business to graduate to becoming the CPCU business. We educate our advertisers, incentivize our teams to ensure t

hat happens. So the focus

has been CPCU business. I mean it is a single cash-generating unit. As an organization. It is an extremely strong business unit.

Even when we do acquisitions, you will see that we are always talking about transforming those acquired businesses into the CPCU business. Sometimes we have non-CPCU components and so on, and we are aligning it back, and making sure that we are doubling down, because we are still, in my view, a small company. We have a long way to go. There is a lot of market share to be won, there is a lot more territory to conquer in the CPCU business globally. This is how I would like you to look at it rather than seeing it as something is lost in the non-CPCU part, not at all. The gain in the CPCU part is where the focus has to be. If there was anything material that we have lost or something to be concerned about, our governance processes would have absolutely disclosed it in the way that we have always brought - not only good news, but any challenges as well. So there is nothing that you should spend your energy on over there. You see it as CPCU business is growing fast, is doing well and there is a lot more to be done there. Affle is a focused company and while it is doing everything on CPCU, it is also well hedged across verticals and across geographies. That's how I would like you to analyze it and maybe not too much focus on the non-CPCU part.

Anmol Garg: Understood. Secondly, if you can indicate, if the R MG spends have come back to pre-'24 levels? Or do you believe that it is still much lower and there is opportunity that those spends might come back in coming quarters or years?

Anuj Khanna Sohumi: It is different. When we look at numbers, life becomes easier. The number is the same. The ecosystem is evolving, and the R MG segment is evolving. This segment has huge potential for further growth. There is a lot more to be achieved. I wouldn't say that it has bounced back in the same way or to the same extent, but where we are today, we are comfortable with it. From here, we see a clear path of growth.

So we don't see anything pulling it back at the moment. We see a better, more sensible calibrated growth. Sometimes you need a bit of shake up to settle things back, and then have a more robust foundation to build upon and I think that is what has happened in the R MG segment.

Moderator: The next question is from the line Arun Prasath from Avendus Spark Institutional Equities. Please go ahead.

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Arun Prasath: My question is on the balance between the growth and margins that we have so far done beautifully over the last 2.5 years, 3 years. Sometimes you have come out and said that there is an opportunity, so I will invest little more and that is how the growth will be higher in the future, and sometimes you have held back this. So right now, where we are in this cycle? Are you seeing that the investment is enough and that it should pay off for the growth or is it time to cut back? So some thought on that, please.

Anuj Khanna Sohum: I think in terms of balance between growth and margin you are pointing, our company has a strong DNA. I mentioned earlier, we are an aggressive growth - oriented company. We are a long-term player thinking 10 years, even 20 years ahead, and many of you have heard disclosures and internal conversations with key leadership team members. At the same time, we have an extremely strong DNA towards, how are our cashflows or what is the profitability . Both of these aspects are core to the DNA of Affle, growth powered by product innovation, being future - ready, thinking long term. At the same time, clearly what is the daily cash generation, weekly cash generation, monthly cash generation. The discipline as well as the ambition, both of these aspects are there.

In terms of balance, you are asking to choose one or the other busine

ss. It is a deep

part of who we are. There is no way to say, okay, this quarter, we will focus on this and not that. I think it goes together. Fortunately, for the kind of business that we have, we can actually achieve both . Why? Because it is an asset -light business, it is a tech platform business.

On the cost side, if we are having the right kind of talent and algorithms, the cost should not grow that much and the business should be scalable. So, if you are aggressive, get more customers, get more market, more geographies, more verticals, let's get it on board.

The only area where we make a clear distinction and that I would continue to make, are the business fundamentals. There is all kinds of advertising revenue out there. You can go out there and tell somebody, You know what, I will make almost nominal margin, give me your business, give me INR 50 million more business, I will get you so many conversions and so on. It can be loss -making, low margin, what I would infact call it to be a poor quality revenue, and such revenue also exists in the market.

Now we are a disciplined company. We say no to that. If we are getting a campaign or an advertiser who is basically wanting conversions and not ready to pay the right Affle (India) Limited

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CPCU pricing, we are saying, "No, hang in there, we have other advertisers, we can pull the price up." We don't have to take the lower quality of revenue. We are clear that we are looking for profitable long -term sustainable growth. We are ready to say no to low quality revenue.

We are clear that there is enough revenue to make profitability . We will continue to be profit oriented and we don't have to compromise margin for growth. That is who we are as an organization, and I don't think that will ever change. I hope that answers your question.

Arun Prasath: This is illuminating, but I was asking more in respect to, say, verticals. Have you invested enough in all the verticals that you are confident that you don't need further calibration there? Or you think there are some verticals where you are weak, so you have to invest and there is a growth available or maybe in certain places where the competition could be strong, probably you need to invest more. So from that perspective, can you help us understand this?

Anuj Khanna Sohum: Sure. In terms of organic investments that we are doing, which Kapil also talked about earlier that we are constantly improving our tech platforms. We are constantly investing and improving. We are not saying , look, we have invested enough, let's enjoy the ride. We are constantly pushing for further improvement. There is a clear road map at all points in time. There is no complacency.

There is alertness and there is ambition to go ahead and keep improving and becoming better . Am I comfortable with the level of organic, continuous ongoing investment that we are doing - the answer is yes. Is that sufficient to beat any competitor in the world, in any market in the world - I believe the answer is still yes.

In terms of investing to strengthen or double down on certain verticals, in certain

markets, doing acquisitions for that and investing into those acquisitions, I have also answered that we will evaluate it carefully. If we see enough strategic leverage in value as who we meet as a potential acquisition candidate, we will look at it. If we are confident that we can deliver strategic value as well as financial fundamentals, even in that within the first year, we will go ahead and do those acquisitions. We are investing in all the verticals. We are constantly investing to improve organically in those verticals.

Arun Prasath: Second question is on the competition. Maybe we have become a reasonable size in some of the emerging markets and in India, maybe we are small in Developed

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Markets. But in these spe

cific markets, say, India, Indonesia and other Emerging

Markets, how is the competition now as compared to say 2 or 3 years ago?

Do you see smaller players getting eliminated? Is there anything advantage we can gain out of it because having become bigger in these markets, can we push more and, say, at a much higher margins, at a much higher growth? Is it the possibility or we have still not reached that stage in India and emerging markets as well?

Anuj Khanna Sohum: I think it is still work in progress stage. In terms of competition, the good news is that most of our advertisers or ecosystem partners, they are evaluating us with all the top global players - some of them we named earlier in the call. We bring in our best people on the ground in all the emerging markets, whereas most of these other, global companies listed in US or in Europe are focused on developed markets and their best people are fighting the battles in developed markets because there is a disproportionate revenue for those companies from those markets.

So they hire maybe one-off country directors in some of these emerging market regions. Even though they come from these big global companies, their ability to compete against our best people on ground is limited. That gives us a lot of advantage in terms of how we execute in emerging markets. So competition-wise, we have found ourselves in a good place.

We compare with the best and try to beat them in emerging markets, then use those credentials & case studies to go and win in developed markets against them and say that, "Look, we are beating them in complexities of emerging markets, give us a chance in developed markets as well." So I think those kind of competitive positioning is how we are navigating. At the moment, I would say that the numbers that you see and the growth and the margin expansion is at a sensible, sustainable level.

Moderator: The next question is from the line of Adnan Amroliwala from Bastion Research.

Please go ahead.

Adnan Amroliwala: Congrats on the good set of numbers. My first question is related to any guidance on the CPCU rate, since you said that main reason for increasing CPCU rate is basically premium inventory and direct markets. So any guidance on that?

Anuj Khanna Sohum: The most important factor for us to extract better CPCU rates from the advertisers is the competitive bidding. If we have a broad base of customers and they are all fighting to get the same conversion at that time, in that month or in that time of the campaign, then we have the ability to make sure that we can command a CPCU

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rate. So that is one of the factors, create the competitive tension so that they bid higher for the CPCU rates.

Second is, can we take it to unlimited levels of height? No, there is another factor - what is the fundamental value of the consumer conversion? What is the lifetime value of that consumer's wallet for this particular advertiser? If you are converting that consumer for this advertiser, will it make ROI eventually for the advertiser? So these are the parameters and boundary conditions within which we operate.

One, get to highest level of margins by making sure there is competitive pricing so that we are selling it at the right price and pushing that right price to a level where the advertiser is still making money. It has to be a win-win proposition, otherwise it wouldn't work. To get to the premium users or the premium conversions, which have high lifetime values, go to premium touch points - iOS devices, Samsung

devices, AppStore inventories, etc. Basically, go to the right kind of consumer segments to drive premium ROI for the advertisers. But then you also want scale , so it is not just about premiumness.

We are looking at this in a balanced way, and we believe that the CPCU pricing will continue to move in the right direction.

It will keep inching upwards as we have already done over the last many years.

Adnan Amroliwala: Perfect. Sir, another question is, how does the inventory cost come? How does the contractor publish it? Is it like you buy the inventory and pay them upfront? Or is it a revenue sharing basis? Secondly, how much of the inventory cost is forward-looking? If you can clarify that.

Anuj Khanna Sohum: I don't know if I can answer everything and some of that would result in trade secret, but I have been clear that we are buying the inventory, we are paying for the impressions for showing the ads and we are charging the advertisers for driving conversions . On one side, we are basically the buyer of advertising space and on the other hand, we are taking responsibility for driving the end conversions and therefore, charging the advertisers against that.

Whether it is just the price per impression or effective price per impression or are we doing a revenue share ? I would like to reserve that. In certain publishers, it could be a revenue share while in certain other publishers' case, it would be just a clear bidding -based process and using our intelligence and making it happen. Where we have strategic partnerships, we may do revenue share. But most of the supply sources are connected programmatically . We are bidding for it , we are buying the space , we are using our algorithms . We are making sure that we are optimizing and

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maximizing the outcome for the advertisers at the lowest cost of converting the user.

You also asked about how much of the inventory cost is forward-looking. At any given time, let's say, in India, we are also looking at calibrating deeper to understand those consumers who are non-shoppers today . In India, there are 700 million connected devices. Out of those devices, we constantly keep predicting that what percentage of devices are shoppers today . Hence, a good part of the spend goes in that dimension across not only India but other emerging markets as well . I would not quantify it today, but I would say at least 10% to 15% of the cost is forward-looking.

Moderator: The next follow-up question is from the line of Deepak from Sundaram Mutual Fund. Please go ahead.

Deepak: My question was around CTV. As we are talking about more premium inventories and entering into CTV channel, I just wanted to understand what will be your approach to managing the ad latency and buffering issues, which is prevalent in CTV because if your consumer doesn't completely engage with the ad and switches between the channel in CTV, that could lead up to higher inventory costs for us, right?

Anuj Khanna Sohum: So far, we haven't faced the specific challenges that you are talking about, in terms of ad latency or switching cost of the consumer . Maybe the companies that are only focused on CTV with just one-dimensional engagement point with the consumer are trying to grapple with some of these aspects. For us, CTV is one additional touch point in that consumer's life, such that let's say firstly when the consumer is on their mobile phone, then in their office, then traveling, and then they are coming back to their home . So, they connect to their households , then they are on their mobile device, and they then go on to the CTV. There are multiple mobile devices in the home because there are multiple individuals, maybe there is one or two CTVs in different rooms of the house.

The CTV is one channel to influence the consumer, and the mobile and other touch points of the consumer journey are also important to the overall connected device experience that Affle talks about. In this process, there could be certain challenges, whether it is ad latency or something else. But eventually, what we are talking about is how most of the tech challenges would get overcome over a period of time. The most important

insight, Deepak, is that you and I, as consumers, are going to

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be on the mobile device, on connected TV devices, other connected gadgets, it is an expected pattern.

Affle's role is not just to look at one channel or the other, but looking at the consumer centricity of Affle's platform . We are a consumer platform and the consumer platform is focused on all connected devices that the consumer will touch with. Maybe on CTV, there could be certain unique challenges, maybe on mobile as well. Tomorrow , there will be other variable devices. They will all go through their journey of consumer adoption & overcoming challenges, but I don't see CTV and ad latency as an issue that we are disturbed by at the moment.

Deepak: Okay. Will there be customer overlap also? For example, what we are targeting today on mobile -only installer, some overlap would be where we will be targeting the same consumer on CTV channel as well?

Anuj Khanna Sohum: Of course, yes. The consumer is the same. If somebody is trying to drive a conversion with me, they would say that you have shown the ad on mobile, show it on the CTV also . Ideally, it should work like that to drive the conversion. We have to look at it in a consumer -centric way versus one touch point at a time because that is not the strategic direction that we are taking. We are looking at it as a consumer -centric platform. Wherever the consumer goes, we have to map and provide that engagement point.

Moderator: Ladies and gentlemen, that was the last question of the call. I now hand over to the management for closing comments.

Anuj Khanna Sohum: Thank you everybody for your very insightful questions. We look forward to the festive quarter . The festivities have happened for Deepawali and we have already seen good momentum, but rest of this quarter is ahead of us . We look forward to connecting back in early 2025 and hopefully with much stronger results & performance as guided earlier today. Thank you and stay well.

Moderator: Thank you. On behalf of Ambit Capital, that concludes this conference. Thank you for joining us and you may now disconnect your lines. Thank you.

*** end ***

Call: Feb 2026

Affle 3i Limited

(Formerly known as Affle (India) Limited)

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AFFLE/SE/ECT/Q3/2025-26 February 09, 2026

To

BSE Limited

Phiroze Jeejeebhoy Towers,

Dalal Street, Mumbai 400 001

Scrip Code: 542752 National Stock Exchange of India Ltd

Exchange Plaza, 5th Floor, Plot No. C-I, G Block,

Bandra Kurla Complex, Bandra (East), Mumbai

- 400 051

Symbol: AFFLE

Sub: Transcript of the Earnings Conference Call for the third quarter and nine months ended December 31, 2025 conducted on February 02, 2026 at 10:00 AM (IST)

Dear Sir/ Madam,

Please find enclosed the detailed transcript of the Earnings Conference Call conducted on Monday, February 02, 2026, at 10:00 AM (IST) to discuss the results and developments for the third quarter and nine months ended December 31, 2025.

The same is also available on the Company's website at <https://affle.com/investor-relations> .

Please note that the audio recording of the Earnings Conference Call was submitted vide our letter AFFLE/EC/2025-26/Q3 dated February 02, 2026.

Submitted for your information and records.

Thanking you,

Yours Faithfully,

For Affle 3i Limited

(Formerly known as Affle (India) Limited)

Parmita Choudhury

Company Secretary & Compliance Officer

This transcript has been edited to improve the readability

Affle 3i Limited

Management: 1) Mr. Anuj Khanna Sohum – Chairperson, Managing Director & Chief Executive Officer of Affle 3i Limited
2) Mr. Kapil Bhutani – Chief Financial & Operations Officer of Affle 3i Limited

Analyst: Mr. Shobit Singhal – Anand Rathi Share And Stock Brokers Limited

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Moderator: Ladies and gentlemen, good day and welcome to the Affle 3i Limited Q3 & 9M FY 2026 Earnings Conference Call hosted by Anand Rathi Share and Stock Brokers Limited. As a reminder, all participant lines will be in the listen -only mode, and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during this conference call, please signal an operator by pressing '*' then '0' on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Shobit Singhal from Anand Rathi Share and Stock Brokers Limited. Thank you and over to you, sir.

Shobit Singhal : Thank you, Shubham . Good morning, everyone. On behalf of Anand Rathi Share and Stock Brokers , we welcome you all to Q 3 and 9M FY2026 Conference Call of Affle 3i Limited. I take this opportunity to welcome the management of Affle 3i Limited, represented by Mr. Anuj Khanna Sohum, who is the Chairperson, MD and CEO of the company; and Mr. Kapil Bhutani, who is the Chief Financial and Operations Officer of the company.

Before we begin with the discussion, I would like to remind you that some of the statements made in today's conference call may be forward -looking in nature and may involve some risks and uncertainties. Kindly refer to Slide 2 of the company's earnings presentation for a detailed disclaimer.

I will hand it over to Mr. Anuj Khanna Sohum for his opening remarks. Thanks, and over to you, Anuj.

Anuj Khanna Sohum : Good morning everyone and thank you for joining the call today. I trust all of you are keeping in good health.

Q3 FY2026 marked an important milestone as we surpassed INR 7 Billion mark in quarterly revenue run -rate, while delivering our highest -ever quarterly EBITDA, PAT, CPCU conversions and CPCU rate .

During the quarter, we delivered revenue of INR 7.17 Billion, a growth of 19.2% y -o-y and 10.9% q -o-q reflecting the consistent resilience of our business. This performance underscores our ability to execute effectively in a challenging global environment and across market cycles, reinforcing the strength of our AI -powered Consumer Platform Stack .

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Our sustained focus on higher productivity and innovation enabled us to achieve EBITDA of INR 1.63 Billion, a growth of 24.1% y -o-y and 11.6% q -o-q. Notably, it marked our 7th consecutive quarter of sequential margin expansion and it resulted in PBT growth of 25.1% y -o-y and 13.7% q -o-q from Operations (excluding the Other Income). We achieved highest -ever PAT of INR 1.19 Billion, a growth of 19.1% y -o-y.

In terms of our CPCU business, we continue to operate from a position of strength both strategically and operationally. Our CPCU business drove 119.7

million conversions at a CPCU rate of INR 59.6 and we earned CPCU revenue of INR 7.14 Billion, an increase of 19.6% y-o-y and 12.9% q-o-q.

It's also important to mention that our Non-CPCU business serves as the entry point for certain customers and partners for top-of-the-funnel tech enablement on our platform. Thus, the Non-CPCU business is aligned to eventually drive our customers towards deeper funnel conversions on the CPCU business model.

With global digital spending on the rise, we see significant market wise performance growth opportunities across all our billing entities. Our India and Global Emerging Markets contributed 73.9% to our revenue and grew by 19.8% y-o-y and 11.0% q-o-q. This performance was achieved despite the full-quarter impact of Real Money Gaming in India and was supported by broad-based demand across industry verticals reflecting our naturally diversified revenue mix.

Our Developed Markets delivered a robust performance, growing 17.8% y-o-y and 10.9% q-o-q, and contributed 26.1% to our revenue. This growth was driven by deeper custom

er engagements, conversion of pipeline activity and steady new account additions in these entities. As anticipated, the normalization of budgets supported this momentum and we continue to unlock new avenues for expansion, strengthening our position as a privacy-compliant, trusted and results-driven platform.

In terms of 9M FY2026, we achieved revenue growth of 19.3% y-o-y, EBITDA growth of 28.5% y-o-y and PAT growth of 20.3% y-o-y. Our year-to-date performance reinforces our confidence in sustaining robust growth through Q4 FY2026 and FY2027 to attain our Affle 3i 10x growth vision.

Beyond the numbers, what continues to excite us is how our growth is powered by technology-led differentiation and AI-driven innovation. Over the Affle 3i Limited

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last few quarters, we significantly deepened the role of AI across our unified Consumer Platform Stack. Niko, our most advanced next generation agentic AI optimization engine, enables fully automated self-service mode with concurrent and real-time decisioning across bidding, targeting, and budget allocation. Over the last quarter Niko automated and accelerated campaign learnings and optimized outcomes on the Newton Platform, strengthening our ability to deliver superior ROI and higher lifetime value users for advertisers at scale.

In our earnings presentation, we have featured 5 customer approved case studies for three industry verticals. The first 3 case studies focus on our verticalised strategy with AI-led multi-placement dynamic optimisations to drive conversions for Hospitality and Travel vertical across India & other Emerging Markets. The next case study highlights our repeat conversions strategy across android and iOS to expand user monetisation for the gaming vertical in US. The fifth case study highlights our capabilities in scaling premium iOS user conversions globally for the Edtech vertical, leveraging our Agentic AI capabilities.

Affle continues to be recognized as a technology thought leader across industry forums. Our platforms secured 70 recognitions across various categories in the latest AppsFlyer Performance Index. We also received several accolades across leading industry forums notably the 'Emerging Martech Innovator of the Year' and 'Best Use of Martech' at e4M MarTech AI awards 2025 along with the 'Most Effective tech Platform' at the Maddies 2025, 'Best Partner Award' at the Oppo Ads Awards 2025 and 'Global Best Support Partner' at the Honor Global Developer & AI Conference 2025. We also won 30+ customer campaign level awards reflecting the strength of our partnerships and the impact of our AI powered Consumer Platform stack.

With 3 new patents filed in this financial year, our comprehensive IP portfolio has grown to 39 unique patents filed including 16 patents granted. Our strong balance sheet and robust operating cash flows continue to support sustained investments in technology, talent and strategic initiatives aligned with our Affle 3i growth vision. We remain disciplined in capital allocation while ensuring that we continue to invest and innovate proactively to strengthen

our long -term moat and to drive sustainable value creation.

We have laid a strong foundation for our Affle 3i 10x growth vision! We have successfully onboarded Sameer Sondhi as our CEO for North America with a dual role as our Chief Strategic Investments Officer. Sameer's 25+ years of Affle 3i Limited

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credible track record of scaling ad tech platforms in North America and beyond, will play a key role in accelerating our organic and inorganic growth plans. Earlier in this financial year , we had internally promoted Vipul Kedia, as our Chief Operating Officer to anchor our growth in India and emerging markets. These steps have aligned our leadership commitment and conviction towards the next phase of accelerated and compounded growth impact.

With that, I now hand over the discussion to our CFO - Kapil Bhutani, to discuss the financials. Thanks and over to you Kapil.

Kapil Bhutani: Thank you Anuj. Good Morning and hope all of you are keeping safe and well .

We continued our steady growth momentum in Q3 FY26, marking our 11th consecutive quarter of sequential growth on topline & EBITDA and 7th consecutive quarter of EBITDA margin expansion. This consistent performance reflects our operational rigor and sustained focus on profitable growth.

We concluded Q3 FY26 at a consolidated revenue of INR 7.17 billion, delivering a y-o-y growth of 19.2% and sequential growth of 10.9%.

In 9M FY26, we recorded revenue of INR 19.85 billion delivering a growth of 19.3% y -o-y, reflecting balanced performance across all three quarters.

This quarter, on a standalone basis, India revenue grew by 20.6% y-o-y while on an adjusted basis, the growth stood at 23.0% y-o-y supported by robust momentum in advertiser spends, despite the full quarter impact of real money gaming in India.

We continue to enhance productivity by scaling our platform operations and strengthening Affle AI & self-service capabilities. These initiatives, combined with steady revenue growth, have further strengthened our operating fundamentals.

As a result, EBITDA for the quarter stood at INR 1.63 billion, an increase of 24.1% y-o-y and 11.6% sequentially. We achieved an EBITDA margin of 22.7% despite extra cost for change in employee related provisions due to changes in labor code. In 9M FY26, our EBITDA increased by 28.5% y-o-y, as we achieved INR 4.49 billion at an EBITDA margin of 22.6%.

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Moving on to Opex, inventory and data cost stood at 62.4% as we ramped up our investments in E,F,G,H industry verticals across international markets, to further strengthen our verticalised offerings and unlock new growth avenues.

Our employee benefit expense remained largely flat sequentially, supported by productivity gains and efficiencies from our ongoing investments in intelligent automation.

Other expenses were lower at 6.0% of revenue versus 6.4% in Q2 FY26.

However, in absolute terms, other expenses increased by INR 19.5 million, primarily driven by higher business promotion activities aligned with seasonal demand and sales initiatives during the quarter.

We achieved PBT of INR 1.46 billion during the quarter, an increase of 18.1% y-o-y and 8.0% sequentially despite lower Other Income.

If we also look at PBT from Operations (Excluding the Other Income), we delivered a growth of 25.1% y-o-y and 13.7% sequentially, outpacing our topline growth.

Our Profit After Tax (PAT) stood at INR 1.19 billion, marking an increase of 19.1% y-o-y and 8.0% q-o-q.

Our Operating cash flows for nine -months period was INR 2.54 billion.

We continue to prioritize efficient working capital management and as such there were no material changes in the collection risk for all other verticals except for the incremental provision done for RMG business in India during the previous quarter. Our OCF to PAT for the nine months stood at 75.8%. This is because of a temporary increase in collection days from Agencies due to their periodic client audits in this period. This should normalize in Q4. Overall, our prudent financial management and disciplined execution positions us well to capture emerging opportunities and drive sustainable growth through FY26 and beyond.

With this, I end our presentation. Let us please open the floor for Questions.

Moderator: Thank you very much. We will now begin with the question -and-answer session. The first question is from the line of Shobit Singhal from Anand Rath.

Please go ahead.

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Shobit Singhal : Hi Sir, congrats on a good set of numbers. My first question is on your gross margin. How do you see your gross margin moving in the medium term? W

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have seen a sharp jump of around 230 bps y-o-y and around 130 bps q-on-q in inventory and data cost, which has been around 60% -60.5% to 61% for a decent period of time, for around 12 to 14 quarters. Will it continue for some time at this elevated level or it should go back to normalized level going forward?

Anuj Khanna Sohumi : Our data and inventory cost has two elements to it. One is to earn the revenue within a reporting period of a quarter and second is where we are investing. We are expensing it out fully in the reporting periods where the cost is incurred, but fundamentally and consciously , we are investing in our own expansion and deeper verticalization across international markets , so that we can launch all our EFGH category verticals across those markets . We are in that phase of expansion where we are investing into the data and inventory cost to build our verticalized intelligence for international markets.

Therefore, what you see here are two factors . We are fully expensing it out in the reporting period, but a part of that increase in the data and inventory cost has to be seen as an investment being made to verticalize our intelligence for international markets .

Shobit Singhal : Second question is a follow -up of your last quarter comment on inorganic acquisition, where you said that you are evaluating around 10 -12 companies.

Any progress on that front and how soon we can expect to close ?

Anuj Khanna Sohumi : As a board and Investment committee , we have been evaluating about 10 -12 companies, which we believe are all honorable targets for us. We have narrowed that pool down to now four companies and we are doing active due diligence assessments of those four companies. We will make a firm and a sensible decision progressively at the right time and at the right price.

Moderator: The next question comes from the line of Deep Shah from B&K Securities.

Deep Shah: Kapil, the first question is on the opening commentary that you made about slightly higher agency business . What I see is the incremental revenue, over the last six months, has been 968 million, i.e., Q3 minus Q1 incremental revenues. But incremental debtor increase is INR 15-19 million. Is there something more to it ? We are used to looking at Affle generating 90% -100% OCF. That entirety will be taken care of in 4Q?

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Kapil Bhutani : We have been mentioning that our target of OCF -to-PAT ratio is greater than 80%. We have been achieving around 90%-100% consistently for last few years. We believe that we will be achieving in the range of around 85%-95% OCF for this year also. We believe that the payment cycles with the agencies have started to ease off and we should be able to deliver around 85%-95% range of OCF .

Deep Shah: Perfect, that's clear and reassuring also. Secondly, on this increase in CPCU

rate, 3.1% y-o-y, is this largely on account of better quality of campaigns which we have undertaken? I am asking this as the share of Developing or Emerging Markets rather has increased, which would typically naturally put strain on the CPCU rate and yet we have delivered an increase of 3.1%. Is this a shift of the nature of campaigns that we have undertaken? Or is this the dollar appreciation which has helped us?

Anuj Khanna Sohum : Thank you for that observation. First of all, it is exceptional that we have achieved consistent growth in our total revenue s. It is guided by driving higher volumes of conversions. In terms of bottom -line sensibility of ensuring margin defensibility, we have been able to inconsistently increase our CPCU rate and we have achieved the highest CPCU rate till date in this quarter . It's a reflection of how much value we are adding to our advertisers . Therefore, they have a willingness to pay a higher unit price. There are two key strategies that are differentiated for our Company and the different

iation is not only in how we sell it or what we deliver in the end, but it also goes into the technology mode and several other data intelligence mode capabilities of the platform.

The first one is verticalization where we go and deeply work as a tech platform . For example, if we are working with a healthcare customer, we are able to give them not just a consumer conversion, but a conversion of what they see as their patients or revenue generating users . The persona of those people that they are targeting is like a patient. I n entertainment category, we are giving them users who are viewers, who are subscribers, who will pay to subscribe or gamers or shoppers. For education tech, in one of the case studies , we are talking about targeting parents of students who would then convert for education tech. So first is the the deeper verticalization strategy and the second factor is giving them , premium placements and driving premium user conversions who will have a higher lifetime value for the advertiser.

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Consequently, because of this verticalization strategy, as well as with the ability to target premium consumers in a deeply intelligent way, with personalization of those personas relevant to that industry vertical, these two factors are allowing us to charge a higher price. The advertiser is seeing the value that is coming through the Affle platform.

Moderator: Our next question comes from the line of Anmol Garg from DAM Capital .

Anmol Garg : Hi, a couple of questions. Firstly, we have seen good growth in India despite the residual impact from RMG and some early festive demand in the last quarter. What is leading to this? Secondly, given we are already at 19% kind of growth levels on the overall company side, do we kind of maintain our 20% growth guidance going ahead?

Anuj Khanna Sohum : That's a great observation. India is our anchor market. India is where we have the highest number of employees and we are listed here. We know our customer base is robust and we are clearly a thought leader like none other in the Adtech ecosystem in India. Our growth here is resilient and I am happy with the way it is diversified across industry verticals. There will always be some issue or the other because of either regulatory reasons or otherwise in some vertical . That's a natural course of business which we understand and we have already modelled for it . We have ensured that we are diversified across verticals and India is one market where we are covering all our verticals rather comprehensively.

Earlier, our growth in India was anchored on Android. Now we are also doing really well on iOS. I believe that is a premium segment within India and we are able to help advertisers to grow in it. This is giving us a lot of differentiation because not every competitor is strong in such capability.

Giving premium iOS based conversions across the channels that are available across our platforms to those advertisers who are willing to pay more for that category of users is really helping us.

The third pillar would be CTV . We are doing exceptionally well on CTV and are consistently winning industry awards that I also talked about earlier. I believe these are the anchors for our India growth.

Anmol Garg : Right. And from the Company overall perspective, do we maintain a guidance of 20% plus growth?

Anuj Khanna Sohumi : I will give you an insight into how I drive the variable incentives of our sales and management and leadership internally. It will give you a sneak preview

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into how the organization thinks and behaves and at what point in time does the internal organization celebrate s of achiev ing enough growth.

There are two key metrics that we want in terms of growth. First, in terms of percentage revenue growth; across geographies and across markets. The second metric tha

t we want is percentage EBITDA growth across all markets.

Our internal KPI is that both of these areas have to grow on an average of about over 20% to 25%. This quarter, we have grown 19.2% on revenue and 24.1% on EBITDA . If you combine these two numbers, you get a n approximately 45% number . The internal team has to say, you have to get revenue growth , you have to get EBITDA growth and the bottom -line is that it has to be with margin expansion . These are the three parameters. The margin expansion is an underlying qualifying criteria , but on top of that, we have to deliver stellar revenue growth and also EBITDA growth.

When you model our company at a round 19% to 20% growth rate, that is a sensible way to model us, because internally, I am pushing for around 20% to 25% growth across these metrics, which our team has been consistently achieving and is still hungry to push for more.

Anmol Garg : One last thing on margins. Did we have wage hike during the quarter? If yes, why was our employee expense more or less flat ?

Anuj Khanna Sohumi : In terms of the total growth and efficiency of our platform, the adoption of AI, some of the functions getting more centralized into the India market, or in the Southeast Asian markets, which are relatively lower cost, compared to markets like US, Israel or Europe has helped us . We are able to use AI automation effectively . We are able to upgrade the 24/7 support services to our teams internationally, as well as to our customers using tremendous amount of AI automation , while centralizing some of the functions of our workforce in lower cost markets.

Overall, we have given a handsome wage hike to the people and the talent who deserves to have it. Even with all of that, we are able to keep our operating expenses in check .

Anmol Garg : Going ahead, we should further expect some rationalization in the employee expense to continue ?

Anuj Khanna Sohumi : We will see consistent and high margin growth in terms of revenue. The efficiencies will be realized even more on the EBITDA level, because our opex is not going to grow at pace with that. Of course, we will keep investing in

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the right areas and taking care of our talent in the most honorable and comparative way. But it is not going to keep pace with the revenue growth because we are enhancing the productivity of Afflers across the board.

If you tuned into our Affle 3i launch in April 2025, we talked about super Afflers, giving all of them the power of AI tools and Agentic AI capabilities to expand the ir productivity by almost 50% or more. Given that context, we have to hire lesser people for the incremental growth. Therefore , the EBITDA growth would be faster than the revenue growth in most cases.

Moderator: The next question comes from the line of Rohan Nagpal from Helios Capital Management. Please go ahead.

Rohan Nagpal: I wanted to follow up on the gross margin remark that you made. You said there is some portion that is for revenue generated in this quarter and there's some portion that is investments that you are making for future revenue growth . Can you please provide some color on the split between the two, so we can get a sense of what the underlying gross margin is for the business?

Anuj Khanna Sohumi: This question has been asked of me a few times and I have always given the

same consistent answer that to earn the revenue that we make, one could say that only target those users or only targets those devices where you are expecting an immediate conversion. But we also need to consistently invest into looking at those expanded pool s to cast the net wider, to build our intelligence about the various verticals that the end users are engaging with, and to profile or to make sure we have a deeper persona of these users. Consequently, in any given reporting period, at least or around 10% of our data and inventory

cost is investing into the future or it is looking at a broader view of what we can do with our verticalization and profiling. A lot of times it's focused on geographies where we are looking to go deeper . For example , we are under calibrated in healthcare as a vertical in certain markets. So we may invest in that to build that deeper intelligence and verticalization for healthcare, because then we are expecting to utilize that for future revenues . Similarly , across all the top EFGH category verticals, we would look at different geographies and different markets and prioritize where do we invest more and when. That's more of a tactical, execution decision. But on a general basis, you can say that around 10% of the data and inventory cost is investment in nature.

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Rohan Nagpal: Is it fair to assume that because there has been an increase this quarter, that 10% is higher this time around? Or is it still 10%?

Anuj Khanna Sohumi: It would be in a certain range. In some quarters you may see that this is going a bit higher in certain markets, depending upon where we see the immediate growth opportunities or how aggressively are we pushing - are we pushing for all verticals to have deeper insights across international markets, as is the case right now, because we want to go and realize the full ambition and potential of our growth in international developed markets.

Therefore you are seeing that in our incremental push. I was giving a more long-term answer that for many years, there is a percentage that's investment in nature and I will not be able to give any short term breakups for that. In the short term, it would suffice to say that the increase right now is because the investment component has grown for verticalization of all our verticals in international markets.

Moderator: Thank you. The next question comes from the line of Anand Trivedi from Nepean Capital. Please go ahead

Anand Trivedi: My question is related to RMG. I am assuming with the ban on RMG, you must have had a loss of revenue on the back of that. Could you quantify what that reduction is and what areas outside of gaming have made up for that loss?

Kapil Bhutani: You can assume about INR 10 crores to INR 12 crores of revenue on the base effect for the Q3 of the last year, which has not occurred in this quarter. It is a broad -based recovery from our growth of revenue from all the verticals in India. It is not concentrated on any particular vertical that has given us a growth back despite the RMG setback. If you take the base effect off, our growth in India would be higher.

Anand Trivedi: Got it. So the RMG ban has only resulted in INR 10 crores to INR 12 crores loss of revenue for you. That's it?

Kapil Bhutani: Yes. That was the base effect.

Anand Trivedi: Got it. Okay.

Moderator: Thank you. The next question comes from the line of Abhisek Banerjee from ICICI Securities. Please go ahead.

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Abhisek Banerjee: Hi. Just a couple of questions. Last time around, we talked about segments like Quick Commerce, etc., which were kind of driving the growth. Can you tell us which are the segments which could have become the largest for you in India now ?

Anuj Khanna Sohumi: Withi n the EFGH categories, we are doing very well in categories E and category F in India - E-commerce , education & entertainment in category E

and in category F by FinTech , FoodTech and FMCG. Overall , in category E and F we are doing exceptionally well across all the verticals. In gaming, we already mentioned that there's impact of RMG, but we have also shown case studies of other kinds of gaming categories, which are non-RMG, where we continue to be strong and resilient. In Category H, which is hospitality and travel , we have given three of our case studies in this earnings presentation for India and Emerging markets

. These are the broad set of verticals where

categories E and F are continuing to be strong and resilient. In category G, we saw some pullback. In category H, hospitality and travel is doing well while in healthcare, we need to double -up and we need to do more. So we are investing towards those efforts.

Abhisek Banerjee: One more question on global markets. By when do you think we can go back to the kind of growth rates that we were seeing a couple of quarters back?

Anuj Khanna Sohum: First of all, given the overall macroeconomic factors and the fact that there are cycles in the market, the overall growth that we have achieved, is extremely resilient , robust and defensible, sustainable type of growth. This is the baseline of growth that we can anchor ourselves on. In order to accelerate that further, we are looking at both organic and inorganic investments .

Within organic investments, I mentioned deeper verticalization for international markets ; we are already investing in that. We are also investing in our sales force, growing our presence . We talked about our management and leadership expansion and reorientation, where we have Vipul who is leading India and emerging markets growth initiatives. We have Sameer who has joined on board to lead North America and developed markets focus for us.

We are investing in all areas and both organic & inorganic opportunities are being actively evaluated. We will absolutely go for capturing the full growth potential of international markets as we go along.

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Moderator: Thank you. The next question comes from the line of Mayank Babla from ENAM AMC. Please go ahead.

Mayank Babla: Congratulations on a great set of numbers and the sustainable performance that you displayed. My question pertains to the other expenses part of it.

While I acknowledged it earlier in the call, Kapil sir gave some commentary on it. It is consistently trend ed down from 8.3% of revenue to now 6.4% of revenue. How should we look at this over the next 2 to 3 years? Is this a function of operating leverage playing out or is there some other element to it? Because the lowest it has been reported was at 4.5% of revenue in June of 2022. So how should we look at this component?

Kapil Bhutani: Our marketing spends are driven by events and sponsorships of various agencies in various events, largely buckled in Quarter 3 and Quarter 4 , across all our markets . There is a seasonality to these spends . However, the operational efficiencies will play because our revenues will grow at a certain level and our expenses will not grow in tune with our revenue growth. There will be operational leverages being played in the entire other expenses bucket, including the marketing spends.

Mayank Babla: Sure. My second question would be about the connected TV space. Could you give us a little more color or shed some more light on the progress of that and the overall scheme of things?

Anuj Khanna Sohum: When we look at the Consumer Platform Stack of Affle, our business model is consumer centric . When we talk about consumer centricity, we look at how do we reach this consumer across connected devices . Where all can this consumer be? The consumer is spending disproportionate amount of time on their mobile screen and increasingly the screen that is becoming important in the lives of consumers and the households is CTV. Therefore , our focus on mobile in -app experiences, as well as CTV on device and in -app CTV experiences are leading to great er engagements in terms of this consumer centric approach across connected devices.

When we go to the advertisers now, we are able to convince them that our platform should attract even more budgets on CPCU business model. Earlier,

we were going to them and saying, give us your digital budgets and let's take them on CPCU model because we are deeper funnel & ver

ticalized conversion

orientation platform. Now we are able to go to the advertisers and say, move your linear TV or traditional TV advertising budgets to digital CPCU business

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model, because we can now place ads inside and connect those ads to the mobile phones or on both CTV screens and mobile phones within a household context of connected devices , to drive conversions for the advertisers.

Therefore , the CTV business is contributing meaningfully to this expansion of growth of the advertisers ' budget towards the CPCU business model. Overall, it is a consumer centric CPCU business model on one integrated consumer platform stack because the consumer is the same. Now, whether you show the ad on the mobile phone to this user or on both CTV and mobile phone, we will only earn the conversion on the same user . We are not going to be running it differently. But now we are able to triangulate better between these connected experiences and drive more efficient conversions . We are able to tell the advertisers, to shift some of your budgets to this because you are even getting the upper funnel benefit of branding. When you do CTV ads, even if you don't drive a conversion, your branding, your upper funnel or mid funnel impact is much better. I believe this is becoming more compelling and CTV is a strong growth factor in terms of how we are shifting advertisers' budgets to CPCU business model.

Moderator: Thank you. The next question comes from the line of Siddharth Misra from Fidelity International. Please go ahead.

Siddharth Misra: Hi, my question is around the growth for developed markets and emerging markets outside of India. You have done some investments, as you mentioned, to elevate Vipul Kedia , you have made Sameer Sondhi the CEO of North America and then you have also talked about investments in different verticals to get the full potential of growth. Just wanted to understand that when you talk about full potential of growth, is that organic growth materially higher, which is possible in developed markets and emerging markets outside of India? What is that potential? Can it accelerate materially or this is the investment you have done to maintain the growth at these levels?

Anuj Khanna Sohum: We have one of the best technology platform capabilities, which are also anchored on the number of awards that we have won for our tech stack and tech platform in numerous competitive independent jury environments. Five of those awards I named earlier and also mentioned about our patent portfolio expanding. I believe all of these are grounding our claim that we have one of the strongest tech capabilities in this area. I am very confident of our propositions, of what we are taking to developed markets or even other emerging markets beyond India.

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Now to get meaningful coverage across all of our 10 -12 verticals, with all the advertisers in those markets, it is going to take time . This is because you need to invest in sales, marketing, build those case studies, build their confidence and say, hey, there's this company from India which has come to this market. You have to go a step at a time and that is what you are seeing in terms of our organic growth right now.

Let's look at how can we accelerate that further. If we were to do an inorganic transaction focused on developed markets or international markets and we gain access to a steady operational sales team on the ground which already has relationships with some of those customers , it opens the ability or the highway for us to now upsell and cross sell our product propositions at the back of that sales team to those customers. This would be both organic and inorganic growth .

The inorganic part is that when we acquire a business, they are already

selling their products to those customers. Once we acquire, w

e create a rider

or we create a short circuit where we can now go and approach those customers and sales team with our upsellin g & cross selling services to drive organic growth to shift from third gear to fifth gear. That is the whole thesis of doing the inorganic investment.

Therefore, we are looking at not only our own internal leadership expansion, but also clear leadership orientation and conviction to fuel our growth going forward. We are investing in data and inventory costs to build verticalized intelligence for international markets and we are looking at doing inorganic transactions . We have shortlisted from 12 to 4 and hopefully from 4 to 1 in the near term . We want to make sure that if we are going to do that one transaction, may that be the best inorganic expansion move of our Company compared to whatever else in the industry was available that money could buy. We are casting our net wide r and we are evaluating every single target that we believe we can afford to transact with. We will make the most sensible and carefully calibrated decision hopefully in the near term.

Siddharth Misra: Got it. Thanks. I had one more question on the inventory cost and the gross margin. The inventory costs have gone up this quarter as a percentage of revenues. Is it something which will kind of come down from these levels or will be structurally higher going forward? I just wanted to understand whether this quarter was just an aberration in terms of investment or you should expect this to continue?

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Anuj Khanna Sohum: This is an investment. I have already mentioned earlier that we have invested more towards prepar ing ourselves for greater growth and developed markets going forward across verticals in international markets. This is something that we will continue to do for at least a few more quarters till we can unlock the full potential of all the industry verticals that our platforms can serve in international markets. We are actively pushing that agenda at this moment. You would still see that we are calibrating that sensibly to have EBITDA margin expansion overall. As I mentioned, the internal organization's goals are revenue growth, EBITDA growth to be accelerated with margin expansion and overall de livering in that range in terms of around 20% to 25% for bottom - line EBITDA margin growth and around 19% to 20% on revenue growth.

Siddharth Misra: Okay. On the inorganic acquisition, will you follow a similar playbook like which you have done in the past or could it be something completely different?

Anuj Khanna Sohum: If you look at our track record and credibility of inorganic transactions, since we went public in 2019, we did a few acquisitions in 2020 to 2023. Last three years, we have not done any inorganic transaction. Why? Because this was part of a considered plan . I want to prove our playbook to all our investors and show that we are a team that understands how to do acquisitions and how to integrate them sensibly into a single cash generating business unit of a CPCU performance business. I believe with that track record and confidence, as we go further now into the rest of this decade, we are seeing that we will do one meaningfully sized transaction in 2026. We will do one more hopefully in 2028 and one more in 2030. Our view is clear that with a spacing of 1 to 2 years, we will have some meaningfully sized transactions (we may have some smaller transaction happening in between) . Given our management bandwidth and capabilities today, we believe that we can undertake a meaningfully sized transaction , but the playbook overall will largely remain the same. We will be looking at similar sort of valuation multiples like what we have paid in the past, for example in terms of revenues . In terms of expansion , our goal would be to unlock greater synergies after the acquisition to transform that acqui

red unit towards

greater growth, profitability and cash flows.

Our playbook will be the same, but the size and the scale would be the only differentiating factor versus what we did at the start of this decade. How we were playing between 2020 to 2023 versus how we play from 2026 to 2030,

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the difference would be in size and scale, not in the other areas of the playbook.

Moderator: Thank you. The next question comes from the line of Vivek Doshi from Nippon India. Please go ahead.

Vivek Doshi: Sir, on the DPDP Act , are there any additional compliance or consent requirement that Affle and its app partners need to implement? Will this lead to any incremental cost? Also, is there any possibility of reduced data signal for Affle for targeting or all of this is already consent based and largely unaffected?

Anuj Khanna Sohum: First and foremost, Affle will complete 21 years in April this year as a company and with this track record, we have been across all the important jurisdictions where Data Protection Acts have been around for more than a decade, starting from Singapore to Europe and to US. We have been operating across these jurisdictions and we have proactively gone and certified our platforms and processes , whether it is ISO certifications or Singapore governments, data related certifications, data privacy and security certifications . We have done these audits consistently for many years. We are not waiting for Data Protection Act of India to become operational before we start adhering to those standards that we hold ourselves up for in other markets. Once we uphold those standards in any jurisdiction, it applies across the board to the whole organization's process, because we are effectively one unified consumer platform stack. We are not running two different processes that okay, in this market, there is Data Protection Act, so let's run it this way, and another market doesn't have it, so run it another way.

Having said that, if there are certain nuances which are specific to the Indian Data Protection Act, then those have already been taken care of by our platform, because we know this act has been in the making for a long time. In fact, we have been playing an industry body role to participate as an industry voice in giving inputs of what should be there for best practices in this case.

My short answer is that we are fully ready and we welcome data protection, because it increases the confidence of the consumer that if they are giving consent, their data will be safe. If there are any industry players who are not doing anything sensible, then the regulators will go and take them to

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accountability. Having data protection regulation s across jurisdictions, if you go and check the data, the consumer confidence in the industry has gone up, they are more willing to give consent, even in jurisdictions where people are much more uptight about the consumer privacy, for example, Europe and US . India has been generally very generous and trusting. To an Indian consumer, if you ask, what is your name, where do you live ; if we are interested to know , people are willing to share readily. They are not as alert on consumer privacy as the developed markets. Having said that, even in India, with the regulation in place, the confidence of even high net worth or iOS premium users who are more aware or educated or are behaving like developed markets, conscious users about their privacy and concern, even they have greater confidence to give consent. I don't see any issues with respect to this. On the contrary, given our credibility, the international advertisers or the agency groups or international publishers who are operating in India, will actually say now since India has Data Protection Act, we would rather work with the top players like Affle, who they can trust

and which will uphold these standards as a sensible corporate citizen versus working with smaller players who may or may not have these credible credentials to inspire trust. We believe that a lot of partners around the world will trust Affle as a credible player in India to give us any first party data or collaborate on data

privacy initiatives with us.

Moderator: Thank you. The next question comes from the line of Swapnil Potdukhe from JMFL. Please go ahead.

Swapnil Potdukhe: My first question is, because of the INR depreciation, what is the benefit that we are getting in the revenues today? And given that the rupee continues to depreciate do we expect more benefit to come?

Kapil Bhutani: It's not only the revenue, the cost line items are also seeded mostly outside India. Even the India revenues, the ad exchanges or the SSP players are located outside India. So the foreign exchange movement is not a very positive scenario for us. We manage our forex to have no effect on the P&L. It is not only on the revenue, it is across. There is no impact on the bottom - line due to the exchange movements.

Swapnil Potdukhe: The second question is with respect to the several geopolitical issues which are ongoing across geographies. Which countries do you think have the

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highest risk in case any adverse activity happens in some of these geographies because you are exposed to a wide range of geographies beyond India as well?

Kapil Bhutani: With regards to the tariffs or with regards to the geographic aggression on the political side or the military side, we believe that there is no impact on us because our entities operating out of US are independent entities which have their own cost structures and revenue structures. We are not dependent on supply of information from India. So there is no impact of tariffs on us. With regards to other geopolitical activities which are going on, we are a cloud -based company and we can operate from any corner of the world. We have the disaster management plan enabled and we have been seeing this through COVID , through Israeli war and through Ukraine war. We believe that we are resilient to that effect.

Anuj Khanna Sohumi: I would like to add to that. On geopolitical economic financial side, we operate as a localized compliant business and advertising is a local business.

Even if we are working with global players, if their team is advertising in India or in the United States, the thought process of that team is local. They are looking at consumer centricity in a very local way. They are responding to local festivals, local holidays and so on . It's a very localized business and even if it was more internationalized, I don't think that advertising or software or digital is currently under the purview of any tariffs .

Regarding the bigger issues , in terms of peace and stability, we have a diversified and risk managed presence across the world, including our tech teams presence across continents. We have a tech team that is based out of India that is anchored here. We have also got tech teams in Israel, Spain and Argentina. When we look at the tech talent of the organization, right from Australia to Argentina, we have got this collaboration matrix that is growing and the company is working 24/7.

During COVID, and especially with the Israeli war situation, we tested ourselves that what if everybody has to work from home? And not only home , in the case of the Israeli team, they are working from extremely difficult situations. We have seen a lot of resilience in our team to operate in any situation. When we look at risk management, we go to all levels of worst case imagination . We see how can we manage redundancy and how can our workforce be productive . There are even plans for some key people who are super important , they should have power backups, they should have different

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forms of alternative internet connectivity so that they can keep our systems up and running in the most dire and difficult circumstances.

Moderator: Thank you. The next question comes from the line of Rahul Jain from Dolat Capital. Please go ahead.

Rahul Jain: Just one thing, purely from an AI point of view, you highlighted about that extra bit of investment on the inventory cost , but have you seen a meaningful

jump in the traffic on the scraping for inferencing or the various other AI activity, which is leading into some dynamic change in terms of the data, which could be fraud data, which could be not so relevant, not intent based or anything like that. Is there a meaningful change in behavior, the way people are consuming AI versus a pre -AI kind of a period?

Anuj Khanna Sohumi: In terms of traffic dynamics, there are enough industry reports which are saying that the patterns of people doing web browsing, are clearly shifting. Instead of going and doing search on Google or Bing or similar traditional search engines, the traffic is clearly shifting where people are now asking AI for answers. I believe there is some change in the web browsing behavior. Similarly on web content consumption, we believe that there are certain changes that are happening. Having said that, I believe there is an increasing adoption of what's called in -app mobile consumption, i.e., consumption from people who are using apps on the phone and shifting away from the browser. AI is helping the consumers to go more focused on the in -app traffic. Though our business is non -browser focused mobile in -app or on -device or CTV, and this kind of category of traffic is not seeing any significant change or disruption due to AI.

On the contrary, it is seen as a great opportunity because the AI platforms, for example, the agentic AI or assistant chatbot kind of AI tools, are essentially apps and not all of them have the power to sell subscription based revenue as a business model. Even the largest of them have started to adopt advertising as a business model. We will be benefiting from that because that will create a new type of ad inventory of users who are on AI tools and apps, which again is an area of focus for us in terms of both helping those apps to get new users as well as to help them to monetize on advertising. That's a growth opportunity for us on AI.

As I mentioned that our patent count and portfolio is constantly increasing, one of the patents that we have also filed recently is to look at how to do

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this better filtering of AI oriented non-human traffic. We would like to make sure that we understand which traffic is genuinely coming from human versus from an agentic AI tool acting on behalf of that human. We are doing much deeper filtration for that in our technology use cases and this is called pre - bid filtering. Even before we make a bid for that traffic, we should be able to classify whether this is a human engagement, is it a human delegated to an AI agentic engagement which is still authentic - it is acting as an authenticated AI, or is it a fraudulent machine based simulation to try and earn money for some publisher unfairly. We are doing proactive technology innovations in these areas and also protecting that by filing the appropriate patents.

Moderator: Thank you. The next question comes from the line of Ashwin Mehta from Ambit Capital. Please go ahead.

Ashwin Mehta: Anuj, one question in terms of acquisition strategy. Historically, when we did the acquisitions, these were to add services which could expand our offerings. Then we moved to adding verticals and geography presence. In terms of the next set of acquisitions that we are looking at, are we looking at newer models of monetization like say PaaS, for example, or the supply chain side of things? How are we

looking at it in terms of this round of acquisition?

Anuj Khanna Sohumi: Our focus in terms of acquisitions is always having a multi -pronged approach. It's not just anchored on one dimension of just a particular type of service, but there are several factors that contribute to it. At this moment, the single word that would define our strategy for inorganic is verticalization.

I will give you three dimensions of verticalization that we are evaluating.

First, in terms of ad industry verticals - the customer base, the sales organization or even the data capabilities of that particular target company, is it going to give us a greater ability to verticalize into these EFGH category verticals. If they have run a lot of advertiser campaigns for a while in that market, can we train our AI models on that intelligence and therefore verticalize our platforms much faster? The second area of verticalization is

from an ad tech perspective. Ad tech is right from the demand -side of these advertisers all the way to the tech stack, to the supply -side, to the ad server, to on -device operating system level - deeper in size. From demand to device verticalization, is it going to help us with that , is it going to add complementing tech capabilities within our consumer platform stack to

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become more deeply ad tech verticalized. The third dimension is the consumer data and part of the verticalization approach where we can go deeper on the consumer personas.

To summarize, these are the three dimensions. First, from a consumer standpoint, how can we go deeper right from the top of the funnel to the lower funnel conversions with the consumers . Second, on the advertiser side, we are looking at how can we go deeper and verticalize for EFGH categories . And third is on the ad tech stack, how can we go deeper all the way from demand side down to the device .

Moderator: Thank you. The next question comes from the line of Deepak from Sundaram Mutual Fund. Please go ahead.

Deepak: My first question is to understand the split of growth. Assuming that we do a 20% growth in the next 2 to 3 years on the topline, would it be fair to assume that 17% to 18% of that growth will be driven by converted users and 2%-3% percent will be driven by the average CPC U rate going higher? Or is it that, average CPC U rate would have a higher incremental share in this growth? Since the past couple of calls, we have been calling out that we are targeting premium users, CTV channels, more iOS led conversions. I wanted to understand the split of growth going forward ?

Anuj Khanna Sohum: I have already given a clear breakdown of how we internally look at growth and what are the formulas and the KPIs for the internal organization, the management team, the leadership team or the sales organization. We are looking at a formula where the revenue growth on a y-o-y basis plus percentage EBITDA growth on a y-o-y basis combined has to be around 45%. It can be 19% revenue growth and 25% -26% EBITDA growth and that leads to 45% or it can be 22% revenue growth and 23% EBITDA growth and that's 45 %. But in both scenarios, EBITDA growth has to be faster than revenue growth, which means margin expansion has to be part of the equation. Now, I would like to retain, some execution, tactical flexibility to ensure that in certain cases we may push for higher margin expansion with slightly lower revenue growth or a slightly lower margin expansion but higher revenue growth .. This quarter, we pushed for revenue growth, but we invested more for verticalization in international markets and data and inventory costs . The EBITDA margin expansion was happening, but not as much as it could have happened had we not pushed for that element. These are tactical things. Any

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further distilling it would be perhaps too restrictive. If you are

modeling our

company for growth, modeling it for around 18% to 20% revenue growth and around 23% to 25% EBITDA percentage growth would be sensible .

Deepak: My second question is relatively short term in nature. Since past couple of quarters, our base is largely normalized and Q3 is the strongest quarter for us. Wouldn't it be fair to assume that in this Q4 quarter, we should see some cyclicity and some decline in the revenue front on q-o-q basis? Or do we think that we still have that revenue visibility for us to be at a similar run rate of Q3 or even better in Q4?

Anuj Khanna Sohum: Depending upon what all happens in the geopolitical world what side of the bed the world leaders wake up from every other day, if things are stable, I believe we will do better in Q4 versus Q3 or at least like flattish, we will beat that trend again. But there's still two months to go and every day the situation is dramatically different. Given that context, it could range to slightly below Q3 to slightly above Q3, but we should be very resilient in Q4.

January has been positive and I have reasons to be optimistic. But in a normal scenario, let's say everything being sensible in this world, Q3 should be our highest quarter and we should all expect to see a slight dip from Q3 to Q4. That's the normal expected scenario. But we are such a fast growing company across verticals and across markets, that we have been beating this trend over the last few years. I believe we have a good chance to beat it again, provided the geopolitical situations allow the advertisers to continue to put their budgets the way we are expecting it.

Deepak: Okay, I believe that then, because we have been doing very well, even in Q3, despite all the RMG impact and there was also some uncertainty regarding US because of tariff, we have done relatively well. So, hopefully it should be a good number in Q4. Thank you for the clarification and all the best.

Anuj Khanna Sohum: If you are modeling it, be prudent and model it like slightly lower than Q3. But let us surprise you.

Deepak: Yes, sure. Thanks.

Moderator: Thank you. As there are no further questions from the participants, I now hand the conference over to the management for closing comments. Thank you and over to you, sir.

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Anuj Khanna Sohum: Thank you for the highly engaging Earnings call today and for your wonderful questions. I look forward to meeting you again soon with Q4 and the full FY2026 results. This is our first year of Affle 3i, first year of our third decade. I am looking forward to our company turning 21 years old on 5th of April 2026. There will be exciting news to follow. We have laid a great foundation for Affle 3i in its first year already. Ten months gone and we have already done fantastically well. I am convinced that we have a great growth journey ahead for Affle 3i 10x growth vision. Thank you. All the best.

Moderator: Thank you. On behalf of Anand Rathi Share and Stock Brokers Limited, that concludes this conference. Thank you for joining us and you may now disconnect your lines.

*** end ***

Call: May 2026

Affle 3i Limited

(Formerly known as Affle (India) Limited)

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AFFLE /SE/ECT/Q4/2025-26 May 18, 2026

To

BSE Limited

Phiroze J eejeebhoy Tower s,

Dalal Street, Mumbai 400 001

Scrip Code: 542752 National Stock Exchange of India Ltd

Exchange Plaza, 5th Floor, Plot No. C -I, G Block,

Bandra Kurla Complex, Bandra (East), Mumbai

- 400 051

Symbol: AFFLE

Sub: Transcript of the Earnings Conference Call for the fourth quarter and financial year ended March 31, 2026 conducted on May 11, 2026 at 10:00 AM (IST)

Dear Sir/ Madam,

Please find enclosed the detailed transcript of the Earnings Conference Call conducted on Mon day, May 11, 2026 at 10:00 AM (IST) to discuss the results and developments for the fourth quarter and financial year ended March 31, 2026.

The same is also available on the Company's website at <https://affle.com/investor-relations> .

Please note that the audio recording of the Earnings Conference Call was submitted vide our letter Affle/EC/2025 -26/Q 4 dated May 11, 2026.

Submitted for your information and records.

Thanking you,

Yours Faithfully,

For Affle 3i Limited

(Formerly known as Affle (India) Limited)

Parmita Choudhury

Company Secretary & Compliance Officer

This transcript has been edited to improve the readability

Affle 3i Limited

Management: 1) Mr. Anuj Khanna Sohum – Chairperson, Managing Director & Chief Executive Officer of Affle 3i Limited
2) Mr. Kapil Bhutani – Chief Financial & Operations Officer of Affle 3i Limited

Analyst: Mr. Ashwin Mehta – Ambit Capital

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Moderator: Ladies and gentlemen, good day and welcome to the Affle 3i Limited Q 4 & 12M FY2026 Earnings Conference Call hosted by Ambit Capital . As a reminder, all participant lines will be in the listen -only mode, and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during this conference call, please signal an operator by pressing '*' then '0' on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Ashwin Mehta from Ambit Capital .

Thank you and over to you, sir.

Ashwin Mehta : Thank you, Iqra. Good morning, everyone. On behalf of Ambit Capital , we welcome you all to Q 4 and 12M FY2026 Conference Call of Affle 3i Limited. I take this opportunity to welcome the management of Affle 3i Limited, represented by Mr. Anuj Khanna Sohum, who is the Chairperson, MD and CEO of the company; and Mr. Kapil Bhutani, who is the Chief Financial and Operations Officer of the company.

Before we begin with the discussion, I would like to remind you that some of the statements made in today's conference call may be forward -looking in nature and may involve some risks and uncertainties. Kindly refer to Slide 2 of the company's earnings presentation for a detailed disclaimer.

I will hand it over to Mr. Anuj Khanna Sohum for his opening remarks. Thanks, and over to you, Anuj.

Anuj Khanna Sohum : Good morning everyone and thank you for joining the call today. I trust all of you are keeping in good health.

Affle's growth story is of consistent compounding - for the last 5 years , we have delivered on our medium -term guidance across both top line and profitability on the back of our robust AI -powered consumer platform stack. FY2026 has been a strong foundational year in our 3i journey as the first full year of our third decade as Affle 3i Limited. We have advanced our vision with disciplined execution and clear strategic intent. We are firmly on course to deliver on our medium -term guidance of 20% CAGR as we progress towards our 10x decadal growth vision.

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We concluded another year on a remarkable note, registering our 13th consecutive quarter of sequential top line growth despite a challenging macro environment. In Q4 FY2026, we delivered revenue of INR 7.24 billion, an increase of 20.3% y-o-y, sustaining the growth momentum that has defined Affle's trajectory over the past years. Our continued focus on improving operational efficiency and productivity translated into EBITDA of INR 1.61 billion, growing over 20.3% y-o-y. PAT stood at INR 1.20 billion, increasing by 16% y-o-y, with the growth remaining relatively subdued given our lower effective tax rate in the base quarter last year. Our profit before tax from

operations, excluding other income, grew in line with EBITDA at 20.8%. Our CPCU business continued to scale, delivering 120.3 million conversions at a CPCU rate of INR 60.0, translating into CPCU revenues of INR 7.21 billion. Our growth has been consistently broad-based across key industry verticals and geographies. India and global emerging markets together contributed 71.6% of our revenues, while growing by 21.2% year-on-year. Our developed markets delivered a resilient performance, growing 18.0% year-on-year, and contributed 28.4% of our revenues in Q4 FY2026.

This growth was achieved despite some temporary softness in select markets and verticals during the quarter due to the geopolitical events and was driven by our disciplined sales efforts, deeper customer engagements and new logo additions. We continue to unlock new avenues for growth, further strengthening our position as a trusted privacy compliant and results-driven platform.

For the full year, we delivered revenues of INR 27.1 billion, a growth of 19.5% y-o-y, with EBITDA

of INR 6.1 billion at a robust growth of 26.3% y-o-y and PAT of INR 4.55 billion, growing 19.1% y-o-y.

These outcomes are underpinned by our continued investments in AI and platform innovations, enhancing campaign effectiveness, conversion quality, and operating efficiency. During the year, we further augmented our capabilities through the integration of OpticksAI and Niko into our consumer platform stack, driving improvements in creative optimization and automated campaign management. We are deepening our AI native capabilities across the organization with focused efforts on upskilling our teams and embedding AI into day-to-day workflows, enabling higher productivity and more effective execution.

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This quarter, we have featured 3 customer-approved case studies across key industry verticals in our earnings presentation. The first case study highlights our capabilities in driving high-value iOS shoppers' conversions for a quick commerce player in Europe, leveraging our ability to target high lifetime value users at key intent moments to drive first-time purchases. The second case study focuses on driving existing gamers' conversions for a global gaming advertiser, where we boosted repeat conversions and ROI through AI-driven audience modeling and interactive creatives. The third case study highlights our ability to scale new user conversions and maximizing ROI for an Indian fintech customer, leveraging on-device, in-app premium placements through our AI-powered intent and recommendation engine and dynamic creative optimization.

Affle continues to be recognized as a technology thought leader across industry forums. Our platforms have ranked amongst the top ROI driving ad partners and growth leaders globally in the Singular ROI Index 2026, earning several other placements across various categories. We also received several accolades across leading industry forums during the year, notably the Best MarTech Platform of the Year, along with 5 other accolades at the DIGIXX Summit and Awards 2026, Most effective tech platform at the Maddies and wins across categories in the 16th India Digital Awards.

We continued our efforts to take stronger strides in ring-fencing our technology moat. We received 5 new patent grants during the year, taking our comprehensive IP portfolio to 18 unique patents granted and 21 filed & pending. With around 300 unique enforceable patent claims, our patents span across fraud intelligence, human versus nonhuman distillation, precision targeting, contextual and gesture-based advertising and next-generation AI native ads and engagements across key industry verticals. The breadth and depth of this position, with the unique and defensible IP, ensures that as the digital ecosystem continues to evolve rapidly, we have been future proofing our business for the next phase of digital advertising growth.

As we look forward, the structural tailwinds of our efforts in FY 2026 are compelling. We see global ad spends rising with AI expanding the frontiers of ROI-based returns-based advertising in ways that will fundamentally reshape how brands engage and convert consumers. These are structural shifts that

play directly to Affle's core strengths. Our first-party data intelligence, algorithms, unique IP on ads & audience intelligence and our deeply verticalized approach across key industry verticals & geographies collectively

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position us to capture a disproportionate share of this growing opportunity. We are future-ready, and we remain agile and steadfast in our commitment to delivering sustainable, profitable growth and creating enduring value for all our stakeholders.

Lastly, on inorganic efforts, we continue to actively pursue growth opportunities that are strategically aligned with our 3i vision. To further bolster our readiness in

closing the deals, our Board has approved a preferential issue of equity shares to strengthen our balance sheet. Post our shareholders' approval, our corporate promoter, Affle Holdings, will invest to acquire ~7.4 million warrants at INR 1,487, totaling approximately INR 11 billion, with 25% upfront payment. This will ensure that we are well capitalized and ready to move swiftly this year on the right acquisition opportunities. This is a proactive step towards executing our inorganic growth strategy with the calibrated discipline and conviction that has defined our organic growth journey.

With that, I now hand over the call and discussion to our CFO, Kapil Bhutani, to discuss the financials. Thank you, and over to you Kapil.

Kapil Bhutani: Thank you Anuj. Wishing everybody a good day, and hope all of you are keeping safe and well.

As we turn the page from financial year 2026 to financial year 2027 in Affle's consistent growth story, we do so with a greater conviction, concluding FY2026 on a stronger note. For the full year, on a consolidated basis, we achieved revenue of INR 27.1 billion, representing 19.5% y-o-y increase as our unique ROI-linked CPCU business model continues to be in a high growth momentum.

Our sustained focus on operational efficiency and profitable growth translated into EBITDA of INR 6.10 billion for the full year, registering a robust 26.3% y-o-y growth with a margin of 22.5% on an improvement of 120 basis points y-o-y.

We achieved operating cash flows of INR 5.02 billion during the year, increasing by ~25% CAGR over the last 5 years. This underscores the quality of our earnings, our disciplined working capital management and our consistent ability to convert profitable growth into strong cash flows.

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Our PAT for the year stood at INR 4.55 billion, an increase of 19.1% y-o-y with a PAT margin expanding to 16.3% versus 16.2% in FY2025, despite lower other income during the year.

Our Profit Before Tax from operations (excluding other income), stood at INR 4.80 billion for the year, growing 28.5% y-o-y, outpacing our EBITDA growth and reflecting the underlying strength of our core business from operations.

Now coming to Q4 FY2026, there were some macro challenges due to geopolitical events, which required recalibrations. Despite this, we achieved our 13th consecutive period of q-o-q topline growth. On a consolidated basis for the quarter, revenue stood at INR 7.24 billion, registering a y-o-y growth of 20.3% and a sequential growth of 1%. We were able to sustain balanced growth across India and international markets. On an adjusted basis, our India revenue grew by 19.5% y-o-y, Developed Markets increased by 18.0% y-o-y and Emerging Markets registered a robust growth of 22.3% y-o-y.

We recorded EBITDA of INR 1.61 billion for the quarter, registering a growth of 20.3% year-on-year. Our EBITDA margin stood at 22.3%, broadly in line with Q4 last year.

In terms of Opex, our inventory and data costs stood at 63.3% of the revenues for the quarter, an increase of approximately 90 basis points sequentially.

Our employee benefit expenses remained largely flat as we continue to leverage our ongoing investment in AI and innovation, driving greater productivity across teams and operations.

Other expenses declined by 4.3% sequentially, reflecting a natural moderation in business promotion activity following a sequentially active Q3. We achieved a profit before tax of INR 1.48 billion during the quarter, an increase of 19.5% y-o-y and 1.3% q-o-q. Our profit after tax stood at INR 1.20 billion, marking an increase of 16.0% y-o-y and 0.2% on a q-o-q basis. The PAT growth in percentage terms is subdued on account of lower tax rate in Q4 last year. However, on a full-year basis, our ETR was in line at 18.6% versus 18.3% last year.

We continue to prioritize efficient working capital manag

ement and as such, there were no material changes in collection risk during the quarter.

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Building on the 5-year consistent and profitable growth, we remain confident in the resilience of our business model and the strength of our AI-powered Consumer Platform Stack to sustain this momentum through FY 2027 and beyond. Even as the global environment continues to present new challenges and opportunities in equal measures, our disciplined financial management supported by healthy balance sheet and robust operating cash flows provide strong foundation to capture emerging opportunities ahead.

With this, I end our presentation. Let us please open the floor for questions.

Moderator: Thank you very much. The first question is from the line of Ashwin Mehta from Ambit Capital. Please go ahead.

Ashwin Mehta: One question in terms of how the competitive dynamics is evolving in the GenAI era, especially from walled gardens as well as the GenAI natives. While we have talked about on the creative side, the OpticksAI platform helping us, but on the campaign management and the targeting side, how are things changing versus earlier? And what are our priorities in terms of investments there?

Anuj Khanna Sohum: Thanks, Ashwin. Regarding the competitor ecosystem evolving, there's no significant change. I believe all of the competitors are responding to AI in their own sort of initiatives and ways and largely trying to do what is appropriate and obvious at the moment. I would say that the competitive edge that Affle has versus most of the other competitors is that we are working with the advertisers directly. We are integrating as part of our unique CPCU business model with deeper conversion level, first-party data integrations with our advertisers directly.

I believe that puts us at a unique position. What also is different and unique about us is the fact that we are across all the top key industry verticals and our platform is being verticalized, deeply integrated with the advertisers across those unique verticals. It's not just a horizontal solution. We are very focused on those industry verticals and our premium positioning for that. Even our AI algorithms or AI-related experiences are deeply verticalized for those industry verticals. That gives us another differentiation and edge. In terms of how we are performing versus the competition, I find that across e-commerce, entertainment, fintech, food tech and now increasingly also in health care, we are seeing some real competitive advantages of our verticalized approach and direct to advertisers approach.

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It will be hard for competitors to respond to that because a lot of them are not on the CPCU business model and a lot of them are also not directly deeply integrated with the advertisers' first-party data. That makes a big difference.

In terms of the walled gardens, on AI side, the automation tools that the walled gardens are providing, I believe that's definitely helping them.

We can see it from the results and that's across-the-board trend. In ad tech, AI will be a clear tailwind, whether it is the walled gardens, whether it is

Affle, whether it is the other competitors. Then the main question is who will capture more of this increasingly expanded AI -oriented digital ecosystem. On that, our approach is clear, direct to advertisers, first -party integration, CPCU business model and deep verticalization to ensure that there's a premium integration that is provided that's not easily comparable or replaceable with any other competitor. That's how I would look at the competitive landscape.

In terms of our own technology evolution with OpticksAI, Niko AI, we are seeing adoption across our customers and they're clearly seeing value addition happening both on the iOS and Android ecosystems. We're also seeing it going beyond

mobile to CTV and we are seeing a very good impact overall of how AI is being implemented.

One very key differentiation that I would like to highlight for everybody's benefit is that as more and more agentic AI tools come around the Internet across industries, across different business cases and even as more and more consumers start having more and more agentic AI, what's going to be super important in digital advertising is what we define as human versus non -human filtration.

It has to be very clear to the advertisers and technology platforms have a duty to show that if we are showing an ad, we are actually able to filter out whether this was a human engagement or whether this was an agentic or non-human engagement. You would notice that Affle has been talking about this ever since pre -IPO days of 2017 when we filed several patents to distinguish between human versus machine activity.

This is an area where we've got several patents granted over many years. With the advent of agentic AI and the explosion of AI -generated apps or content on the Internet, this particular intellectual property or proposition or capability of Affle's 3i Consumer Platform Stack is becoming an outstanding differentiator as we talk to the advertisers . This problem statement is Affle 3i Limited

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something that Affle has got some unique moats around and I believe the competitors are not responding to this bit as much. Wherever you hear, AI is about automation or generating content, but very few people are talking about technology where they can filter out whether this is an engagement from a human or a non -human. I believe this is an area where Affle is differentiated.

Ashwin Mehta : One follow -up to this. You talked about filtering the human versus non - human traffic. But in terms of targeting the non -human traffic for conversions, how would things work differently versus how they have been when we are targeting humans?

Anuj Khanna Sohum : Today, it's still early and agentic will evolve over the next 5 years. When an advertiser would spend budgets 5 years from now , the advertisers would most certainly want to make sure that a big part of their budget is spent to actually deliver on human engagements and drive conversions directly with humans. There would be a smaller part of the budget that they would also want to use to influence authentic AI agents that are acting on behalf of the humans, the consumers. There will always be this bigger challenge .

Let's put it into buckets. A big part of the ad spend will go to target humans. We are addressing that very well. Another smaller part, but a meaningful part, could go towards targeting the AI agents, which are authenticated and are assisting humans or the consumers. We must absolutely ensure that there is no loss of budget or engagement to the noisy non -authenticated AI agents. There will be tons of those that are pretending to be Ashwin or Anuj or what we call digital fraud . There will be a huge need for filtering that out while clearly having this technology differentiation and the IP that we have will come to our advantage. But this will be an evolving trend over the next 5 years. Like I said, we have a competitive moat and I believe we are ahead of the curve versus what most of the competitors are talking or demonstrating in their road maps at the moment.

Moderator: The next question comes from the line of Arun Prasath from Avendus Spark .

Arun Prasath : Anuj, my first question is on gross margins. If you see the last 7 -8 quarters,

we are continuously seeing a reduction in the margins from a percentage perspective . While I see positive in this because we are able to deliver absolute growth in both Gross margins and EBITDA margins , my question is

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whether this gross margin reduction is because we are responding to the competition or is it because o

f the vertical mix change?

Or is it a conscious decision? If it is a conscious decision, how much of this you would say that has contributed to our growth and where this leads to in future ? Your thoughts on this, please?

Anuj Khanna Sohum : No, I believe we are range bound within our unit economic model. We are very disciplined in how we execute this. First of all, no investors should see any particular surprises in terms of how we execute. We should be very predictable, dependable in terms of how we continue to grow our CPCU pricing, how we continue to grow our overall volumes of conversions and keep the data inventory cost at a sensible and a calibrated level. This is an overall long -term view that I can give to you.

In the short term, let's say, the last several quarters, you would see that we have been calibrating and investing towards launching more verticals in more geographies, going deeper in our verticalization approach, direct to advertisers and also emphasizing premium positioning for the Affle platform s.

Why is it a premium - because it is targeting higher -value lifetime users. To get to those higher -value lifetime users, you have to target premium device models and premium touch points on those device models. You've got to go to CTV, you've got to go to more premium placements to find the high lifetime value users for the advertisers. That involves deeper investments ; and I use the word investment, not expense, but accounting -wise, of course, everything is expensed out in data and inventory costs . Deeper investments to build audience intelligence and advertiser intelligence that is verticalized and highly integrated with the first -party data intelligence of our platforms. This area of investment has been a conscious decision.

Having said that, it doesn't take away from the overall sensibility of our unit economic model. Therefore, you have seen overall expansion and growth in a sensible manner. It should stay range bound. And there's still a long runway for growth, delivering about 20%+ growth over the next 5 years is our goal. We are doing verticalization, going towards a more premium positioning, more first -party data integrations and these areas of investments across developed markets where we are clearly under -calibrated at the moment and there's a long runway for growth.

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Hence, we are investing in that area and that's what you're seeing in terms of the margin profile. But over a period of time , even this particular aspect would probably lead to further improvement and we should see better margins and even stronger bottom -line performance.

Arun Prasath : Understood. One clarification on this. Say, 39% to 36.5% to 250 bps reduction in the gross margin, largely if it can be attributed to the investments, how long does it take for these investments to pay off? I mean, how long before we can get back to 37%-38% kind of margins? Is there any timeline you are operating with or it just still early days?

Anuj Khanna Sohum : I believe in about a year, we should be able to achieve the level of verticalization and the level of intel that we need to develop across all the key geographies and hopefully, around that time onwards, we should see another year of bringing it back to better levels , where we don't need to invest as much.

Arun Prasath : My second question is that in the era of abundant intelligence and inexpensive intelligence, there are 2 things that can happen. One, what we have built over last several years or almost a decade, someone with a really

resourceful competition can probably build it in a shorter period of time. So either it can lead to consolidation, or it can encourage new players. How do you see this playing out at least in the medium term? Do you see first consolidation and then the new players or to first encourage new players, which will lead to a

consolidation later ?

Anuj Khanna Sohum : First of all , we are a very strong business -to-business platform . We are deeply integrated with the advertisers whose data integrations and apps integrations are a non -trivial matter to do across industry verticals, across geographies, with our very broad -based and diversified presence, which takes a lot of time.

It's not as simple as, okay, let's launch an AI model and get done. You need to go and do the contracts with these advertisers across all these 10, 12 verticals, across geographies, integrate the apps and the data layers , and then you can start training an AI model on that. This is not something that's readily available that you go on the Internet and you crawl around and you have built intelligence.

This is not the kind of intelligence we are talking about. The kind of audience intelligence and the advertiser intelligence we are talking about is deeply

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verticalized and this intel requires a fairly long execution period to get through.

For new entrants, it's going to be really hard. For the existing incumbent players, they will have to compete with Affle to get to that depth of verticalized data integration and processing and intel to go on a CPCU business model from where they are today, which is still very much on impressions and clicks - changing your business model, changing the technology stack, going and convincing advertisers for a deeper integration. Let's take an example, let's say, a company like Trade Desk, which is a demand -side platform focused on serving ad agencies as partners. They're not necessarily focused on , nor talking about, nor investing at the moment in the CPCU business model. For them to start transitioning to CPCU business model, going direct to advertisers, integrating deeply on the first -party data of the apps of the advertisers, it's going to be a massive transition. Incumbent organizations will find it challenging and new entrants will also find it challenging.

I wouldn't say that it is low -cost AI. It is deep verticalized premium advertiser and audience intel, which is not readily available , where you can't just say that I've taken a cloud connection to the Internet and now I've become intelligent. It doesn't work like that.

Moderator: Next question is from the line of Vijit Jain from Citi .

Vijit Jain: 2 questions. One, with this fundraise that you've announced. I know in the past, you've said that you look at the trailing 12 months operating profit as a benchmark or something to use for M&A activity. So my question first - is the ticket size somewhere around \$200 million ? I understand it can go up and down, but is that the general ballpark?

And a related question, have you kind of narrowed your focus on the kind of asset you want to acquire there as well?

Anuj Khanna Sohum : I would give the answer to the second question first because in the last earnings call also, I had mentioned that we have evaluated several companies - more than 10 and then we've shortlisted about 4 - where we are doing deeper due diligence, we are doing deeper assessments as well as negotiations. I wouldn't want to give any color to the size of the transaction because there are a few small transactions as well . I don't want to confuse

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your analysis on that. There are some larger ones. So , there are small, mid -sized, and larger ones.

We may do more than one in terms of how we execute through the rest of

this financial year. I would say - stay tuned. As and when we are closer to and have a definite announcement on it, we will be very proactive in explaining our approach and strategy.

But it is important to also note that given the ambition of the organization and the kind of shortlisted pipeline of opportunities that we are actively engaged with, it is now prudent. It is now the r

ight time for the company to

be ready with the necessary capital and seriousness to send the right message, even to the Boards of the selling organizations, to know that we are serious.

We are here and we have the necessary financial resources to execute in the very short term if needed. But we will take our own time. There's no pressure to act like today or tomorrow, but we are making sure that we execute at the right terms at the right price with the right target company. We will be patient, calibrated and we will bring the right transaction to unlock value for our shareholders.

Vijit Jain: My second question is on your remarks Anuj. You said a couple of times that in this next phase of growth in advertising will be direct to advertisers and first-party data integration and so on. I know that there's been some recent tensions between ad agencies and not you guys, but some other DSPs as well. Do you see the whole structure of industry kind of changing post -AI? Is that a nod to that?

And related question that I suppose is if you can give me a color on what your current footprint is - in terms of your active SDK integrations that you have with our publishers and how that has trended over the last one year?

Anuj Khanna Sohum : In terms of the industry trend, all I'm saying is that you have to be closer to your customer. If you look at our earnings presentation, there's one particular slide that gives the entire Affle 3i Consumer Platform Stack details, one slide that tells you how we are direct to advertiser by design and there, we call AI as advertiser intelligence. Not just that, we call it verticalized AI, which is verticalized advertiser intelligence.

Then on the other side, we're talking about AI as an audience intelligence, where we have 4 billion + consumer devices that we are able to reach out to.

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Therefore we are profiling or processing audience intelligence at scale and that is highly personalized to deliver personalized recommendations. There's vernacular intel, creative optimization, all of those things – this is the model with the kind of scale and premium verticalization that we are talking about. Now there are a few pathways to go to the advertiser. For us, around 75% of our pathway is direct with the advertiser. There's no other company involved in between. Around 25% plus of the revenue is through large ad agency group partners. But even there, our tech stack is directly integrated with the end advertiser's app because we are driving CPCU business model. Our business model requires that even if there is an agency or a partner in between, we would still need to integrate with the end advertiser directly. It's a necessary requirement.

That's what I'm emphasizing about. I believe the role of ad agencies will continue to be relevant. It will change, it will evolve. It will become a lot more efficient or perhaps even higher value roles and functions that they could play.

I wouldn't really opine on their future. All I'm saying is that for a tech stack like ours, we need to connect and be deeply integrated with the advertiser. That's the main emphasis point there.

In terms of the SDK footprint, our direct -to-consumer conversions approach of the business allows us several pathways of working. On that slide, you would see the supply side integrations, the OEM & operator integrations and there are even walled gardens integrations. We are working on the mobile device, CTV devices, the connected household devices and also on digital out-of-home. Some of them are small parts of our business, but we are looking at the consumer journey as an end-to-end connected journey.

We work with a lot of the SDK partners as well. Our own SDK is also doing well. One of the areas of the footprint expansion is that - going deeper with

those publishers because once you have the kind of advertiser d

emand that

we command in the market today with the verticalized integrations, that is unique advertisers demand.

So all the publisher side of the ecosystem, we are able to absolutely work with. Maybe I'll just leave it at that, but the footprint is expanding. Today, our footprint, not of the SDK alone, but across all the channels that we have

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to reach out to the consumer conversions directly has over 4 billion connected devices footprint and that's not insignificant.

Moderator: Next question is from the line of Aadil Khan from ICICI Prudential Life Insurance.

Aadil Khan: Congratulations on a great set of numbers. I have a couple of questions. So firstly, when it comes to acquisition, like you mentioned that you've gone down to 4 entities. What kind of capabilities are we looking for in these companies? Secondly, if you could give us a timeline ?

Anuj Khanna Sohumi : Thanks, Aadil, for your question. In terms of capabilities, our focus is to take on direct access to a lot more advertisers and sales force out there with certain levels of initial integrations that they may have already done with those customers and advertisers in developed markets or even globally. Then we are assessing them whether those integrations and relationships can be tapped on by Affle to really bring a transformative life to our strategy to go and take that acquired company and make it the verticalized first-party data integrated direct-to-advertiser platform that we're talking about here. So again, the target is to get to a larger base of customers and have a sales team with ready relationships, have a tech stack with some ready integrations and then to transform it and enhance it to the playbook of Affle which is to make it a much more premium platform versus the way it is operating at the moment and to enhance its competitive moat using Affle's approach and strategy as well as our technology. That's what we're looking at.

The goal is to strengthen ourselves even more in developed markets and be much more verticalized, both with the advertiser verticals as well as at an ecosystem level, right from the advertiser to the consumer platform. How can we go fully simplifying and unifying the ecosystem from the advertisers to consumer conversions and that's our strategy and approach.

In terms of the timeline, there's a realistic chance that we may conclude a meaningfully sized transaction within this year itself. And when I say year, I'm not meaning the whole financial year, but within this calendar year.

These transactions do take time because we're talking about the full due diligence process, the negotiation and the conclusion of the governance processes around it.

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Once we are closer to the definitive agreements and dates, we will certainly provide the clearer timeline. But for now, it should be reasonable to say that within this calendar year, we should see a transaction, hopefully, of a meaningful size.

Moderator: Next question is from the line of Divyesh Mehta from Invesco India.

Divyesh Mehta: Sir, with respect to the gross margins, what the investment we are doing, can you give some context as to how much more investments are pending? When should we expect these investments to taper off? That's the first question. Second one is, given how the market is shifting with in ad tech, do you think this is the right time to enter into the SSP space in a meaningful way? That's it.

Anuj Khanna Sohumi : Thanks for your questions. I've already given some guidance on gross margins that we are investing with a clear purpose-driven strategy, which is to be deeply verticalized, be a premium platform that has intelligence, across key geographic regions and key industry verticals and that requires the right kind

of investment . Going to high lifetime value consumer conversions, that kind of

a premium positioning requires certain investment in intelligence building and we are doing that really well at scale.

Now I did mention that it will take about a year more and then we will start seeing greater benefits of that in the second year and hopefully improve the margin percentages in the financials progressively.

With respect to your second question regarding SSPs, our view is straightforward. We see these terminologies where an organization is just playing on the SSP side or companies that are only playing on the SSP side . For those who don't understand this terminology, there are companies that only focus on the supply side. My opinion is not strongly in favor of that. My view is that anybody who's in provision of technology for advertising , has to find a way to be close to the advertiser, close to the customer, going for deeper integrations with the advertisers and the customers in order to ensure that you can serve their interest well. You have to have a direct -to-consumer conversions business model to absolutely ensure that you're delivering ROI to the advertiser versus just playing a very point solution at one end of the ecosystem , i.e., only supply side.

I believe those platforms will be commoditized and it will be extremely hard for them to compete in the market. Even if we do any acquisitions, our

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strategy is very clear. We are looking for a larger customer base, a larger sales force that can serve that customer base and a tech stack that already has some preliminary integrations and then how can we expand that into our overall premium philosophy and transformation towards a verticalized integrated platform, going direct to advertisers, direct -to-consumer conversions.

Therefore, our play as Affle is always going to be an end -to-end platform. You will never see us gravitate as a point solution on one side of the ecosystem, distant from the end customer who's paying, which is the advertiser.

Moderator: Next question is from the line of Anmol Garg from DAM Capital.

Anmol Garg: A couple of things that I wanted to understand. One thing I wanted to understand is that in case we acquire something, can we look to operate at a different model like cost per impression or cost per click? Or would we want to convert that company to the CPCU model itself?

Anuj Khanna Sohum : Our endeavour would be to convert and transform over a period of time, but not doing it in an abnormal or not in the natural course of business. If you noticed that in our previous acquisitions that we did in year 2020 to 2023, we acquired companies that were not naturally on a CPCU business model. Even on a unit economic model, they were not profitable. They were just barely breaking even. We have transformed all of those business now into a CPCU business model . But it takes time , it takes effort.

First of all, any business that we acquire, our goal would be to make sure that the valuation and the financial sensibility has to be extremely conservative and prudent. We are putting our hard -earned money into it. Instead of building, we are making a decision to buy. We will be very sensible, value -driven and conservative in terms of the valuation.

In terms of what we acquire, it should give us a clear and a meaningful starting point, a bigger base as a starting point on which we can then ensure that we can grow Affle's CPCU business and platforms on that base in those markets.

Let's say, we do an acquisition and that target entity has a base of customers, a sales team, in developed mar kets - North America and Europe. Soon after that, we will train those sales teams to take our products and propositions on top of that to upsell, to cross -sell those deeper CPCU conversion use cases

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to those customers. Naturally, over a period of time, we would see, hopefully, that the acqu

ired business as we had it before over the first year, second year, possibly by the third year would be fully transformed to the CPCU or more premium positioning that we have with the advertisers.

Anmol Garg: In continuation to this, you have spoken about that CTV is a clear growth area into the industry. So just wanted to understand like how CPCU model will work in the CTV type of engagement or largely that would work on an impression kind of a model?

Anuj Khanna Sohumi : No, the CPC U model can work on CTV engagement, can work on digital out-of-home engagement, can work on mobile. The answer is very simple. If you have the intention to deliver ROI, all it requires is to back that intention with execution action to go deeply integrate with the advertiser.

For example, somebody sees an ad on the CTV and that person engages with that ad in many different ways. We have a lot of unique ways in which that can be done. For example, you have your mobile phone, you can straightaway scan a QR code or maybe not even that. There could be some other ways. You look at the mobile phone, it can create some complementing experiences on it and we can create reengagement and repeat conversion possibilities on the mobile device.

When the user is out there at digital out-of-home in a shopping mall or something like that, we can again create those kind of engagements that can drive conversion. Either on your mobile device straight away, you go and you can do a conversion or a transaction with the advertiser's app or in a physical mall situation, you can actually have a footfall driven there.

Now, to do the conversion-related business model, the fundamental insight is that the conversion has to happen inside the advertiser's environment. Whether it is the advertiser's app or whether it is the advertiser's storefront or whether it is the physical storefront, these are the places where the conversion event would happen. Therefore, Affle has to have deep first-party data integration with the advertisers to ensure that we are achieving that.

And that's how we do it. CTV is an important part of the journey.

What we have to think about is not just the screen. We are a consumer platform. The consumer is on multiple screen touch points. In-app mobile, this is a very big and a very important touch point for us. CTV, which is the households, connected households, another important touch point for us. We

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are closing the loop overall with a very small but important use case, which is to say that the brands also want to drive conversions on their physical stores. So digital out-of-home is also another area that we would look at. But I would say it would suffice to say that over 90% focus is on in-app, mobile and CTV at this moment and a smaller percentage would focus on digital out-of-home.

Moderator: Next question is from the line of Hardik Goyal from Union Mutual Fund.

Hardik Goyal: Sir, just one question from my end. Given the current geopolitical situation and some signs of recessions coming in, are you seeing the global brands tightening their marketing budget? How can we see its impact on Affle per se? Are brands shifting from general branding towards a higher ROI model of CPCU?

Anuj Khanna Sohumi : Thanks, Hardik, for the question. I have been leading Affle for 21 years and we have seen several financial crises, several crises in the journey of 21 years. I've been an entrepreneur for more than 30 and I've seen a fair bit of that. We have built Affle's business model for resilience and for fundamental deeply integrated moats with the customer and aligning our entire existence for the benefit of the customer. I believe this kind of alignment is dependable, trustable and especially when times get tough, it becomes very important.

So when times get tough as they are and have many times in the past, we are of the clear

view that the CPCU business model is going to be resilient, and in fact, going to be the go-to business model for the advertisers. Because,

when recession happens, it's not that businesses stop . They find it harder to make revenue. In that time, they want to spend their advertising dollars with great prudence and careful measures to say that if I'm spending this ad money, I better get ROI.

I believe it is common sense, but we have seen it repeated a number of times that all budgets get tighter. When budgets get tighter, when the going gets tough for everyone, only the tough really can get going - and this business model is a resilient business model , it is a tough business model. We have anchored ourselves on it for this very reason.

When we were going public in 2018 -19 and I was on the road shows, people were asking, are you sure you're ready to go public? I said, yes, with this business model, I can deliver to the public market investors a resilient,

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dependable and durable long -lasting success pattern. Last quarter was a tough quarter geopolitically - Jan, Feb, March 2026 was a tough quarter and it was a quarter without the benefit of festive seasonality.

Typically, in advertising businesses anywhere in the world, you will find that their highest quarter is October, November, December because of Diwali, Christmas, school holidays and shopping . Without the advantage or the tailwinds of the festive quarter and with the headwinds of geopolitical issues, Jan, Feb, March was very resilient for us.

We were able to grow at least the top line better and maybe even EBITDA better than the last quarter. In terms of fundamental performance, CPCU business in a small snapshot of the last quarter has already shown you in terms of resilience. I believe if I was an advertiser and the economy was in a tough place, I would gravitate to CPCU business model much faster than they are otherwise doing.

Moderator: We will take our next question from the line of Swapnil from JM Financial.

Swapnil: My question is regarding the warrants issue. First of all, I would like to understand the cap structure of your Affle Holdings Limited. Related question to that is basically where is Affle Holdings getting the money from to invest in Affle 3i Limited ? Lastly, why warrants route instead of a QIP?

Kapil Bhutani: I'll take this question. Swapnil this is a call for Affle 3i Limited and not a call for Affle Holdings Private Limited. However, on the second question of yours of why a warrant and why not an equity route. We already have a substantial amount of cash. When we are on a negotiation on the pricing with the target companies, there is a requirement to show the strength of the capital.

If you need to take some leverages, you need to build up the capital for that. As we said that we will take some time to close the acquisition in this calendar year , we wanted to shore up the certainty of availability of the cash on the table .

But what is the source of funding of Affle Holdings? If any notification comes from Affle Holdings to us, we will definitely disclose it to the stock exchange.

Moderator: Next question is from the line of K avish Parekh from 360 ONE Capital.

Kavish Parekh : Congratulations on a steady set of numbers. Kapil, a couple of bookkeeping questions. Our other expenses declined 3% in FY2026 after rising about 40 -

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odd percent in FY2025. Would you attribute this entire decline to moderation in business promotion expenses? Or is there some other efficiency driving this?

How do we look at movement in other expenses going forward? And could you also explain the movement in other income? It declined about 17% in FY2026. Is this all treasury related? Or is there something more to this?

Kapil Bhutani: Thank you for the question. Largely, it is the decline or the moderati

on in

the business promotion expenses. There is no linear spending on the business promotion expenses. Generally , it is Q2 & Q3 which is the highest spending quarter for us and some amount in Q1 also, which is where we shore up our

marketing efforts as we participate in various events or we do client meetings at a larger scale. These are the places where we spend or these are the quarters where we spend largely. The moderation in Q4 is largely on account of the marketing spends. The other efficiencies are definitely there, but significant is this one to call out.

Kavish Parekh: Sure. And on the other income?

Kapil Bhutani: Other income is part of the treasury operations. As we have been repaying our borrowings, there is some amount of reduction in the cash to that extent.

But however, we have been accumulating cash. Largely, the decline has been on account of exchange gains over this quarter and during this year, as a large part of our expenses, which come in terms of the data inventory cost or employees outside India, these are the exchange expenses which we are booking in this year.

Moderator: Next question is from the line of Samarth Patel from Equirus Securities. As there is no response from the current participant, we will take our next question from the line of Onkar Ghugardare from Shree Investment.

Onkar Ghugardare: As earlier mentioned that 20% growth for the next 5 years is what you can do. But you have guided for around 10x of the revenue in the next 10 years, which would want you to grow somewhere around 26% CAGR. So all that remaining portion would come from inorganic growth. And in the generation of the AI, don't you think with the tailwind of AI, the growth can be much more than the 20%, which you have projected for the organic front? Or is the base effect catching here?

Anuj Khanna Sohum: No, there's no base effect catching here. It's a sensible sort of growth calibration at the moment to look at modelling our company for organic

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growth of around 20%. And with the clear and deep understanding that even if we go ahead and do any inorganic transaction, our goal would be that the combined entity must be deeply growth-oriented and should average towards the 20% growth in the near to medium term with a clear emphasis on the bottom line efficiencies of the organization, delivering close to about 23% to 25% EBITDA over a period of time.

Which is where you can see the trend lines last year to this year, our EBITDA has gone up in the mid-20s, to around 22% to 23%. Our goal is to constantly move the notch up. This is a sensible level of growth for the industry that we are in and for the tailwinds of AI that we're already factoring in.

Can it grow faster? Well, there is a possibility to calibrate it like that. But then that would be not as profitable growth in terms of just going for top line growth, getting the numbers from all kinds of advertisers. Not every pocket or segment of advertising on digital is as profitable as the ones that we are focused on. We calibrate ourselves to deliver premium conversions for those verticals where we think that we can make the right kind of outcomes.

Many times, there are sales orders that our customers send to us through our sales teams that we would even decline. If we believe that those campaigns are not appropriate or will not lead to the right kind of profitable, sensible outcomes, we would not necessarily take every revenue on board. What we are talking about is high-quality revenue, predictable, sensible calibration for the kind of growth that we're aspiring. Getting to 10x growth - it's a committed plan and we are on track to getting there.

Moderator: Next question is from the line of Pranay Shah from Carron Capital.

Pranay Shah: Sir, my question is regarding ad tech ecosystem. Another ad tech player who has partnered with LLMs like OpenAI

I for advertising pilots on ChatGPT, which

went live in March 2026 and I believe ChatGPT has also rolled it out in the U.S., Australia and Canada. I'd like to know whether we are also conducting some pilot experiments on this stage? If yes, what are the learnings which we have?

Anuj Khanna Sohum: Yes, definitely. We are doing our own integrations and experimentations around it. But what I can guide you towards and what I would want you to think about is that see these LLM platforms as like an ecosystem level play. You would see that very soon, these platforms would have app stores and different apps using their LLMs to launch unique specific products and

services for the end consumers and other businesses. I believe it's like you don't have to necessarily integrate only with the app stores of Apple , Google or others .

There will be millions of apps , AI-generated apps, human -generated apps, websites that will use these LLM platforms to launch. Our goal is to work at an ecosystem level with the end user touch points, which are these apps that will be powered or running on top of these LLM platforms . Think of it as a new vertical within our categories EFGH . In the category G, soon we'll talk about Gen AI apps as a vertical or as a category of advertisers, the new age GenAI apps, which will also need to do 2 things.

One, they need to find the consumer so that they'll use their app and in order to do that, they'll spend ad budgets on a CPCU model with us. Secondly, they also want to make money from advertising because not all these new Gen AI apps will be paid for by consumer subscriptions . They will also need ad revenue and so they will work and integrate with a platform like ours.

Working with the underlying LLM platform is one level of experimentation, but the real take -off and the value and the scale is in the visualization of this entire ecosystem being fully ready and prepared for that advent of Gen AI apps and sites, wanting ads, wanting to do advertising. I believe that's what Affle is prepared and ready for. We are in a good place there.

Moderator: Next question is from the line of Sanjay Ladha from Bastion Research.

Sanjay Ladha: I wanted to understand the customer revenue cycle, meaning what is the repeat customer percentage for 1 year, 3 year and 5 years? And why I'm asking is, are we able to increase wallet share with existing customer? Or is it one -time sales for one particular time? Do the 3 -year and 5 -year customers still work with us?

Anuj Khanna Sohum : Yes, absolutely. The growth for us is anchored in a few ways . Existing customers are spending more in existing markets and existing customers are spending new budgets with us in new markets where they were not working with us before, because we're a global platform. We always calibrate and we go to our existing customers, hey, you're working with us in all these markets. Look, we have these case studies with you , but we are also working in other geographies where some of those customers may have presence. We will then take them with us to those new geographies and extract budgets from them for that.

Then we have a sales team, a marketing team that's constantly looking for new logos, new customers across all our industry verticals, both in existing markets as well as we are constantly expanding and saying, let's launch and look for new customers and to go in the new markets where we are a little under -calibrated, for example, in developed markets.

So, we do see broad -based growth and expansion coming to our customer base. There are several customers who've been working with us for over decades. Now we have a 21 -year journey in the company. Definitely, there's a lot of dependence on existing as well as a good healthy mix of new logos coming on board across existing and new markets.

Sanja

y Ladha: Sir, can you share any repeat customer names ?

Anuj Khanna Sohum : Kapil, could you take that question?

Kapil Bhutani: We will not be able to disclose that kind of detail of the information .

Anuj Khanna Sohum : Sanjay, what I would recommend is reading the case studies that we are highlighting. We disclosed so many case studies, so many awards that we are winning for our customers, for ourselves and for the work that we do for them. That should give you a very good understanding of our verticalized approach and how we serve our customers. The short answer is that it is not a one -time engagement. It is cyclical to the extent that's year -on-year or budget to budget , in India it's Diwali to Diwali and so on. How the advertising

budgets are planned for the year, we calibrate that together and then we execute through the quarters with our customers.

Moderator: Next question is from the line of Lokesh Manik from Vallum Capital.

Lokesh Manik: Great. Anuj, you briefly touched upon digital OOH. My understanding is that this segment in the advertising world has seen a subdued growth in the offline side. So just to take some bit from your foresight and your experience in this industry, what you saw in 2019 is today happening in 2025. Are you seeing something develop in the digital OOH space and how difficult conversions will be because mobile and CTV are more personalized device versus a digital OOH, which is a public device? If you can share some details on that, how you are foreseeing things in the next 3 to 5 years?

Anuj Khanna Sohum : Thanks for that question, Lokesh. If you see our platform's definition, it doesn't say that it is a mobile advertising company. It doesn't say that we are a CTV advertising company or a digital OOH advertising company .

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Many of the competitors do that, by the way . Somebody might say we are a mobile advertising. Somebody say we are CTV focused. Somebody will say we are a Facebook company, Google. I mean, they're very destination specific. Whereas what is Affle defined as ? We are a consumer -centric consumer platform company. Our focus is on the 4 billion consumer -connected devices we are reaching out to. Now on those 4 billion consumers, let's say, if you're focused on the consumer, first and foremost, we should be on the consumer's mobile. It's very important . Because if you don't have that touch point, then it doesn't make sense . Next is you would say, let's go from the mobile to the connected household. There's a CTV screen there. Can we do something there that will enhance the probability of conversion.

Third, you would say that, okay, should we limit Affle to just delivering conversions for our advertisers online, which means the user is converting on the mobile phone, on the in -app or on the app or the advertiser or on the app of a marketplace. Is that all that we should do? The advertiser also has physical stores and footprints. They also have their online store, their apps. Why should we not say that, okay, when this consumer goes out of their home or out of their office, the mobile is always carried with them. When they're out of the home and out of the office, we can capture that incremental budget on the consumer's journey . From that angle alone , the digital out -of-home comes into play .If you are on digital out -of-home, can we make it from a screen that everybody is ignoring and walking by to an engagement screen with the mobile phone where you actually drive a conversion or drive a footfall that can be tracked or measured.

Only to that extent, we are interested in making sure that we don't lose our consumers' journey. As long as they have their mobile phone with them, any other connected device that they come in proximity with, we should have an ability to drive the probability of conversion of that consumer for that advertiser.

As a consumer -centric

platform, we are saying we are going to go where the consumer goes, and therefore, these devices become important only in that context. Digital out -of-home will be a small part, but it could be an interesting one to do what we call as driving retail online to offline footfall . Then there are many advertisers who are absolutely keen to do that, especially for the high lifetime value users, like those users who would buy from the brand online and also when they see a store, they want to walk in there. Those are the kind of lifetime value users that we are converting for

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our advertisers. In that context, digital out -of-home fits in, but it's not the emphasis point.

Moderator: Next question is from the line of Arun Prasath from Avendus Spark.

Arun Prasath: Anuj, my one question is on your LTV. You spoke about how LTV is what is

important for us to track. In an inflationary scenario, does your customers' LTV also goes up in line with the inflation? Or does it track higher than the inflation? If so, does eventually the Customer Acquisition Cost (CAC) budget also catches up with the revised LTV and which may potentially benefit us if the inflation remains higher in the longer run?

Anuj Khanna Sohumi : That's a deep and a broad -based question on economics across various industry verticals that Affle is deeply focused on. The short answer is that as the GDP or the disposable income of the consumers go up, I believe their ability to spend that on the advertisers' goods and services broadly should go up, right?

Inflation actually makes things expensive for the consumer and that potentially could impact their disposable income. But in growing economies over a long period of time, one would expect that the purchasing power is improving. As the economy grows, we would see that the CPCU rates would grow.

That's what we have seen at least in the last 10 years . Across industry verticals, we are seeing in the CPCU part of the ecosystem , we're able to grow our volume of business and we're also able to increase our pricing. That's why we are in a privileged position as a business.

When I talk about LTV, I'm just saying that not all consumer conversions are the same . So, my dad 's is driver in Lucknow may also be using an old version of his iPhone and my dad is also using an iPhone, but let's say, from the same car from the same destination, 2 people are ordering food online. I would believe that probably the value of my dad's conversion would be much higher for our advertisers than his driver's conversion . That's the distinction we're making. How can we go and drive more premium, higher lifetime value conversions for advertisers and tell them that when you work with Affle, you are working with a premium platform whose algorithm is trained to find the highest ROI for you in driving conversions .

That's what we are trying to aspire towards and consistently pushing for and that fundamentally will move the CPCU much higher and the margin profile

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much higher over time. That's the kind of audience and advertiser intel that we are verticalizing for, that we are investing in, which is what I was talking earlier when they say, hey, your gross margin is being invested into data and inventory cost. I said, absolutely because we are verticalizing towards premium inventories and driving towards that greater possibility ahead.

Arun Prasath: No, I understand that, Anuj, what I'm asking is, while, of course, we are moving up the ladder from lower LTV to higher LTV customers. What I'm asking is the LTV at each corporate level also goes up once the inflation settles at a higher level. That is the clarification I would like to see?

Anuj Khanna Sohumi : I wish I could answer it linked to inflation but I would basically say that the last 10 years trend is showing that the CPCU rate is going up

and I think that

is just simply a function of how the economy is growing and how the consumer spending power is growing.

Kapil Bhutani: Just a very brief answer on this, Arun. We model at 2% long -term average inflation rates as we do our long -term planning. Inflation definitely is there in the economies across geographies . On an average, we built in about 2% inflation on a CAGR basis or on a long -term basis. Some years, it will be high and some years will be down, right? So it's a function of normal economics being put into the business planning. I hope that answers your question in a crisp way.

Moderator: Ladies and gentlemen, we will take that as the last question. I would now like to hand the conference over to the management for closing comments.

Anuj Khanna Sohumi : Well, thank you very much for being on the call today, and we look forward to a very strong performance going forward into FY 2027. The tailwinds are strong , the foundation is strong and we are optimistic and bullish on how we will navigate all the challenges ahead, both organically as well as inorganically. We're looking forward to a fantastic year. Thank you.

Moderator: Thank you. Thank you very much. On behalf of Ambit Capital, that concludes this conference. Thank you all for joining us today, and you may now

disconnect your lines.

*** end ***